Integrated Annual Report 2019

ITALTILE LIMITED

50 YEARS YOUNG

CONTENTS

Introducing our 2019 Integrated Annual Report

IFC About our report
01 Financial highlights
02 A message from our Chairman

This is Italtile

06 Our purpose
08 Our history and milestones
12 Our Group structure
13 What sets us apart
14 Where we operate
16 Creating value through our business model
18 The strength of our retail brands

Our business in context

24 The environment we operate in
27 Material issues, risks and opportunities
31 Engaging with our stakeholders

Our strategy

33 Strategic focus

Our performance

34 A message from our CEO
42 Review of operations
62 Our FD's financial review
65 Financial results summary
66 Value added statement
67 Seven-year review

Our governance

70 Our Board of directors
73 Corporate governance
88 Remuneration committee report
98 Social and ethics committee report
102 Transformation
104 Environment and sustainability
108 Our people
112 Supporting our communities

Financial statements

122 Directors' responsibility statement
122 Company Secretary's certificate
123 Directors' report
128 Independent auditor's report
132 Audit and risk committee report
134 Statements of comprehensive income
135 Statements of financial position
136 Statements of changes in equity
137 Statements of cash flows
138 Notes to the annual financial statements
184 Analysis of shareholders

Additional information

185 Shareholders' diary
185 Corporate information
186 Notice of annual general meeting
193 Annexure 1 to notice of annual general meeting
199 Form of proxy
200 Notes to the form of proxy

Retail stores

Situated on high-visibility sites, their comprehensive offerings position them as one-stop solution destinations, with ranges including ceramic and porcelain wall and floor tiles, sanitaryware, bathroom furniture, taps, fittings, laminated wooden flooring, lighting, home-finishing products and tools.

ITALTILE LIVE BEAUTIFULLY | CTM Big savings. More style. | top T YOUR HOME FINISHING DESTINATION | U-LIGHT

Supply chain

Retail operations are supported by an integrated supply chain comprising:

International Tap Distributors – importer and distributor of brassware and accessories.

Cedar Point Trading – importer and distributor of laminate and vinyl floor boards, bathroom furniture, shower enclosures, accessories, sanitaryware, décor and other home finishing products.

Distribution Centre – importer of product, logistics and warehousing.

Support Services

IT, e-commerce, human resources, finance/administration, marketing, internal audit.

Property investment portfolio

Underpins the retail operation by locating stores on high profile, easily accessible sites and maintaining and upgrading premises to ensure an optimum shopping environment. Manufacturing operations comprise well-maintained state-of-the-art factories supplied with raw materials sourced from productive quarries in close proximity to the factories.

Manufacturing operations

Ceramic Industries

Manufacturer of glazed porcelain floor tiles, ceramic wall and floor tiles, vitreous china sanitaryware and acrylic baths and shower trays.

Ezee Tile

Manufacturer of grout, adhesives, paint and related products.

Statement of responsibility for the Integrated Annual Report

The Board of directors of the Company ("Board") acknowledges its responsibility to ensure the integrity of this Integrated Annual Report, and has applied its collective mind in the preparation thereof. In the Board's opinion, the report addresses all material issues and fairly presents the Group's integrated performance.

On behalf of the Board

G A M Ravazzotti
Chairman

J N Potgieter
Chief Executive Officer

7 October 2019

For further information, please visit our website on

www.italtile.com

ABOUT OUR REPORT

REPORTING SCOPE AND BOUNDARY

This report provides information relating to Italtile's strategy and business model, operating context, material risks and opportunities, governance and operational performance for the period 1 July 2018 to 30 June 2019. We also consider the risks, opportunities and outcomes of our business activities on the various stakeholders who are affected by what we do. These stakeholders and their interests are described on page 31. In addition, we have published annual financial statements (AFS). The reporting process for all our reports has been guided by the principles and requirements contained in International Financial Reporting Standards (IFRS), the IIRC's International <IR> Framework, the GRI Standards, the King IV™* Report on Corporate Governance for South Africa 2016 (King IV), the JSE Listings Requirements, and the Companies Act No 71 of 2008.

OUR APPROACH TO MATERIALITY

This report provides information that we believe is of material interest to current and prospective investors, and to any other stakeholder who wishes to make an informed assessment of Italtile's ability to generate value over the short, medium and long term. We have sought to ensure that all the information in this report relates to matters that have a material bearing on value creation at Italtile. Understanding our business (pages 6 to 21) and our business model (page 16) form the basis for appreciating how Italtile creates value, and for identifying those issues impacting value. Our ability to create value is determined by the quality of our response to our operating context (page 24), the priority risks and opportunities facing our business (page 27), and the material interests of our key stakeholders (page 31). Making an informed assessment of the quality of our response requires an appreciation of our strategy (page 31), our performance (pages 34 to 68), our Board (page 70), and our governance practices (page 73).

ASSURANCE ON REPORT CONTENT

Reporting element	Assurance status and provider
Integrated annual report	Reviewed by the directors and management, but has not been externally assured.
Financial information	All summarised financial information is extracted from the annual financial statements, audited by Ernst & Young Inc. (EY) who expressed an unmodified audit opinion thereon.
Selected non-financial performance metrics	Accredited service providers and agencies have verified selected non-financial performance metrics contained in the report, including our carbon footprint and the BBBEE rating.
All other non-financial performance information	Management has verified the processes for measuring all other non-financial information.

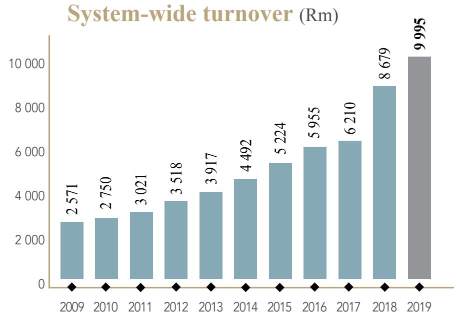
ABOUT THE FORWARD-LOOKING INFORMATION CONTAINED IN THIS REPORT

This report contains certain forward-looking statements which relate to the possible future performance and financial position of the Group. All forward-looking statements are solely based on the views and considerations of the directors. These statements involve risk and uncertainty as they relate to events and depend on circumstances that may or may not occur in the future. The Group does not undertake to update or revise any of these forward-looking statements publicly, whether to reflect new information, future events or otherwise. These forward-looking statements have not been reviewed or reported on by the Group's external auditors.

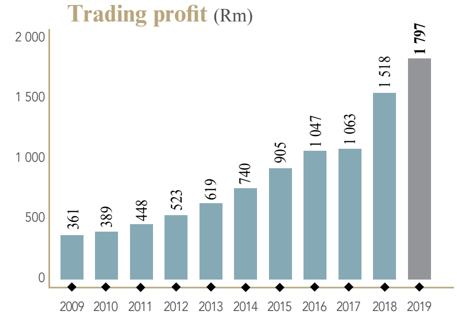
The Group neither accepts any responsibility for any loss arising from the use of information contained in this report, nor undertakes to publicly update or revise any of its forward looking statements.

FINANCIAL HIGHLIGHTS

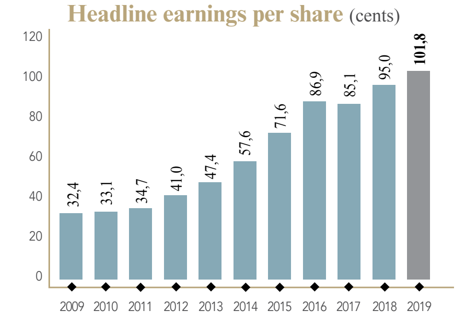
System-wide turnover (Rm)



Trading profit (Rm)



Headline earnings per share (cents)



Headline earnings per share
101,8 cents
2018: 95,0 cents
↑ 7%

System-wide turnover
R10,0 billion
2018: R8,7 billion
↑ 15%

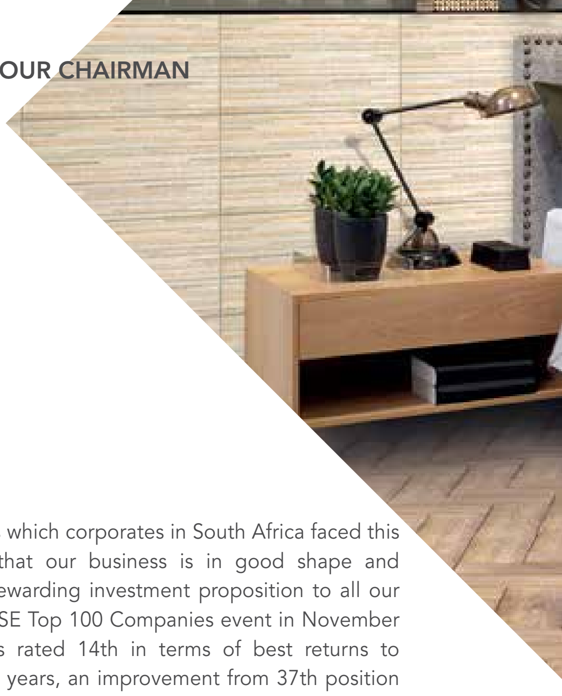
Net asset value per share
480 cents
2018: 486 cents
↓ 1%

Special dividend per share
50,0 cents
2018: 30,0 cents
↑ 67%

Ordinary dividend per share
41,0 cents
2018: 38,0 cents
↑ 8%

Trading profit
R1,8 billion
2018: R1,5 billion
↑ 18%

Net cash
R1,2 billion
2018: R679 million
↑ 77%



A MESSAGE FROM OUR CHAIRMAN

OVERVIEW

Founded in 1969, this year marks the 50th anniversary of our Group. As a proudly South African business, it is rewarding to have overseen the growth of the Company from a small start-up to the enterprise it is today, consisting of the three retail brands, CTM, Italtile Retail and TopT, represented by 189 stores including five webstores, an integrated supply chain, substantial manufacturing assets, and an employer of 2 545 people across our operations.

Over the past five decades, this industry has also changed enormously. Not only has our competitive set and the profile of our customers changed, but so too has the technology, fashion and product quality. In my view, our industry is today one of the most innovative and competitive in the world.

Despite the significant and continuing evolution in the sector, one factor remains at the centre of what we, and our peers, focus on – customer satisfaction. Throughout the years we have strived to ensure that our shopping experience delivers the right product, at the right time, place and price. Our brands' consistent gain in market share is a solid endorsement of our endeavours.

Our people

Retail is an extremely demanding industry, and in my opinion, if you don't have a passion for the product and the customer, then you are in the wrong business. I know with conviction that the people of Italtile make this Company what it is, and I am energised and motivated on a daily basis by their commitment to investing their discretionary effort into their work.

As leaders, our challenge is to build competence, encourage enthusiasm and inspire dedication. In this light, we place significant emphasis on our core values of partnership and empowerment, reflected by our profit share incentives for every employee in the business, our focus on skills transfer, and the opportunities for career development at all levels across the operations.

I am pleased that our people balance sheet is in good standing:

- our leadership team is well structured, and together with our clear succession plans, gives me confidence and certainty over the long term;
- the health of our franchise network is good, and we continue to monitor and support our partners during difficult times. It is pleasing to note that our churn rate is extremely low, and there is strong demand from existing and prospective franchisees for our brands; and
- our most recent employee engagement survey produced our best score yet, which included an improvement in participation. Furthermore, productivity indicators have risen across the business. These results are particularly encouraging given the prevailing negativity in the external environment.

Our performance

Despite the difficulties which corporates in South Africa faced this year, I am satisfied that our business is in good shape and continues to offer a rewarding investment proposition to all our stakeholders. At the JSE Top 100 Companies event in November 2018, the Group was rated 14th in terms of best returns to shareholders over five years, an improvement from 37th position in the prior year. This acknowledgement is gratifying recognition of our efforts to meet and exceed the expectations of our stakeholders.

During the year under review, management focused on the following key operational priorities:

- stockholding and stock management;
- range and fashion;
- expense control and cost leadership;
- brand health and customer satisfaction;
- supply chain and integration;
- people competence and commitment; and
- leadership effectiveness and efficiency.

The good performance delivered by the business is a reflection of solid progress achieved across all these imperatives. The CEO's report provides further insight into the specific activities undertaken in this regard.

RESULTS

My commentary provides a macro-overview of the health of the business, while the Financial Director's report on page 62 contains a detailed analysis of the Group's results for the year under review.

Given the current negative operating climate, it is encouraging to report on a performance that has been warmly received by shareholders.

While top-line turnover growth largely reflected the impact of the weak trading environment and constrained discretionary spend, I am satisfied that the management team is keenly focused on leveraging the opportunities within the business to capture disposable income and prepare for an upturn when that occurs. In this regard, there has been an improvement across all of the key metrics and sales levers, all aimed at ensuring an unparalleled customer experience.

Cost leadership is an ongoing management imperative, and it is notable that operating costs were held below inflation for the second consecutive year. Significantly, costs in the year under review were lower than the prior year, which is an impressive achievement and particularly important in an environment of constrained top-line growth.

Giovanni Ravazzotti
Chairman

The Group's net cash balance for the year rose by 77%, reflecting good cash management and consistently strong cash generation by the business. In recent years, companies have faced criticism for 'lazy' balance sheets; however, in the current testing environment our shareholders have expressed their support for low gearing and a conservative approach to cash management. The Board is satisfied that the balance sheet is well structured to fund continued investment in our store roll out programme and in building capacity in the manufacturing operations and supply chain.

DIVIDEND POLICY, ORDINARY DIVIDEND AND SPECIAL DIVIDEND

The Group's dividend cover was reduced from three times to two-and-a-half times at the prior year end and has been retained at that level. We believe this policy simultaneously provides for good returns for shareholders and is prudent, given the current operating environment and recent incorporation of Ceramic's significant manufacturing component, which in future may require higher ongoing capital expenditure than the business had pre-acquisition.

The Board has declared a final gross ordinary cash dividend of 41,0 cents per share for the year (2018: 38,0 cents per share), an increase of 8%.

Furthermore, in light of consistently strong cash generation and cash reserves being in excess of current operational requirements, the Board declared a special cash dividend of 50,0 cents per share (2018: 30.0 cents per share), in celebration of the Group's 50th anniversary.

Future special dividends will be considered contingent on operational and other capital expenditure requirements.

COMMITMENT TO CORPORATE GOVERNANCE AND SUSTAINABILITY

This Integrated Annual Report ("IAR") is a further step in improving our disclosure aligned with King IV™, and we will continue to strive to enhance our reporting over time.

The Board and management are committed to ensuring the Group achieves responsible growth and sustainable profitability. The material issues and key stakeholder reports on pages 27 and 31 respectively, outline our preparedness to manage the major risks which impact on the business and our responsiveness and accountability to our stakeholders.

For the first time, we have included a separate report on transformation in the IAR; the commentary on page 102 details our agenda and achievements with regard to this fundamental imperative. I am pleased to report that following extensive interventions over the past three years, we have improved our BBBEE status level from non-compliant to level 6. We are committed to achieving our goal of level 5 in the year ahead and level 3 by 2022.

A MESSAGE FROM OUR CHAIRMAN continued

DEVELOPMENT AND IMPLEMENTATION OF STRATEGY

The Group's five-year strategic plans are developed and implemented through an effective decision-making framework. The Board is responsible for setting clear strategic direction, while management is held accountable for delivering measurable results. The Chief Executive Officer's report on page 34 provides an evaluation of management's scorecard in terms of advancing and attaining these strategies. I am satisfied that good progress was achieved across our key strategic areas: the growth agenda (short and longer term); business model and operational benchmarks; human capital structure; and customer experience. The Group's high-performance culture will ensure that we continue to raise our game and strive for improved excellence in the year ahead.

STAFF SHARE SCHEME VESTING

The Group's equity-settled Staff Share Scheme is designed to incentivise employees to participate in the growth and profitability of the business. In this regard, the third allotment of shares, granted in 2015, vested on 31 August 2018. A total of 101 employees qualified, of which four employees opted to receive shares and the balance received the net value of the awards in cash. Cash payments after tax averaged R137 000 per individual (aggregate payments including income tax totalled R16,8 million), funded by the sale of the related shares to the market. Employees who elected to receive shares, received an average of 9 500 Italtile shares each (dependent on the individual's effective income tax rate).

During the review period, a sixth allotment of shares was made, comprising 3,3 million shares allocated to 150 eligible employees of the Group and franchisees. As at 30 June 2019, there were 373 participants in the scheme, holding 7,5 million Italtile shares.

Since implementation of the scheme in 2014, a total of 16,4 million shares have been allocated to eligible employees. Over the five-year period to date, share awards of 569 staff members have vested; the related aggregate payments, including tax, totalled R96 million.

ITALTILE AND CERAMIC FOUNDATION

The goal of our Foundation is to work towards the transformation and upliftment of previously disadvantaged communities by providing assistance to needy organisations and charities in the fields of education, sport and conservation.

In the education sector, the Foundation sponsored various childhood development initiatives, upgraded facilities, and provided bursaries for tertiary students. Institutions which received assistance included the Hope School for the Disabled, Mahareng Secondary School, Salvazione Christian School, Forte High School (through One School at a Time), and Setlabotjha Primary School.

Over the past five years, the Foundation has built and maintained three sports fields, in Meadowlands, Soweto; Thohoyandou in Limpopo; and Acornhoek in Mpumalanga. In the reporting period, in conjunction with the Dreamfields organisation, soccer and netball leagues were set up at schools neighbouring the sports fields. Through the Foundation's sponsorship, Dreamfields has been introduced to 40 schools in Acornhoek, 16 in Thohoyandou, 10 in Sebokeng, eight in Hammanskraal and another eight in Kagiso.

During the year under review, our support for conservation was advanced through continued sponsorships of the WWF, the Lapalala Wilderness School, and the Birdlife Important Biodiversity Area Programme.

I would like to pay tribute to all of the abovementioned organisations for the transformative work they do in their local communities and environments. I would also like to thank the Foundation's Trustees and our staff who volunteer their services to ensure the Group makes a meaningful difference in the communities in which we operate.

The report on page 112 of this document outlines the work of the Foundation in more detail.

CHANGES IN BOARD COMPOSITION

During the review period, the following changes were made to the composition of the Board:

- Ms Zizipho Nyanga CA(SA) was appointed as an independent non-executive director and member of the Audit and Risk Committee, with effect from 1 June 2019. The Board welcomes Zizipho and looks forward to working with her.
- Ms Nomagugu ("Gugu") Mtetwa tendered her resignation as a non-executive director and a member of the Audit and Risk Committee with effect from 31 August 2019, due to other professional commitments; and
- Ms Ndumi Medupe tendered her resignation as a non-executive director and Chairman of the Audit and Risk Committee due to a potential conflict of interest as a result of having joined the employ of the Group's bankers, Nedbank Group. Ndumi's resignation is effective from the conclusion of the Group's annual general meeting ("AGM"), which will be held on or about 14 November 2019.

On behalf of the Board I would like to thank Gugu and Ndumi for their valuable contribution and wish them well in their future endeavours.

Looking ahead, we have a comprehensive succession plan in place that is designed to ensure continuity and stability in the constitution of the Board and in the business.

MANDATORY ROTATION OF AUDITORS

In respect of the Independent Regulatory Board for Auditors' 2017 ruling on mandatory audit firm rotation, the Group's incumbent auditors, Ernst & Young Inc. ("EY"), will conclude their tenure with effect from 1 November 2019. On behalf of the Board, I would like to extend our appreciation to EY for their long-standing service to the Group.

The Board will recommend the appointment of PricewaterhouseCoopers Inc. as the Group's auditors with effect from 1 November 2019.

SUBSEQUENT EVENT

Black economic empowerment transaction and dividend declaration

Subsequent to year end, we concluded a BBBEE ownership transaction with Yard Investment Holdings, in order to improve the Group's black ownership credentials, and to establish a medium to long-term relationship with a BBBEE partner with international commercial experience relevant to the Group's business. The transaction has been implemented by way of a general issue of shares for cash, issued at a price of R11,82 per subscription share and equating to approximately 2% of the total ordinary shares in issue following implementation of the transaction.

In light of the BEE transaction and the Group's cash reserves being in excess of operational requirements, a gross special cash dividend of 23,0 cents per ordinary share was declared.

Shareholders are referred to the announcement published on SENS on 10 September 2019 for further details in this regard.

On behalf of the Board, I would like to welcome our new partners, Leslie Maasdorp, Yogesh Narsing, Badian Maasdorp and Mikhail Maasdorp. We look forward to building a long and rewarding relationship with them.

OUTLOOK

It is likely that the prevailing socio-economic challenges will persist for the foreseeable future and, in that light, we anticipate that consumer confidence and spend will remain weak. Despite this negative external environment, we remain optimistic that there are opportunities within the business to continue to grow responsibly and sustainably. The experience gained over 50 years of operating provides good learnings, and our clear strategies and the resourcefulness and determination of our people will afford us an important strategic advantage.

APPRECIATION

The accomplishments achieved this year, in testing circumstances, are attributable to our dynamic management team and dedicated employees and franchise partners. Their commitment to the Group's growth agenda and long-term ambitions is recognised and commended. As I noted at the outset of this report, the quality and values of our people are what sets this business apart in a very competitive landscape and I would like to pay tribute to them for their enormous contribution.

We enjoy long-standing relationships with our private and institutional shareholders and we value their ongoing support as we strive to consistently reward their investment in our business.

I appreciate the participation of my colleagues on the Board and the constructive counsel received from them during the year.

I would also like to thank our business partners and advisers for their continued contribution.

Our customers are our reason for being and our focus every single day is to improve the experience we offer them. We recognise that in times of financial hardship, their allocation of discretionary spend is particularly carefully considered, and thus our challenge and goal is to ensure that our offering is their first choice.

G A M Ravazzotti
Chairman

OUR PURPOSE

Italtile is a South African group invested in a portfolio of differentiated, complementary, focused retail formats and manufacturing facilities centred on operational excellence and high-volume turnover. The Group actively seeks opportunities to vertically integrate the supply chain to improve price competitiveness for our customers. Collaboration throughout the organisation and our culture of continued improvement in performance will drive market share gains.

Strategic clarity; principle-driven; ethical leadership; cost-effective technology; and customer and staff-centred partnerships form the essence of who we are.

We fight for the right of our customers to have a beautiful home.

Our mission and definition of victory

- TO BE AN EMPLOYER OF CHOICE
- TO BUILD OUR LEADERSHIP AND SUCCESSION PIPELINE
- TO BE VIEWED BY OUR SUPPLIERS AS ETHICAL AND TOUGH BUT FAIR
- TO BE RECOGNISED AS COMPASSIONATE AND CARING THROUGH MEANINGFUL MEASURABLE CSI INITIATIVES

- TO BE AFRICA'S LEADING RETAILER OF TILES, SANITARYWARE AND ANCILLARY PRODUCTS
- TO GROW MARKET SHARE

- TO REMAIN A CASH POSITIVE BUSINESS AND MAINTAIN A DIVIDEND COVER OF TWO AND A HALF TIMES
- TO ENSURE QUALITY OF EARNINGS BY DRIVING FREE CASH FLOW

- TO BE INNOVATIVE AND STRIVE FOR CONTINUOUS IMPROVEMENT
- TO PROGRESS THE IMPERATIVE OF TRANSFORMATION
- TO BE A GLOBALLY COMPETITIVE MANUFACTURER OF TILES, BATHS AND SANITARYWARE
- TO BE OUR CUSTOMERS' NUMBER ONE CHOICE IN THE MERCHANDISE CATEGORIES WE PLAN TO OWN

Beliefs that are core to our culture

- Leadership by example
- High work ethic
- Performance driven
- Transparency in communication and actions with all stakeholders
- Entrepreneurial flair
- The drive to develop business partnerships
- Hands-on involvement in the business
- Accountability for actions and performance
- Customer centricity

Our values

◆ PARTNERSHIP	◆ EMPOWERMENT
◆ FAIRNESS	◆ HUMAN DIGNITY (RESPECT AND CARING)
◆ INTEGRITY	◆ EXCELLENCE
◆ HONESTY	◆ SERVANT LEADERSHIP

OUR TIMELINE HISTORY AND MILESTONES

National Ceramic Ind

1969

Italtile Founded by **Giovanni Ravazzotti** in Alberton

1971

Italtile's first Cape Town store opens.

Italtile's first Durban store opens.

1972

Italtile's first Johannesburg store opens.

1976

Samca Floor tiles factory opens.

1981

Samca introduces single-firing monocotura tiles using the clay dry-milling process.

Italtile moves into a new premises in Alberton.

1983

Launch of the first cash-and-carry concept CTM store in Roodepoort.

The second store opens in Stikland, Cape Town.

1986

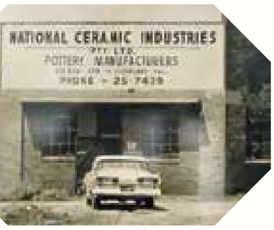
Acquisition of Betta Sanitaryware from a consortium of banks.

1988

Acquisition of NCI Ceramics.

Italtile listed on the Johannesburg Stock Exchange.

Giovanni Ravazzotti



stries

1989

Samca Wall opens.

Italtile moves head office to Randburg.

1991

The management information system was upgraded and all Italtile Centres were linked by computer.

1992

Formation of Ceramic Industries (Pty) Ltd.

Ceramic Industries listed on the JSE.

Established the CTM Franchising division.

1993

The roll-out of stores continues with the launch of the boutique store in Tokai.

1994

The launch of the CTM Mastertile Club with giveaway tiling kits and other incentives.

Italtile transferred its JSE listing from the building and construction sector to the stores sector.

1995

CTM Roodepoort becomes the first store to turnover R1 million.

The entire organisation participated for its first full year in the staff profit share scheme.

1996

Acquisition of Vitro Tile Factory.

CTM Pretoria becomes the first store to achieve a turnover of R2 million.

CTM begins its successful TV advertising campaign with Bob and Nige.

Bob and Nige

2000

Italtile moves its head office to its current location in Bryanston.

Commencement of trading in Australia.

Introduction of high-pressure casting at Betta.

SAP introduced to CTM Strijdom Park.

2001

Closure of NCI Tiles – production moves to Vitro factory.

Head office in Bryanston

2002

R1 billion turnover reached.

Opening of Pegasus factory.

2003

Introduction of CTM joint venture model.

Italtile displays its passion for tiles with the 1,1 m x 2,2 m replica of Botticelli's Primavera which was made using kaolin clay and fired as a single tile in a roller kiln.

2004

Acquisition of controlling interest in International Tap Distributors (Pty) Ltd.

Acquisition of controlling interest in Early Works (Pty) Ltd.

Centaurus factory opens.

2005

Formation of Penates Logistics (Pty) Ltd.

2006

Acquisition of Sphinx.

Ceramic Industries and Support Centre moves to the Clay Quarry.

Penates builds the ITD robotic warehouse, showrooms and the Forum Auditorium.

2007

Expansion of Pegasus and Centaurus to double production volumes.

2008

Expansion of Betta.

Acquarius factory opens.

John Couzis resigns from the Italtile Board after 22 years of service.

Italtile launches the TopT brand.

Italtile enters a Group black economic empowerment transaction.

2009

Italtile acquires a minority stake in Ezee Tile.

Penates builds the Tiling Training Academy in Boksburg.

Italtile Commercial division is established.

Cedar Point Trading is formed.

2010

Italtile appoints an Environment Office to work with the Properties division to reduce the Group's carbon footprint.

Board members 2018

2012

Italtile acquires 20% of Ceramic Industries.

Ceramics is delisted from the stock exchange.

CTM's internet shopping facility is upgraded to a fully functional operating online trading store.

2013

Retail stores in Australia are sold to management.

2014

Peter Swatton resigns from the Board after 26 years of service.

Italtile introduces the equity-settled staff share scheme.

2015

System-wide turnover reached the R5 billion milestone.

2016

The store properties in Australia are sold.

New generation stores for Italtile/CTM opens.

Gryphon tile factory opens.

GRYPHON

Italtile Foundation Trust established.

ITALTILE AND CERAMIC
FOUNDATION TRUST

2018

Acquisition of a controlling stake in Ceramic Industries and Ezee Tile.

The Chairman celebrates his 75th birthday.

Luciana Ravazzotti Langenhoven is appointed to the Board as Deputy Chairman.

U-Light brand is launched.

U-LIGHT

2019

Italtile celebrates **50 years** of achievement with system-wide turnover of R10 billion.

ITALTILE LIMITED 50 YEARS YOUNG

OUR GROUP STRUCTURE

ITALTILE Limited

100% Italtile Ceramics (Pty) Ltd

PROPERTIES

- 100% F B Ashman (Pty) Ltd
- 100% Allmuss Properties (Pty) Ltd
- 100% Allmuss Properties Botswana (Pty) Ltd
- 100% Allmuss Lesotho (Pty) Ltd
- 100% Allmuss Properties Namibia (Pty) Ltd
- 100% Allmuss Properties Kenya Ltd
- 100% Allmuss Properties Uganda Ltd
- 100% Allmuss Properties Tanzania Ltd
- 90% Penates Logistics (Pty) Ltd
- 50% Magnolia Ridge Properties 291 (Pty) Ltd
- 100% Emerald Sky Trading 736 (Pty) Ltd

SUPPLY AND SUPPORT SERVICES

- 88% International Tap Distributors (Pty) Ltd
- 90% Cedar Point Trading 326 (Pty) Ltd
- 100% Italtile Foreign Holdings (Pty) Ltd
- 30% SER-EXPORT S.L.R.

FRANCHISING

- 100% Italtile Franchising (Pty) Ltd

RETAIL

- 100% CTM Kenya Ltd
- 55% Italtile Zambia Limited
- 55% Italtile Retail (Pty) Ltd
- 100% Orban Investments 375 (Pty) Ltd
- 100% TopT Ceramics (Pty) Ltd
- 50% U-Light (Pty) Ltd
- 100% Braintree (Pty) Ltd
- 100% Braintree Tanzania Ltd

MANUFACTURING

- 95% Ceramic Industries (Pty) Ltd
- 72% Ezee Tile Adhesive Manufacturers (Pty) Ltd
- 99% Ceramic Holdings (Pty) Ltd
- 97% National Ceramic Industries Australia Pty Ltd
- 100% Sphinx Acrylic Bathroomware (Pty) Ltd
- 100% National Ceramic Industries South Africa (Pty) Ltd
- 100% National Ceramic Industries (Pty) Ltd
- 100% CRM Brick and Associated Industries (Pty) Ltd
- 74% Aquarella Investments 389 (Pty) Ltd
- 100% East Cape Quarries (Pty) Ltd
- 100% Mayfield Clays (Pty) Ltd
- 100% PiViCal Panels (Pty) Ltd
- 75% Ezee Tile Adhesive Manufacturers (Free State) (Pty) Ltd
- 55% Ezee Tile Kenya Ltd

SOUTH AFRICA

OUTSIDE OF SOUTH AFRICA

WHAT SETS US APART

01 | **Strategic portfolio** of **strong retail brands**, which **appeal** to customers across the **income spectrum**.

02 | **Integrated supply chain** which underpins our policy of '**right product** at the **right time, place and price**'.

03 | **Flat, low-cost organisational structure** comprising **strong teams** and **unique individuals** intimately **involved** in the **operations**.

04 | **Recognition** that our people are **key** to our **competitive advantage** and hence continued **investment** in them is **paramount**.

05 | **Strong partnerships** with **employees, equity partners** and **entrepreneurial franchisees**.

06 | **Reward** and **empowerment** ethos which **incentivises personnel** to participate in the **profitability** of the **business**.

07 | **Extensive property portfolio** which comprises **high profile, well maintained, aspirational stores, state-of-the-art factories**, and **productive quarries**.

08 | A **customer-centric philosophy** which ensures all our **activities** are **centered** on keeping them **top of mind**.

09 | **Sustained investment** in **improving** and **innovating** the **shopping experience** and ensuring the offering remains **attractive** to **traditional customers** and **new, emerging homeowners**.

10 | Concerted **focus** on **developing** and **employing industry-leading technology** in both our **retail offering** and **manufacturing operations**.

11 | **Long-standing reputation** as the **industry trend setter** and **fashion authority**.

WHERE WE OPERATE

189* Total network of stores

92* CTM stores

13* Italtile Retail stores

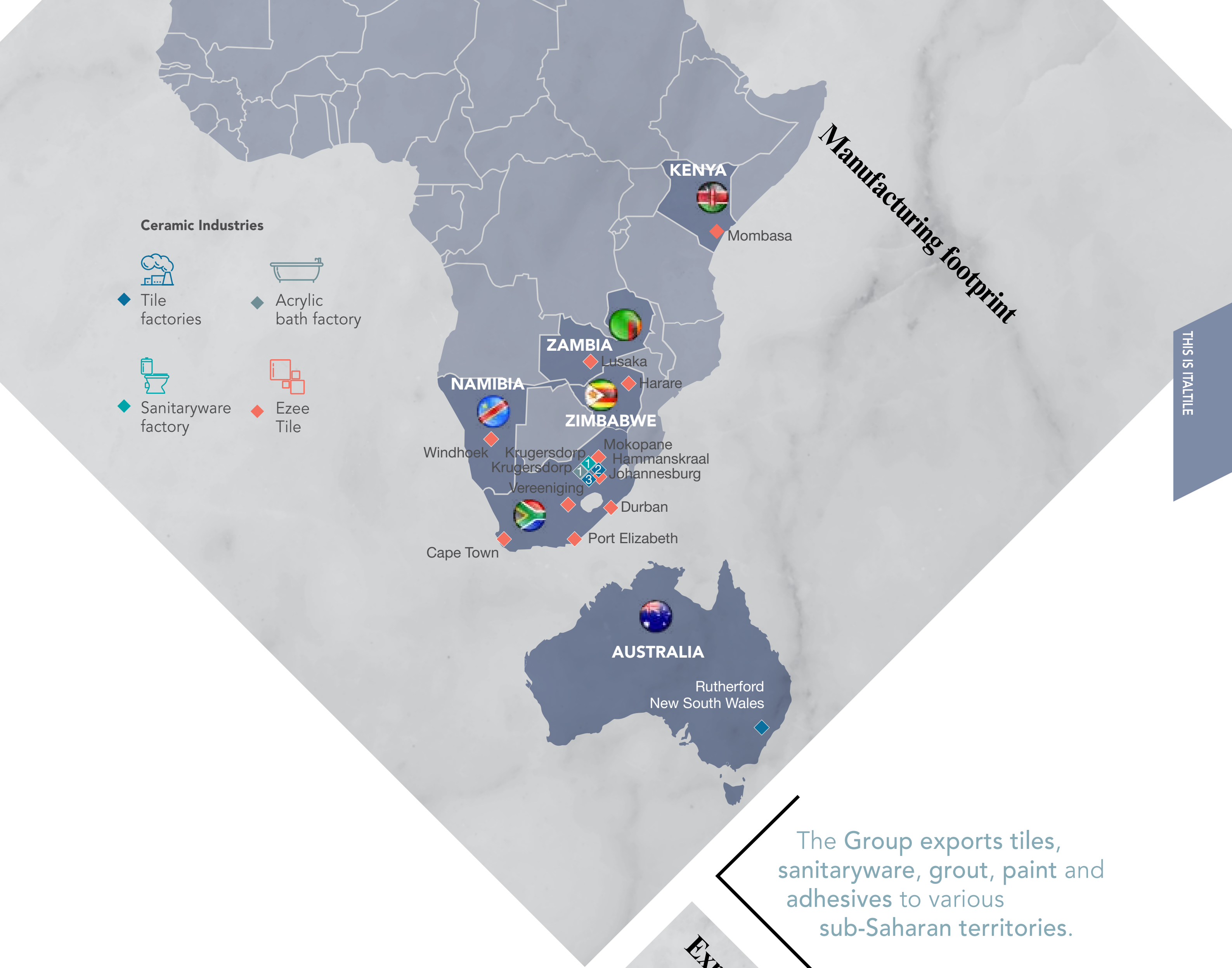
83* TopT stores

110 Franchised stores

The balance are **corporate** and **joint venture** stores

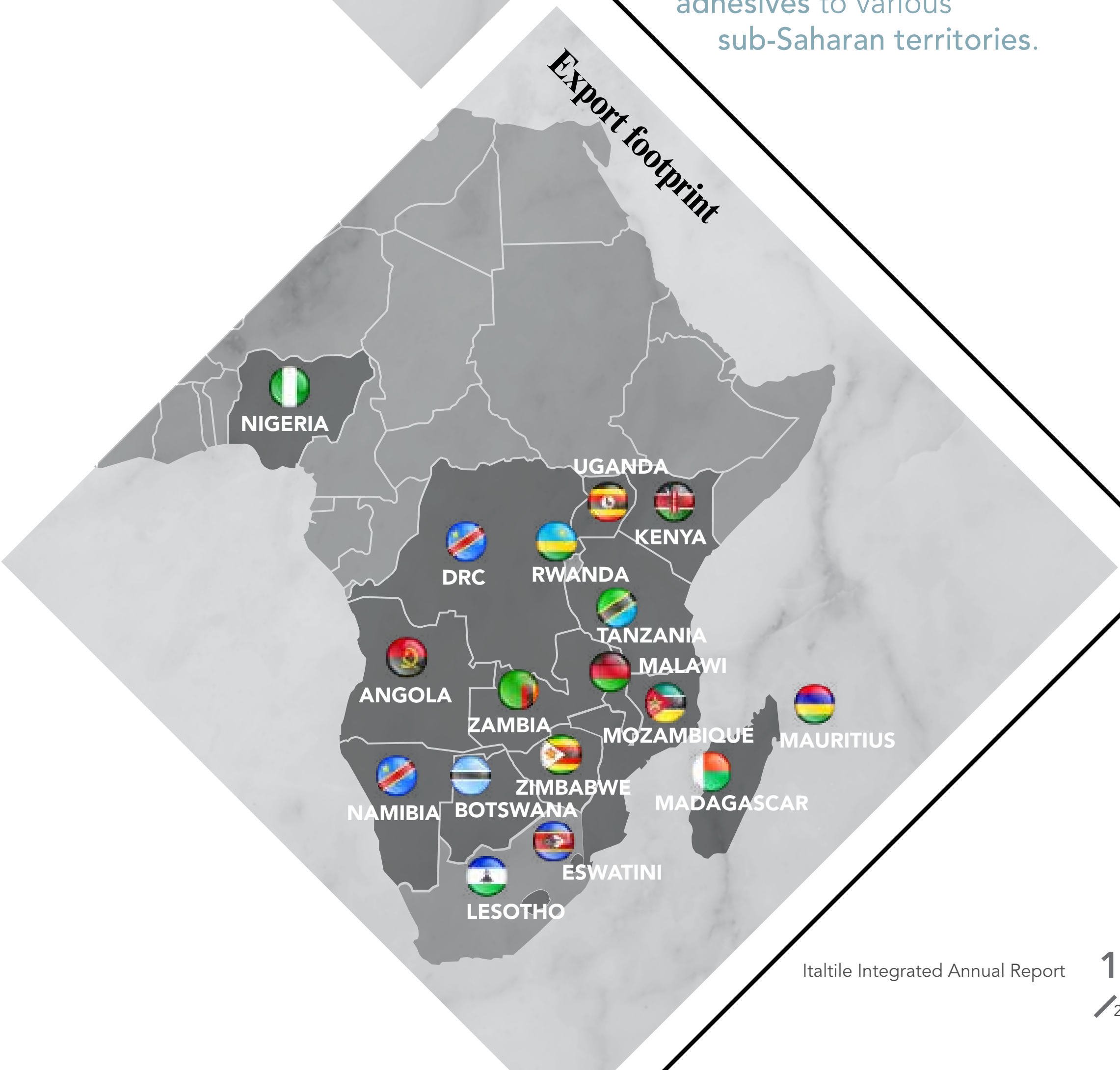
* *Includes webstore.*

Manufacturing footprint



The Group exports tiles, sanitaryware, grout, paint and adhesives to various sub-Saharan territories.

Export footprint



CREATING VALUE THROUGH OUR BUSINESS MODEL

INPUTS

Human capital

- Our workforce, partners and franchisees
- Skills and training

Financial capital

- Cash generated from operations

Intellectual capital

- Trademarks and brands
- Product research and development
- Knowledge, experience and practices
- People, HR and governance systems

Social capital

- Our customers
- Corporate social investment
- Our brands and reputation
- Regulatory and governmental authorities

Manufacturing capital

- Production and research facilities

Natural capital

- Natural resources (land, air and water)

ACTIVITIES

Franchising

16%*

2018: 15%

Bearer of Group trademarks

Manufacturers

35%*

2018: 33%

Manufacturer and supplier of tiles, sanitaryware, bathware, grout, adhesive, paint and related products

Properties

14%*

2018: 14%

Property investments

Supply and Support Services

16%*

2018: 18%

Distributors of imported tiles, brassware, accessories, tiling tools, laminated boards, cabinets, décor and shower enclosures. Provider of various group services

Retail

19%*

2018: 20%

Retailers of tiles, laminated boards, brassware, bathroomware, hardware, accessories and other home-finishing products

** Contribution to Group profit before tax.*

Ethical and sound governance

Our business model supports delivery of our strategy and is shaped by our purpose, mission, values and beliefs.

OUTCOMES

Outputs

World-class socially responsible manufacturer and retailer of tiles, sanitaryware, bathware and vinyl flooring, and other related home-finishing products

Legal structure is presented on page 12.

System-wide turnover of **R10,0 billion**	Profit after tax of **R1,8 billion**	Cash balance of **R1,2 billion**
Employees **2 545**	Paid to employees **R792 million**	**Improved customer** sentiment scores
Training spend on employees of **R17 million**	Franchised stores **110**	Royalty income of **R152 million** from franchisees
Estimated market value of property portfolio **R3,8 billion**	Capital expenditure of **R622 million**	Total dividends of **R941 million** paid
Total taxation of **R539 million** paid	Social economic development spend of **R15,6 million**	Production volumes **46 million** square metres of tiles
Production volumes **1 892 493** pieces of sanitaryware	Environmental rehabilitation spend of **R2,8 million**	Production volumes **13 010 735** bags of adhesive

Ethical and sound governance

THE STRENGTH
OF OUR RETAIL BRANDS

Founded in 1969, Italtile Retail is widely acknowledged as a style icon in the premium home improvement market and is represented by 13 stores nationwide. As a leading fashion retailer of exclusive international and local ranges of tiles, bathware and related products, the brand offers a luxurious shopping experience for both residential and commercial clients.

ceramica SANT'AGOSTINO

Ceramica Sant'Agostino is an Italian manufacturer of a wide range of premium ceramic and porcelain tile products designed to satisfy evolving technical and stylistic market requirements.

ALMAR
Made in Italy

Almar is a well established Italian company specialising in the production of shower systems. Almar shower roses and hand showers offer a shower experience that is superior in both function and aesthetic appeal.

atlas concorde

Since 1969, Atlas Concorde has grown into one of the leading firms on the world's ceramics market. Their continuous innovation, technological research, coupled with the Italian style and international vocation are the values that have aligned us, Italtile Retail, with Atlas Concorde as a preferred supplier thus far, and will continue in the future.

LAUFEN
Bathroom Culture since 1892 www.laufen.com

Laufen Bathrooms, established in 1892, is a traditional Swiss brand reflecting a symbiosis of design, quality and functionality. Laufen's unique Swiss innovation unites two major design components: emotion and romance, with precision and clarity. Laufen products including washbasins, bath tubs, toilets and bidets are exclusive to Italtile in South Africa.

ITALTILE
LIVE BEAUTIFULLY

CTM

Big savings. More style.

Launched in 1983, CTM is a household name in southern Africa, enjoying strong brand affinity based on its reputation for a high-quality year-round value offering. Represented by 92 stores in southern and East Africa, CTM is the largest specialist tile and bathroom retailer in the country.

KILIMANJARO

Capture the African Landscape

Capturing the African landscape, Kilimanjaro tiles are made in South Africa for African conditions and are exceptionally strong and durable. Imitating natural stone, these beautiful tiles are suitable for indoor and outdoor. The Kilimanjaro range is exclusive to CTM.

TIVOLI

• PURE ITALIAN CRAFTSMANSHIP •

Tivoli is the largest Italian brand of taps in South Africa. Made by Italian master craftsmen, Tivoli Taps are renowned for their quality, technology and design. All Tivoli Taps carry a 15-year guarantee.

TREVI

COLLECTIONS

Trevi is an aspirational range of modern, minimalist bathroom furniture and sanitaryware designed to enable discerning homeowners the opportunity to personalise their unique bathroom creations. Individual items including wall-hung and floorstanding cabinets can be combined and adapted to suit any bathroom size and layout; the colour palette includes glossy white, woodgrain grey and warm glossy grey.

FUTURA

FORWARD LIVING

Exclusive to CTM, the Futura tile brand offers customers the latest tile designs and fashion trends from Europe.

ELF LAMINATES

The Feel Good Floor

Elf is a range of high-quality laminate floors, meticulously selected from leading German and other European factories. Elf's authentic-look wood floors are cool in summer and warm in winter. This trusted brand offers a class-leading guarantee, backed by CTM, nationwide.

GALLERIA

DESIGNER MOSAICS

This extensive range of mosaics enables homeowners to explore their interior designer dreams. Available in a myriad of textures, styles and colours, Galleria mosaics create a decorative playground for personal expression in complementing tile choices.

Nu Vinyl flooring is ideally suited for use throughout the house. The insulating elastic surface absorbs noise, is warm to the touch, effective in damp areas and gentle on the body's joints, making it a desirable floor covering in bedrooms, bathrooms, kitchens and living rooms.

Origins Nature's Touch is an on-trend, innovative range of ceramic tiles that mirror the look and feel of real wooden flooring. The tiles are manufactured in a variety of sizes and colours, all mimicking the hues of natural wood. The Origins range is exclusive to CTM.

Stonewall is the modern contemporary designer expression of timeless natural stone. Easy to install tile sheets enable homeowners to replicate their favourite stone-look with confidence and ease.

The Organic Earth range has a natural, earthy, rustic look and feel. These terracotta tiles are unglazed and exceptionally strong and durable making them suitable for indoor and outdoor use. Equally attractive in a bushveld environment or traditional Italian trattoria setting, these tiles are made in South Africa to suit local conditions.

Amalfi taps and accessories are specifically designed for the customer who seeks quality products at an affordable price. The Amalfi brand is exclusive to CTM.

This specifically customised range of tile adhesives is a brand leader in the industry, based on its quality, performance and good value. Pro Grip is manufactured exclusively for Italtile Retail and CTM.

'Technology in style' defines the perfect combination of form and function. Crystaltech Showers are manufactured from specially treated, tempered glass that ensures stylish but safe showering. This range of framed, frameless and corner shower enclosures affords homeowners a variety of options to match the perfect cubicle with their specific bathroom space.

TopT is a one-stop home-finishing supplier of good quality, affordable merchandise and the low-cost leader in its entry-level market segment.

TopT has 83 stores situated in underserviced rural areas and outlying markets in close proximity to urban townships.

HOMEGROWN

Homemakers are proud to use the high-quality Homegrown range of paints; available in four variants.

This indoor, outdoor and rooftop paint is stylish and user-friendly.

TUFF SUPA STRONG

The Tuff range comprises class-leading adhesives and paints that are innovatively packaged and specifically engineered to provide real value for the entry-level market. This brand is exclusive to TopT stores.

Diva

The Diva brand is an exclusive range of good quality taps designed and priced specifically for TopT stores in South Africa. Available in both conventional and single lever styles, there is a range to suit all tastes.

Launched in 2018, U-Light is the Group's innovative new lighting retail offering, designed to complete the total shopping experience for customers seeking to create beautiful homes. U-Light focuses primarily on quality fashionable residential lighting, complemented by an industrial component. Our trendy products range from bespoke local to imported Italian fittings and accessories.

U-LIGHT

Despite the negative external environment, we are optimistic that there are opportunities within the business to continue to grow responsibly and sustainably. The experience gained over 50 years of operating provides good learnings, and our clear strategies and the resourcefulness and determination of our people will afford us an important strategic advantage.

THE ENVIRONMENT WE OPERATE IN

The general context in which we operate impacts our ability to deliver on our strategy and create sustainable value.

The table below illustrates the existing and emerging trends which prevail in our industry and market, the effect they have on our business, and our strategic response, which is aimed at mitigating or managing any negative impact, and wherever possible, capitalising on opportunities presented.

Market and/or industry trend	Impact on our business	Our strategic response
Constrained consumer disposable income continued to curtail discretionary spend.	Weaker sales environment. Intensified value scrutiny.	We strive to ensure our brands are aspirational and offer customers consistent year-round value. Our goal is to deliver an unparalleled shopping experience. Our price offering is supported by strong brand equity, product quality, and customer-centric service.
Highly competitive trading landscape and increase in opportunistic traders due to the global oversupply of tiles.	Intense competitor activity with margins sacrificed by operators striving to survive.	We focus on achieving an optimal product-price-margin matrix, which holds appeal for customers but supports margins for store operators. Our robust cost leadership ethos is key to preserving margins. In light of the oversupply, buying opportunities for the Group exist in traditionally high-priced markets including Italy, Spain and India.
Flight of capital in the upper-LSM market segment.	Significantly reduced or deferred spend by consumers in the premium-end of the market is likely to impact our Italtile Retail brand performance.	Our brand offering is strategically positioned to appeal to consumers across the income spectrum and hence spreads and reduces risk. Opportunities exist to migrate upper-end CTM customers into the Italtile Retail space with a carefully curated range of high-quality import substitute tiles.
Consumer demand for convenient shopping experiences.	Demand for access to omni-channel shopping options and seamless transition between online and physical stores. Demand for faster, more efficient in-store service. Aligned to this is the growing trend of pre-retailing, which empowers consumers to research and inform themselves before engaging with a sales person.	We invest in a combined click-and-brick trading format. We continue to roll out stores to under-serviced markets – with good success. TopT also launched a mobile Gig Rig which was well received by rural communities. Additionally, we continue to explore flexible store-size formats relevant to specific markets for all our brands. We invest in technology to improve the customer shopping experience both in-store and online. During the year, our stores benefited from enhanced point of sales equipment, improved analytical tools for operators, while in Italtile Retail, we deployed room-build visualisers. Across our webstores, major technological inroads were made with the implementation of an upgraded e-commerce operating platform and development of a bespoke CRM solution; enhanced credit options and payment methods; and the launch of a webstore for TopT. All of our brand webstores reported strong growth in sales and unique visitor sessions.

Market and/or industry trend	Impact on our business	Our strategic response
Technology and fashion are increasingly interlinked. **The role of social media influencers is playing an increasingly important role on local consumers.**	Access to the internet, largely due to smartphones, continues to gain momentum locally. The omnipresence of social media and growing sophistication of local consumers is driving an international fashion bias, rapid design evolution and quicker fashion changes, while the demand for instant gratification dictates shorter lead times.	Our new Gryphon factory is the leading manufacturer of import replacement-quality large format tiles, while all of the Group's factories utilise state-of-the-art inkjet technology. This technology enables timeous manufacture of up-to-the-minute designs, giving the Group a key strategic advantage in the market. Strong sales of Gryphon's large format tiles and wood- and cement-look tiles, which mirror international design trends, corroborate this trend.
The traditional customer profile is evolving.	Research confirms that single females are starting to dominate in freehold sales for new properties* and our in-store anecdotal evidence illustrates that increasingly, women are making the major decisions in home-finishing purchases. ** Lightstone, July 2019*	Our business is well-positioned to capitalise on this trend, since we are viewed as a fashion retailer rather than a building materials supplier. Unrelenting effort is directed at ensuring the shopping experience is aesthetically pleasing, with our keen focus being on fashionable product, stylish presentation and aspirational lifestyle displays. Increasingly, we will explore opportunities to enhance our pool of female store operators and sales consultants.
Industry-wide shortage of skilled retail-specialist personnel.	Competent, ambitious, fit-for-purpose employees and franchise partners are key to the Group's success.	Our training and development spend is significant and is aimed at building a deep resource pool of appropriately skilled personnel. To ensure that we recruit and retain the right calibre of individuals, we drive the culture and activities of the business through our core values and beliefs. We continue to review and upgrade our learnership programmes and recruitment methodologies to ensure our people are aligned to our growth strategy. Our partnership and reward initiatives are designed to incentivise our people and position the Group as an employer of choice.

THE ENVIRONMENT WE OPERATE IN continued

Market and/or industry trend	Impact on our business	Our strategic response
Innovative in-store shopping experiences are increasingly important.	Online access has educated consumers and influenced in-store expectations. Customers are increasingly more discerning and demanding and quick to use social media to share their experiences.	We recognise that successful retailers are defined by consistently memorable shopping experiences. We continue to focus on up-weighting the 'delight and disrupt' factors in our stores through innovative layouts, lifestyles, products and use of technology. In order to broaden our comprehensive offering and enhance the customer shopping experience, we also successfully introduced an installation service for Italtile Retail and CTM, which provides professional experts to assist customers with installations or renovations. Teams are located throughout Johannesburg, Pretoria and Cape Town. Across all installations completed, our customers rated us 4,5/5, a rewarding achievement – although we are mindful that there is room for improvement. In the year ahead, we will continue to make better use of analytic data to drive targeted customer marketing.
Intensified consumer focus on ESG issues.	Environmental mindfulness is a growing trend among consumers, stemming from the goal to create a sustainable society.	The Group employs a dedicated Citizenship Manager who is tasked with reviewing and reducing the Group's carbon footprint on an ongoing basis. Across our operations, we strive to reduce consumption of non-renewable resources and, where possible, increase generation of renewable resources. Our factories at Ceramic Industries use the latest technology to ensure efficient production, and rank among the most energy efficient in the world. Concurrent rehabilitation of raw material quarries is conducted and quarries are rehabilitated once end of productive life is reached.

MATERIAL ISSUES, RISKS AND OPPORTUNITIES

Framework and model

The Group has in place an Enterprise Risk Management framework which is based on a combined assurance model comprising: management, external auditors and internal audit. This model and its related activities are structured to ensure that the Group's risks are adequately managed by formulating the Group's strategic imperatives on such.

IDENTIFICATION OF RISKS

Identification of risks is based on:

- the Group's risk bearing capacity (the capacity to absorb losses arising from risks without an immediate threat to the Group's continued existence based on its current business model);
- risk appetite (the amount and type of risk the Group is willing to accept in pursuit of its business objectives); and
- risk tolerance (the acceptable levels of variation relative to the achievement of the Group's objectives).

QUANTIFICATION OF RISKS

Certain financial measures form the basis on which these risks are quantified.

CATEGORISATION OF RISKS

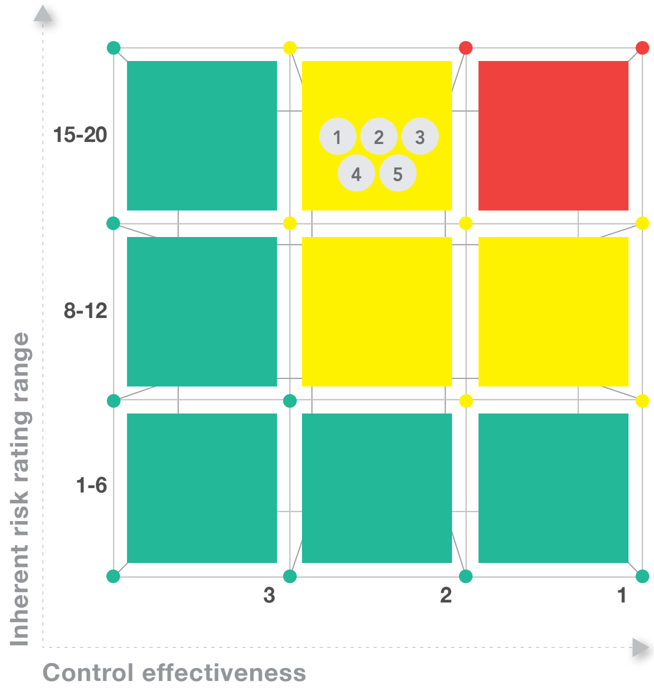
Identified risks are categorised according to:

- inherent risk (a function of their potential impact and probability); and
- residual risk (based on the effectiveness of mitigating controls or responses to address the inherent risk).

The identified risks are encompassed in the following risk categories:

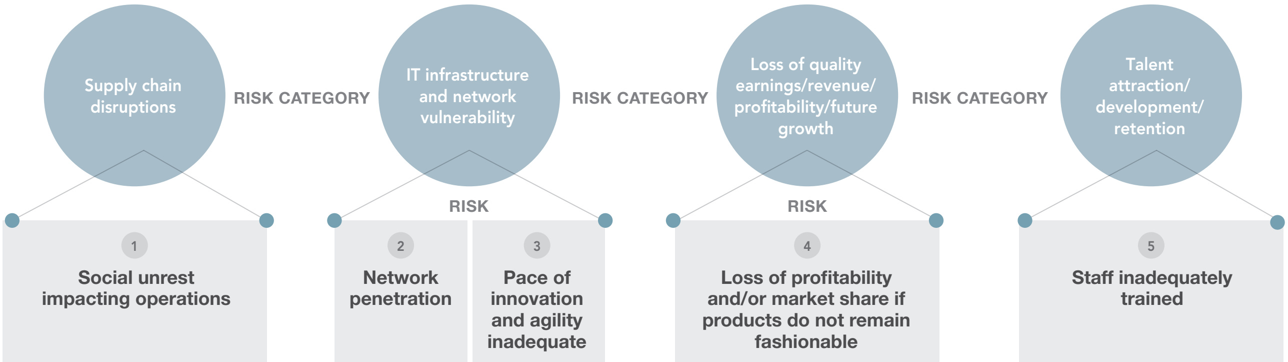
- supply chain disruptions;
- IT infrastructure and network vulnerability;
- loss of quality earnings/revenue/profitability/future growth;
- talent attraction/development/retention;
- brand identity and corporate image; and
- regulatory compliance.

Residual risk heatmap – combined



On pages 28 to 30 is a summary of the Group's top risks and/or material issues based on their residual risk ratings. A summary of the strategic imperatives related to each risk is provided.

MATERIAL ISSUES, RISKS AND OPPORTUNITIES continued



1. Social unrest impacting operations

Risk description	Mitigating controls	Strategic imperatives
• Social unrest in the areas in which the Group operates impacts retail and manufacturing activities. • The risk is particularly relevant for Ceramic Industries' factories and TopT retail stores. • Impacts safety of Group employees and customers.	• Business interruption insurance cover in place. • The portfolio and marketplace are analysed on an ongoing basis to ensure risk is mitigated and targeted property returns are achieved. • The Group has a Social Unrest policy in place primarily focused on the safety of Group employees and customers. • Ongoing community engagement and social economic development activities conducted in communities in which we operate.	• Continuous investment in and management of relationships with communities within which we operate.

2. Network penetration

Risk description	Mitigating controls	Strategic imperatives
• External penetration of our networks (including hacking, phishing, etc). Probability intensified due to increased web traffic to webstores which are integrated into SAP, ongoing high profile hacking incidents internationally (related to malware), and roll out of wifi solution for customers in stores. • Website cloning and rerouting of online payments gateway via webstores and new mobile devices with integrated payment pebble. • External penetration of Android-based handheld scanners used in the stores (including hacking, phishing, etc). • Increased usage and access points with roll out of new local stores, East Africa stores and webstores.	• Prevented with use of firewalls, segmentation of network landscape, implementation of secure socket layer certificates to encrypt end-to-end data and graph antivirus solution with additional patch management controls. • User passwords regularly updated. • Quarterly penetration testing performed by external service providers. • Handheld scanners hosted on hidden network with SSL encryption enabled. • Cyber insurance in place through reputable provider.	• Quarterly review of all network policies and procedures and network and router configurations to assess risks in order to mitigate them. • A Protection of Personal Information ("PoPI") compliance project is ongoing to assess areas of risk in order to mitigate them and ensure compliance with the PoPI Act. • Heat mapping of internal and external networks, reviewed on a monthly basis with senior management.

3. Pace of innovation and agility inadequate

Risk description	Mitigating controls	Strategic imperatives
• Pace of innovation with smart scanners and functionality in stores and online is not sufficient or fast enough to keep pace with the market and competitors, and other disruptive activities.	• The Group's Digital Forum meets regularly to discuss and analyse trends and disruptive technologies to ensure that the business is positioned to respond to or introduce innovation into its operations. • Members of Digital Forum attend relevant conventions and expos. • Continuous engagement with service providers.	• Ongoing research and development ensuring involvement of key stakeholders will promote relevance of technology/application to the needs of the business.

MATERIAL ISSUES, RISKS AND OPPORTUNITIES continued

4. Loss of profitability and/or market share if products do not remain fashionable

Risk description	Mitigating controls	Strategic imperatives
• Not remaining fashionable is a major risk and has significant influence on the market share enjoyed by the business. • The risk is especially pertinent for age group 35 and below. • Customer expectations not satisfied with product offering.	• Regular regional meetings and strategy sessions held to source insight into markets, receive product feedback and communicate fashion trends, product innovation, merchandise and store improvements, market analysis and opportunities for growth. • There are experienced brand/divisional/supply chain managers in the business, who focus on key products and areas. • Attendance at international trade fairs. • Ongoing cost/pricing adjustments and expansion of distribution channels (eg e-commerce). • Store displays and trading space are continually refreshed, and ideas shared across the Group via various mediums (eg operations newsletter). • Ongoing 'competitor shopping' undertaken. • Inventory provisioning process in stores ensures improved product life cycles. • BOP utilised to improve in-stock levels of business critical items, and management/exit of slow moving inventory.	• Work with suppliers and leading experts to ensure 'wow' factor of products and merchandising. • Use business information tools to train and motivate operators to innovate and pioneer. • BOP continues to improve product lifecycles, thereby ensuring constant responsiveness to evolving fashion. • Optimal range/pricing structures will remain a priority. • The Group's high standing among customers is to be maintained by continuing to deliver an offering in line with customer demand. In this regard, continuous improvement in the approach to product research and development is crucial.

5. Staff inadequately trained

Risk description	Mitigating controls	Strategic imperatives
• Individuals are not adequately trained/developed, and succession planning may be inadequate.	• The Group conducts various training courses and operates an established Tiling and Plumbing Academy. Training spend is significant. • Divisional management and the executive directors of the Group are closely involved in the operations of the business and regular regional meetings are held, as well as other regular interactions. • The business implements career advancement training which comprises its Leadership Development Programme, Operator Training Programme ("OTP") and other university-affiliated courses. • The Group has a culture of developing and promoting from within, and various initiatives and programmes are in place to foster this. • Employee engagement surveys are conducted and reviewed by Group management. • E-learning platforms are in place with Group and retail-specific content.	• Instil greater retail-specific focus in training and development programmes; attract and retain key talent through promoting business partnerships; and encourage commitment to business success through development programmes and remuneration and reward strategies. • OTP will continue to serve as an important mechanism to build leadership capacity in the Group. • Enhanced e-learning initiatives will improve training in outlying and rural areas. • Building of additional capacity in the Human Resource department with particular focus on the Group's three retail brands.

ENGAGING WITH OUR STAKEHOLDERS

1. Shareholders and financial community

Concerns	How we engage with our shareholders and financial community	Material risks*	Further information	
• Sustainable earnings growth • Acceptable return on investment and dividends • Competent and ethical leadership • Good corporate governance	• JSE SENS announcements • Integrated Annual Reports • Annual general meetings • Group website • Results presentations • One-on-one interactions with investors • Interim results	1 2 3 4 5	**Page 34**	CEO's report
			Page 42	Review of operations
			Page 27	Material issues, risks and opportunities
			Page 65	Financial results summary
			Page 73	Corporate governance report
			Pages 134 to 183	Financial statements
			Page 62	Financial Director's report

2. Employees

Concerns	How we engage with our employees	Material risks*	Further information	
• Job security • Career development • Remuneration and recognition • Equal opportunities • Training and skills advancement • Conducive working environment	• Employee surveys • Performance reviews • Training and skills development opportunities • Newsletters • Roadshows • Regular meetings, extensive operational visits and other interactions	4 5	**Page 34**	CEO's report
			Page 42	Review of operations
			Page 27	Material issues, risks and opportunities
			Page 73	Corporate governance report
			Page 66	Value added statement
			Page 102	Transformation report

3. Franchisees

Concerns	How we engage with our franchisees	Material risks*	Further information	
• Strong brands • Product quality • Efficient and effective supply chain • Marketing spend • Good store location • Franchise and business management support • Profitable operations	• Annual brand conferences • Franchisee forums • Personal contact • Call-in and online support • Regular store visits	1 2 3 4 5	**Page 34**	CEO's report
			Page 42	Review of operations
			Page 27	Material issues, risks and opportunities

* *Refer to pages 28 to 30.*

ENGAGING WITH OUR STAKEHOLDERS continued

4. Suppliers and business partners

Concerns	How we engage with suppliers and business partners	Material risks*	Further information	
• Continuity of support • Timely payment • Fair treatment • BBBEE compliance • Profitable operations	• Regular and fair procurement interactions	4 5	**Page 27**	Material issues, risks and opportunities
			Page 73	Corporate governance report
			Page 66	Value added statement

5. Government and regulators

Concerns	How we engage with government and regulators	Material risks*	Further information	
• Compliance with legislation and regulatory frameworks • Tax revenues • Transformation initiatives • Support for communities • Responsible consumption of natural resources	• Regular interactions and submissions to relevant government institutions and regulatory bodies	1 4	**Page 73**	Corporate governance report
			Page 66	Value added statement
			Pages 134 to 183	Financial statements
			Page 102	Transformation report
			Page 104	Environmental and sustainability report

6. Communities

Concerns	How we engage with our communities	Material risks*	Further information	
• Economic and social support	• Local job creation opportunities • Corporate social investment programmes	1 4 5	**Page 104**	Environment and sustainability report
			Page 73	Corporate governance report
			Page 112	Supporting our communities

7. Customers

Concerns	How we engage with our customers	Material risks*	Further information	
• Strong brands • Value and quality offering • Location accessibility • Positive customer shopping experience	• Call-in and online support • Print, digital and social media • Integrated Annual Reports • Surveys and Mystery Shopping • Regular store visits • Interim results	3 4 5	**Page 104**	Environment and sustainability report
			Page 73	Corporate governance report
			Page 112	Supporting our communities

** Refer to pages 28 to 30.*

STRATEGIC FOCUS

To continue to deliver **profit growth** and **returns** for **stakeholders**.

To continue to build a comprehensive footprint in South Africa and selected markets in Africa.

To be our **customers' number one choice** in merchandise categories we **plan to own** through **differentiated retail brands**.

To be a **retail employer of choice** with **high employee engagement scores** and **productive**, **skilled**, **customer-orientated staff** who are measured on **performance**, and **share in profits as partners**.

To **build depth of management**, a **leadership pipeline** and ensure **succession** planning at **all levels**.

To be regarded by our **suppliers** as **ethical, tough but fair,** and to be an **integral part** of their **present** and **future growth**.

To be an **innovative retailer**, **distributor** and **manufacturer** striving for **continuous improvement across our operations**.

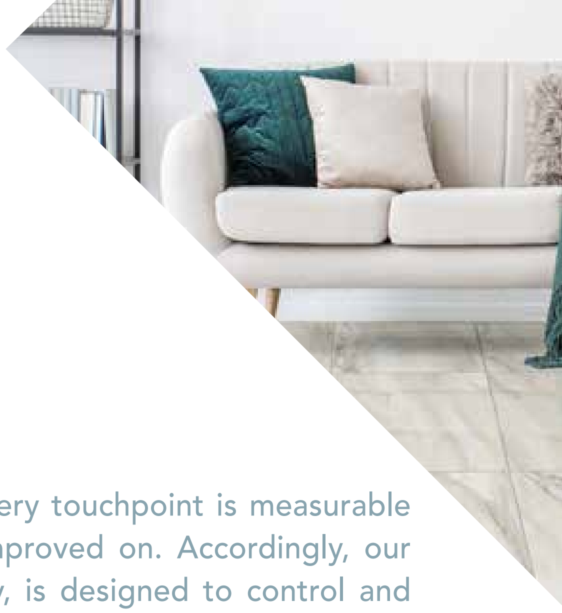
To **progress** the **moral imperatives** of **transformation** and continue to improve our BBBEE score.

To **utilise cutting-edge technology** and **innovation** to **maximise business opportunities**.

To be **recognised** as **compassionate** and **caring** through **continued investment** in meaningful **CSI initiatives**.

To be a **cash positive business** through strong **trading** and continued improvements in working capital management. To **maintain** a **dividend cover** of **two-and-a-half times**.

To ensure quality of earnings by driving **free cash flow** growth ahead of profit growth.



A MESSAGE FROM OUR CEO

Our customers' journey is defined by 'moments of truth'. Every touchpoint is measurable and every opportunity for engagement can and must be improved on. Accordingly, our integrated business model, evolved over our 50-year history, is designed to control and optimise the process from factory gate to our customers' homes. Our overriding goal is to deliver an unparalleled shopping experience by ensuring the right product displayed beautifully at the right time, place and price.

OVERVIEW

Operating environment

In my 2018 report, I noted that for our industry to grow, we would need the economy to be boosted sustainably, household prosperity to improve materially, and consumer confidence to be rebuilt to translate into positive investment sentiment. We cautioned that for the foreseeable future, factors such as high unemployment, escalating living costs, consumer indebtedness, endemic corruption, uncertainty regarding land ownership, and unstable power supply would weigh on homeowners, causing them to defer discretionary spend on their properties. In addition, we anticipated that a general wait-and-see attitude would prevail in the lead up to the national election, which would further delay investment decisions.

Disappointingly, the weak trading conditions and negative consumer sentiment persisted over the year under review, and deteriorated notably in the last quarter. Furthermore, while the local economic climate continued to decline, unfavourable trading conditions were also experienced in some of our export markets, specifically Zimbabwe and Zambia.

While consumers are facing greater economic hardship than before, they simultaneously have a far wider choice and better access to our industry than previously. This is facilitated by the increased use of technology and range of omni-channel purchasing options available, the globalisation of international fashion trends, and the proliferation of social and digital media, aligned with the role of influencers on consumers. The review period also witnessed an increasingly competitive landscape as higher numbers of opportunistic importers entered the market in light of the oversupply of tiles in countries including India, China and Spain.

In line with trends over the past several years, the new build market was virtually stagnant, with activity in the industry confined largely to commercial projects and residential renovations. While the commercial projects segment has remained reasonably buoyant over the past two years, it started to show signs of strain in the latter half of the review period, with projects either being respecified to achieve cost savings or temporarily deferred.

As turmoil persisted among the listed and large construction companies, consolidation and closures also increased in the smaller independent architectural and building space.

Our business

Major improvements in efficiencies and cost management implemented in the prior year gained momentum in the first half of the current fiscal, impacting positively on our performance. However, the slowdown in consumer spend in the second half of the year and particularly in the final quarter was worse than anticipated.

Notwithstanding the exceptionally difficult trading conditions, the Group has recorded a creditable performance for the review period. Our goal for the financial year was to continue to deliver improved headline earnings growth, which I am pleased to report we have achieved. In line with our guidance, our results for the first half of the year were stronger than the prior comparable period, due to a low-base effect, while the performance for the second half of the year was solid, albeit as forecast, less robust than the prior comparable period.

Management is satisfied that the results reported for the review period are a good reflection of the Group's:

- robust Proudly South African 50-year trading history as the industry trend setter and style icon;
- strategically structured resilient business model, which provides a total solution through our integrated supply chain;
- competent team with clarity of purpose and clearly defined strategies;
- mutually beneficial partnerships with longstanding franchisees and operators;
- strong cash generative nature, disciplined cash management and cost leadership;
- portfolio of market-leading retail brands which are strategically positioned to uniquely target specific customer segments;
- consistent investment in the shopping experience and unwavering efforts to better execute retail excellence principles;
- leading-edge technology employed in the manufacturing operations to produce high-quality, trendsetting fashionable product; and
- leveraging growth opportunities in the business through an unrelenting focus on the customer.

Jan Potgieter
Chief Executive Officer

SCORECARD: ACHIEVEMENT OF KEY PERFORMANCE INDICATORS AND STRATEGIC IMPERATIVES

Within the business, management's performance is rated according to a scorecard across the following broad key performance indicators ("KPIs"):

- strategic plan;
- financial performance;
- human capital;
- BBBEE;
- customer satisfaction; and
- cultural fit and values.

In my 2018 report, I outlined our future focus areas aligned to these KPIs and the strategic imperatives which would be implemented to attain our goals and targets. The following account provides an evaluation of the progress we made during the year against the scorecard:

Superior achieve	Exceeded target
Achieve	Achieved target
Under achieve	Failed to meet target

Grow sales across the brands, which will have a positive knock-on effect in the supply chain	Achieve

One of the Group's key tactical advantages is its portfolio of market leading retail brands, which are strategically positioned to appeal to customers across the demographic and income spectrum, uniquely targeting specific market segments and customer profiles. Supporting this portfolio is an omni-channel shopping offering for ease of access (in-store, online, social and digital).

During the review period, our overriding focus was on improving the customer experience and driving sales growth. We continued to invest in our people, technology, store layouts, merchandising and range. Higher sales were reported across the brands, and the improved satisfaction scores achieved across our various measures, (in-store customer sentiment surveys, Mystery Shoppers and an independent brand health monitor), is pleasing reward for our efforts.

CTM

After a series of disappointing sets of results, CTM started to demonstrate signs of a turnaround, despite the brand's target market remaining under intense financial pressure. Key remedial measures which had a positive impact include:

- good cost leadership and margin maintenance in a slow sales environment;
- brand repositioning through the very successful Sithi Wena campaign which targeted a segmented range of consumer profiles and built meaningful equity for the brand;
- focus on basic retail excellence principles including customer service; operational disciplines; warehouse management and business optimisation; and sales levers;
- roll out of the new store format to a number of stores and revamp of older stores, including improved lighting which displayed products to better advantage;
- review and better alignment of store operators;
- range rationalisation and enhancement; and
- introduction of online tools to upgrade and track the performance of individual sales team members.

Italtile Retail

The brand's double-digit sales and profit growth is a reflection of several factors:

- a market leading range including products with strong eco-awareness credentials;
- roll out of the new store look and ongoing revamps across the network;
- very high training and service standards, including interior design courses for sales people, which differentiates the offering from competitors; and
- consistently strong performance by the Projects division, which continued to gain traction in the professional commercial market sector.

TopT

This brand delivered another strong performance including double-digit like-on-like sales and profit growth, attributable to the following activities:

- successful implementation of the business optimisation programme ("BOP"), which demonstrates a direct correlation between business critical in-stocks and sales growth. Optimal stock management is key in a business model which has numerous distribution points and limited warehouse capacity;
- roll out of new stores to underserviced markets and a growing national presence;

A MESSAGE FROM OUR CEO continued

- constant range re-evaluation and responsiveness to customer demand; and
- introduction of a range of profile building initiatives including a mobile store ("Gig Rig"), a webstore, community-linked marketing campaigns, and the launch of a dedicated training centre.

Our brand webstores (Italtile Retail; CTM South Africa, Kenya and Tanzania; and TopT) continue to report strong growth in unique visitors and online sales. During the year we migrated all of our webstores to an upgraded e-commerce platform and implemented an order processing and logistics solution to support omni-channel shopping, thereby enhancing the customer experience.

In-store sales growth was complemented by an increase of more than 25% in combined webstore revenue reported by CTM and Italtile Retail.

Continue to improve working capital and manage margins through robust cost leadership	Achieve

Cost leadership, expense control and improving stock turn are constant imperatives across the business, and particularly key in an environment of negligible top-line growth and sustained margin pressure arising from the competitive landscape.

Across the operations we prioritised working capital and margin management, and continuously assessed opportunities to extract and leverage efficiencies. We succeeded in containing cost growth below inflation for the second consecutive year. Margins across most businesses in the Group improved.

The Group's cash reserves almost doubled in the review period to R1,2 billion from R679 million in the prior year, despite significant cash outflows of R1,6 billion, related to among others, payment of a special dividend, capital expenditure and share buy-backs.

Build on our reputation for retail innovation and disruptive technology	Achieve

Throughout the Group's operations, retail innovation and technology were employed to enhance our capability and afford the business a competitive edge in the sector.

Our IT initiatives were centred on the customer experience through the following initiatives:

- analytics: real-time actionable insights for store operators;
- automation: integration of systems and processes to streamline operations; and
- mobility: back-office and sales processes to increase productivity.

Across our webstores we made major technological inroads with the implementation of an upgraded e-commerce operating platform for the brands, the development of a bespoke CRM solution for the platform, enhanced credit options and payment methods, and we launched the TopT webstore. All of our brand webstores reported very strong double-digit growth in sales and unique visitor sessions.

Ceramic Industries continues to invest in international standard, industry-leading technology which positions its offering as a highly competitive import substitute.

Expansion of our lighting category and launch of a new brand – U-Light

During the review period, we expanded the lighting merchandise category in all the TopT stores. We also launched a new separate lighting offering, U-Light. To test the scalability and viability of the offering as a standalone brand, five pilot stores were opened in Gauteng by the end of October 2019, in Eastgate, Southgate, Northriding, Bryanston and Westgate. The five stores each comprise a slightly different format and target a different market segment. While launching a new retail offering in the current economic climate is challenging, the start-up business will benefit from existing store locations, customer base, business partners and an effective back-office set up.

PiViCal panels

In February 2019, our new plant commenced manufacturing PVC panels for the TopT brand. This import-replacement product substantially reduces the lead times of one of TopT's fastest growing merchandise categories, affords the Group a strategic advantage in the market, and contributes to our BBBEE scorecard in terms of preferential procurement and supplier development criteria.

We are optimistic about the future of this business, given the strong, proven demand for the product. In line with our goal to offer total solutions to our customers, we anticipate our lighting and PVC panel sales in TopT to be complementary.

Accelerate the Group's growth in select markets in Africa	Achieve

East Africa

The CTM operation in East Africa delivered strong sales and profit growth, with the installation of an in-country managing director making a significant difference to the success of the business. We opened two new stores in the region (one shortly after the financial year end), acquired two sites, and finalised one lease agreement for stores to be opened over the next two financial years. The distribution centre in Kenya has also been relocated to new premises to allow for expansion of operations to support the growing store network in the region. In addition, the Ezee Tile factory in Mombasa has been upgraded.

Southern Africa

Retail

Our CTM operation in this region remained under pressure in the inclement economic climate. We are investigating the possibility of appointing an in-country joint venture partner to assist with achieving the potential we envisage for the region.

A site has been acquired in Botswana for development of a CTM and Italtile Retail store in the year ahead. We will also open two more TopT stores in the region.

Manufacturing

We commissioned new Ezee Tile factories in Zambia and Zimbabwe with local joint venture partners. Further expansion opportunities are being investigated in Kenya, Tanzania and Uganda.

Ceramic Industries is exploring opportunities to open tile factories in Rwanda, Kenya and Ivory Coast in the longer term. The outcome of these investigations will be determined by the availability of adequate raw material and energy supplies and securing a partnership with a local operator.

We remain enthusiastic about the opportunities for growth in the rest of Africa, but are mindful of the rapidly intensifying competition from increasing numbers of Chinese operators in the region.

Advance the store roll out programme	**Superior achieve**

Our target for the year was to open 10 to 15 new stores and to close non-performing stores as required to ensure the sustainable vigour of the portfolio. During the review period, 17 stores were opened across the brands: one Italtile Retail; five CTMs; 10 TopTs and one U-Light store. Four non-performing TopT stores were closed in marginal or unsafe locations.

We have a good pipeline of sites in place and are on track to deliver on our target of 15 new stores in the 2020 financial year. Further details regarding the store footprint, capital investment incurred and other changes in the portfolio are discussed in the property investment report on page 57.

Progress improvements made in building a pipeline of talent	**Achieve**

Our industry continues to suffer from a dire shortage of qualified, motivated retail personnel and one of our ongoing challenges is to develop a core of energetic and ambitious fit-for-purpose employees.

In order to ensure we recruit and retain the right calibre of individuals, our strategy is to drive the culture and activities of the business through our core values and beliefs. These principles include: partnership, hands-on approach, performance driven, entrepreneurial flair, high work ethic, transparency in communication, dignity, empowerment, integrity and putting the customer first.

The HR and Training report on page 59 of this document details our numerous initiatives to develop and upskill our workforce. These include partnerships with academic institutions to further our employees' education and internships and learnerships for both qualified students and inexperienced jobseekers, potentially culminating in employment within the Group. We operate accredited training academies and offer local and international courses and e-learning tuition across our brands for our employees, our franchisees and their employees.

During the period, we introduced a new HR forum to focus on Group and brand-specific human capital requirements in order to improve the suitability of the people pipeline, and an HR specialist has been appointed per brand. We have also added people pipeline development as a management objective in new contracts with franchisees and joint venture partners.

Increasingly, our business is recognised as a fashion retailer and not a building materials supplier; in line with this, and the growing number of female customers making the purchasing decisions in our stores, we will be paying attention to opportunities to enhance our pool of female store operators.

Our consistent view is that we will attract the best calibre of people by being the employer of choice in our industry, and we will achieve this through ensuring our employees are appropriately remunerated, incentivised through profit share and partnerships, and equipped to perform their jobs.

Build depth of management, while simplifying the business model and limiting costs	**Achieve**

Improving engagement and encouraging a culture of positivity in the current negative climate is a key management priority. Throughout the year, a wide range of brand specific interactions took place aimed at connecting with and inspiring our leadership and staff. Activities ranged from regional meetings, excos, franchise meetings, conferences, roadshows and agent meetings, and resulted in a significantly improved engagement score – our best yet, despite the challenging external environment.

Developing leadership capability and capacity is a key imperative. During the period, we conducted 360-feedback assessments for the Executive Committee and senior management and introduced diversity training, which will be rolled out further in the Group.

A MESSAGE FROM OUR CEO continued

A new Group reporting structure, approved by the Nominations Committee, and implemented with effect from 1 May 2019, has been designed to ensure a renewed focus in the respective business units and to re-energise individuals to drive growth. In this regard, the following developments have taken place to strengthen the management capacity in the business:

- an equity partner has been identified at CTM; and
- two new equity partners have been appointed at Cedar Point.

With these appointments, all of the Group's business units across the brands and supply chain are now partnerships with equity stakeholders.

We also made good progress with our strategy to build depth of management while simplifying the business model and limiting costs, by evolving the franchise model to enable top-achieving CTM franchisees to become multistore operators. This model has worked extremely well in TopT and we anticipate good results. We will continue to convert more company-owned stores to joint venture and franchise stores in all regions other than Gauteng to promote longer-term continuity and depth of management and sustainability of the business model.

Make better use of analytics to inform targeted customer marketing and rewards campaigns	Achieve

Understanding our customers' behaviour is key to delivering an unrivalled shopping experience. Our strategy to improve our targeted customer marketing is to combine our e-commerce, IT and marketing capabilities in a three-year programme, aimed at gaining in-depth knowledge about our customer; developing targeted tactics and solutions tailored to specific customer profiles; and optimally executing the solutions to meet our goals. We are currently in the first phase and have made good progress in gaining insight into our various customer profiles. CTM's Sithi Wena advertising campaign has illustrated the benefits of targeted marketing, reflected by an improved customer response in terms of key metrics including brand awareness, usage and consideration.

Progress the supply chain journey	Achieve

To support future growth, continuous improvement is required in our end-to-end supply chain.

Our supply chain journey is a complex and comprehensive one, which we estimate will take five years to achieve all our objectives including improved cost management, load planning, and in the longer term, importing and shipping. The three-phase programme commenced with the set-up of sites and will proceed to better visibility of cost drivers, related negotiations and integration of the entire supply chain.

Several key developments were implemented during the review period, including:

- establishing our three Distribution Centres ("DCs") as combined hubs for both imported stock and Cedar Point operations. We converted the Cape Town facility to a regional DC; outsourced the DC in Vereeniging to a specialist third-party operator, and relocated to a new Group-owned premises in Durban;
- appointed a dedicated BMO specialist per two to four stores to manage execution and drive cost leadership. Business critical items have been reviewed with improved results, and we anticipate better execution across the supply chain;
- range rationalisation and improvement in operating efficiencies in our import businesses;
- expansion of lights as a merchandise category in TopT, and launch of new separate lighting brand, U-Light;
- commissioning of our PVC panels manufacturing plant;
- exploring areas to improve integration with Ceramic Industries; and
- investigating a logistics control tower solution which will integrate planning with real-time execution of logistics activities, resulting in improved efficiencies and service levels and reduced costs.

Upweight our marketing and brand building initiatives and broaden our capability in the digital and social media environment	Achieve

Key to better understanding our customer and aligning our marketing efforts is the enhanced use of analytics. We continue to make good progress in introducing retail science into the business by improved analysis of financial information, marketing intelligence and operational anecdotal evidence and experience. Increasingly, we will explore artificial intelligence to better target and encourage sales of our goods and services online.

Our focus in the year ahead is to understand and leverage connectivity, and prioritise the social shopping process.

Increase open-market business for all integrated suppliers	Under achieve

Our integrated supply chain comprises both importers and manufacturing businesses.

During the period, our supply chain manufacturing businesses continued to target open-market customers in new and existing markets, with good success. However, following extensive investigation, management took the deliberate decision to curtail the strategy to expand our import business (ITD and Cedar Point) offering into the open market. This decision was based on several factors, including the volatility in the brassware market, exchange rate fluctuations and our conviction that an inward focus in the present economic climate and time in the business would be more beneficial. The strategy will be revisited in due course and in the interim, we will continue to explore opportunities to supply select open-market customers when conditions are more conducive.

Progress BBBEE across the business and improve the Group's status from non-compliant to compliant	Superior achieve

Transformation across the business has been a major management focus during the review period and I am delighted to report that the Group has advanced from being non-compliant in 2016 to compliant, at level 6, in 2018. This progress equates to an improvement in the Group's score from 24 in 2016, 59 in 2017, to 77 in 2018. Improvements were achieved across three of the five criteria namely, equity ownership, enterprise and supplier development and socio-economic development. There was a marginal decline in the skills development score, but we are confident that the interventions underway in the business will remedy this and result in a higher score in the 2019/2020 assessment. Subsequent to the year end we concluded a BBBEE ownership transaction with Yard, in order to improve the Group's black ownership credentials, and to establish a medium to long-term relationship with a BEE partner with international commercial experience relevant to the Group's business.

A BBBEE Committee comprising senior management has been constituted, and is tasked with driving transformation in the Group. The Committee is targeting a status level 5 in the year ahead and level 3 by 2022. Specific attention will be paid to increasing black female management and store operators.

Transformation report on page 102.

RESULTS OVERVIEW

The Group's results are discussed in comprehensive detail in the Financial Director's report which follows on page 62.

Briefly, from a trading perspective, the Group's total system-wide turnover for the review period was R10,0 billion, 15,2% higher than the prior corresponding period (2018: R8,7 billion).

Total retail store turnover grew 6,1% for the review period compared to the previous corresponding period, with average selling price inflation estimated at 2,7%. Like-on-like retail store turnover (excluding sales of stores opened and closed during the period), increased by 4,2% compared to the prior corresponding period.

Manufacturing sales for the review period rose by 1,4% compared to the previous corresponding period, with average selling price inflation estimated at 3,0%.

The Group's basic earnings per share increased by 8,0% to 102,6 cents (2018: 95,0 cents), while headline earnings per share improved by 7,2% to 101,8 cents (2018: 95,0 cents). The disparity between basic earnings and headline earnings growth is attributable to net profits of R12 million realised on the disposal of local properties during the review period.

A final ordinary gross dividend of 41,0 cents per share was declared for the year (2018: 38,0 cents). In addition, a special dividend of 50,0 cents per share was declared in commemoration of the Group's 50th anniversary.

GROUP PERFORMANCE

Most of the key metrics, which include sales, average basket and selling price, margins, profit, and stockholding and turn, improved across the retail brands and the integrated supply chain importers, although the supply chain manufacturers did not fare as well.

Given the weak sales environment, our retail brands performed well, although tile sales failed to live up to our expectations. This generally softer retail demand and the overstock position of tile retailers and wholesalers in the industry had a negative impact on Ceramic's factories, which resorted to reducing capacity at four of the plants in the latter half of the review period.

Retail brands

Across the brands, retail excellence disciplines improved, reflected by better in-stock levels, enhanced store and merchandise presentation, technological innovation and better analytical reporting, resulting in an improved customer experience.

From a regional perspective, good performances were delivered by our stores in Limpopo, Mpumalanga and Eastern and Southern Cape, which gained market share. Gauteng, North West and the Free State delivered weaker performances, the latter two largely a function of the declining mining and agricultural sectors which impacted negatively on the local economy.

CTM maintained its market share, while Italtile Retail and TopT continued to make gains in a competitive environment.

SUPPLY CHAIN: IMPORTERS

Cedar Point

Improved sales and profit growth were reported for the year. Key focus areas were range rationalisation, reducing stock levels and

A MESSAGE FROM OUR CEO continued

improving stock turn. In the year ahead, better implementation of BOP will assist in establishing optimal stockholding and facilitating sell-through. Having successfully outsourced the warehouse function, management's primary focus will henceforth be on improved buying and operational coordination.

International Tap Distributors ("ITD")

Competition intensified in the brassware category as an increasing number of opportunistic importers entered the market. Aggressive pricing and margin pressure were a constant feature in the review period, and in order to support cash-strapped customers, ITD reduced average selling prices, which further impacted profits. Some opportunity exists to recover margins should the exchange rate stabilise favourably.

Progress was achieved in rationalising the range and enhancing the in-stock position while simultaneously reducing overall stockholding. However, there is further room for improvement in terms of balancing business critical and supplementary stock.

In light of the SA Bureau of Standards' ("SABS") dysfunctionality and expiration of certificates, an alternative accreditation for brassware products has been introduced to the industry, approved by the South African National Accreditation System. ITD's products have been certified accordingly, and the business's sales agents will be capitalising on this development.

Durban DC

In the weak sales environment and given the overstocked position of numerous wholesalers, sales declined marginally although profits improved, based on intensified cost management. Good progress was made on rationalising ranges and reducing stockholding. In light of currency volatility and general margin pressure experienced in the industry, the business continues to investigate new suppliers in new markets.

SUPPLY CHAIN: MANUFACTURERS

Ceramic Industries

Our rationale to acquire the Ceramic business some 20 months ago, continues to deliver the benefits envisaged. Our business model has been substantially strengthened by the combined cash generation and balance sheet, while the increased depth of management and career development opportunities have enhanced our leadership capabilities and management pipeline. The primary strategy to formalise our biggest-customer-biggest-supplier relationship continues to produce rewarding results in terms of improved planning and production efficiencies, benefiting both the stores and the factories.

Additional unplanned synergies have also been leveraged in terms of cost savings and efficiencies related to combined corporate services.

Tiles

In the South African operations, solid results reported in the first half of the review period were eroded by a weaker performance in the second six months. While market share was gained by Gryphon's large format range, generally demand across the market was sluggish, with many wholesalers and retailers overstocked. In light of slow demand, kilns were shut off at four of Ceramic's factories in the third and fourth quarter of the year. This underutilisation of capacity impacted negatively on margins and profit for the period and will continue to remain a challenge in the short term.

The Australian operation reported improved profitability for the review period, and the investment to increase capacity and product range was completed.

Focus will remain on reducing costs and improving yields across the operations.

Bathroomware and Baths

Both Betta Sanitaryware and Betta Baths reported an improved second six months after a difficult first half. The new warehouse facility should be completed during the new financial year which will improve capacity management and service to customers. As with the tile factories, focus will remain on reducing costs and improving yields.

Ezee Tile

In the first half of the year, the business underperformed management's expectations, delivering disappointing margins and profits. While the remedial actions implemented in the second half have addressed operational inefficiencies and resulted in an improved performance in the latter six months, the business's results for the year are not in line with targets.

Good progress was achieved in upgrading the plant in Mombasa and developing new production facilities in Lusaka and Harare.

The business also succeeded in gaining market share in the paint and construction chemicals segments.

An overview and performance matrix of the Group's individual business units follows on pages 42 to 61.

GROUP OUTLOOK

The short to medium-term outlook for the country is concerning. While the President's commitment to growing the economy and enhancing governance is commendable, only meaningful actions and evidence of transformational reforms will lead to an improvement in business and consumer confidence and hopefully in time, increased investment by the public and private sectors.

In the interim, there is little to indicate that meaningful economic growth is imminent, and in that light, we anticipate discretionary spend to remain constrained. Unresolved socio-political issues and general uncertainty will also continue to impact negatively on consumer sentiment.

At the upper end of the LSM spectrum, where the flight of capital is an incontrovertible trend, there has been a marked decline in investment recently, evidenced by the slowdown in Italtile Retail's sales post-year end. However, owning a home is an ambition for most South Africans, and as a nation we are proud homeowners who invest significantly in this primary asset. It is our view, therefore, that while middle and lower LSM consumers are worse off than before, they will acclimatise to sustained financial hardship as the new norm. The likelihood, though, is that when they do shop, the frequency will be less and the spend value lower. It is therefore our challenge and goal to ensure that our offering is their first choice.

Despite the testing operating environment, we remain optimistic that those factors within our control – the opportunities within our business – provide prospects for growth. We derive significant confidence from the Group's strong 50-year track record and the business model which has proved to be resilient and robust over the past five decades. The Company has weathered difficult times in its history, and we are certain that the experience will stand us in good stead.

We anticipate that the Group will deliver growth for the ensuing year. Given the high-base effect, we expect that growth in the first half is likely to be lower than growth in the second half of the year.

Aligned to management's KPIs (strategic plan; financial performance; human capital; BBBEE; customer satisfaction; and cultural fit and values), we have identified our future focus areas which we will benchmark against in the 2020 integrated annual report.

They include the following imperatives:

- focus on sales growth, particularly in the tile category. Opportunities exist in terms of price, service, presentation and fashion, and we are confident that there is potential to gain market share;
- continue to prioritise the shopping experience through entrenching retail excellence principles with specific focus on sales execution;
- advance the store roll out and revamp programme. Our target is to open another 15 stores across our retail brands in the new financial year;
- continue to develop disruptive marketing campaigns;
- roll out the U-Light offering, contingent on the success of the pilot venture and the brand's potential for scalability;
- leverage improvements made in the HR function to develop and optimise a people pipeline which will support growth in the business;
- improve the Group's BBBEE status to level 5;
- entrench working capital and cash management as core disciplines;
- prioritise better stockturn and product mix through better implementation of BOP and use of analytics;
- focus on improving manufacturing efficiencies and reducing waste, in light of decreased capacity utilisation at the factories which will impact profitability;
- bed down supply chain efficiencies and leverage opportunities in our logistics and distribution functions; and
- drive overall productivity to become more competitive.

I am satisfied that we have the appropriate team and strategies in place to deliver on these imperatives and we will endeavour to meet the expectations of our broad range of stakeholders.

APPRECIATION

The Group's definition of victory, 'To be Africa's leading retailer and manufacturer of tiles, sanitaryware and ancillary products', is bold and spirited. We know that to achieve this vision requires the buy-in and commitment of every individual in the business on a daily basis. The determination and resourcefulness of our team is evident from the creditable results delivered this year in a very challenging market, and therefore, I am confident that with continued dedication and energy we will move ever closer to our desired success.

I am grateful to my fellow Board members for their continued encouragement and support as we advance our strategies to achieve inclusive and sustainable growth for all stakeholders.

As we commemorate the Group's 50th anniversary in October, special mention must be made of our Chairman and founder, Mr Giovanni Ravazzotti. At the outset of this report I spoke about the customer journey being defined by moments of truth. There are very few people in retail, either locally or internationally, who have a better understanding of this fundamental principle, or indeed the industry, than him. With five decades of experience, a proven legacy, and enduring ambitions for the business, Mr Ravazzotti is an inspiration to us all.

J N Potgieter
Chief Executive Officer

REVIEW OF OPERATIONS

RETAIL BRANDS

OVERVIEW AND PERFORMANCE MATRIX

ITALTILE

LIVE BEAUTIFULLY

Nature of business

Leading fashion retailer of exclusive ranges of tiles, bathware and related products.

Strategic positioning	Target market
Live beautifully	• LSM 8 – 10. • Discerning consumers in the upper-middle and premium-end segment and Commercial Projects market.

Footprint

13* stores (2018:12*) in South Africa

1 store opened (Clearwater) (2018: 1)

3 stores revamped (Northgate, The Glen and the webstore) (2018: 4)

** Includes webstores.*

Key performance indicators	Trends 2019	Trends 2018
Sales	↑	↑
Average basket growth	↑	↑
Average selling price	↑	↔
Margins	↔	↓
Net profit	↑	↑
Stock turn	↑	↑
Average store inventory	↓	↓
Key differentiators	• Trendsetter and leading buyer of exclusive high-quality fashionable international and local products. • Widely recognised as the industry front-runner in environmentally sensitive products. • Well-established specialist expertise and nationwide network.	

2018/19 priorities	Scorecard
• Develop the talent pool at all levels across the operation.	✓
• Interrogate our current marketing and media strategy and adapt to evolving market conditions and customer base profile.	✓
• Continue to build scale in the Commercial Projects division.	✓

2018/19 major achievements

- Updated the webstore and digital initiatives, including the successful deployment and implementation of a room-build visualiser, which enables customers in the Commercial Projects and Retail business the opportunity to design and mock-up a room during the selection stages.
- Achieved improved overall scores on our customer satisfaction reviews.
- Extended the range of our large-format tile assortment.
- Successful collaboration with the University of Pretoria to integrate top marketing students into our business on both a temporary and permanent employment basis.
- Achieved significant progress in expanding and improving the local porcelain tile offering.
- Made pleasing progress in securing working relationships with identified key accounts for our Commercial Projects division.

2019/20 priorities	2019/20 prospects
• Explore, determine and implement strategic logistics improvements.	• Expand into Africa with the opening of a new store in Gaborone, Botswana.
• Complete the transition of the webstore to an upgraded platform with specific focus on mobile accessibility.	• Develop the omni-channel experience underpinned by the new webstore.
• Intensify employee engagement to drive the continuous development of personnel.	• Enhance and entrench the market profile and presence of the Commercial Projects division to grow its footprint.
• Optimise the business model to ensure market share and resources are appropriately apportioned between the major components: retail, webstore and the Commercial Projects divisions.	

REVIEW OF OPERATIONS

RETAIL BRANDS

OVERVIEW AND PERFORMANCE MATRIX

CTM

Big savings. More style.

Nature of business

Leading specialist retailer of tiles, laminate boards, taps, sanitaryware, shower enclosures, bathroom furniture and accessories.

Strategic positioning	Target market
Big savings. More style.	• LSM 5 – 8. • Middle income DIY customers and small builders.

Footprint

20* stores (2018: 18*) in rest of Africa

72* stores (2018: 69*) in South Africa

92* stores	**49*** corporate	**43** franchised
(2018: 87*)	(2018: 44*)	(2018: 43*)

4 stores opened in Giyani, Limpopo, Eastgate and Clearwater in Gauteng and Mwanza, Tanzania

9 stores revamped and two relocated

0 stores closed (2018: 1)

** Includes webstores.*

Key performance indicators	Trends 2019	Trends 2018
Sales	↑	↓
Average basket growth	↑	↑
Average selling price	↑	↑
Margins	↑	↑
Net profit	↑	↑
Stock turn	↑	↑
Average store inventory	↓	↑
Key differentiators	• Local and international buying power. • Year-round value offering with strong fashion component. • Integrated supply chain ensuring consistent availability of stock.	

2018/19 priorities	Scorecard
• Focus on product (cost leadership, differentiation and trendsetting fashion).	✓
• Continue to drive customer-centricity (launch our new marketing strategy).	✓
• Continue to prioritise our human capital structure and skills development.	✓

2018/19 major achievements
• Key leadership changes implemented, including the identification of an equity partner.
• Opened four new stores and successfully relocated two.
• Launched a new targeted marketing and advertising strategy to entrench the brand's relevance across its various customer profiles.
• Improved the range.
• Improved our use of analytics and enhanced our internal reporting standards.
• Our focus on cost leadership delivered good results.

2019/20 priorities	2019/20 prospects
• Develop the people pipeline to grow capability.	• Open three new stores.
• Entrench our corporate values and culture to energise our staff and drive sales growth.	• Gain market share, with particular focus on the tile category.
• Entrench CTM as the fashion leader in our market.	• Continue to drive our customer-centric focus to grow sales.

REVIEW OF OPERATIONS

RETAIL BRANDS

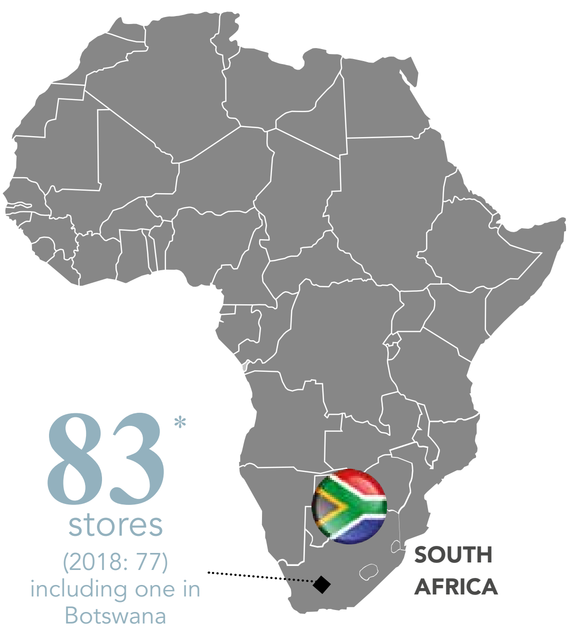
OVERVIEW AND PERFORMANCE MATRIX

Nature of business

Retailer of home-finishing products including tiles, paint, ceiling décor, taps, sanitaryware, hardware and accessories.

Strategic positioning	Target market
Every price a LOW price.	• LSM 4 – 7 (lower). • Entry-level value offering strategically situated in underserviced rural areas and outlying markets in close proximity to urban townships.

Footprint



83* stores (2018: 77) including one in Botswana

83* stores (2018: 77)	**16*** corporate (2018: 22)	**67** franchised (2018: 55)
10* stores opened (2018: 13)	**4*** corporate (2018: 4)	**6** franchised (2018: 9)

New stores

Gauteng: Southgate, Bruma and Dobsonville
KwaZulu-Natal: Springfield and Ulundi
Mpumalanga: KwaMhlanga
Western Cape: Vredenburg
Eastern Cape: Uitenhage and Mount Frere

4 **stores closed** due to non-performance or for security reasons. (2018: 0)

** Includes webstores.*

Key performance indicators	Trends 2019	Trends 2018
Sales	↑	↑
Average basket growth	↑	↑
Average selling price	↑	↑
Margins	↓	↑
Net profit	↑	↑
Stock turn	↑	↑
Average store inventory	↓	↓
Key differentiators	• Low cost model. • Flexible, opportunistic home-finishing product range. • Affordability and availability of stock and accessibility to market. • Strong community relationships and local marketing.	

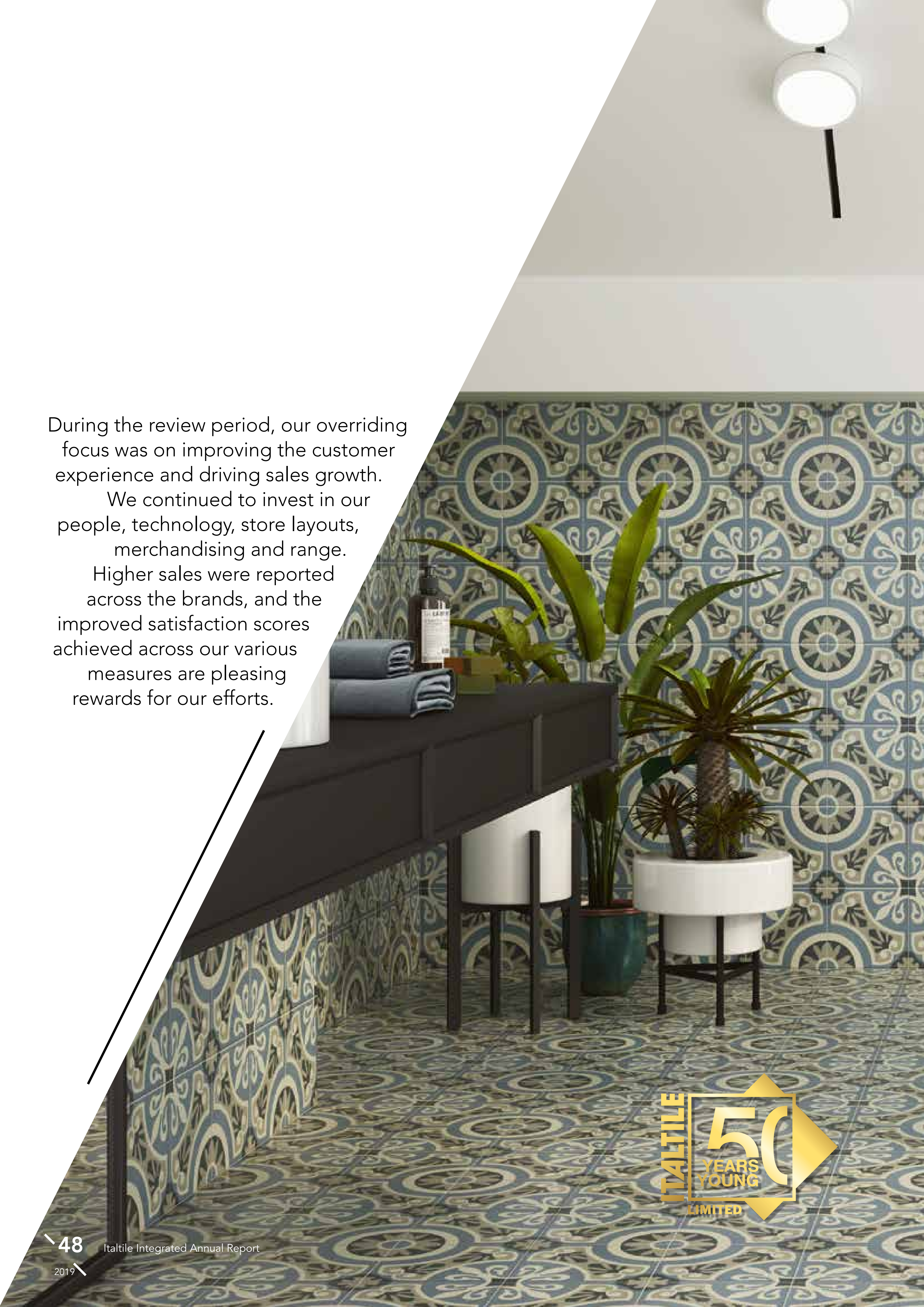
2018/19 priorities	Scorecard
• Develop talent and build leadership to enhance succession planning in the business.	✓
• Launch a new marketing strategy designed to increase and improve market penetration.	✓
• Capitalise on enhancements made in the buying team to improve the offering and coordinate supply.	✓

2018/19 major achievements

- Launched the TopT Training Centre to improve the practical skills and theoretical knowledge of our personnel.
- Launched the TopT webstore, enhancing the convenience offering for customers. The significant increase in unique visitors per month is illustrative of the brand's growing online presence. While sales are in their infancy, the trend is positive.
- Introduced our TopT Gig Rig – a mobile offering which travels around predominantly rural areas, raising awareness of the brand in new or previously underserviced markets.
- Expanded the lighting range nationally.

2019/20 priorities	2019/20 prospects
• Implement a Franchise Partner Development Programme with Henley Business School to address succession planning in the business.	• Open seven to 10 stores.
• Implement and monitor the Business-critical Framework to ensure consistent stockholding and range across all stores to improve the complete solution offering to every customer.	• Increase our national television and radio exposure in line with our growing footprint.
• Increase participation in regional community projects to raise brand awareness.	• Continue to build on good customer relations through increased management store visits, customer contact and surveys.
• Activate market disruptor deals and promotional campaigns.	• Explore, and if viable, implement a credit facility offering with a major bank to enhance value to our customers.

During the review period, our overriding focus was on improving the customer experience and driving sales growth. We continued to invest in our people, technology, store layouts, merchandising and range. Higher sales were reported across the brands, and the improved satisfaction scores achieved across our various measures are pleasing rewards for our efforts.



SUPPLY CHAIN: IMPORTERS

ITD | INTERNATIONAL TAP DISTRIBUTORS
EXPERIENCE WATER'S INSPIRATION

OVERVIEW AND PERFORMANCE MATRIX

Nature of business

Importer and distributor of brassware and accessories.

Strategic positioning	Target market
Experience water's inspiration.	Italtile Retail, CTM and TopT store networks.

Key performance indicators	Trends 2019	Trends 2018
Sales	↓	↓
Average selling price	↓	↑
Margins	↓	↓
Net profit	↓	↓
Stock turn	↔	↑
Closing inventory	↓	↑
Key differentiators	• Integral component of the Group's supply chain. • Longstanding relationships with international suppliers and extensive import experience. • State-of-the-art robotic warehouse facility. • ITD's Tivoli range is the only major Italian brassware brand available in South Africa.	

2018/19 priorities	Scorecard
• Leverage BOP to improve the in-stock position and stock turn while simultaneously reducing overall stockholding across the integrated supply chain.	✓
• Complete alternative certification for products given the dysfunctionality of the SABS.	✓
• Grow market share through increased contribution to TopT total sales and through supplying product to the open market.	✓

2018/19 major achievements

- Continued improvement of business-critical and overall in-stock position, as well as the ratio of business-critical items to total stock mix, and a significant reduction in slow-moving stock.
- Further improved efficiencies in the robotic warehouse, which achieved a new record for single-day pickings and reduced downtime during the year.
- Achieved certification equivalent to SABS on related brassware products. The new standard, South African Product Certification Services ("SAPCS"), is accredited by South African National Accreditation System.
- Achieved increased contribution to TopT total sales.

2019/20 priorities	2019/20 prospects
• Leverage BOP to improve stock turn and in-stocks, while simultaneously reducing overall stockholding across the integrated supply chain in line with targets.	• In the current economic climate and competitive landscape, sales are expected to remain constrained in the short term, but enhancements made to the range (latest fashion, technology and value), should improve opportunities to capture disposable income.
• Enhance buying to ensure a more competitive, higher margin offering.	• Margins will remain under pressure in the price sensitive, weak sales environment, adversely affected by currency volatility and aggressive competitor pricing.
• Grow market share through increased sales to existing retail customers.	• Some opportunity exists for improved pricing from Chinese and Italian suppliers in light of the continued global slowdown and reduction in manufacturing volumes.
	• Implementation of stringent cost-containment measures will be imperative to achieve profit growth targets.

SUPPLY CHAIN: IMPORTERS

OVERVIEW AND PERFORMANCE MATRIX

CEDAR POINT TRADING

Nature of business

Importer and distributor of laminate and vinyl floor boards, bathroom furniture, shower enclosures, accessories, sanitaryware, décor and other home finishing products.

Strategic positioning	Target market
Where service is the point.	Italtile Retail, CTM and TopT store networks.

Key performance indicators	Trends 2019	Trends 2018
Sales	↑	↓
Average selling price	↑	↑
Margins	↑	↑
Net profit	↑	↑
Stock turn	↑	↑
Closing inventory	↓	↓
Key differentiators	• Integral component of the supply chain across merchandise categories. • Strong relationships with international stakeholders. • Leading South African importer and distributor of high-quality European laminates and bathroom furniture, vinyl floor boards, shower enclosures and décor.	

2018/19 priorities	Scorecard
• Outsource management of the Vereeniging warehouse to a third-party specialist and converted the DC in Cape Town.	✓
• Establish operations in the newly acquired KwaZulu-Natal warehouse. The project set-up phase took longer than anticipated, but operations were underway by October 2019.	✓
• Improve our product offering through continued rationalisation, intensified focus on fashion and greater awareness of market trends.	✓

2018/19 major achievements
• Achieved a substantial reduction in total stockholding.
• Improved consistent in-stocks on business-critical products.
• Enhanced the service offering to our integrated retail partners.
• Expanded our shower enclosure offering to Italtile Retail.

2019/20 priorities	2019/20 prospects
• Explore opportunities to launch a selected shower range for the open market.	• Expand our product offering to all retail partners.
• Rationalise product ranges according to market trends and customer expectations.	• Explore opportunities to partner with a local shower manufacturer.
• Increase efficiencies through our supply chain partners.	• Optimise the sales and service efficiency of our agents.

SUPPLY CHAIN: IMPORTERS

OVERVIEW AND PERFORMANCE MATRIX

DISTRIBUTION CENTRE

Nature of business

Procures stock for the Group and is one of the largest importers of porcelain tiles in South Africa. Provides warehousing, distribution and logistics services to the Group.

Target market	Footprint
The Group's retail store networks and integrated suppliers.	Durban and Cape Town

Key performance indicators	Trends 2019	Trends 2018
Sales	↓	↓
Average selling price	↑	↑
Margins	↑	↓
Net profit	↑	↓
Stock turn	↑	↑
Closing inventory	↑	↑
Key differentiators	• Longstanding relationships with international suppliers and transport agents. • Extensive multi-decade import experience. • Strong financial position which facilitates optimal investment in inventory.	

2018/19 priorities	Scorecard
• Achieve all agreed targets set for the new financial year.	✗
• Relocate to the newly acquired KwaZulu-Natal warehouse facility. The project set-up phase took longer than anticipated, but operations were underway by October 2019.	✓

2018/19 major achievements
• Achieved increased sales volumes to the TopT network.
• Improved operating margins and net profit for the review period.
• Reduced the average stockholding to more optimal levels.

2019/20 priorities	2019/20 prospects
• Rationalise the tile ranges for CTM and TopT.	• Optimise the procurement process for imported tiles and investigate opportunities to source more competitively priced product from new markets.
• Explore and implement initiatives to reduce distribution/freight costs.	• Achieve cost savings with the relocation to the new owned warehouse property.
• Continue to improve stockholding levels and stock turn.	• Investigate a logistics control tower solution which will integrate planning with real-time execution of logistics activities, resulting in improved efficiencies and service levels and reduced costs.

SUPPLY CHAIN: MANUFACTURERS

CERAMIC INDUSTRIES
Tiles & Bathroomware
Creators of style

OVERVIEW AND PERFORMANCE MATRIX

CERAMIC INDUSTRIES

Nature of business

Manufacturer of tiles (South Africa and Australia) and bathroomware (South Africa).

Strategic positioning	Target market
Preferred supplier of tiles and bathroomware.	Retailers and wholesalers of fashionable and affordable tiles and bathroomware in Australia, South Africa and selected export markets.

Key differentiators

- Leader in design and fashion, creating desirable products.
- Low-cost manufacturing ensures products are affordable.
- Local supply ensures an understanding of customer requirements and a short, reliable supply chain. This supports our 'always in stock' policy, with consistent volume supply of fashionable well-priced product.
- Complementary products for bathroom and complete home tiling solutions.

Tile division

South Africa: Samca Wall (monoporosa wall tiles); Samca Floor and Pegasus (ceramic floor tiles); Vitro (extruded fully vitrified tiles) and Gryphon (glazed porcelain tiles).
Australia: Centaurus (glazed porcelain tiles).

Key performance indicators	South Africa		Australia	
	Trends 2019	Trends 2018	Trends 2019	Trends 2018
Sales	↓	↑	↓	↑
Production volumes	↓	↑	↑	↑
Average selling price	↑	↑	↑	↓
Margins	↓	↑	↓	↓
Net profit	↓	↑	↑	↓
Closing inventory	↓	↓	↑	↓

2018/19 priorities	Scorecard
• Investment to extend capacity and the product range at Samca Wall factory.	✓
• Grow market share, especially of larger formats and rectified product from Gryphon.	✓
• Improve profitability of the Australian plant and complete investment to increase capacity and product range in Australia.	✓
• Reduce operating costs across the business.	✗
• Continue to improve training and development of all staff.	✓
• Explore opportunities in several potential markets to open a tile factory in Africa. This is an ongoing programme.	Underway

2018/19 major achievements

- Completed the expansion of capacity and plant upgrade at Samca Wall.
- Completed the expansion of capacity and plant upgrade at Centaurus Australia.
- Grew Gryphon's share of the glazed porcelain market.
- Improved profitability of the Australian operation.
- Commissioned full production of the 600 x 600 mm format at the Pegasus plant.

SUPPLY CHAIN: MANUFACTURERS

OVERVIEW AND PERFORMANCE MATRIX

CERAMIC INDUSTRIES
Tiles & Bathroomware
Creators of style

Tile division (continued)

2019/20 priorities	2019/20 prospects
• Grow sales volumes through existing and new customers to optimise utilisation of production capacity.	• Despite challenging trading conditions, there are still opportunities to increase market share.
• Reduce manufacturing and operating costs across the business.	• Sales volumes in our Zimbabwean and Zambian markets are expected to decline further over the next year. These volumes will need to be sold into the local market.
• Continue to invest in training and latest technology to ensure our products are differentiated on quality and fashion.	• Improved sales volumes will be driven by leadership on product fashion and improved pricing, achieved through intensified focus on cost reduction.
• Implement revised strategies for export markets where competitor activity has increased and local economies are performing poorly.	
• Improve delivery metrics through range rationalisation and enhanced demand planning.	
• Commence construction of a factory in Africa.	

Bathroomware division

Betta Sanitaryware (Betta) and Betta Baths.

Key performance indicators	Trends 2019	Trends 2018
Sales	↓	↑
Production volumes	↓	↑
Average selling price	↑	↑
Margins	↑	↓
Net profit	↑	↓
Closing inventory	↓	↑

2018/19 priorities	Scorecard
• Improve production volumes at Betta.	✗
• Reduce waste across the operation.	✗
• Reduce operating costs across the operation.	✗
• Invest in a new warehouse to facilitate improved customer service. Construction is currently underway.	✓
• Grow operating margins at Betta Baths through improved raw material sourcing and continuous improvement of production.	✓
• Continue to develop our staff through enhanced training and development.	✓

2018/19 major achievements

- Net sales (Rand) and net profit increased at both the Betta and Betta Baths businesses.
- The clay storage, crushing plant and clay preparation areas were upgraded at Betta.
- A waste water processing plant was commissioned at Betta.

2019/20 priorities	2019/20 prospects
• Improve Betta's sales volumes through enhanced demand planning and alignment of customer requirements and factory capacity.	• It is expected that improved sales volumes and production yields will lead to an improved performance at Betta.
• Improve production volumes and yields at Betta.	• Betta Baths aims to continue to increase profitable sales. Further growth is possible, particularly in the specialised bath market, but the business remains sensitive to a weaker exchange rate.
• Reduce operating costs across the operations.	
• Complete the new warehouse facility.	
• Continue to develop staff through enhanced training and development.	

SUPPLY CHAIN: MANUFACTURERS

EZEE TILE ADHESIVES

AFRICA'S PREFERRED TILING SOLUTIONS

OVERVIEW AND PERFORMANCE MATRIX

EZEE TILE

Nature of business

Manufacturer of cement-based adhesives, grouts, water-based paints and related products. Comprises 10 manufacturing facilities in Johannesburg, Durban, Port Elizabeth, Cape Town, Bloemfontein, Mokopane, Windhoek, Mombasa, Lusaka and Harare.

Strategic positioning	Target market
Africa's preferred tiling solutions.	Primarily the Group's retail networks, Italtile Retail, CTM and TopT.

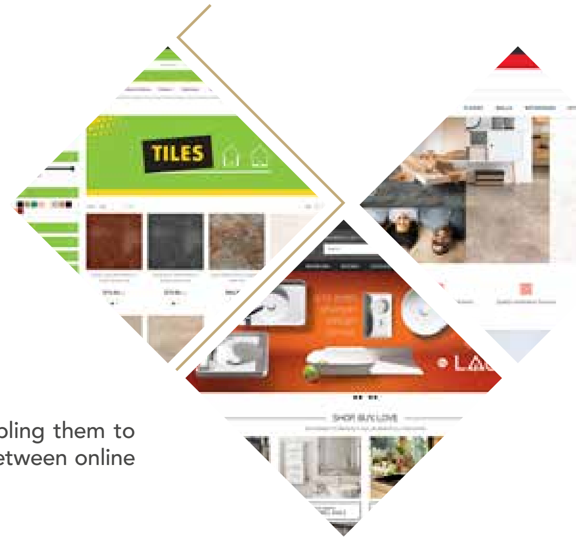
Key performance indicators	Trends 2019	Trends 2018
Sales	↑	↑
Average selling price	↑	↓
Margins	↔	↑
Net profit	↑	↑
Stock turn	↔	↔
Closing inventory	↓	↑
Key differentiators	• A national footprint of manufacturing plants which underpins Ezee Tile's 'always in stock' policy with consistent supply of products. • Strong strategic partnerships with key raw material suppliers which provide access to the latest technologies to improve quality while reducing costs.	

2018/19 priorities and major achievements	Scorecard
• Upgrade the factory in Mombasa.	✓
• Open a production facility in Zeerust.	✗
• Commission a new factory in Lusaka and Harare.	✓
• Identify and build a new factory in Johannesburg to provide additional capacity. The land has been acquired and construction will commence in due course.	✓
• Secure ownership or partnership for supply of sand in Johannesburg.	Underway
• Introduce the Homegrown paint range to open-market retailers and professional applicators.	✓
• Increase sales in the Ezee Tile Construction Chemicals division with a particular focus on waterproofing.	✓

2019/20 priorities	2019/20 prospects
• Stabilise the new factories in Lusaka and Harare and secure a significant market share in each country.	• Opportunities exist to grow market share in the tile adhesive category through intensified training programmes for operators and education of end-users regarding the importance of quality installation products.
• Improve Ezee Tile's share of the architectural and specification markets. • Evaluate other opportunities to expand into Africa.	• The business will roll out its Paint Ambassador Programme nationwide with the goal of entrenching Ezee Tile's paint credentials in the market and growing sales by double digits in the year ahead.

SUPPORT SERVICES

OVERVIEW AND PERFORMANCE MATRIX



E-COMMERCE

Nature of business

To provide our customers with a seamless, omni-channel shopping experience, enabling them to easily view and purchase our products and services online and smoothly transition between online shopping and our brick-and-mortar stores.

Strategic positioning	Target market
The Group's retail operations and its customers.	The Group's online shopping stores are: **Italtile Retail** – www.italtile.co.za; **CTM South Africa** – www.ctm.co.za **CTM Kenya** – www.ctm.co.ke; **CTM Tanzania** – www.ctm.co.tz; **TopT** – www.topt.co.za

Key performance indicators	Trends 2019	Trends 2018	% increase 2019	% increase 2018
Online sales (Rand)				
CTM SA	↑	↑	17	30
Italtile Retail	↑	↑	37	39
CTM Kenya	↑	↑	146	89
CTM Tanzania	↑	#	182	#
TopT	#	#	#	#
Quotes generated for all stores (Rand)				
CTM SA	↑	↑	24	21
Italtile Retail	↑	↑	43	54
CTM Kenya	↑	↑	40	9
CTM Tanzania	#	#	#	#
TopT	#	#	#	#
Visitor sessions				
CTM SA	↑	↑	18	27
Italtile Retail	↑	↑	26	15
CTM Kenya	↑	↑	41	48
CTM Tanzania	↑	↑	53	#
TopT	#	#	#	#

No full-year prior comparable data available.

2018/19 priorities		Scorecard
• Launch the TopT webstore.		✔
• Migrate all webstores to a new e-commerce solution (Magento 2).	Italtile Retail's migration underway	✔
• Implement Smart Sales 2 (a CRM, order processing and logistics solution to support omni-channel shopping).		✔

2018/19 major achievements

- The goal to expand our offering to include online credit and other new payment options was achieved through the successful launch of our new Magento 2 platform.
- Our strategy to target new segments traditionally not serviced by online retail was pursued and significant growth was achieved particularly in our export markets as well as with customers using mobile phones to shop.

2019/20 priorities	2019/20 prospects
• Launch the webstore to support the newly established U-Light brand.	• Develop an offering for the CTM SA webstore platform to retail the U-Light product range specifically as an online-only purchase option.
• Enhance the shopping experience across all the newly established Magento 2 e-commerce platforms.	• Understand and appropriately market and retail to the lower LSM TopT market, which is traditionally not a digital market.
• Launch an online retail concept and shopping tools for Italtile Retail, centred on driving the shopping experience via inspiration.	• Explore artificial intelligence to better target and encourage sales of our goods and services online.

SUPPORT SERVICES

OVERVIEW AND PERFORMANCE MATRIX

INFORMATION TECHNOLOGY

Nature of business

The Information Technology department generates value for the organisation through implementing incremental innovation that enables the Group to remain relevant while improving the customer experience, thereby increasing loyalty to the brands and supporting revenue growth.

We leverage the Group's culture of agility and continuous improvement to deliver tangible applications to our customers. Our primary objective is to provide a seamless experience between the online and offline shopping experience to ensure the Group remains a trailblazer in this digital era.

Strategic positioning	Target market
Stability at the core – innovation at the edge.	The Group's retail operations, their customers, and the Support Services businesses.

Key performance indicators	Scorecard
• The revitalisation of the SAP ERP environment to leverage advances in analytics and optimised business processes. Migrating to SAP HANNA will ready the organisation for a full cloud solution.	✓
• Management of potential downtime and system failure risk by revisiting the business continuity strategy and disaster recovery process.	✓
• Proactively pursuing emerging technologies such as artificial intelligence and social platforms to enhance current revenue streams.	✓

2018/19 priorities	Scorecard
A major priority has been to ensure the organisation remains a pioneer in the digital era by building on the momentum of the prior year's investment in the following projects:	
• Analytics – real-time actionable insights for store operators and business stakeholders.	✓
• Automation – integration of systems and processes to streamline operations.	✓
• Mobility – untether back-office and sales processes to increase productivity.	✓
• E-commerce – supplement growth by leveraging the existing brand and supply chain footprint.	✓
The maturing of our technology platforms also provides the organisation with significant competitive advantage.	

2018/19 major achievements
• The successful migration of the e-commerce platform to Magento 2.
• The development of our purpose-built CRM solution (Smart Sales 2) for our e-commerce platform.
• The launch of Captain's Log, an operating programme which provides stores with valuable, actionable data in real-time.

2019/20 priorities	2019/20 prospects
• Tighten cybersecurity policies and implement robust preventative measures.	• Explore and optimise collaborative social shopping opportunities, by creating a new shopping experience on social platforms to complement our physical retail and online shopping experience.
• Launch the enhanced mobile point-of-sale functionality.	• Invest in artificial intelligence to increase productivity and introduce cost savings where possible.
• Relaunch the Italtile Retail e-commerce site.	
• Launch the new U-Light webstore.	

SUPPORT SERVICES

OVERVIEW AND PERFORMANCE MATRIX

PROPERTY INVESTMENT PORTFOLIO

Retail properties

This portfolio affords strategic advantage to the retail brand operations by ensuring stores are easily accessible, well presented and maintained, and contribute to an aspirational shopping experience. The portfolio is continuously evaluated and enhanced to ensure optimal returns.

Manufacturing properties

The Group's manufacturing operations comprise well-maintained state-of-the-art factories which are supplied with high-quality raw materials sourced from productive quarries in close proximity to the plants.

Environmental sustainability

The Group's sustainability agenda is promoted through the use of cost-effective, energy efficient practices in the construction of new buildings and the renovation of older buildings. Optimal use of natural light, solar technology, new-generation lighting, water-saving taps, rain water harvesting, and environmentally sensitive building materials is prioritised.

Our factories at Ceramic Industries use latest technology in their operations and rank among the most energy efficient in the world.

Target market

Italtile Retail, CTM and TopT store networks.

Key statistics	2019	2018
Retail portfolio market value	R3,0 billion	R2,9 billion
Manufacturing portfolio market value	R0,8 billion	R0,8 billion
Total number of stores	184*	173*
Italtile Retail	12*	11*
CTM	89*	85*
TopT	82*	77*
U-Light	1	–
Number of factories	8	8
Capex incurred (new and refurbishments)	R312 million	R355 million
Portfolio changes		
Properties acquired	5	5
Properties sold	3	–
New stores opened		
Italtile Retail	1	1
CTM	5	1
TopT	9	13
U-Light	1	–
Stores closed		
TopT	4	–

* *Excluding webstores.*

OUR PERFORMANCE

SUPPORT SERVICES

OVERVIEW AND PERFORMANCE MATRIX

PROPERTY INVESTMENT PORTFOLIO CONTINUED

2018/19 priorities	Scorecard
• Conversion of land to trading stores (while endeavouring to reduce construction costs and improve property returns).	✓
• Maintaining and refurbishing older properties in the portfolio to ensure relevant market value.	✓
• Continue to source suitable new sites to facilitate the network expansion programme.	✓
• Sell non-profitable/non-viable sites to ensure the portfolio remains healthy and retains optimal value.	✓

2018/19 major achievements
• 16 new stores were opened and we advanced the ongoing store upgrade programme.
• We acquired two sites and finalised one lease agreement in East Africa for CTM expansion.
• One site was acquired in Botswana for CTM and Italtile Retail.
• Two high profile sites were acquired in South Africa for TopT.
• Five sites were developed to support the Group's new U-Light retail offering in Eastgate; Northriding; Southgate; Westgate and Bryanston.

2019/20 priorities	2019/20 prospects
• Review opportunities to convert leased sites to owned properties for high-performing TopT stores in proven markets.	• Continue to source suitable new sites in South Africa to facilitate the network expansion programme.
• In the context of materially higher land and construction costs, improve returns through optimising store size and input costs.	• Continue to support the Group's expansion programme into East Africa.
• Sell non-profitable/non-viable sites to ensure the portfolio remains healthy and retains optimal value.	• Explore the option of developing a dedicated warehouse distribution facility for the U-Light business.
• Continue to maintain and refurbish older properties in the portfolio to ensure relevant market value.	• Optimise returns through relocating non-performing stores and ensuring keen negotiations on rental expenses.

HUMAN RESOURCES AND TRAINING

OVERVIEW AND PERFORMANCE MATRIX

Nature of business

- Add value through recruiting and retaining fit-for-purpose personnel.
- Develop and empower the Group's human capital resource through relevant training and support.
- Provide an efficient payroll and administration function.

Target audience
Support centre, franchisees and employees.

Key performance indicators	2019	2018
ITALTILE		
• Recruitment and retention of fit-for-purpose personnel.	↔	↓
• Engagement with employees across the Group.	↑	↓
• Development of appropriate skills training, learnerships and competencies.	↑	↑
• Support the Group's growth objectives and overriding strategy to deliver an incomparable customer experience.	↔	↔
• Improve productivity and performance to achieve retail best practice benchmarks.	↔	↔
• Develop leadership capability and capacity.	↔	↔
• Training programmes conducted.	↑	↑
CERAMIC INDUSTRIES		
• Recruitment and retention of fit-for-purpose personnel.	↑	↓
• Engagement with employees across the business.	↑	↓
• Development of appropriate skills training, learnerships and competencies.	↑	↑
• Support the Group's growth objectives and overriding strategy to deliver an incomparable customer experience.	↔	↔
• Improve productivity and performance to achieve retail best practice benchmarks.	↔	↔
• Develop leadership capability and capacity.	↔	↔
• Training programmes conducted.	↑	↑

HUMAN RESOURCES AND TRAINING continued

OVERVIEW AND PERFORMANCE MATRIX

2018/19 priorities	Scorecard
ITALTILE	
• Target recruitment and development for improved succession planning.	✓
• Introduce a two-week induction and orientation programme which will be conducted regionally.	✓
• Continue driving BBBEE skills development initiatives.	✓
• Obtain accreditation of the Training Academy to offer short skills technical programmes.	In progress
CERAMIC INDUSTRIES	
• Launch an Adult Education Training ("AET") Programme at Betta Sanitaryware.	✓
• Develop, accredit, and implement a Ceramic Learnership (through the CETA), which will address the unique needs of our tile and sanitaryware factories.	In progress
• Define and implement learning initiatives to close competence and skills gaps.	In progress
• Clearly define and roll out KPIs for factory managers, deputy factory managers, trainee factory managers, tilewrights and sanwrights.	✓
• Develop outcomes-based job profiles for all employees.	In progress
• Source and recruit talent for expansion programmes.	In progress
• Improve BBBEE score from level 6 to level 5.	In progress
• Embed and drive Ceramic's culture and values.	✓

2018/19 major achievements
ITALTILE
• The CTM Sales Consultants' training programme was accredited by the Wholesale and Retail CETA.
• We partnered with the Cape Peninsula University of Technology ("CPUT") to offer internships to students studying Retail to enable them to gain on-the-job experience required for their qualification. This partnership led to the permanent employment of several of the interns. We will continue to progress and leverage our relationship with CPUT.
• Our 12-month pilot programme for persons with disabilities concluded in May 2019. 64% of the original intake has been retained in permanent positions.
• Our 12-month learnership providing inexperienced and unskilled jobseekers with on-the-job experience resulted in a 55% absorption rate.
• We continue to run our annual CTM Operator Training Programme in partnership with the University of Stellenbosch over a nine-month period to develop potential store operators. A total of 19 delegates graduated from the 2018 OTP programme.
• High-Stakes Leadership in Action Workshops were run with our CTM store operators to develop a better understanding of leadership and building trust, based on a real-life event. Subsequent sessions dealt with improving communication with team members and providing strategic tools to enhance performance and results.
• We introduced diversity, equity and inclusion workshops to the business, the purpose of which is to develop and embed a culture of inclusion by acknowledging differences and equipping diverse employees to build better relationships.
• The recent Health and Safety audits across all retail stores and supply chain businesses yielded significantly improved results compared to the prior year's audit, achieved through various training and monitoring initiatives.

2018/19 major achievements

CERAMIC INDUSTRIES

- A five-year Group Employment Equity Plan was approved informally by the Department of Labour.
- Accreditation of the Apprenticeship Centre at the Samca Wall factory.
- Formalisation and execution of the Mentorship Programme.
- Implementation of the AET Programme at Betta.
- Standardisation and updating of standard operating procedures.
- Concluded cascading of KPIs.
- Upgrade of HR and payroll software.
- Implementation of software to assist with improving BEE score.

2019/20 priorities

ITALTILE

- Introduce management programmes for our TopT franchisees.
- Finalise the accreditation of the Tiling and Plumbing Academy which is currently with CETA for approval.
- Continue driving BBBEE skills development initiatives.
- Introduce the YES initiative into the business. YES is a business-led collaboration with government and labour to create one million work opportunities for youth in the country.
- Drive the Learning Management System and continuously introduce new product information to better equip our employees with the knowledge required to successfully serve our customers.

CERAMIC INDUSTRIES

- Embed our culture and values across the business through workshops and refresher induction sessions.
- Improve awareness of the impact of alcohol and drug abuse and implement testing.
- Finalise the accreditation of the Ceramic Learnership with the Quality Council for Trades and Occupations.
- Develop our talent pool through the Junior Management Mentorship and Apprenticeship Programme.

2019/20 prospects

- Attract the best calibre of people by being the employer of choice in our industry through ensuring our employees are remunerated, incentivised and equipped to perform their jobs.
- Continue to offer bursaries to our employees to enable them to further their education and remain ahead of the market.

OUR FD'S FINANCIAL REVIEW

FOR THE YEAR ENDED 30 JUNE 2019

The Group results for the comparative year (year ended 30 June 2018) include the consolidated results of Ceramic Industries ("Ceramic") and Ezee Tile for nine months of the financial year. Following the acquisition of Ceramic, the Group now holds a 95,47% stake in Ceramic and an effective 71,54% in Ezee Tile. As such, it is to be noted that some commentary below relates only to the Italtile Group prior to consolidation of these two entities ("Old Group") – where relevant, this has been noted.

Turnover

The Group's system-wide turnover for the year ended 30 June 2019 increased 15% from the prior year to R10,0 billion. Consolidated turnover increased by 15% from the prior year to R7,0 billion.

- **Retail** revenue (all stores) was 6% higher than the prior year at R6,2 billion, deteriorating from the 7% increase from the prior year recorded for the half year ended 31 December 2018. On a like-on-like basis, retail sales increased by 4,2% versus the prior year;
- **Supply chain** businesses (ITD, Cedar Point and DC) sales were flat when compared to the prior year, with Cedar Point showing an increase of 3%. Cedar Point was in a better in-stock position compared to the prior year. ITD and DC recorded a decrease in sales of 1% mainly due to poor sales out of CTM; and
- **Manufacturing** sales (aggregation of Ceramic, Ezee Tile and PiViCal Panels sales) for the year grew by 37% compared to the prior year. Sales for the period 1 July 2018 to 30 June 2019 improved by 1,4% compared to the same period in the prior year.

Consolidated turnover has exhibited compound growth of 21% over the past seven years (refer to seven-year review on pages 67 and 68). It has been, and will continue to be, the Group's preference to grow organically rather than through acquisitions.

Achieved gross margin

Achieved gross margin remained at a flat 37,0% for the review period when compared to the prior period. CTM enjoyed favourable margins as a result of promotional stock that was purchased at reduced prices during the review period, which assisted us in trading more aggressively in the marketplace. Margins improved marginally at the retail level by 0,5% versus the prior year (36,6% to 36,1%). The manufacturing businesses gave up some margin (1,1%) during this period. Other contributors to the improvement in margin were decreases in stock provisions.

Operating expenses

Operating expenses of the Old Group remained flat from the prior year at R858 million, with decreases being noted in stock control costs (decreased 32% from prior year to R19 million) and manpower costs (excluding share incentive costs, remained flat compared to the prior year at R246 million). Both manpower and stock control costs categories continue to receive increased focus from management. On a like-on-like basis (stripping out the new stores), operating cost declines were as follows:

- total operating costs declined by 1%; and
- manpower costs declined by 2%.

Trading profit

Trading profit for the year increased by 18% from the prior year to R1,8 billion and profit after tax increased by 15% from the prior year to R1,3 billion. The increase in net profit before tax is attributable to the following:

- the consolidation of Ceramic and Ezee Tile (ie includes the consolidated results for the full 12 months from 1 July 2018 to 30 June 2019 versus the nine-month period from 2 October 2017 to 30 June 2018 in the prior corresponding period);
- an increase in finance income to R31 million earned on excess cash being invested in dividend-yielding funds; and
- a saving on finance costs in the current year due to not incurring finance costs related to the acquisition of Ceramic. This is, however, offset by finance costs being incurred on the loan from RMB.

Trading profit as a percentage of turnover increased to 25,8% from 25,0% in the prior year. The trading profit margin initially decreased following the acquisition of Ceramic and Ezee Tile due to the two businesses historically having lower margins as expected from manufacturing businesses. The increase in margin is further evidence of the cost leadership that the Group has undertaken in the current financial year.

Earnings per share

Earnings per share ("EPS") increased by 8% to 102,6c and headline earnings per share ("HEPS") increased by 7% to 101,8c. An 8% increase in the weighted number of shares from 1,1 billion to 1,2 billion shares following the Rights Offer, Ceramic Acquisition and Four Arrows transaction in the prior year resulted in the lower increase in earnings per share compared to the increased profits after tax. The disparity between basic earnings and headline earnings growth is attributable to a gain of R12 million realised during the year on the disposal of properties in the Western Cape region of South Africa. Over the past seven years, EPS has exhibited compound growth of 14%.

Tsundzukani Mhlanga
Executive Director:
Group Finance and
Administration

Inventory balances and provisions

The inventory balance of the Group net of provisions and including goods on the water (DC goods in transit) has increased marginally to R841 million from R806 million at 30 June 2018. Excluding goods on the water, stock levels have reduced due to active management of stock levels, adjustments in BMO safety stock levels and improved financial stock turns in most business units.

The provision for obsolete inventory increased to R89 million from R85 million in the prior year, with CTM being the largest contributor to the increase of the provision. The provision for obsolete inventory is based on age, seasonality and targeted stock turns. Being a fashion retailer, management closely monitors the stock turns within the different business units. Slow-moving stock is either managed or exited to ensure that we are then able to bring in the latest fashionable product to our customers.

Cash flow

The Group's cash balance increased to R1,2 billion in the current year from R679 million, significant cash flows for the period being:

- capex of R605 million;
- tax payments of R539 million;
- dividend payments of R949 million; and
- term funding inflow of R500 million.

The Group raised funding of R500 million for one of our property holding companies. This loan resulted in the Group's gearing increasing to 9,0%. Management is comfortable with this level of gearing and believes that it does not expose the Group to undue liquidity risk.

New accounting standards

The Group applied IFRS 9 Financial Instruments and IFRS 15 Revenue for the first time during the year. The Group opted to early adopt IFRS 16 Leases from 1 July 2018. The nature and effect of the changes as a result of adoption of these new accounting standards are described below.

IFRS 9 Financial Instruments

IFRS 9 addresses the classification, measurement and derecognition of financial assets and financial liabilities, introduces new rules for hedge accounting and a new impairment model for financial assets.

The Group elected to apply the modified retrospective approach which requires the recognition of the cumulative effect of initially applying IFRS 9 as of 1 July 2018 to the retained earnings.

The standard has the result of changing the classification of financial assets on the statement of financial position. However, there is no change to the measurement of these assets. There has also been no change in the carrying amounts of financial assets on the basis of their measurement categories as a result of the transition from IAS 39 to IFRS 9.

There will be no impact on the Group's accounting for financial liabilities, as the new requirements only affect the accounting for financial liabilities that are designated at fair value through profit or loss and the Group does not have any such liabilities.

The new impairment model requires the recognition of impairment provisions based on expected credit losses ("ECL") rather than only incurred credit losses as is the case under IAS 39. The Group assessed the nature of financial assets held and the potential impact of a move to an ECL model. To calculate the ECL, the simplified approach was applied to our credit book. The Group has sufficiently provided for the ECL.

IFRS 15 Revenue

IFRS 15 describes the principles an entity must apply to measure and recognise revenue and related cash flows. The core principle is that an entity recognises revenue at an amount that reflects the consideration to which the entity expects to be entitled in exchange for transferring goods or services to a customer.

The Group elected to apply the modified retrospective approach, which requires the recognition of the cumulative effect of initially applying IFRS 15 as of 1 July 2018 to the retained earnings. There was no such adjustment to the financial statements of the Group.

OUR FD'S FINANCIAL REVIEW continued

FOR THE YEAR ENDED 30 JUNE 2019

The standard confirms the treatment of Goods Paid Not Taken ("GPNT") by the Group. The view of the Group was that the revenue can be recognised as a sale that has taken place and control has transferred to the customer.

The standard introduces the concept of 'right of return' whereby it states that revenue should only be recognised for those goods that are not expected to be returned. The Group assessed the value of goods returned to stores over the last three years in order to determine the materiality of the amount. The amount of returned goods was considered to be immaterial and a right-of-return asset and corresponding liability were therefore not recognised in the financial statements.

The Group has made the following changes in presentation:

- in the notes to the statement of comprehensive income, the manner in which revenue is disaggregated.

IFRS 16 Leases

IFRS 16 introduces a single, on-balance sheet lease accounting model for lessees. A lessee recognises a right-of-use asset representing its right to use the underlying asset and a lease liability representing its obligation to make lease payments.

The Group elected to apply the modified retrospective approach which requires the recognition of the cumulative effect of initially applying IFRS 16 as of 1 July 2018 to the retained earnings. The Group has also elected not to recognise right-of-use assets and lease liabilities for short-term leases and leases of low-value assets – a practical expedient contained in IFRS 16.

As at 1 July 2018, the Group recognised right-of-use assets and lease liabilities and the impact on the statement of financial position was as follows:

	R million
Assets	
Right-of-use assets	192
Liabilities	
Lease liabilities	(221)
Net impact on equity	**(29)**

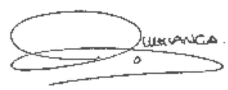
The impact on the statement of comprehensive income for the year ended 30 June 2019 was a decrease in net profit before tax of R11 million. The adoption of the standard did not have an impact on the statement of cash flows.

Additionally, the Group made the following changes in presentation:

- in the notes to the consolidated statement of comprehensive income, one additional line related to the depreciation of the right-of-use assets;
- in the consolidated statement of financial position, additional line items to reflect the right-of-use assets, the non-current and current portion of the lease liabilities; and
- in the notes to the consolidated statement of cash flows, additional line items related to the depreciation of the right-of-use assets, repayment of lease liabilities and the lease interest paid.

Appreciation

To the finance teams across the Group – what a year! We made it through new accounting standards and tight deadlines. I wish to thank and commend the teams for their hard work and resilience during this year. As we begin the new financial year, I look forward to us raising the standard and supporting the business to continue managing costs, thereby creating sustainable shareholder value.



T T A Mhlanga
Executive Director: Group Finance and Administration

FINANCIAL RESULTS SUMMARY

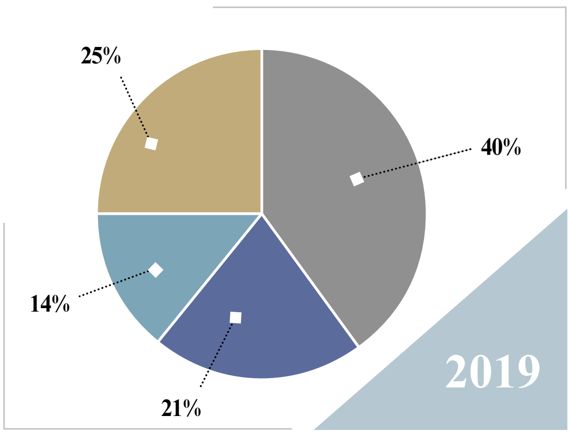
	Group		
	2019	% change from 2018	2018
GROUP AND FRANCHISE RESULTS			
Turnover (Rm)			
– by Group-owned stores and entities	**6 975**	15	6 064
– by franchise-owned stores (unaudited)	**3 020**	15	2 615
System-wide turnover (Rm)	**9 995**	15	8 679
Number of stores*	**189**		176
GROUP RESULTS			
Turnover (Rm)	**6 975**	15	6 064
Trading profit (Rm)	**1 797**	18	1 518
Total assets (Rm)	**7 425**	17	6 327
Cash and cash equivalents (Rm)	**1 201**	77	679
Number of shares in issue (R000)	**1 295 254**	–	1 295 254
Headline earnings per share (cents)	**101,8**	7	95,0
Ordinary dividends declared per share (cents)	**41,0**	8	38,0
Net asset value per share (cents)	**480**	(1)	486
Number of employees	**2 545**	1	2 530

** Includes webstores.*

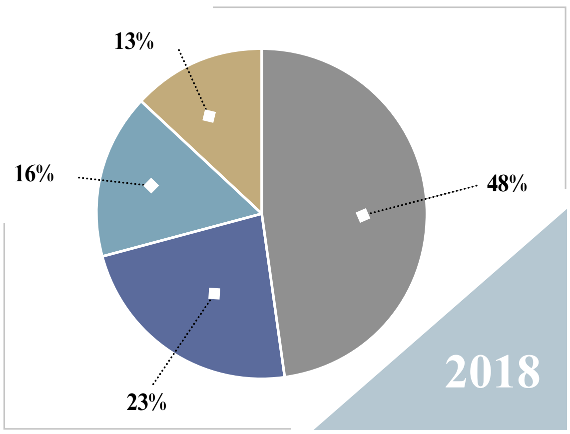
VALUE ADDED STATEMENT

	Group			
	2019 Rm	%	2018 Rm	%
Turnover	**6 975**		6 064	
Cost of goods and services	**(3 237)**		(3 361)	
	3 738		2 703	
Income from investments and interest received	**71**		61	
Value added	**3 809**		2 764	
Value distributed and retained				
Employees				
– Salaries, incentives and benefits	**792**	21	637	23
Providers of capital	**941**	25	360	13
– Outside equity holders	**42**	1	21	1
– Ordinary and special dividend	**899**	24	339	12
Taxation	**539**	14	435	16
Reinvested in Group activities	**1 537**	40	1 332	48
– Depreciation (excluding depreciation on right-of-use assets)	**284**	7	252	9
– Retained income	**1 253**	33	1 080	39
	3 809	100	2 764	100

Value distributed and retained



Value distributed and retained



Reinvested in Group activities · Employees · Taxation · Providers of capital

INDIRECT IMPACTS

The total economic impact of an organisation includes indirect impacts. These are usually benefits arising in the course of its business to which a monetary amount is not directly attributable. Italtile does not assess and quantify its indirect economic impacts although the Group does provide indirect economic benefits:

- the Group spent R3 237 million (2018: R3 361 million) during the year purchasing raw materials and inventory as well as other products and services from suppliers. This in turn creates opportunities for suppliers to employ more staff to keep pace with the Group's demands;
- during the year the Group paid R539 million in taxation, for the ultimate benefit of all citizens in the territories it operates in; and
- the Group paid R792 million (2018: R637 million) during the year to employees in the form of salaries, incentives and benefits. These employees in turn supported their families, contributing to the economic activity of their communities and the overall economies.

SEVEN-YEAR REVIEW

FOR THE YEAR ENDED 30 JUNE 2019

(All amounts in Rm)	Seven-year compound growth %	**2019**	2018	2017	2016	2015	2014	2013
OPERATIONS								
Turnover	21	**6 975**	6 064	3 670	3 539	3 115	2 745	2 141
Trading profit	19	**1 797**	1 518	1 063	1 047	905	740	612
Profit before taxation	19	**1 819**	1 575	1 190	1 166	978	760	632
Profit attributable to equity holders of the parent	19	**1 253**	1 080	845	813	700	509	444
Headline earnings	19	**1 243**	1 080	803	804	661	530	436
Ordinary dividends paid	24	**532**	339	292	252	204	157	141
FINANCIAL POSITION								
Non-current assets		**4 472**	3 872	2 775	2 309	2 023	1 856	1 858
Current assets		**2 953**	2 455	1 388	1 365	1 079	857	793
Equity attributable to equity holders of the parent		**5 607**	5 279	3 713	3 292	2 672	2 179	2 247
Non-current liabilities		**923**	132	24	18	44	12	53
Current liabilities		**644**	670	366	384	324	471	293
CASH FLOW								
Cash flows from/(utilised by) operating activities		**674**	979	609	306	443	(127)	376
Cash flows utilised in investing activities		**(593)**	(2 200)	(379)	(358)	(175)	(50)	(694)
Cash flows from/(utilised by) financing activities		**441**	1 389	(66)	7	(125)	123	(296)
Cash and cash equivalents at end of year		**1 201**	679	511	347	392	249	303

SEVEN-YEAR REVIEW continued

FOR THE YEAR ENDED 30 JUNE 2019

	Seven-year compound growth %	2019	2018	2017	2016	2015	2014	2013
FINANCIAL RATIOS								
Returns								
Trading profit to turnover (%)		**25,8**	25,0	29,0	29,6	29,1	27,0	28,6
Return on shareholders' interest (%)[1]		**23,0**	24,0	24,1	27,3	28,9	23,4	21,2
Average consumer price index (%)†		**4,7**	4,6	6,1	5,6	5,1	6,0	5,5
Earnings per share (cents)	14	**102,6**	95,0	89,7*	87,8	75,9	55,3	48,3
Headline earnings per share (cents)	14	**101,8**	95,0	85,1*	86,9	71,6	57,6	47,4
Ordinary dividends declared per share (cents)	17	**41,0**	38,0	30,0	29,0	25,0	19,0	16,0
Special dividend declared per share (cents)		**50,0**	30,0	–	–	–	–	50,0
Productivity								
Turnover per employee (R000)		**2 741**	2 753	2 731	2 836	3 258	2 977	2 799
Total assets per employee (R000)		**2 917**	2 872	3 097	3 037	3 245	2 943	3 465
Trading profit per employee (R000)		**706**	689	791	839	947	803	800
Turnover growth (%)		**15,0**	65,2	3,7	13,6	13,8	28,2	16,0
Number of employees		**2 545**	2 530	1 344	1 248	956	922	765
Number of stores		**189**	176	162	146	126	115	116
– Owned#		**79**	78	81	72	55	55	54
– Franchised#		**110**	98	81	74	71	60	62
Solvency and liquidity								
Interest cover (times)[2]		**34,6**	43,4	1 063,0	523,5	150,8	37,0	36,0
Dividend cover (times)[3]		**2,5**	2,5	3	3	3	3	3
Gearing ratio (%)[4]		**8,6**	–	–	0,1	1,1	7,6	2,0
Current ratio (times)[5]		**4,6**	3,7	3,8	3,6	3,3	1,8	2,7
Acid test ratio (times)[6]		**3,3**	2,5	2,3	1,8	1,9	1,0	1,6
Stock exchange performance								
Market capitalisation+ (Rm)	20	**18 071**	16 117	11 700	12 673	10 707	7 875	5 514
Closing share price at year end (cents)	15	**1 480**	1 320	1 250	1 370	1 160	855	600
Market value per share								
– High (cents)		**1 549**	1 545	1 500	1 370	1 325	860	665
– Low (cents)		**1 220**	1 170	1 243	1 035	835	590	550
Closing share price to net asset value per share		**3,08**	2,72	3,11*	3,78	3,92	3,53	2,40
Price-earnings ratio (times)		**14,43**	13,89	13,94*	15,62	15,28	15,46	12,42
Dividend yield (%)		**2,8**	2,9	2,4	2,2	2,2	2,2	2,7
Earnings yield (%)		**6,9**	7,2	7,2	6,4	6,5	6,5	8,1
Number of shares in issue (millions)+		**1 221**	1 221	940	926	924	921	921
Volume of shares traded (millions)		**57**	82	84	70	70	20	50
Value of shares traded (R000)		**782 440**	1 124 989	1 154 746	843 529	763 680	147 964	304 481
Volume of shares traded as a % of total issued shares+		**4,4**	6,3	8,9	7,6	7,6	2,2	5,4

† *As per Statistics South Africa.*
* *Adjusted to account for Rights Offer bonus element.*
# *Includes webstores.*
\+ *Excluding treasury shares.*
1 *Return on shareholders' interest: Profit attributable to equity holders of the parent as a percentage of average equity attributable to equity holders of the parent.*
2 *Interest cover: Trading profit divided by finance cost.*
3 *Dividend cover: Headline earnings per share divided by dividends declared per share (excluding special dividends).*
4 *Gearing ratio: Interest-bearing loans and borrowings as a percentage of equity attributable to equity holders of the parent.*
5 *Current ratio: Current assets divided by current liabilities.*
6 *Acid test ratio: Current assets, less inventory, divided by current liabilities.*

As leaders, our challenge is to build competence, encourage enthusiasm and inspire dedication. In this light, we place significant emphasis on our core values of partnership and empowerment reflected by our profit share incentives for every employee in the business, our focus on skills transfer, and the opportunities for career development at all levels across the operations.

OUR BOARD OF DIRECTORS

1. Giovanni Ravazzotti (76)

C *

Position: Non-executive Chairman

Founder, in 1969, of the Italtile Group and Chairman of Ceramic Industries (Pty) Limited.

2. Luciana Ravazzotti Langenhoven (50)

Position: Non-executive Deputy Chairman

Appointed: 2018

Luciana has 25 years of experience with the Group, having worked in various roles including HR, IT, accounting, sales and marketing in the South African business, and was involved in the research and establishment of Ceramic Industries' Centaurus factory in Australia. Luciana is currently a non-executive director on the boards of Centaurus Pty Ltd in Australia (appointed in 2000) and Ceramic Industries (Pty) Ltd (appointed in 2006).

3. Jan Potgieter (50)

* *

Position: Chief Executive Officer

Qualifications: BCompt (Hons), CA(SA)
Advanced Management Programme (INSEAD)

Appointed: 2014

Jan is a Chartered Accountant (SA) and has extensive senior level experience in the retail and supply chain sectors, having most recently served as Chief Executive Officer and formerly Financial Director of Massdiscounters (a division of Massmart). He also served as a business manager at Clover SA and spent eight years at SABMiller in senior financial roles. Jan currently serves as a non-executive director on the board of Fortress REIT Limited.

4. Susan du Toit (46)

C

Position: Lead independent non-executive director

Qualification: CA(SA), MCom (Financial Management)

Appointed: 2009

Susan is a Chartered Accountant (SA) and has held a number of positions within EY culminating in the position as lead audit partner on a number of entities listed on the JSE. Susan also held the position of team leader for a group of audit partners at EY. Susan currently works with a number of organisations in the non-profit sector.

7. Brandon Wood (37)

* *

Position: Executive director: Retail

Qualification: BAcc, CA(SA)

Appointed: 2013

Brandon is a Chartered Accountant (SA) and prior to joining the Group, was an audit manager at EY. He joined Italtile in 2010 as Group Financial Manager and was appointed as Chief Financial Officer in 2013 and served in this position for five years. In 2018, Brandon was appointed as Executive Director: Commercial and Supply Chain, and then as Executive Director: Retail in 2019.

10. Zizipho Nyanga (38)

Position: Independent non-executive director

Qualification: CA(SA), Executive development programme (GIBS)

Appointed: 2019

Zizipho is a Chartered Accountant (SA) and is the Chief Executive Officer of Masisizane Fund, a role to which she was appointed in 2016. Prior to that, she served as Head: Post Investment Monitoring and Business Support at the Company from 2014. Ms Nyanga's previous experience includes Deal Maker at the Industrial Development Corporation, Financial Manager at Kagiso Media and Senior Manager at EY South Africa. Her areas of expertise are entrepreneurship development, deal making, financial management, audit and risk management. Zizipho currently serves as a non-executive director of Adapt IT and AMAMA NPC.

5. Brand Pretorius (71)

Position: Independent non-executive director

Qualification: MCom Business Economics

Appointed: 2011

Brand Pretorius is a well-known and respected businessman in South Africa, particularly in the motor industry where he held the position of Managing Director for Toyota SA for eight years and that of Chief Executive Officer of McCarthy Limited from 1999 to his retirement on 1 March 2011. Brand currently serves as a non-executive director on the boards of Reunert, Agrinet and Metair Investments.

8. Tsundzukani Mhlanga (37)

* *

Position: Executive director: Finance and Administration

Qualification: CA(SA), MBA

Appointed: 2018

Tsundzukani is a Chartered Accountant (SA) and also holds a Masters' in Business Administration, as well as a certificate in Mining Tax Law. She was previously Financial Director of a JSE-listed property sector company and prior to that, acting Chief Financial Officer of a mining company.

6. Ndumi Medupe (48)

C

Position: Independent non-executive director

Qualification: BAcc, CA(SA)

Appointed: 2014

Ndumi is a Chartered Accountant (SA). She has held various positions including running her own auditing and consulting practice for 15 years and clientele included both listed and state-owned entities in financial services, mining, energy and forestry. Her areas of expertise include auditing, financial management and risk management. Ndumi currently serves as a non-executive director on the board of City Lodge.

9. Nkateko Khoza (42)

C

Position: Independent non-executive director

Qualification: BCom, MBA

Appointed: 2018

Nkateko is the Chief Executive Officer of Dzana Investments, a venture founded by her father, Dr Reuel Khoza. Dzana Investments is a holding company with interests in mining, property, energy, education, health and the ICT sector. She was formerly associate director at Deloitte Consulting where she was responsible for business development and client service.

Audit and Risk
Social and Ethics
Remuneration
Nominations
C Chairman of the Board
* By invitation

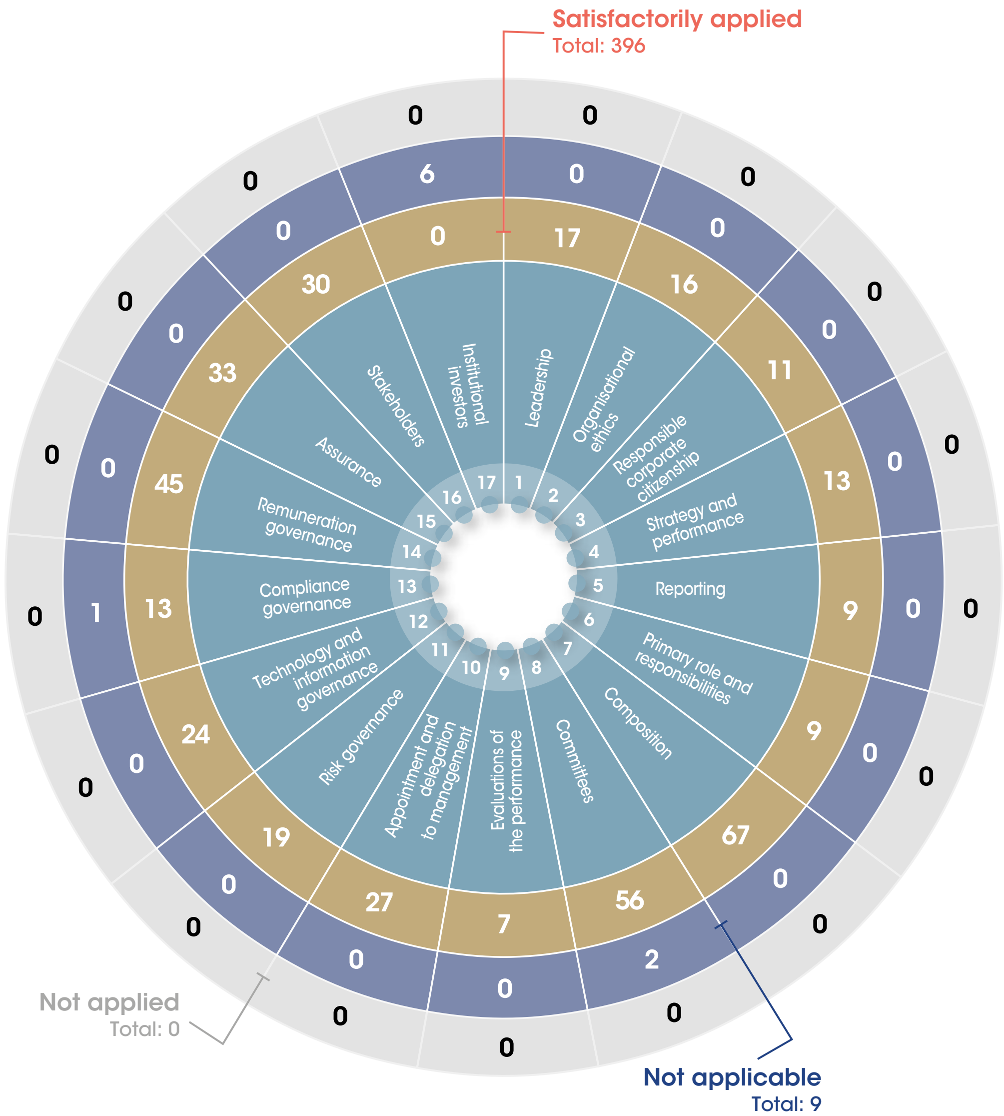
In order to ensure we recruit and retain the right calibre of individuals, our strategy is to drive the culture and activities of the business through our values and beliefs. These principles include: partnership, hands-on approach, performance driven, entrepreneurial flair, high work ethic, transparency in communication, dignity, empowerment, integrity and putting the customer first.

CORPORATE GOVERNANCE

KING IV™

Italtile believes that the application of effective governance is essential to establishing an ethical and successful organisation which creates sustainable value for its stakeholders, and welcomes the latest update of the King Code of Governance Principles™ ("King IV™"). King IV™ was published on 1 November 2016, and its outcome-driven approach to corporate governance aligns with Italtile's existing governance framework and commitment to sustainable value creation and continuous improvement.

The Group subscribes to the Institute of Directors' Governance Assessment Instrument ("IoDSA GAI"), and the following summary report on the application of King IV™ is extracted from the IoDSA GAI, with the full assessment of all principles of King IV™ included on the Italtile website, www.italtile.com.



CORPORATE GOVERNANCE continued

In accordance with the Listings Requirements of the JSE Limited ("JSE") and King IV™, the table below provides further detail on assessment of Italtile's application of the governance principles as recommend by King IV™. This table should be read in conjunction with additional corporate governance and other disclosures provided in this Integrated Annual Report. The Italtile Board recognises that these assessments are the initial steps on a journey to align practices to support the various principles of King IV™ and commits to continuous improvement in this regard.

LEADERSHIP, ETHICS AND CORPORATE CITIZENSHIP

King IV™ principle	Affirmation statement	Application	Focus area
Leadership			
Principle 1: Leadership	The Italtile Board leads ethically and effectively.	• The Board is committed to high standards of corporate governance and ethics, and is the primary custodian of the Group's values and culture. • The Board's roles and responsibilities are set out in its Charter which include, *inter alia*, providing effective leadership that stands on an ethical foundation, oversight of the Group's ethics policies, and ensuring that the Group's ethics are managed effectively. • In fulfilling its duties, the Board ensures that all its members act with integrity and competence, are transparent and fair, and are individually and collectively responsible and accountable. • The Board completes an annual self-evaluation which is reviewed by the Chairman, with no areas of concern being noted during the most recent evaluation. • Declaration of interests is a standing agenda item for each Board meeting. • The Group's stakeholder engagement processes are well established, with the assistance of the Group's investor relations expert.	• The Board is to establish a formal induction policy and a stakeholder engagement policy. • The Board is to develop and complete an annual attestation relating to the roles and responsibilities set out in the Board Charter. Consideration will also be given to external Board evaluation processes.
Organisational ethics			
Principle 2: Organisational ethics	The Italtile Board governs the ethics of Italtile in a way that supports the establishment of an ethical culture.	• The Board Charter mandates the Board to review, approve, monitor and evaluate the strategy proposed by management, while simultaneously monitoring the Group policies in place. • The Group's culture, value and Business Conduct Policy form an integral part of its strategy and success. • Reports from the Group's whistle-blowing lines as well as the annual employee engagement survey are reviewed by the Board. Such reports detail allegations and findings, and management's response to or remediation thereof. • The Board is assisted in the execution of these duties by its Social and Ethics Committee, as well as its Audit and Risk Committee. • The promotion and preservation of the corporate culture and values, which is underpinned by high ethical standards, is delegated by the Board to its executive directors. • Employees of the Group undergo ethics-related training and recently diversity training.	• The formalisation of a supplier code of conduct for those suppliers outside of the integrated supply chain will receive focus in 2020.

LEADERSHIP, ETHICS AND CORPORATE CITIZENSHIP CONTINUED

King IV™ principle	Affirmation statement	Application	Focus area
Responsible corporate citizenship			
Principle 3: Responsible corporate citizenship	The Italtile Board ensures that Italtile is, and is seen to be, a responsible corporate citizen.	• Italtile is committed to being a responsible corporate citizen and the Board ensures that the Company pursues its activities within the confines of social, environmental and governance responsibilities as legislated or otherwise. In establishing its strategy, the Board considers the impact of its activities on the business, communities, stakeholders and the environment. • The Board has tasked the Social and Ethics Committee with overseeing responsible corporate citizenship, which also monitors compliance with the UN Global Compact principles. • The Group has a full-time Corporate Citizenship Manager who oversees projects related to environmental initiatives (such as water preservation and renewable energy), community upliftment (including renovation of ablutions at primary schools) and other charitable activities. • The Group has further established the Italtile and Ceramic Foundation Trust, which is a Broad-Based Black Ownership Scheme, with the objective of carrying on public benefit activities in a non-profit manner and with an altruistic and philanthropic intent, focusing on education, sport and conservation.	• The Social and Ethics Committee receives reports on the work of the Corporate Citizenship Manager and that of the Italtile and Ceramic Foundation Trust following each meeting to ensure Italtile's commitment to being a responsible corporate citizen is being carried out.

STRATEGY, PERFORMANCE AND REPORTING

King IV™ principle	Affirmation statement	Application	Focus area
Strategy and performance			
Principle 4: Strategy and performance	The Italtile Board appreciates that Italtile's core purpose, its risks and opportunities, strategy, business model, performance and sustainable development are all inseparable elements of the value creation process.	• The Board delegates the detailed formulation and implementation of the Group's strategy to management. • The Board reviews, approves, monitors and evaluates the implementation of the Group's strategy. The strategy is revisited and debated annually in detail at a two-day breakaway session attended by the Board and members of the Group's Executive Committee and senior management. • In approving the strategy, the Board ensures a sustainable alignment of the Group's business model, strengths, weaknesses and opportunities. • The Board evaluates performance of strategy implementation with reference to both financial and non-financial outcomes, to ensure that sustainable value creation is achieved. • Progress against strategy is reported by the Chief Executive Officer quarterly.	

OUR GOVERNANCE

CORPORATE GOVERNANCE continued

STRATEGY, PERFORMANCE AND REPORTING CONTINUED

King IV™ principle	Affirmation statement	Application	Focus area
Reporting			
Principle 5: Reporting	The Italtile Board ensures that reports issued by Italtile enable stakeholders to make informed assessments of the organisation's performance, and its short, medium and long-term prospects.	• The Board, assisted by the Audit and Risk Committee, ensures that reports are compliant with legal reporting requirements and timeously meet the reasonable and legitimate needs of the Group's stakeholders. Further, the Board, again assisted by the Audit and Risk Committee, ensures that the necessary controls are in place to verify the integrity of disclosed reports, and makes use of the Group's enterprise risk matrix as a basis for determining material items for disclosure. • Reports prepared by the Group, all of which are reviewed and approved by the Board prior to publication, include: – Integrated Annual Report and annual financial statements; – King IV™ corporate governance disclosures; – Interim financial reports; and – Trading updates (including voluntary statements) and other announcements on SENS as required by the JSE Listings Requirements. • The Board ensures that all relevant stakeholders have access to its published reports, with this responsibility being delegated to management.	

GOVERNING STRUCTURES AND DELEGATION

King IV™ principle	Affirmation statement	Application	Focus area
Primary role and responsibilities of the Board			
Principle 6: Primary role and responsibilities	The Italtile Board serves as the focal point and custodian of the organisation's corporate governance.	• The Board has overall responsibility for corporate governance across the Group. • The Board is supported by its four sub-committees (Audit and Risk Committee, Social and Ethics Committee, Nominations Committee and Remuneration Committee) whose chairpersons provide feedback at Board meetings. • The roles and responsibilities of the Board are contained in its Charter, with each sub-committee having its own charter which is reviewed annually. • Although the Board retains overall responsibility for the Group, it delegates the management of the day-to-day operations of the Group to the executive directors, who operate according to a delegation of authority framework. • The executive directors of the Board are either members of subsidiary boards or attend by invitation to ensure consistent application of the Group's overall strategy and governance.	• The delegation of authority framework continues to receive focus.

King IV™ principle	Affirmation statement	Application	Focus area
Composition of the Board			
Principle 7: Composition	The Italtile Board comprises the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance roles and responsibilities objectively and effectively.	• The Board recognises that an appropriately balanced and diverse governance body is important for enhanced debate and decision making. • The Board believes that its current composition is appropriate for the current size and complexity of the Group, with the majority of the Board members being independent non-executive directors. The executives of the Group, including the Chief Executive Officer, are members of the Board, and members of the Group's Executive Committee and senior management attend Board meetings by invitation. • Given that the Chairman of the Board is not independent, a strong lead independent director has been appointed to the Board. • The Nominations Committee ensures that any Board candidates have the necessary skills, knowledge and experience to make a meaningful contribution to the Board, while ensuring that diversity and independence of the Board is preserved and all nominations are handled in a transparent manner. • Non-executive directors are subject to rotation and re-election after the Board satisfies itself that they remain fit and proper. • The Board completes an annual self-evaluation which is reviewed by the Chairman, with no areas of concern being noted during the most recent evaluation. • Declaration of interests is a standing agenda item for each Board meeting.	• Use will be made of the IoDSA GAI as part of the Board evaluation process.
Committees of the Board			
Principle 8: Committees	The Italtile Board ensures that its arrangements for delegation within its own structures promote independent judgement, and assist with balance of power and the effective discharge of its duties.	• The Board is supported by its four sub-committees (Audit and Risk Committee, Social and Ethics Committee, Nominations Committee and Remuneration Committee) whose chairpersons provide feedback at Board meetings. • The responsibilities delegated to each sub-committee is formally documented in committee charters which are reviewed annually. • The Board ensures that the composition of the sub-committees is appropriate for delegated responsibilities and that there is effective collaboration through cross-membership (while maintaining a balanced distribution of power). • Any member of the Board is entitled to attend any committee meeting as an observer, and members of management may also attend such meetings on invitation.	

CORPORATE GOVERNANCE continued

GOVERNING STRUCTURES AND DELEGATION CONTINUED

King IV™ principle	Affirmation statement	Application	Focus area
Evaluations of the performance of the Board			
Principle 9: Evaluations of performance	The Italtile Board evaluates its own performance and that of its committees, its chair and its individual members, and supports continued improvement in its performance and effectiveness.	• The Board completes an annual self-evaluation which is reviewed by the Chairman, with no areas of concern being noted during the most recent evaluation. • The Board is satisfied that each sub-committees is functioning effectively.	• Use will be made of the IoDSA GAI as part of the Board evaluation process.
Appointment and delegation to management			
Principle 10: Management appointment and delegation	The Italtile Board ensures that the appointment of, and delegation to, management contributes to role clarity and effective exercise of authority and responsibility.	• Although the Board retains overall responsibility for the Group, it delegates the management of the day-to-day operations of the Group to the executive directors, who operate according to a delegation of authority framework. • The Group's Chief Executive Officer is held accountable for the performance of the Group and the implementation of the approved strategy. Progress against strategy and a summary of Group performance is reported by the Chief Executive Officer quarterly. • The executive directors are appointed by the Board, and their performance is measured against key performance indicators (financial and non-financial) by the Remuneration Committee. • The executive directors are not members of the sub-committees (barring the Social and Ethics Committee) but do attend committee meetings by invitation. • The Board believes the Company Secretary has the requisite knowledge, experience and stature. • The Board has formalised succession planning for executive directors.	• The delegation of authority framework continues to receive focus.

GOVERNANCE FUNCTIONAL AREAS

King IV™ principle	Affirmation statement	Application	Focus area
Risk governance			
Principle 11: Risk governance	The Italtile Board governs risk in such a way that supports the organisation in setting and achieving its strategic objectives.	• The Board is ultimately responsible for ensuring that risks are effectively managed and has delegated this responsibility to the Audit and Risk Committee, with the understanding that the overarching aim of effective risk management being preservation of sustainable value creation for stakeholders. • An enterprise risk framework has been approved by the Audit and Risk Committee and is used to identify material risks (in accordance with a defined risk appetite) to which the Group's strategy and controls are to be responsive. A top-down and bottom-up approach is used to identify risks. • Risks identified using the enterprise risk framework are regularly reviewed and debated and a combined assurance model adopted in assessing the effectiveness of controls to address the risks. Providers of assurance include management, internal audit and external audit. • As part of the risk identification process, opportunities related to such risks are identified and leveraged where possible. • The Board has delegated the implementation and execution of effective risk management to the executive directors.	
Technology and information governance			
Principle 12: Technology and information governance	The Italtile Board governs technology and information in a way that supports the organisation in setting and achieving its strategic objectives.	• The Board understands that information technology ("IT") is a critical component of the business and is supported by the Audit and Risk Committee to oversee governance of technology and information. • The day-to-day management of the IT environment is delegated to management which includes a subject specialist Group IT Manager. Management report at least quarterly to the Board on matters relating to IT, including security and developments. • Risks related to technology and information are incorporated into the Group's enterprise risk framework with particular focus on controls to prevent unauthorised access to IT systems and information, and disaster recovery. • Incorporated in the Group's overall strategy is a dedicated focus on the IT strategy to ensure alignment and critical support with the overall strategy. • Independent assurance relating to IT controls is obtained on an annual basis.	• IT governance and Protection of Personal Information ("PoPI") compliance continues to be an area of focus.

CORPORATE GOVERNANCE continued

GOVERNANCE FUNCTIONAL AREAS CONTINUED

King IV™ principle	Affirmation statement	Application	Focus area
Compliance governance			
Principle 13: Compliance governance	The Italtile Board governs compliance with applicable laws and adopted, non-binding rules, codes and standards in a way that supports the organisation in setting and achieving its strategic objectives.	• The Board is assisted by the Audit and Risk Committee and the Social and Ethics Committee to oversee compliance with applicable laws, regulations, codes and standards, including voluntary codes such as the UN Global Compact. • The Board has delegated the responsibility for implementing compliance to management, who consult with subject matter experts where deemed necessary. • Management participates in training sessions facilitated by subject matter experts where necessary. • An independent review of compliance with laws and regulations is performed every three years with the assistance of a credible legal firm, and findings thereof are reported to the Board and addressed by management. No material findings were noted during the previous review. In addition to this review, further limited assurance is obtained annually from the Group's external auditors and taxation consultants with regard to adherence to relevant laws and regulations. • The Group was not subject to any material penalties, sanctions or fines for contravention of, or non-compliance with, regulatory obligations during the period under review. • Refer to principle 3 disclosure above for further disclosure relating to the Company's governance of ethics and considerations for being a responsible corporate citizen.	
Remuneration governance			
Principle 14: Remuneration governance	The Italtile Board ensures that the organisation remunerates fairly, responsibly and transparently in order to promote the achievement of strategic objectives and positive outcomes in the short, medium and long term.	• With the assistance of the Remuneration Committee, the Board ensures that executives, management and other staff are remunerated fairly and transparently, in order to support the Group's long-term sustainability and success. • The Group's remuneration policy is reviewed by the Remuneration Committee and approved by the Board. It is designed to attract and retain key personnel, promote the achievement of strategic objectives by establishing a high-performance culture, and preserve the corporate culture and ethics. • The Group's remuneration policy and implementation report is subject to non-binding votes by shareholders.	

GOVERNANCE FUNCTIONAL AREAS CONTINUED

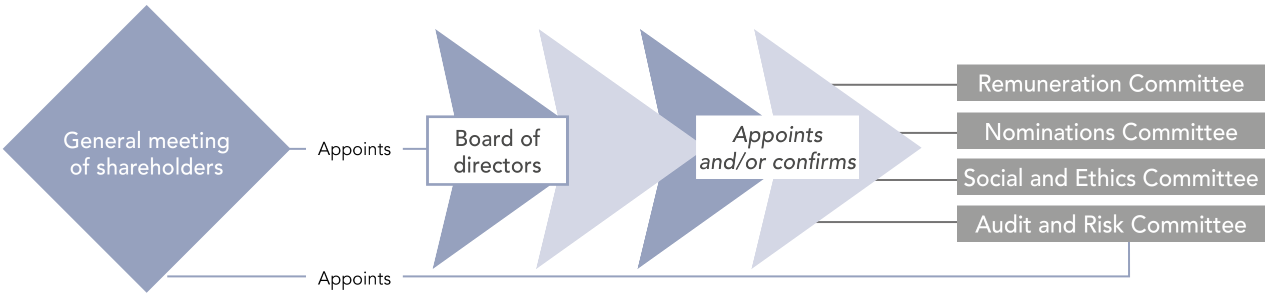
King IV™ principle	Affirmation statement	Application	Focus area
Assurance			
Principle 15: Assurance	The Italtile Board ensures that assurance services and functions enable an effective control environment, and that these support the integrity of information for internal decision making and external reporting purposes.	• The Board, assisted by the Audit and Risk Committee, ensures adequate assurance is obtained over the internal control environment, integrity of information for management decision making, and external reporting. • Italtile implements a combined assurance model comprising management, internal audit and external audit. • The Audit and Risk Committee reviews the internal and external audit approaches to ensure that significant risk areas and material matters are addressed. • The Internal Audit Charter and plan is approved by the Audit and Risk Committee, as it is responsible for overseeing this function. • The Head of Internal Audit has direct access to the Chairman of the Audit and Risk Committee and is not a member of executive management, thus preserving independence. • The Audit and Risk Committee receives regular reports related to assurance from the external auditors, Head of Internal Audit and management. • The Audit and Risk Committee recommends the appointment of the auditors. The Board is satisfied that the external auditors are independent.	

CORPORATE GOVERNANCE continued

STAKEHOLDER RELATIONSHIPS

King IV™ principle	Affirmation statement	Application	Focus area
Stakeholders			
Principle 16: Stakeholders	In the execution of its governance roles and responsibilities, the Italtile Board has adopted a stakeholder inclusive approach that balances the needs, interests and expectations of material stakeholders in the best interest of the organisation over time.	• The material stakeholders of Italtile are its shareholders, employees, franchisees, suppliers and business partners, government and regulators, communities and customers. • The management of stakeholder relationships and interactions is overseen by the Board with the assistance of the Social and Ethics Committee, both well aware of the importance of maintaining sound stakeholder relationships. • Italtile adopts an inclusive approach and engages stakeholders on multiple levels and through various mediums, allowing the Group to be effectively responsive to their needs, interests and expectations. • Management proactively encourages engagement with stakeholders. • The AGM is attended by all directors and the external auditors, providing shareholders with an opportunity to engage with them.	
Responsible investment			
Principle 17: Institutional investors	The Italtile Board does not apply this principle as the organisation is not an institutional investor.		

GOVERNANCE STRUCTURE



BOARD OF DIRECTORS

A formal Board Charter has been adopted and includes a code of ethics to which all directors subscribe. Procedures exist in terms of which unethical business practices can be brought to the attention of the Board by directors.

COMPOSITION OF THE BOARD

The Board comprises three executive directors, a non-executive Chairman, a non-executive Deputy Chairman and five non-executive directors all of whom are independent.

The directors are individuals of a high calibre with diverse backgrounds and expertise, facilitating independent judgement and broad deliberations in the decision-making process.

CLASSIFICATION OF DIRECTORS

The basis on which directors have been classified in terms of their independence in this report is as follows:

- executive directors are involved in the management of Italtile and/or its subsidiaries and are employed in a full-time capacity by Italtile;
- non-executive directors are those who have been nominated by a shareholder owning more than 20% of the Group, or who were in the employ of the Group in the preceding financial year. Non-executive directors are not involved in day-to-day management and are not in full-time salaried employment of Italtile and/or its subsidiaries; and
- independent non-executive directors are all other directors irrespective of the period during which they have been members of the Board and as defined in King IV™ and the JSE Listings Requirements.

No director has an automatic right to a position on the Board. All directors are required to be elected by the shareholders at an annual general meeting on a rotational basis.

BOARD RESPONSIBILITIES

The Board is responsible to shareholders for the conduct of the business of the Group, which includes providing Italtile with clear strategic direction. The schedule of matters reviewed by the Board includes:

- approval of the Group's strategy and annual budget;
- overseeing Group operational performance and management;
- ensuring that there is adequate succession planning at senior levels;
- overseeing director selection, orientation and evaluation;
- approval of major capital expenditure or disposals, material contracts, material acquisitions and developments;
- reviewing the terms of reference and approving charters of Board Committees;
- determining policies and processes which seek to ensure the integrity of the Group's risk management and internal controls;
- maintaining and monitoring the Group's systems of internal control and risk management;
- communication with shareholders, including approval of all circulars, prospectuses and major public announcements;
- approval of the interim statement and Integrated Annual Report and accounts (including the review of critical accounting policies and accounting judgements and an assessment of the Company's position and prospects); and
- approval of dividends.

The Board retains full and effective control over the business of Italtile. The Board has defined levels of materiality through a written delegation of authority, which sets out decisions the Board wishes to reserve for itself. The delegation is regularly reviewed and monitored.

DIVISION OF RESPONSIBILITY

The Company conducts an annual evaluation of its Board, Board Committees and individual directors, and is confident that there is an appropriate balance of power and authority on the Board to ensure that no one director has unfettered powers of decision making.

The division of responsibilities maintains a balance of power and authority on the Board.

TERM OF OFFICE

The three executive directors have employment contracts without fixed terms. In accordance with the Company's Memorandum of Incorporation, all non-executive directors are subject to retirement by rotation and re-election by shareholders at least every three years.

If requested to serve a further term, those retiring directors may offer themselves for re-election by shareholders. Any director appointed during the year must retire at the annual general meeting held immediately after his or her appointment.

BOARD MEETINGS

The Board meets at least every quarter or more frequently if circumstances require. At the meetings, the Board considers both financial and non-financial qualitative information that might have an impact on the Group's stakeholders. Prior to every Board meeting, each director receives an information pack that provides background information on the performance of the Group for the year to date and any other matters for discussion at the meeting.

Board members have full and unrestricted access to relevant information, management, and the Company Secretary, and may, at the cost of the Group, seek independent professional advice in the fulfilment of their duties.

CORPORATE GOVERNANCE continued

Details of attendance at Board meetings are set out below:

Board member	Attendance at meetings
G A M Ravazzotti	3/4
J N Potgieter#	4/4
S M du Toit	4/4
S G Pretorius	4/4
N Medupe[3]	4/4
B G Wood#	4/4
N V Mtetwa[1]	4/4
T T A Mhlanga#	4/4
N P Khoza	4/4
I Z Nyanga[2]	0/4

Executive.
[1] *Ms Mtetwa resigned from the Board on 31 August 2019.*
[2] *Ms Nyanga was appointed to the Board on 1 June 2019 and no meetings had been held.*
[3] *Ms Medupe has advised that she will resign following the AGM on 14 November 2019.*

BOARD APPOINTMENT POLICY

The Board evaluates its composition each year to ensure an appropriate mix of skills, experience, professional and industry knowledge to meet the Company's strategic objectives. Demographic representation is also a consideration. New directors are subject to a 'fit and proper' test. An induction programme is available to incoming directors, providing guidance on their responsibilities. The appointment of the directors is approved at the annual general meeting of shareholders.

None of the non-executive directors have entered into service contracts or standard letters of appointment with Italtile.

LEAD INDEPENDENT DIRECTOR

While the Board is led by a non-executive Chairman, Ms S M du Toit continues to serve as lead independent non-executive director to the Company's Board.

BOARD COMMITTEES

The Board has established four committees to which it has delegated specific responsibilities in meeting its corporate governance and fiduciary duties.

These committees operate within written terms of reference and charters approved by the Board. These are:

- Audit and Risk Committee;
- Remuneration Committee;
- Nominations Committee; and
- Social and Ethics Committee.

AUDIT AND RISK COMMITTEE

The Committee met five times during the period under review. Attendance at the meetings was as follows:

Members	Attendance at meetings
N Medupe	5/5
S G Pretorius	5/5
S M du Toit	5/5
N V Mtetwa	5/5

For the full Audit and Risk Committee report refer to page 132.

REMUNERATION COMMITTEE

The Committee met three times during the period under review. Attendance at the meetings was as follows:

Members	Attendance at meetings
S M du Toit	3/3
G A M Ravazzotti	3/3
S G Pretorius	3/3

For the full Remuneration report refer to page 88.

NOMINATIONS COMMITTEE

The Nominations Committee is a sub-committee of the Board and meets on an *ad hoc* basis as required, but at least once a year. The Committee is chaired by the non-executive Chairman and comprises a majority of independent non-executive directors. The current members of the Committee are: Mr G A M Ravazzotti (Chairman), Mr S G Pretorius and Ms S M du Toit.

The Nominations Committee's key roles include the identification and evaluation of suitable candidates for appointment to the Board, as well as succession planning.

The Nominations Committee considers both race and gender when nominating appointments of directors to the Board. The current Board composition is diverse in terms of both race and gender.

The Committee met three times during the period under review. Attendance at the meetings was as follows:

Members	Attendance at meetings
G A M Ravazzotti	3/3
S G Pretorius	3/3
S M du Toit	3/3

The Board considers the composition of the Nominations Committee to be appropriate for the needs of the Group at this time, and believes that the members are suitably equipped with the necessary knowledge, skills and experience.

SOCIAL AND ETHICS COMMITTEE

The Committee met three times during the year. Attendance at the meetings was as follows:

Members	Attendance at meetings
N P Khoza[1]	2/3
N Medupe	2/3
B G Wood[2]	3/3
J N Potgieter	3/3
T T A Mhlanga[2]	3/3

[1] *Ms Khosa was appointed as Chair of the Committee with effect from 7 November 2018.*
[2] *By invitation.*

For the full Social and Ethics Committee report refer to page 98.

COMPANY SECRETARY

The Company Secretary is Ms E J Willis and she is neither a director nor a shareholder of Italtile or any of its subsidiaries. On that basis, the Board believes that Ms E J Willis maintains an arm's length relationship with the executives, the Board and the individual directors.

The Company Secretary is responsible for administering the proceedings and affairs of the directorate, the Company and, where appropriate, owners of securities in the Company, in accordance with the relevant laws. The Company Secretary is available to assist all directors with advice on their responsibilities, their professional development and any other relevant assistance they may require.

The Nominations Committee has considered the skills and experience of the Company Secretary and the level of competence she has demonstrated as Italtile's Group Company Secretary since 2009, and in her role as a Company secretarial consultant since 2001. The Board, on the recommendation of the Nominations Committee, is satisfied with the level of competence of the Company Secretary. It requires a decision of the Board as a whole to remove the Company Secretary, should this become necessary.

CODE OF BUSINESS AND ETHICS

The Group has adopted a formal code of business ethics and conduct ("the Code") which requires all directors and employees to act with honesty and integrity and to maintain the highest ethical standards. The Code deals with compliance with laws and regulations through a system of values and standards.

The Board oversees and ensures that management throughout the Group assumes responsibility for training and mentoring staff on the Group's values and standards and ensuring compliance.

STAKEHOLDER COMMUNICATION

Italtile is committed to open, honest and regular communication with key stakeholders on financial and non-financial matters. A working partnership between the Group, its suppliers, franchisees, employees and members of the community forms the basis of a mutually beneficial association.

The annual general meeting provides an opportunity to communicate directly with shareholders. The meeting provides a forum for shareholders to question and express their views about the Company's business. The Chairmen of the Audit and Risk and Remuneration Committees are available at the meetings to answer questions from shareholders.

Notice of the annual general meeting and related documents are mailed to shareholders at least 15 business days before the meeting. Separate resolutions are proposed on each substantially different issue. The notice is contained in the Integrated Annual Report.

The Group's executive management team meets with investors after the publication of interim and annual results to present an update on the industry, current operations of the business and its prospects.

SHARE DEALINGS

All directors of the Company are required to comply with the requirements of the JSE regarding inside information, transactions and disclosure of transactions.

In line with the Financial Markets Act, No 19 of 2012, the Board enforces a restricted period for dealing in Italtile shares, in terms of which any dealings in shares by all directors and senior personnel is disallowed from the time that the reporting period has elapsed to the time that results are released and at any time that such individuals are aware of unpublished price-sensitive information, whether the Company is trading under cautionary announcement as a result of such information or not.

CORPORATE GOVERNANCE continued

RISK MANAGEMENT AND INTERNAL CONTROLS

Italtile recognises that managing risk and compliance is an integral part of generating sustainable shareholder value and enhancing stakeholder interests.

The Group has in place an enterprise risk management framework which is based on a combined assurance model comprising: management (divisional and executive directors); external auditors (Ernst & Young Inc.); and Support Centre oversight (including the internal audit function). The structure of this model and its activities are designed to ensure that the Group's risks are adequately addressed.

The Board, assisted by the Audit and Risk Committee, is responsible for risk, risk tolerance determination, risk management within the Group, performance of risk assessments, the use of acceptable risk methodologies and the monitoring of risk on a continual basis.

The Board ensures there is regular assessment of financial and non-financial risks in the context of the Group's business environment, with a view to mitigating and/or eliminating risk through the Group's strategies and processes.

Internal controls are designed to manage rather than eliminate risks of failure to achieve business objectives, and provide reasonable rather than absolute assurance against material misstatement or loss. The internal audit function is a structured review of internal controls based on risk assessment.

The material issues, risks and opportunities report on page 27 of this report discusses the Group's top risks and issues and the management thereof in detail.

SUSTAINABILITY

Italtile is committed to good corporate citizenship practices and organisational integrity in the direction, control and stewardship of the Group's affairs.

The Group recognises the imperative to balance returns for shareholders with the long-term needs of the business, its employees, the broader society and the environment.

The Company is aware of its responsibility to safeguard the interests of all stakeholders and believes that good governance is essential to the Group's long-term sustainability and functioning. The Group's objective is to conform stringently to transparency, while operating profitably and remaining accountable to the broader community which it serves.

Shareholders, customers, employees, suppliers and business partners, franchisees, regulators and the communities in which the Group operates are regarded as key stakeholders.

King IV™ places emphasis on the principles of strategy, sustainability and governance and provides for greater integration of those elements. Accordingly, Italtile continues to strive to align the Group's practices with the recommendations of King IV™.

TRANSFORMATION

Italtile is committed to empowerment in its business and is supportive of transformation in the country. The Group endorses the principles in the Employment Equity Act and aligns its human resources policies accordingly. Refer to page 102 for the detailed transformation report.

EMPLOYMENT EQUITY STATISTICS

As at 30 June 2019

	Male				Female				
	African	Coloured	Indian	White	African	Coloured	Indian	White	Total
Skilled to top management	211	19	8	120	76	4	8	60	506
Semi-skilled and unskilled	1 196	34	7	50	344	21	8	38	1 698
Total	1 407	53	15	170	420	25	16	98	2 204

The above statistics apply to South African operations only and do not include the franchised stores. The Group submits its employment equity reports to the Department of Labour on an annual basis and has substantially met relevant targets in recent prior years.

CORPORATE SOCIAL RESPONSIBILITY

The Group is committed to uplifting the societies in which it operates through following sound employment practices and meeting the real needs of those communities. Refer to pages 112 to 121 in this regard.

OCCUPATIONAL HEALTH AND SAFETY

Italtile complies with the Occupational Health and Safety Act, No 85 of 1993 and other relevant legislation, regulations and codes of practice for South Africa. The aim of the Group's Health and Safety policy is to prevent and minimise work-related injuries and health impairments by ensuring that all employees are provided with adequate training and supervision to undertake their roles.

ENVIRONMENTAL MANAGEMENT

The Group's Citizenship Manager is instrumental in implementing Italtile's long-standing environmental consciousness values across the business. Programmes are aimed at measuring, managing and reducing the Group's impact on the environment and promoting its long-term sustainability. This Citizenship Manager operates in conjunction with executive management, with a view to better aligning and integrating the green agenda into the day-to-day processes and functioning of the business.

The Group's environmental and sustainability report is on page 104.

HUMAN CAPITAL DEVELOPMENT

Italtile strives to be the employer of choice in its industry. The Group's strategy is to recruit and retain the best people from South Africa's diverse population base, and to ensure they are empowered, accountable for their actions and rewarded accordingly. Refer to page 59 in this regard.

SKILLS DEVELOPMENT

Training and development initiatives are formulated and conducted in-house, ensuring relevance to the Group's culture, values and strategy.

Training courses are designed for students ranging from beginners to intermediate and advanced levels. Training courses include an induction course for all new employees, as well as focused business, technical, management and corporate governance programmes. Minimum training competencies have been mapped for all job titles to support consistent standards across the Group.

Over the past year, training spend and operating costs amounted to R14 million (2018: R12,7 million).

In addition to Group-wide training interventions, Italtile's Tiling, Plumbing and Laminate Academy continues to raise the benchmark in product knowledge training.

ECONOMIC IMPACTS

Italtile is committed to satisfying the needs of its customers while delivering acceptable profit growth. The Group endeavours to create wealth for the benefit of all stakeholders.

The value added statement on page 66 is a measurement of the wealth the Group created in its operations by adding value to the cost of raw materials, products and services purchased. The statement shows the total wealth created and how that was distributed.

The statement also takes into account the amounts retained and reinvested in the Group for the replacement of assets and development of future operations.

REMUNERATION COMMITTEE REPORT

This report sets out Italtile's remuneration philosophy and policy for non-executive directors, executive directors and prescribed officers. It also provides a description as to how the policy has been implemented and discloses payments made to non-executive and executive directors and prescribed officers during the year under review.

The report focuses on the fixed and variable elements of executive remuneration, as well as fees paid to non-executive directors and uses the single figure disclosure format. Assessed against King IV™ and the amended JSE Listings Requirements, the Remuneration Committee is satisfied with the Company's compliance.

In line with leading practice as prescribed by King IV™, this report is divided into three sections:

Section 01 — BACKGROUND STATEMENT WITH FEEDBACK FROM THE CHAIRPERSON OF THE REMUNERATION COMMITTEE

Section 02 — OUR REMUNERATION PHILOSOPHY, POLICY AND FRAMEWORK

Section 03 — IMPLEMENTATION REPORT AND REMUNERATION DISCLOSURE OF EXECUTIVE DIRECTORS AND PRESCRIBED OFFICERS

Section

01

BACKGROUND STATEMENT WITH FEEDBACK FROM THE CHAIRPERSON OF THE REMUNERATION COMMITTEE

DEAR STAKEHOLDERS

I am pleased to present Italtile's Remuneration report for the year ended 30 June 2019.

As members of Italtile's Remuneration Committee, our focus has been to assist and advise the Board on matters relating to remuneration governance and matters relating to the remuneration of senior management. The Committee is focused on responsible remuneration practices across the Company and strives for fair, responsible and transparent remuneration through the review of remuneration practices.

A core responsibility of the Remuneration Committee is to ensure that the remuneration philosophy and policy supports Italtile as follows:

- aligns executive reward with the Group's commercial success and sustainability; and
- supports the Group's strategic objectives and allows for the recruitment, motivation and retention of senior executives, ultimately maximising shareholder value while complying with relevant legislation and requirements of the King IV™ Report on Corporate Governance for South Africa (2016).

The Group's financial performance was solid despite difficult trading conditions. Consolidated turnover increased by 15% year on year:

- Group trading profit increased by 18% year on year;
- costs were contained, margins maintained and working capital efficiencies lead to improved stock turns and cash reserves year on year; and
- Group basic earnings per share increased by 8% and headline earnings per share by 7%.

Significant progress was made in many operational areas, with the biggest challenge remaining sales growth and the further development of the people pipeline.

Satisfactory progress has been made against the objectives set in the strategic plan as approved by the Board.

Some strategic successes include:

- the Africa growth strategy is on track with a detailed property plan for future store roll outs as well as a new distribution centre in Kenya that is operational;
- satisfactory progress has been made on reducing Group-wide distribution costs;
- the Group has an excellent web offering showing solid growth;
- good progress has been made on our BBBEE plan;
- ongoing focus on the franchise and business model; and
- focus on executive leadership development.

REMUNERATION COMMITTEE AT A GLANCE

As tasked by the Board, the Committee assists in setting the Company's remuneration policy and remuneration for directors and prescribed officers. As per its terms of reference, published on our website, the Committee's responsibilities are to:

- assist the Board in developing and setting the Group's Remuneration Policy;
- determine and approve the total remuneration of executive directors and executive management;
- determine and approve the performance measures for executive directors;
- review the compensation basis and proposed average annual increases for the Group's employees;
- review remuneration and Board best practice and trends in order to assess the appropriateness of the remuneration policy;
- review remuneration matters for top management promotions, transfers and termination of employment;
- oversee any proposed major changes to employee benefit structures throughout the Group;
- review and recommend short and long-term incentive policies and targets for directors, executive management and staff;
- set the participation principles for the various remuneration schemes;
- review and recommend performance management policies;
- ensure compliance with applicable laws and codes;
- advise on the fees for non-executive directors; and
- review and evaluate the contribution of each executive director and member of senior management and determine their salary adjustments on an annual basis.

REMUNERATION COMMITTEE REPORT continued

Key decisions taken by the Remuneration Committee during the year under review include:

- approval of increases and adjustments for executives and senior management, as well as the framework for increases for all other employees;
- approval of short and long-term incentive structures and awards for executives and senior management as well as the framework for all other employees;
- approved the key performance indicators for the executives; and
- recommendation of non-executive director fees for approval to the Board.

As required by the Companies Act and King IV, the following resolutions will be tabled for shareholder voting at the AGM, details of which can be found in the AGM notice:

- binding vote on non-executive directors' fees; and
- a non-binding advisory vote on the Group's remuneration policy.

The Committee Chairperson reports to the Board after each Committee meeting and attends the AGM to answer questions from shareholders on the Committee area of responsibility.

The Committee is focused on responsible remuneration practices across the Company. Our industry faces many challenges and we recognise the need to retain top talent to ensure a focused drive to meeting shareholder expectations. It is important that Italtile presents a competitive value proposition in remuneration and benefits.

REMUNERATION COMMITTEE COMPOSITION

The Remuneration Committee is a sub-committee of the Board. The Committee meets at least twice per annum. The Committee is chaired by an independent non-executive director and comprises three directors. The majority of directors on the Committee are independent.

The current members of the Committee are:
Mrs S M du Toit (Chairman), Mr G A M Ravazzotti and Mr S G Pretorius.

The Board considers the Committee's composition to be appropriate in terms of the necessary knowledge, skills and experience of its members.

The Italtile Group Company Secretary, E J Willis, attends all meetings of the Committee as secretary. The Chief Executive Officer attends all meetings by invitation in order to provide input and guidance with regard to executive director and senior management remuneration.

No attendee may participate in any discussion or decision regarding his or her own remuneration.

The Committee met twice during the year. Attendance at the meetings was as follows:

Members and invitees	Attendance at meetings
S M du Toit	2/2
G A M Ravazzotti	2/2
S G Pretorius	2/2

At the AGM on 16 November 2018, our remuneration policy was endorsed by 82,35% of our shareholders. We believe that this reflects recognition of our ongoing commitment to engage with our shareholders, and act on concerns where necessary.

In the event that the remuneration policy or implementation report is voted against by shareholders exercising 25% or more of the voting rights, dissenting shareholders will be invited to engage with the Company. The manner and timing of such engagement will be provided, if necessary.

We trust that this Remuneration report provides an accurate overview of the Company-wide remuneration policy and its implementation and specifically an in-depth view on executive management remuneration in the past year.

Susan du Toit
Remuneration Committee Chairman
7 October 2019

Section
02

OUR REMUNERATION PHILOSOPHY, POLICY AND FRAMEWORK

REMUNERATION PHILOSOPHY

Italtile is committed to maintaining pay levels that reflect an individual's worth to the Group. The Group's philosophy is to treat employees as business partners, developing a sense of ownership.

Our remuneration philosophy is governed by the principles of equity, fairness and affordability, ensuring alignment between management and shareholder requirements.

Remuneration policies are designed to attract, reward and retain the executives and employees needed to deliver on Italtile's business strategy.

REMUNERATION POLICY

The remuneration policy subscribes to King IV™ recommendations and principles on which it is based include the following principles:

- remuneration practices are aligned with Company strategy;
- total rewards are set at competitive levels in the relevant market to ensure we attract, motivate and retain highly talented individuals;
- total rewards are managed to align to the principle of responsible and fair pay;
- total remuneration costs need to be affordable at an individual corporate entity level and justifiable to employees and stakeholders;
- incentive-based results are linked to achieving demanding performance conditions consistent with shareholder interest over the short, medium and long term; and
- performance measures and targets for incentive plans are structured to operate effectively throughout the business cycle and support the business strategy.

ELEMENTS OF REMUNERATION

Italtile has an integrated remuneration and reward model which includes guaranteed remuneration, short-term incentives and long-term incentives. The components of total remuneration for permanent employees, prescribed officers and executives are fixed remuneration and variable remuneration.

Fixed remuneration comprises a basic salary and benefits, aligned to roles and performance. Variable remuneration comprises short-term incentives and long-term incentives, aimed at retention of critical employees. Performance is measured against set performance indicators.

All employees share in Group profits, based on an individual's contribution to the Group. The Group has a minimum cost to Company target of R120 000 per employee.

During the 2014 financial year, the Group implemented a Share Incentive Scheme for all qualifying employees of the Group and its franchisees that had been in the employ of the Group and/or franchise network for a period of three uninterrupted years at each allotment date in August, every year from the implementation date. Until vesting, the shares will continue to be accounted for as treasury shares and have an impact on the diluted weighted average number of shares.

The allotment is funded by the Group and the shares are restricted instruments which will vest with employees following a further three years of employment. Until vesting, the shares will continue to be accounted for as treasury shares.

The various elements of remuneration are outlined below:

Guaranteed salary for employees

Guaranteed salary is reviewed annually and positioned competitively against peers that are comparable in size, sector and business. Company performance, affordability, individual performance and average industry and sector increases are considered in determining any annual adjustment. Increases are generally inflation-linked and, where affordable, additional budget is allocated for adjusting remuneration levels that are not appropriately aligned to internal pay ranges and/or market rates for a specific job.

REMUNERATION COMMITTEE REPORT continued

Benefits

Benefits offered to employees include medical aid, provident fund and other benefits relevant to Italtile.

Incentives

The Italtile Group administers incentive schemes to encourage and reward delivery of its strategic priorities over the short, medium and long term. The short-term incentive focuses on achieving business targets in that financial year, while the long-term incentive closely aligns the interests of executives with shareholders over the longer term.

Short-term incentives

All employees share in profit. Executives take part in the Executive Profit Share Scheme.

Long-term incentives

As per the policy on long-term incentives, there are three long-term incentive schemes within the Italtile Group, each rewarding performance in an appropriate manner, designed to reward and retain key personnel. The long-term incentives include the Italtile Share Appreciation Rights Scheme, the Executive Retention Plan and the Ceramic Industries Equity Incentive Scheme.

Qualifying criteria for the long-term incentives are as per the executive scorecards.

- Share Appreciation Rights Scheme
  In accordance with the Share Appreciation Rights Scheme ("SARS"), selected directors and employees of the Group are awarded a conditional share award linked to the value of notional Italtile Limited shares ("shares"). 25% of the awards vest after three years from grant date, and the balance (75%) after five years. The value of an award is equal to the increase in the value of the shares between grant date and vesting date (the value at the latter date is defined as the volume weighted average price of Italtile Limited shares as traded on the JSE over the 10 trading days preceding and including the vesting date).

  The qualifying criteria specific to SARS awards are the short-term strategic initiatives and operational KPIs per the executive scorecards.

- Executive Retention Plan
  The Executive Retention Plan is an additional mechanism, over and above the existing Italtile Limited Share Appreciation Rights Scheme, to retain and reward selected employees and directors in line with the Group's values and remuneration philosophy of partnership. Italtile selectively enters into Retention Plan agreements with employees and directors in terms of which retention payments are made to them in conjunction with awards in terms of the Share Scheme. The payment of a retention award to an employee or director is subject to such employee or director remaining with the Group for a period of at least five years. The employee or director shall be the registered and beneficial holder of the shares acquired pursuant to the retention award from the date of transfer of such shares.

  Awards from these two schemes are to be applied towards the obligatory subscription and/or purchase of Italtile Limited ordinary shares.

- Ceramic Industries Equity Incentive Scheme
  The scheme is used to incentivise senior management on long-term profitability. A number of notional shares are awarded to an individual. These shares are due in two tranches (25% after two years, 75% after four years). Of the shares vesting in any one of the tranches, 20% are not conditional, while 80% are conditional. For conditional shares, there is a minimum profit target (below which no conditional shares are received). A straight-line calculation is used to find the number of shares to be received if the profit lies between the minimum and maximum targets. The targets are based on the profit for two years (year one and two for the first tranche and year three and four for the second tranche). The 'shares' are cash-settled. After tax is paid, the balance of the cash payment is applied towards the obligatory purchase of Ceramic Industries ordinary shares.

  Executives and prescribed officers are encouraged to build a meaningful shareholding in the Company over time.

Malus and clawback

The Committee has the discretion to clawback the pre-tax proceeds of any discretionary payment or share award received by employees in the event of a trigger event.

A trigger event would include, *inter alia*:

- the discovery of material misstatement of the financial statements, in terms of which the discretionary payment was made, to which the Board is satisfied that the employee has contributed or is responsible for;
- the discovery that the assessment of any metrics upon which the award was made was based on erroneous, inaccurate or misleading information;
- any action or conduct which, in the reasonable opinion of the Board, amounts to dishonesty, misbehaviour, fraud or misconduct;

- the discovery of a material failure in risk management to which the employee had contributed to or is responsible for; and/or
- the discovery that performance related to financial and non-financial targets was misrepresented and that such misstatement led to the over-payment of incentives.

The clawback applies for three years after the discretionary payment is made, or in the case of share schemes, three years after the awards have vested.

EXECUTIVE AND KEY MANAGEMENT PERFORMANCE MANAGEMENT

Executive and key management's performance is measured in the following categories, with specific performance targets/indicators per category, namely:

- progress against the strategic plan milestones;
- financial performance;
- human capital;
- BBBEE;
- customer satisfaction; and
- cultural fit/values.

The key performance areas for executives for the year under review, were as per the table below:

Focus area	Desired outcome	Performance	Half-year	Full year	Rating
1. Strategic plan	Drive eight key strategic objectives of approved five-year plan	In progress			Achieve
	Three regional distribution centres on track by June 2019	In progress			Achieve
	Trial new lighting merchandise category across the Group and pilot at least three U-Light stores	In progress			Achieve
	Property portfolio growth: • Open 10 to 15 new stores for the year • Close up to five non-performing stores • Improve return on property portfolio	• Opened 17 + 15 pipeline • Closed five non-performing stores • Improving			Achieve
	Build stronger CTM leadership and equity partner Restructure operations team as well as hybrid JV and franchise in regions to ensure longer-term sustainability Enhance online offering and open TopT webstore on Magento 2 platform	Complete Complete Complete			Achieve
2. Financial performance	Grow Group profit for the year:		Half-year	Full year	Achieve*
	• HEPS greater than 10%	HEPS	13%	7%	
	• Trading profit greater than 15%	Trading profit	35%	18%	
	Improve Group working capital management and Group stock turn by 10%	Improved			Achieve
	Return on shareholders' interest improved (minimum 23%)	Actual 23%			Achieve
3. Human capital	Improve employee engagement score	Actual 74 in November			Achieve
	Implement two leadership initiatives: • Diversity training • Introduce 360 assessments for Exco and senior management	Complete			Achieve
	Store operator pipeline improved to 10 per annum	In progress			Achieve
	Identify international or relevant local training courses for executive management and prescribed officers	In progress with Woodburn Mann and Insead (CEO)			Achieve

REMUNERATION COMMITTEE REPORT continued

Focus area	Desired outcome	Performance	Rating
4. BBBEE	Achieve 70 points and aim for level 6	76,6 points and level 6 achieved	Superior
	Improve preferential procurement scoring	Good progress from 6 to 16 points achieved	Superior
	Ownership initiative implemented not to be discounted	Yard Holdings transaction completed end-August 2019	Achieve
5. Customer satisfaction	Improve score and measurement in all three retail brands including new brand health monitor: • Italtile Retail • CTM • TopT	Improvement across all brands and measures with exception of sentiment score in CTM	Achieve
6. Cultural fit/values	Entrench the Group's core values of partnerships, hands-on approach, performance driven, entrepreneurial flair, high work ethic, transparency in communication, dignity, empowerment, integrity and putting the customer first	Improved	Achieve
	Maintain good relationships with external shareholders	Good progress	Achieve

** HEPS under achieved but on balance KPI was achieved.*

SERVICE CONTRACTS OF EXECUTIVE DIRECTORS AND PRESCRIBED OFFICERS

- Executive directors and prescribed officers have permanent contracts.
- The notice period prescribed by the contracts is one calendar month.
- Contracts are regularly reviewed to ensure they remain aligned with governance and legislative requirements.

NON-EXECUTIVE DIRECTOR FEES

- Non-executive director appointments are made in terms of the Company's Memorandum of Incorporation ("MoI") and confirmed at the AGM of shareholders after the appointment.
- Fees reflect the directors' role and Committee membership and are not linked to the Italtile share price. A fee applies for any additional *ad hoc* work but not exceeding 100 hours a year above Board and Committee meetings.
- Fees are reviewed by the Committee annually and require approval from shareholders at the AGM.
- Non-executive directors do not participate in any of the Company's short or long-term incentive plans, and they are not employees of the Company.
- The recommendation of the Remuneration Committee on the proposed fees is submitted to the Board for consideration before being proposed to shareholders for consideration and approval at the AGM. If approved, the fees become effective in the month following the AGM.

Non-executive director fees for 2019 are tabulated in section 3 of this Remuneration report.

USE AND JUSTIFICATION OF REMUNERATION BENCHMARKS

The Remuneration Committee reviews remuneration and Board leading practice and remuneration trends in order to assess competitiveness in the market. External remuneration benchmark reviews published by PwC, EY and the Institute of Directors in Southern Africa are reviewed and taken into account when determining pay levels and structures.

NON-BINDING ADVISORY VOTE

Shareholders are requested to cast a non-binding advisory vote on section 2 of this Remuneration report (remuneration policy).

Section 03

IMPLEMENTATION REPORT AND REMUNERATION DISCLOSURE OF EXECUTIVE DIRECTORS AND PRESCRIBED OFFICERS

The implementation report details the outcomes of implementing the approved policy in section 2 of this report.

The outcome of the performance assessment directly impacts decisions on guaranteed pay, short-term incentives and long-term incentives, as illustrated in the table below:

Description	Assessment of performance	Impact on executive remuneration
Guaranteed basic salary	Scorecard KPIs – achieved	CEO: 30% increase* Executive Retail: 5% increase Executive Manufacturing: 5% increase Executive Finance: 5% increase
Short-term incentives	0,3% of profit before tax shared between the CEO, CFO and Executive Retail CEO: 100 units Executive Retail: 60 units Executive Finance: 40 units	• Executives shared in profits • Group profit before tax grew by 15%
Long-term incentives	Awarded to high-performing, high-potential employees and executives in line with the Group's philosophy of partnership	All three executives and the two prescribed officers share in long-term incentives as disclosed in this section of this report

* *The guaranteed basic salary of the CEO was adjusted by 30% effective 1 July 2019, considering market trends, industry expertise, success in the role and size of the Group in order to ensure competitiveness in the market.*

The Committee concluded that, on an overall basis, the executive directors met the expectations and achieved the targets set by the Board as per the scorecard in section 2.

EXECUTIVE DIRECTORS' AND PRESCRIBED OFFICERS' PARTICIPATION IN SHARE INCENTIVE SCHEMES

Executive directors' holdings under the SARS are set out in the table below:

Executive director	Awards held at 1 July 2018	Awarded during the year	Vested and exercised during the year	Forfeited during the year	Awards held at 30 June 2019
J N Potgieter	3 250 000	–	–	–	3 250 000
B G Wood	2 437 500	–	(437 500)	–	2 000 000
T T A Mhlanga	500 000	–	–	–	500 000

OUR GOVERNANCE

REMUNERATION COMMITTEE REPORT continued

Executive directors' holdings under the Executive Retention Plan are set out in the table below:

Director	Awards held at 1 July 2018	Awarded during the year	Vested during the year	Forfeited during the year	Awards held at 30 June 2019
J N Potgieter	4 000 000	–	–	–	**4 000 000**
B G Wood	1 500 000	–	(500 000)	–	**1 000 000**
T T A Mhlanga	–	500 000	–	–	**500 000**

Prescribed officers' holdings under the Ceramic Industries Executive Share Scheme are set out in the table below:

Prescribed officers	Awards held at 1 July 2018	Awarded during the year	Vested during the year	Forfeited during the year	Awards held at 30 June 2019
L Foxcroft	207 069	–	–	–	**207 069**
T Molefakgotla	165 656	–	–	–	**165 656**

DIRECTORS' AND PRESCRIBED OFFICERS' EMOLUMENTS ("SINGLE FIGURE REMUNERATION")

All figures in R000	Base salary	Short-term incentives	Provident fund and medical contributions	Gain on share scheme awards	Other	Total 2019	Total 2018
Executive directors							
J N Potgieter	2 848	2 513	472	13 887	550	**20 270**	20 938
B G Wood	2 240	1 637	360	6 633	357	**11 227**	7 969
T T A Mhlanga	1 728	923	272	1 985	228	**5 136**	1 988
2019	**6 816**	**5 073**	**1 104**	**22 505**	**1 135**	**36 633**	
2018	6 243	106	1 011	22 878	657		30 895

All figures in R000	Base salary	Short-term incentives	Provident fund and medical contributions	Gain on share scheme awards†	Other	Total 2019	Total 2018
Prescribed officers							
L Foxcroft	2 822	2 892	691	8 619	382	**15 406**	15 378
T Molefakgotla	1 835	2 024	433	6 895	319	**11 506**	10 664
2019	**4 657**	**4 916**	**1 124**	**15 514**	**701**	**26 912**	
2018	4 250	3 569	1 030	15 514	1 679		26 042

† *IFRS 2 expense recognised for Executive Share Awards.*

BOARD MEETING ATTENDANCE OF EXECUTIVE DIRECTORS

Executive directors and prescribed officers do not draw any additional remuneration for attending the main Board or Committee meetings.

NON-EXECUTIVE DIRECTORS' FEES

Payments to non-executive directors

All figures in R000	Board fees	Other	Total 2019	Total 2018
Non-executive directors				
G A M Ravazzotti	1 687	–	**1 687**	1 610
L R Langenhoven	192	–	**192**	–
S I Gama	–	–	**–**	117
S M du Toit	884	–	**884**	772
S G Pretorius	550	–	**550**	453
N Medupe	481	–	**481**	416
N V Mtetwa	380	–	**380**	244
N P Khoza	291	–	**291**	28
Z Nyanga	8	–	**8**	–
2019	**4 473**	**–**	**4 473**	
2018	3 640	–		3 640
Aggregate emoluments of directors who served during the year			68 018	60 577

The following fixed fees were in place for the year under review:

Basic annual fee	R100 000
Board meeting fee	R25 000
Committee fee	R21 000
Chairman of Committee	R26 000
Strategy session fee	R30 000
Hourly rate for *ad hoc* work, not exceeding 100 hours a year	R3 400 per hour
Chairman of the Board	R1 251 000

NON-BINDING ADVISORY VOTE

Shareholders are requested to cast a non-binding advisory vote on section 3 of this Remuneration report.

STAKEHOLDER ENGAGEMENT

We value our continued engagement with various stakeholders, and we endeavour to maintain our relationships with all in the hope that we will continue to receive their valued input.

NEW RETENTION SCHEME

A new Retention Scheme will be tabled for approval at the AGM. Refer to Annexure 1 of the notice of annual general meeting. The objectives of the new Retention Scheme are similar to those of the existing Executive Retention Plan, other than that the shares will only be allocated and vest at the end of the retention period in the new scheme.

APPROVAL

This Remuneration report was approved by the Board of directors of the Company on 7 October 2019.

SOCIAL AND ETHICS COMMITTEE REPORT

The Social and Ethics Committee ("the Committee") is pleased to present its report for the financial year ended 30 June 2019.

The Board, together with the Chief Executive Officer, is responsible for the ethical culture of the Group, and has allocated the oversight of, and reporting on, organisational ethics, responsible corporate citizenship, sustainable development and stakeholder relationships to the Committee.

COMPOSITION

The Committee is a sub-committee of the Board as required by the Companies Act. The Committee has adopted a formal charter that was approved by the Board. The Committee conducts its affairs in compliance with its charter. The Committee meets at least three times per annum and is chaired by an independent non-executive director. The Committee is comprised of three directors.

The Board considers the Committee's composition appropriate in terms of the necessary knowledge, skills and experience of the members.

The Group Company Secretary, Ms E J Willis, attends all meetings of the Committee as secretary. A representative from Human Resources attends all meetings by invitation in order to provide input and guidance to the Committee on employment and ethics-related matters. In addition, the Group's Citizenship Manager attends all meetings by invitation to provide input on environmental and corporate social responsibility matters.

ROLES AND RESPONSIBILITIES

The Committee's role and responsibilities include its statutory duties as per the Companies Act, and the principles of King IV, which includes:

- monitoring the Group's activities with regard to matters relating to:
  - social and economic development;
  - good corporate citizenship, including the Group's promotion of equality, prevention of unfair discrimination, reduction of corruption, contribution to development of the communities in which its activities are predominantly conducted or within which its products or services are predominantly marketed, and record of sponsorship, donations and charitable giving;
  - the environment, health and public safety;
  - consumer relationships, including the Group's advertising, public relations and compliance with consumer protection laws; and
  - labour and employment.
- monitoring the Group's performance and interaction with its stakeholders and ensuring that this interaction is guided by the Constitution, Bill of Rights and the UN Global Compact;
- determining clearly articulated ethical standards and ensuring that the Group takes measures to achieve adherence to these in all aspects of the business, thus achieving a sustainable ethical corporate culture within the Group; and
- providing effective leadership based on an ethical foundation and ensure that the Company is and is seen to be a responsible corporate citizen.

SOCIAL AND ETHICS POLICIES

These policies set out Italtile's commitment to undertake its business activities in a socially and environmentally responsible and ethical manner, and sets out the standards by which all employees, representatives and franchisees will be guided in their actions and dealings with colleagues, customers, suppliers and business partners. The policies are approved by the Board and are communicated to all directors and employees.

Italtile is committed to a policy of fairness and integrity in its business dealings. Italtile recognises that maintaining high ethical standards is essential to the long-term economic success of the Group. The Group believes in integrity and transparency, hands-on involvement, partnerships to promote an entrepreneurial spirit and passion for customer service.

The various elements of these policies form part of matters monitored and discussed by the Committee and include the following.

1. Italtile's relationship with employees

Italtile strives to treat all employees equally and believes in providing a workplace that is free from unfair discrimination. In this pursuit Italtile subscribes to the following principles and supports the following programmes and initiatives:

- all employees have the right to work in an environment that is free from any form of discrimination on the basis of race, age, place of origin, religion, creed, gender, sexual orientation, political persuasion, marital or family status, disability, nationality or HIV/Aids;
- strives for the equitable representation and promotion of women in the workplace as far as possible;
- promotes the health, safety and welfare of all employees;
- provides appropriate and relevant support and training and the opportunity for development and advancement to all employees, management and leadership;
- pays fair remuneration to employees that reflect an individual's worth to the Group and abides by both the terms of contracts of employment and its human resources policies. An important

element of the Group's remuneration philosophy is the profit share, shared by all employees. Depending on individual contribution and Group performance, the profit share can have a significant impact on an individual's earnings;
- does not exploit labour and upholds the principle of fair labour practices;
- respects an individual's right to freedom of association; and
- is committed to employment equity. The Employment Equity Committee meets regularly to monitor and implement the requirements of the Employment Equity Act, 1998.

2. Employees, leaders, franchisees and business partners' relationship with Italtile

All employees and leaders will demonstrate high levels of integrity, professionalism and performance in their work.

- Integrity – we are open, honest and fair in all our relationships. We make and keep commitments and accept accountability for our actions.
- Professionalism – we try to achieve our full potential as leaders and employees. We commit to winning by learning as much as we can, improving and working as an effective team every day.
- Performance – we strive for continuous improvement, set clear goals and reward excellence.

3. Italtile's relationship with its franchisees and business partners

Italtile's association with its business partners and franchisees is conducted in a spirit of partnership. We will:

- honour all commitments;
- strive to achieve Italtile's business objectives; and
- preserve the entrepreneurial nature of the business.

4. Dealings with colleagues

In dealing with Italtile colleagues we are open, honest, fair and respectful.

5. Dealings with customers

Italtile exists because of its customers. Customer service is thus our top priority. We will provide:

- friendly, courteous, knowledgeable and professional service and advice at all times; and
- quality, fashionable products that provide good value for money.

6. Dealings with suppliers

Relationships with suppliers are conducted in a professional manner in order to support Italtile's reputation and business objectives. In doing business, we will:

- honour Italtile's commitments;
- not knowingly associate with suppliers who exploit labour or discriminate on any basis;
- not deal with suppliers who conduct unethical or improper business practices; and
- encourage dealings with suppliers committed to the process of transformation.

7. Dealings with competitors

Italtile recognises that competition is essential for continuous improvement. Every action that Italtile takes will comply with both the spirit and the letter of the law. We will compete fairly in the marketplace.

8. Compliance with laws and regulations

Employees and leaders must comply with all applicable laws and regulations relating to their activities for and on behalf of Italtile.

9. Conflict of interest

Employees and leaders must be independent from any organisation providing goods or services to Italtile. In maintaining independence:

- employees and leaders must neither take a direct or indirect financial interest in such organisations, nor accept gifts or favours that create an actual or perceived obligation to such organisations; and
- employees and leaders must not use their position at Italtile for their own personal benefit.

10. Preservation of the environment

Italtile recognises and embraces the importance of measuring, managing and reducing the Group's impact on the environment.

11. Transformation and BBBEE

Italtile is committed to empowerment in its business and is supportive of transformation in South Africa. Continuous improvement of the Group's scoring in accordance with the Amended Codes of Good Practice ("Amended Codes") for Broad-Based Black Economic Empowerment is a strategic imperative for the Group.

SOCIAL AND ETHICS COMMITTEE REPORT continued

12. Corporate citizenship and social economic development

Italtile engages in ongoing community engagement and social economic development activities in communities in which it operates and the Group recognises the importance of upliftment of these communities.

ACCOUNTABILITY OF THE COMMITTEE

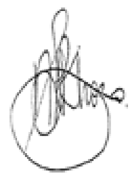
The Committee is accountable to the Board and provides feedback to the Board of its meetings. The Committee makes the recommendations to the Board that it deems appropriate on any area within the ambit of its terms of reference where action or improvement is required.

AUTHORITY

The Committee conducts its affairs in compliance with its charter and has reasonable access to the Company's records, facilities and any other resources necessary to discharge its duties and responsibilities. The Committee is authorised to take such independent professional advice as it considers necessary, the costs of which shall be for the account of the Company. Save for its duties provided for in the Companies Act, the Committee shall have no executive powers with regard to its findings and recommendations.

CONCLUSION

The Committee believes the Group has continued to maintain an acceptable balance between its financial performance and its social, economic, governance, employment and environmental responsibilities. Further, the Committee is satisfied that it has, in all material respects, achieved its objectives for the financial year ended 30 June 2019.



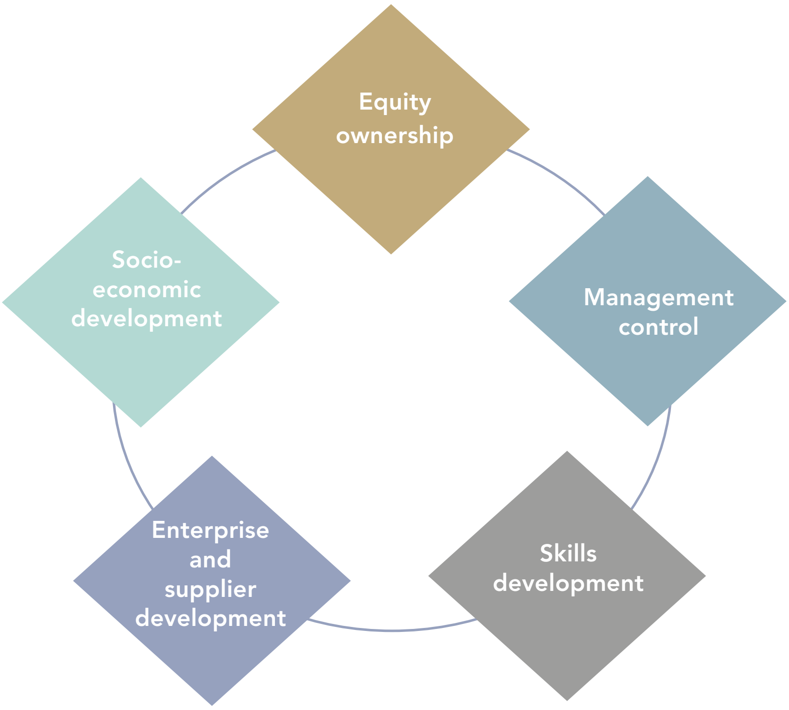
N P Khoza
Social and Ethics Committee Chairman
7 October 2019

This IAR is a further step in improving our disclosure aligned with King IV™ and we will continue to strive to enhance our reporting. For the first time, we have included a separate report on transformation, which details the pleasing progress made regarding this fundamental imperative.

TRANSFORMATION

The Group regards transformation as a social, moral and strategic business imperative. Management recognises that as a responsible corporate citizen, the Group has an obligation to contribute to bringing about a more equal and inclusive society – starting within our own business. Our transformation strategy is closely aligned to the objective of the BBBEE Codes and we employ an integrated approach to accelerate transformation across the code's five criteria.

BBBEE CODES



In 2017, a BBBEE Committee comprising senior management was constituted, and is tasked with driving transformation in the Group. The Committee meets quarterly to gauge and manage progress against set targets.

As a consequence of implementing a range of meaningful interventions and sustained management focus on transforming the business over recent years, the Group has improved its BBBEE status from non-compliant in 2016 to compliant – at level 6 – in 2018.

This consistent progress in the Group's score is depicted below.

During the year under review, improvements were achieved across three of the five scorecard criteria, namely equity ownership, enterprise and supplier development, and socio-economic development. While there was a marginal decline in the skills development score, management is confident that the interventions underway in the business will remedy this and result in a higher score in the 2020 assessment.

ACHIEVEMENTS

During the reporting period, we introduced diversity, equity and inclusion workshops to the business, aimed at developing and embedding a culture of inclusion by acknowledging differences and equipping diverse employees to build better relationships.

In terms of the BBBEE Codes scorecard, we made progress regarding the following:

Skills development

The Group continued to invest in a range of skills development programmes focused on employees from previously disadvantaged groups. These included:

- sponsored partnerships with academic institutions to further the education of 40 of our employees and to develop their leadership competencies;
- internships and learnerships for both qualified students and inexperienced job seekers, with 27 of those learners ultimately employed in the group; and
- we operate accredited training academies, and offer local and international courses and e-learning tuition across our brands for our employees, our franchisees and their employees. These training interventions reached 2 179 (including franchisees) of our employees during the year.

Enterprise and supplier development

- Good progress was made in preferential procurement: expenditure with exempted micro-enterprises ("EMEs") and qualifying small enterprises ("QSEs") increased to 24,9% of Group spend from 13,3% in 2017.
- Contributions to supplier development initiatives amounted to R19,9 million. These initiatives included:
  - loans at preferential rates to identified EME and QSE suppliers who provide goods and services to the Group;
  - investment in an income yielding fund which invests and mentors small black-owned businesses; and
  - contributions to the MyGrowthFund for the establishment of a container-based artisan training business.
- We launched PiViCal Panels, a joint venture partnership with a local previously disadvantaged entrepreneur. This import-replacement business was commissioned in August 2018 and produces PVC panels for the TopT brand; panels comprise one of TopT's fastest growing merchandise categories.

Socio-economic development

- Our spend on socio-economic development exceeded 1% of net profit after tax. The funding, majority of which was spent by the Foundation, was allocated to:
  - education (40%);
  - sport (39%);
  - conservation (11%); and
  - other (10%).

Equity ownership

Subsequent to year end we concluded a BBBEE ownership transaction with Yard Investment Holdings ("Yard"), in order to improve the Group's black ownership credentials, and to establish a medium to long-term relationship with a BEE partner with international commercial experience relevant to the Group's business. In terms of the agreement, Yard has acquired 2% of the Group's issued share capital.

OUTLOOK

The Committee will be targeting a BBBEE status level 5 in the year ahead, and level 3 by 2022. The following key initiatives across the five criteria will be implemented in order to attain that target:

YES initiative

- Incorporate the YES programme, a business-led collaboration with government and labour, to contribute to creating one million work opportunities for youth in the country.

Management control

- Advance and/or appoint black females for management positions at all levels; and
- Employ black disabled individuals.

Skills development

- Invest in learning programmes for black individuals;
- Invest in learning programmes for disabled black individuals;
- Place previously unemployed black individuals on learnerships; and
- Retain black individuals on a permanent basis post-learnerships.

Enterprise and supplier development

- Divert spend to EMEs or QSEs;
- Divert spend to 51%+ black-owned and/or 31%+ black women-owned businesses;
- Impose minimum empowerment ratings requirements for suppliers with spend in excess of a predetermined amount;
- Fund qualifying EME and QSE suppliers;
- Fund TopT BEE partners;
- Contribute to incubator or similar initiatives; and
- Extend favourable settlement trading terms for empowered suppliers.

Socio-economic development

Contributions of product and/or cash to qualifying schools and charities, with the largest donation to be made to the Italtile and Ceramic Foundation. The Foundation is the Group's broad-based black ownership scheme, whose goal is the transformation and upliftment of previously disadvantaged communities through distributions made to public benefit activities related to education, sport and conservation.

Refer to the supporting our communities report on page 112.

ENVIRONMENT AND SUSTAINABILITY

OVERVIEW

Italtile is committed to fighting for the rights of our customers to have a beautiful home, which means not only our places of residence but also the communities and natural environments we live in. A beautiful home is therefore one where social and environmental challenges are addressed in a way that still generates economic value.

The Group strives for sustainability by addressing the impact it has on the environment, increasing the eco-efficiency of the business, and creating or sourcing products that enable its customers to live sustainably.

RETAIL OPERATION AND SUPPLY CHAIN

Our brands and supply chain businesses constantly consider opportunities to operate more efficiently using the latest green technology. By exercising environmental awareness, they also strive to enhance the sustainability benefits of the products we sell. We ensure that imported products are also only sourced from companies that adhere to the environmental laws of their countries.

During the year, a number of initiatives were implemented in an effort to reduce the Group's environmental impact.

ACHIEVEMENTS 2018/19

Water management

- The roll out of rainwater harvesting tanks in the Western Cape was completed. Tanks with a total capacity of 190 kilolitres were installed in a further nine stores in the region with the aim of improving the stores' resistance to future droughts. The harvested water can be used for basic sanitation requirements and watering gardens.

Energy management

- The Group continues to focus on improving its energy efficiency levels and decreasing its dependency on the national grid. A key energy focus in the past year was the conversion of lighting in stores to LED, with 11 CTM stores being converted in the past year.
- The Group has launched its new lighting company, U-Light, offering energy efficient LED lights as a core product range. This innovation aligns to the Group's strategy of enabling customers to live more sustainably while remaining fashionable.
- The business is in the final stages of preparing a renewable energy roll out plan that will focus on storing solar energy in batteries, with the long-term vision of decreasing reliance on diesel generators.
- CTM and Italtile Clearwater stores are powered 100% by solar energy.

Waste management

- The Group's head office continues to implement a recycling programme. All waste generated from the building is separated and recycled or reused where possible. Over 900 kilograms of waste was recycled in the past year.
- A number of business units across the Group have set up pallet-reuse projects, whereby pallets delivered to stores are collected and reused, reducing the number of pallets purchased and contributing to saving indigenous forests.

Conservation

- Our brands continue to increase their use of digital marketing, thereby decreasing the dependence on print and paper.
- CTM and Ceramic Industries continue to support rhino conservation by contributing R5 per box of certain Kilimanjaro tiles sold; once the accumulated funds reach R1 million, the money is donated to the selected charity. To date, R3 million has been donated.

Product innovation

International Tap Distributors, the Group's importer and distributor of brassware and accessories, continued to play a leading role in innovation in the industry, with the introduction of a range of water and energy efficient products including:

- new Tivoli shower heads with water-saving restrictors included as standard with the products, which significantly reduce the flow rate per minute without impacting performance;
- additional cold start basin mixers which do not activate the geyser every time the tap is opened;
- water-saving cartridges which offer a half-open setting, letting out only three litres per minute;
- water-saving aerators which reduce the water flow per minute by more than half; and
- water-saving concealed cisterns that save half a litre of water with every flush.

2019/20 PRIORITIES AND PROSPECTS

- Educating employees on the correct use and maintenance of the rainwater harvesting tanks of all stores with recently installed tanks.
- The conversion of stores with the highest energy consumption to renewable energy.
- Continued conversion of stores to LED lighting with the aim of converting all CTM stores to LED by 2022.
- Update the Group's environmental management plan to incorporate the business's response to the Carbon Tax Act (No 15 of 2019).

CERAMIC INDUSTRIES

Manufacturing plants

Ceramic Industries' factories use the latest technology to ensure efficient production. Gas consumption is reduced through the use of state-of-the-art burner technology and heat recovery systems that heat combustion air. Process water is recovered and reused, ensuring that no effluent leaves the factories. Natural lighting techniques and new-generation LED lighting have replaced less efficient lighting in many places in the factories. Large solar generation systems have been installed in our Australian factory and at the Betta sanitaryware site in South Africa. Concurrent rehabilitation of raw material quarries is conducted and quarries are rehabilitated once end of productive life is reached.

Water management

Our factories rely primarily on water from boreholes and municipalities for production. It is for this reason that our existing boreholes are registered with the Department of Water and Sanitation and we are in the process of registering new boreholes. We conduct monthly water monitoring on site to detect our potential impact on the environment and also conduct groundwater level monitoring to determine how much we are consuming from our natural resources. Furthermore, our factories are designed to maintain a closed loop system which means that most of our water is recycled right through the process. In an effort to enable our factories to operate environmentally efficiently, we have active water treatment plants at some of our factories which make it possible to clean and reuse our process water. Reverse osmosis plants clean water that is then used in the factories. These initiatives all reduce the reliance on municipal water.

Air management

Emission of dust as a result of the type of raw material used in the production process is a key risk. Our factories are equipped with baghouses and wet scrubbers which ensure particulate emissions are minimised or eliminated. In line with our occupational health and safety standards, we assess and monitor occupational hazards and implement mitigating measures. Air monitoring is performed on kiln and drier emissions to ensure compliance with regulated limits.

Waste management

We aspire to comply with the hierarchy of waste management by preventing, minimising, recycling, and recovering, with disposal being the last option. This approach applies to all waste that could potentially emanate from our production process and domestic waste which is generated on a day-to-day basis. Some of the initiatives that have been implemented include recycling of heat, raw materials and process water which all feed back into the process. We also have a waste management system which separates waste at the source and aims to dispose of as little waste as possible. This is an ongoing project delivering continuous improvement.

Energy consumption

We have started rolling out solar panels at the factories, aimed at reducing our reliance on electricity, which will ultimately reduce the carbon footprint. The Company has over the years also invested in technology and robots within the process, which not only improve productivity, but have an indirect positive impact on the environment. Other changes in the factory including motion sensors, heat recovery, and light bulb retrofitting, will eventually add up to a notable saving in energy and costs.

2018/19 major achievements

Water management

- The Betta process water treatment plant was upgraded to improve solid removal and enable the water to be recycled.
- Registration of a new reverse osmosis plant at Samca to double capacity is in the final stage, awaiting sign-off by the Department of Water and Sanitation.
- Continued monitoring of neighbouring boreholes confirmed that no impact from our operations has been detected.

Air management

- Heat recovery from kiln waste heat was completed in National Ceramic Industries Australia. The recovery of this energy reduces consumption of gas and hence emissions.
- Our air emissions continue to remain within acceptable limits, showing minimal impact on the environment.

Waste management

- Due to ongoing waste issues in the Vaal area, Ceramic Industries has donated waste recycling bins to a local high school with the aim of introducing the culture of recycling, reducing and reusing waste.
- The factories continued to practice recycling, reducing and reusing within the process and outside.

2019/20 priorities and prospects

Management will continue to raise awareness around issues pertaining to waste, water use and air quality through internal communication and externally through community engagement forums. Specific priorities for the business in the year ahead include:

Water management

- Continue to minimise water use and improve recycling.
- Maintenance of water treatment plants to ensure no effluent discharge.

Air management

- Continue to maintain air emission levels within legal limit.

Waste management

- Progress plans to construct a waste management area in Vereeniging while maintaining the culture of recycling within and outside the process.
- Reduce consumption of paper by encouraging the use of digital techniques instead of print.

Energy management

- Roll out energy efficient lights at factories that have not yet converted to this new technology.
- Install 1 MW solar plant in National Ceramic Industries Australia.

ENVIRONMENT AND SUSTAINABILITY continued

Other

- Register our products with the Global Greentag South Africa product-certification scheme for green certification.

CARBON FOOTPRINT REPORT

In line with recent developments in South Africa's regulatory and tax landscape regarding climate change, the Group has resolved to align its environmental assessment methodologies with local legislation and international best practices. This revised approach will enable the Group to comply with legislative requirements, adequately prepare for the impact of carbon tax, and proactively manage its overall carbon footprint.

In this regard, a detailed assessment of the Group's carbon footprint was undertaken, specifically focusing on the following:

- identifying and quantifying direct (scope 1) emissions that will require reporting to the Department of Environment, Forestry and Fisheries ("DEFF"), and also be liable for the carbon tax; and
- understanding the main sources of indirect emissions (scope 2 and 3) contributing to the Group's overall carbon footprint.

The carbon footprint assessment splits the Group into three components: Ceramic Industries, Ezee Tile and Italtile (inclusive of all remaining Group entities).

The results of the study are presented below.

Figure 1 illustrates each entity's contribution to the overall footprint which consists of scope 1, scope 2 and selected scope 3 emissions.

Figure 1: Breakdown of total Group emissions per entity

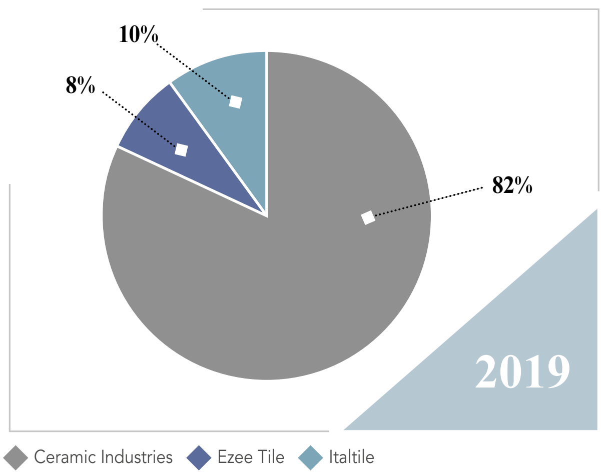


Figure 2 illustrates that the majority of the Group's emissions come from scope 1 emissions, which include process emissions (release of CO_2 due to chemical reactions); mobile fuel (fuel from Company-owned vehicles and forklifts); and stationary fuel (fuel used in Company-owned kilns, dryers and generators). Scope 2 emissions are from purchased electricity and scope 3 emissions are from: business travel; upstream and downstream logistics; water; and paper use.

Figure 2: Breakdown of Group emissions per scope

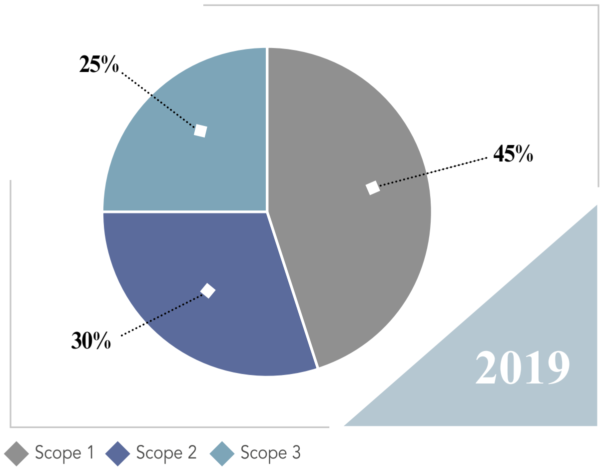
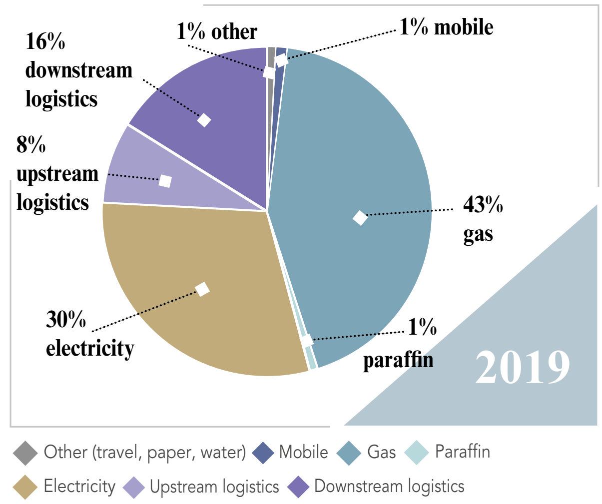


Figure 3 provides a breakdown of the Group's emissions based on the various source categories. In this example 'Mobile' represents sources such as forklifts and fleet vehicles. The specified fuels (ie burner, diesel, paraffin, petrol and Sasol gas) all fall under stationary combustion emissions.

Figure 3: Breakdown of main emission categories



The selected scope 3 emissions sources are: 'Upstream logistics' representing emissions from service providers transporting goods from source to factory/facility and 'Downstream logistics', which represent the transport of goods from factory/facility to end-user. Finally, the 'Other' category represents indirect emissions resulting from paper and water use, as well as business travel (local and international).

One emission category that is not represented above is 'Process emissions' (scope 1 emission). The only potential source of process emissions within the Group is the calcination of carbonates in the ceramics-making process. Presently these emissions are not reportable to the Department of Environment, Forestry and Fisheries ("DEFF") nor taxable under the Carbon Tax Act (N/A reporting threshold). The Group has previously followed a conservative approach and effectively over-reported its process emissions by assuming that its raw feedstock consists mainly of limestone and dolomite. However, the Group has opted to investigate its process emission in more detail considering that these emissions may become taxable in the future.

Overall, the carbon footprint report reveals that the Group's emissions have increased by 2,63% (inclusive of the smaller emissions). This increase can be attributed to a slight increase in electricity consumption and the inclusion of previously excluded water and upstream logistics data, which was done in an effort to strengthen the quality of this report. A basic review of Ceramic Industries' production figures shows an annual increase of 3,7% in the weight of products produced, but a decrease of 4,1% in the overall square metres (m^2) of products produced. Factoring in the impact of Ceramic Industries' production activities (which are the main emissions contributor), the changes indicate that overall efficiency has been maintained in managing the Group's carbon footprint.

Priorities for 2019/20

1. Accelerate the roll out of renewable energy in stores.
2. Continue the roll out of LED conversions in stores.
3. Closely monitor and evaluate newly acquired generators.
4. Implement staff awareness campaigns to encourage environmentally responsible behaviour.

CARBON TAX IMPLICATIONS

Retail

The retail component of the business has the potential to be impacted by the carbon tax as a result of stationary fuel consumption (diesel in generators). An analysis of stationary fuel use across all the stores in the Group found that consumption is currently below the 10 MW threshold, thereby exempting the retail business from the tax under the current conditions. Over the coming year, the business will strive to ensure that there are measures in place to improve our energy security while avoiding the risk of incurring carbon tax. The business is currently investigating the feasibility of replacing generators with UPSs, as well as the use of batteries in the Solar Photovoltaic systems to store energy.

Ezee Tile

An analysis of Ezee Tile's operations found that the thermal input capacities of the equipment installed in the South African operations exceeds the 10 MW threshold and, accordingly, the business will have to report on GHG emissions. Assessments show that Ezee Tile has a high likelihood of incurring carbon tax liability due mostly to emissions emanating from stationary fuel combustion. Section 12L, which is an additional allowance for energy efficiency savings, will be extended to the first phase of the carbon tax (2022), to further assist carbon taxpayers and recycle carbon tax revenues. Ezee Tile will actively pursue energy efficiency projects and claim the 12L benefit where possible to decrease this liability.

The development of regulations regarding allowances will be monitored to ensure that Ezee Tile is in a position to benefit from all the allowances as intended. Key aspects to the details above may change once these awaited South African Revenue Service's regulations are finalised.

Ceramic Industries

Ceramic Industries' operations utilise gas for purposes of drying and firing ceramic products, and diesel for material handling by means of forklifts and front-end loaders. The installed thermal capacities of the equipment installed in the South African operations exceeds the 10 MW threshold and the business will report on GHG emissions. Ceramic is a significant consumer of natural gas and the impact of carbon taxation is expected to be approximately R9 million.

Ceramic will continue to implement projects that reduce energy consumption. These projects include the installation of new energy efficient motors, gas burners with reduced energy consumption, waste heat recovery projects, improved insulation, installation of generation by means of renewable energy technologies and process improvements to lower consumption. Ceramic was one of the first ceramic companies to implement recovery of heat from its kiln rapid cooling zones to the spray driers. A new project intends recycling waste heat from the exhaust chimney, through an air-to-air heat exchanger, to preheat combustion air for the roller mill at its Vitro factory. With 1 MW of solar power generation already installed, a project is under consideration to install another 1 MW at the Gryphon factory in Vereeniging. Ceramic also continues to invest in new technology with lower energy consumptions. The Gryphon factory is a typical example with extra expense going into ensuring the EKO-kiln option was specified from the equipment supplier. This kiln uses recuperative gas heating in the eco-burners as well as preheating of combustion gas with waste heat.

OUR PEOPLE

Yushaa Wally

CTM

Big savings. More style.

Hlombekazi (Hlombe) Dukada

YUSHAA WALLY
CTM JOINT VENTURE PARTNER

> **"If you look after the business, it will look after you."**

Yushaa originates from the West Rand, Johannesburg. Before joining the Italtile Group, he worked for his father in his furniture manufacturing business. In 2005, Yushaa was appointed as a warehouse packer at CTM Westgate, advancing to the position of sales consultant. Six months later, he was promoted to assistant manager.

Yushaa explains that when he started working for the Group, he was simply looking for a job; that notion changed, however, when he saw all the opportunities for growth available in the Group. His ambition to have a job then transformed into building a career which would change his life.

In 2006, he was offered the opportunity to become a store manager at CTM Westgate and in 2008 he became a joint venture partner in the same store. Yushaa and his business partner were subsequently awarded a second CTM store, in Dobsonville. His responsibilities also expanded to include regional leadership.

For personal reasons, Yushaa elected to exit his partnerships and transferred to CTM Operations, where he was tasked with helping operators turn around the performance of their stores. He served in this role for 18 months before returning to CTM Westgate as a joint venture partner.

Yushaa has subsequently attained his dream of managing multiple stores, and today is a joint venture partner in three CTM stores in Mpumalanga: Witbank, Middelburg and Secunda.

Yushaa says that across the Company he has interacted with countless people with enormous commitment and passion for the business, reflecting the Group's inspiring performance-driven culture. He notes that every person working for the business is a partner in the business, and that each one is given the keys to the door of opportunity, but it is up to the individual to take the key and open the door. Yushaa confirms that joining the Group was a life-changing event, which afforded him the opportunity to grow and develop as an entrepreneur.

HLOMBE DUKADA
CTM FRANCHISEE

Hlombe was born in Willowvale, Eastern Cape, the third child in a family of seven. Her entrepreneurial spirit was inspired by her widowed mother, who was a nurse and a businesswoman. Hlombe started her early career as a teacher and later went on to complete a Bachelor's degree in Commerce, majoring in Accounting and Business Management. As a student, she dreamt of being an employer. Pursuing her goal to start a business, she opened a book shop, which enabled her to make use of her teaching experience, but it did not provide the challenge she was hoping for. She later opened a hardware store and then decided to seek out a franchise opportunity in the same line of business. This led

> **"I believe in leading by example. Being hands-on leads to trust, and to results being achieved."**

her to CTM, and signing a franchise agreement in 1994. When their first store opened in Umtata in 1997, Hlombe and her husband were CTM's first African franchisees and she was the first black female manager.

In 2017, when the store celebrated its 20th anniversary, the Group Chairman wrote in his congratulatory note, "I thought it was a risk for Hlombe and for CTM, but I felt that I was dealing with the right person and I felt comfortable with the decision. Hlombe has proved her loyalty and dedication – and she is still the right person and I am still comfortable."

Hlombe remembers how difficult working conditions were in the original store. They could not use a forklift inside the store as the building was neither designed nor built for CTM. The alternative was manual labour – and they had only three staff members. This meant that she had to wear many hats: director, manager, display adviser, cashier and general cleaner. After the new store was opened in 2001, sales improved and have continued to grow over the years.

In her business, Hlombe has placed her focus on people development, providing her employees with opportunities for training and skills development. In return, her staff have won several accolades at Group awards ceremonies, including the Best Performing store in their category and the Best Stock Turn award for three years in succession.

Hlombe says she particularly enjoys working under the leadership of the Group CEO, who has been a great source of joy and inspiration. She also notes that the opportunities afforded by the Group to travel internationally and learn from other countries have taught her not to waste the chances one is given.

As a leader, Hlombe says, she has learnt the importance of being transparent, being humble and treating everyone the same. She adds that she would not have attained her goals without the guidance of God.

ERIK PIETERSE

ITALTILE RETAIL JOINT VENTURE PARTNER

Erik grew up in Polokwane and after matriculating in 2002, moved to Johannesburg, where he was employed by a retail grocery chain until 2010. He joined Italtile Retail later that year, working at the Pretoria store as a sales consultant, where he was personally mentored by the joint venture partner. Thereafter, he was transferred to the Boksburg store, joining the team to launch the new showroom.

Subsequently, Erik moved to Italtile Retail Bryanston, and after gaining two years of experience as a sales consultant, he was appointed as an assistant manager. Eight months later, he was promoted to branch manager. Under his conscientious leadership, the store has won awards for Best Performing and Best Presented showroom in the country. After three years in his position, Erik was appointed as a joint venture partner of the store, a position he holds today.

Erik says his journey at Italtile Retail has been both challenging and rewarding. He explains that it was a tough road to walk, but he knew what he wanted to achieve and every morning when he woke up, he reminded himself of his goals and targets.

> **"To be the best, I had to learn from the best."**

"Working at Italtile has made me stronger, more confident, and offered me lots of opportunities to grow and learn. I was fortunate to have the guidance of Sergio Galli, Italtile co-director, to support me in making the right decisions. It is through his mentorship that I managed to achieve my success. I learnt from the best."

Erik says he has learnt that to grow a business you must grow people, because motivated employees perform at higher levels. He also advises that in the art of negotiation, inevitably there is a solution to every problem; he believes the answers may not be easy to find, but they are always there if you look carefully enough.

The Group's customer-focused philosophy is summed up in Erik's belief that it is important to give clients an unforgettable experience in terms of service and advice, because service drives sales.

Erik Pieterse

ITALTILE
LIVE BEAUTIFULLY

OUR PEOPLE

Thulani Mngadi

THULANI MNGADI AND MORNE DU PLESSIS

TOPT KWAZULU-NATAL FRANCHISE PARTNERS

Thulani was raised in Inanda, a township adjacent to KwaMashu in KwaZulu-Natal. He was the last born in a family of six children. Thulani's parents had very limited means, so his poverty-filled childhood was a constant fight for survival. Despite his early struggles, Thulani prioritised education and through sheer determination completed his Bachelor of Arts Honours Degree in Social Anthropology at Wits University.

> "If anyone ever thinks that dreams don't come true, I say look at me."

He joined Ceramic Industries as an internal sales coordinator in 2004, whereafter he was promoted to external sales consultant, a position he held for four years, before serving as a sales agent in KwaZulu-Natal for almost eight years. While at Ceramic Industries, Thulani won the Company's Tracy Memorial Award for Best Customer Service, and believes that hard work and dedication will always be rewarding, both professionally and personally.

Thulani says that working in the Group ignited a spirit of leadership that he did not know existed in him and he has learnt how to cultivate the individual excellence of his team members in order to achieve success for the business. He also notes that he strives to be multiskilled and flexible because the business is fast paced and highly competitive. Thulani says he decided early in his life that he would not let his poor background determine his future; his inspiration comes from his desire to become something better than what he saw around him while growing up.

Morne grew up in Durban and completed his National Diploma in Marketing at Natal Technikon. After graduating, he joined the Italtile Group in 1997. In the 22 years he has been with the Company, he says he is fortunate to have been mentored by some of the best business minds in the Group and attributes much of his professional and personal growth to the guidance he has received.

Morne du Plessis

"As a Group, we are results driven and passionate about every brand which we represent."

Morne's career has progressed from architectural sales consultant at Italtile Retail, Durban, a position he held for four years, to branch manager, and then joint venture partner at Italtile Retail, Umhlanga for 11 years. Morne states that working in the Group has been an exceptionally rewarding experience, giving credence to the adage: "Hard work pays off". He says that the key to his success has been Italtile's distinctive culture of recognising and rewarding the good performance and achievements of individuals in the business. He also has great respect for the Company's unwavering commitment to integrity.

Thulani and Morne's partnership

Thulani and Morne met in 2008 while Thulani was working as an agent at Ceramic Industries and Morne was a joint venture partner at Italtile Retail, Umhlanga. Between 2008 and 2016 they enjoyed a good supplier-customer relationship and as time went on, their mutual respect grew. After several years of holding discussions about the possibility of becoming partners, the pair formalised their relationship with a franchise partnership in TopT, KwaZulu-Natal in 2016.

Thulani Mngadi and Morne du Plessis

They explain that they have the same business ethic, and took time getting to know each other before becoming partners, which created good synergy between them. The pair believes that for a partnership to be successful, one must be able to work through any challenges that arise. Morne and Thulani note that when two people from different cultural and business backgrounds come together, it presents complex dynamics. Both parties will probably have different views, but, they say, partnerships work when you can compromise and align final decisions with the mutual end-goal. For Thulani and Morne, it has helped to have different strengths which they have successfully combined to the advantage of the business. Significantly, they both highlight the importance of having a high degree of integrity.

The partners believe that their mutual respect, coupled with genuine commitment to their business, forms the basis of their thriving franchise partnership. Their advice to prospective partners is to respect each other, trust each other, and never waiver in your dedication to the business.

SUPPORTING OUR COMMUNITIES

The Italtile and Ceramic Foundation

The Italtile Foundation and Ceramic Foundation ("the Foundation") is a Broad-Based Black Ownership Scheme, with the objective of conducting public benefit activities (PBO ref no: 930044728) in a non-profit manner and with an altruistic and philanthropic intent, working towards the transformation and upliftment of previously disadvantaged communities.

The Foundation accepts and deploys socio-economic development as well as skills development donations in terms of the BBBEE legislation.

The Foundation's distributions are towards public benefit activities relating to education, sport and conservation.

CURRENT PROJECTS

Education

- **Bursaries:** The Foundation funds and manages a bursary programme that sponsors students with extreme financial need and high academic potential. There are currently 10 tertiary students as well as seven high school students studying with funding from the Foundation. One chemical engineering student recently graduated from the University of the Witwatersrand and has found employment at a major soap manufacturer.
- **Hope School for the Disabled:** The Foundation completed renovations to the girls' residence which houses approximately 50 girls. The renovations comprised maintenance and repair of the building and bathrooms to provide the students with more space, privacy and independence. The Foundation will soon be working together with the school to renovate the boys' residence which currently houses 78 boys.
- **Salvazione Christian School:** The bathrooms in the existing school building were recently renovated and the Foundation would like to thank all the companies within the Group that assisted with material required. Construction of the foundation phase school is currently underway and is scheduled to be completed by January 2020. This new build which is funded by the Foundation together with other donors will afford more space in the original school building for Grades 4 to 7.
- **One School at a Time ("OSAAT"):** Through OSAAT, the Foundation sponsors Forte High School in Soweto which currently has 2 002 learners. Funds donated to the school are channelled to projects such as PROJECT 100%, an extra lessons programme for all matric students aimed at continuously improving the matric pass rate of the school, as well as providing stationery, toiletries and other consumables. Forte High achieved a matric pass rate of 88% in 2018.
- **Mahareng Secondary School:** The Foundation runs an asset-based community-driven development programme at the school, based in Vanderbijlpark.
- **PEN – Kagiso project:** The purpose of this pre-school forum is to improve ECD interventions for vulnerable children as the aim is to have a meaningful impact on their wellbeing and learning outcomes. Three crèches in the Kagiso area were selected for this project.
- **Buang Day Care:** A prefab classroom was donated by the Foundation to the day care centre, the classroom will be utilised as a library to encourage reading and literacy for the children in the Dobsonville community.
- **Setlabotjha Primary School:** The Foundation sponsors two programmes at the primary school:
  - **Homework Support Programme:** Through the READ organisation, this programme is aimed at improving the learners' language and reading skills.

– **Field Band Foundation:** Through participation in band activities, young people who might otherwise have little opportunity for constructive recreational activity, are taught the advantages of life skills such as commitment, competitiveness, teamwork, discipline and timekeeping. In so doing, the advantages of heightened self-esteem and associated self-confidence are inculcated.

While teaching music, movement and dance is the core of the Field Band Foundation's activities, band members also receive:

- HIV/Aids peer education;
- general education in social development; and
- specific life skills training.

Sport

Sports fields

The Foundation has built three sports fields in Meadowlands in Soweto, Thohoyandou in Limpopo, and Acornhoek in Mpumalanga. Another sports field is set to be built in Steelpark in Vereeniging and will be completed by 2020. These sports fields are equipped with:

- soccer pitch;
- netball/volleyball/basketball courts;
- change rooms and ablution facilities;
- kiddies play area; and
- picnic area.

The sports fields are built for the benefit of the local youth. Schools within the communities are invited to participate in soccer and netball in the annual CTM/Top T Cup.

Dreamfields

Dreamfields is an organisation that establishes soccer and netball leagues in schools and hosts referee and umpire workshops for school coaches for the benefit of the local children.

Through the Foundation's sponsorship, Dreamfields has a footprint in the following areas:

- 40 schools in Acornhoek;
- 16 schools in Thohoyandou;
- 10 schools in Sebokeng;
- eight schools in Hammanskraal; and
- eight schools in Kagiso.

The schools are provided with soccer and netball equipment as well as full training kits.

Conservation

The main projects sponsored by the Foundation under this category are:

- **Birdlife Important Biodiversity Area ("IBA") Programme:** The IBA Programme aims to ensure that important sites, habitats and associated ecosystem services are protected and sustainably managed for the benefit of birds, other biodiversity, and humans.
- **Lapalala Wilderness School:** Students from schools that are sponsored by the Foundation (Forte High School, Salvazione Christian School, Mahareng Secondary School and Setlabotjha Primary School) are sent to the Lapalala Wilderness School annually for one week to learn about the importance of the environment and how to take care of and preserve it.

WWF

The Foundation sponsors WWF, which in turn employs the funds according to project needs.

SUPPORTING OUR COMMUNITIES continued

Corporate social investment: Italtile Retail

ITALTILE POLOKWANE ASSISTS DAKTARI BUSH SCHOOL AND WILDLIFE ORPHANAGE

In June 2018, our Italtile Polokwane store received a request from the founders of Daktari to assist with the renovation of the school's offices. Once our Polokwane team learnt about the school's vision, mission and close involvement with the community, the decision to support the cause was unanimous.

Daktari provides supplementary environmental and life skills education to Grade 8 learners in the neighbouring underprivileged communities. Their mission is to educate and inspire local children to value their environment and, in so doing, to stimulate the upliftment of their community.

The impact the school has on the community is considerable. Teachers have reported that the children display improved concentration; learners are also more polite, more confident about speaking up in class, and show greater self-esteem. Overall, there is a higher pass rate at the end of the year. Most notably, there have been cases when Daktari schoolchildren have prevented the formation of poaching parties within their villages.

Italtile Polokwane donated 100 m² of floor tiles for the renovation project. "This donation is a token of our appreciation for the incredible work and achievements of the founders – Ian and Michèle Merrifield – and their staff and volunteers. It was a privilege to play our part in an initiative that brings about meaningful change in the community in which we work."
Sias Human, *Italtile Polokwane*

ITALTILE RETAIL PARTICIPATES IN THE GREAT LITTLE OPTIMIST BOAT RACE

In 2018, Italtile Retail partnered with The Little Optimist – an organisation founded by Greg Bertish to support sick and needy children across the Western Cape. On 21 October 2018 we participated in the inaugural Great Little Optimist Boat Race, in which 42 sailors navigated the tricky waters around the V&A Waterfront to raise much needed funds for worthy charities.

Competitors included celebrities, corporates, charities and medical survivors. All funds raised at the event were donated to The Little Optimist Trust, as well as other charities involved, including the NSRI and The Newborns Trust. The Little Optimist Trust also hosted sailing experiences and academies for children from less fortunate circumstances over the course of the three-day event.

WORLD ENVIRONMENT DAY 2019

On World Environment Day on 5 June, Italtile Retail, the Group's Support Services division and Ceramic Industries' staff spent the day at Dawn Park Primary School in Boksburg planting a biodiversity garden. With the support of our environmental education partner, our team and the school's learners planted a sustainable, water-wise garden consisting of indigenous trees, shrubs and herbs. The learners were taught the names and uses of all the plants and how the garden could be used as an outdoor classroom. They also learnt about food chains, biodiversity and ecosystems, and assisted with making labels out of recycled materials for the plants. In a practical exercise, they were educated about pollution, with all participants involved in a litter clean-up on the school's premises.

SUPPORTING OUR COMMUNITIES continued

Corporate social investment: CTM

CTM CUP – SOWETO

August 2018

CTM hosted the fourth annual netball and soccer Champions Cup at our sports centre in Meadowlands, Soweto. In total 16 neighbouring schools participated in the tournament. Each school was allocated to one of four categories: primary or high school netball, and primary or high school soccer. The tournament provided a fun day for families and included a range of other activities such as a skate clinic, traditional dance performances, a colouring corner and face painting. Italtile staff and their families joined in the festivities. The winners in each category (among whom were three defending champions), were presented with a R15 000 cash prize for use by their school to address a critical need at the school. Top players in the respective sporting codes were also awarded with individual prizes.

CTM CUP – THOHOYANDOU

April 2019

The second annual CTM Champions Cup soccer and netball competition was held in partnership with the Vhembe District Municipality and the Dreamfields Project. On the evening prior to the event, the Vhembe District Municipality hosted a gala dinner to celebrate this tournament and the valuable contribution it makes to the community. In total eight schools from the Sibasa Circuit and the two defending champions from the previous year participated in this popular community event, which was broadcast live by a regional radio station. At the end of the tournament, defending champions Tshiluvhi Primary School (soccer) and Mulamuli Primary School (netball) came out tops and each won R15 000 for their school. The best player in each sporting code also received a trophy, certificate and a cash voucher to a sports retailer.

DIGNITY DRIVE

January 2019

In November 2018, CTM embarked on a Dignity Drive project aimed at improving sanitation facilities in disadvantaged schools – a critical need in the local education sector. Gahlanso Primary School in Tembisa was chosen as the recipient of our 2018 Dignity Drive initiative. The project involved renovating two of the school's bathroom blocks, including the full replacement of all sanitaryware, and painting and retiling of the buildings. The newly renovated bathrooms, which provide the learners of Gahlanso with hygienic, safe facilities, were officially handed over to the school in January 2019.

Before

After

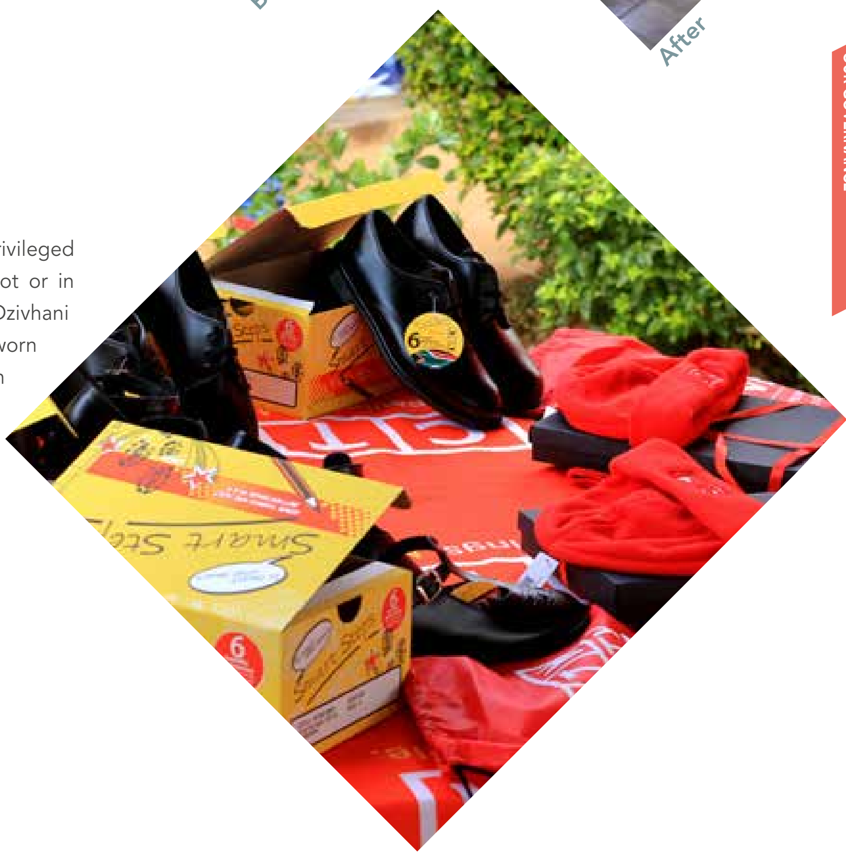
STOP RHINO POACHING

With conservation being an important focus area for the Group, Rhino Stone tiles from the Kilimanjaro range were used for the renovation. CTM and Ceramic Industries have pledged to save the rhino, one box at a time, by contributing R5 to the Stop Rhino Poaching organisation for every box of selected Kilimanjaro tiles sold. To date, R3 million has been donated.

SHOE DRIVE

June 2019

Numerous disadvantaged schoolchildren in the less privileged areas of Thohoyandou, Limpopo, attend school barefoot or in broken footwear. In light of this plight, CTM visited Dzivhani Primary School to donate new school shoes, gently worn casual shoes, scarves and beanies to the learners. In addition, Italtile's staff, in collaboration with a regional radio station which raised awareness of the campaign, also donated gently worn shoes. With the help of the school's management, the shoes were distributed among the learners with the greatest need.



SUPPORTING OUR COMMUNITIES continued

Corporate social investment: TopT

TOPT AND PRECIOUS HEARTS FOUNDATION PARTNER IN SCHOOL PROJECT

The Precious Hearts Foundation is a non-profit organisation with a passion for youth and family and a specific focus on the most underprivileged women and children in society. TopT partnered with the Foundation to donate classroom stationery to Cosmo City Junior Primary School in Randburg, Gauteng. This initiative focused on the foundation age phase, being Grade R to Grade 4. Ten Grade R and Grade 1 classes received alphabet charts and classroom timetables, while 13 Grade 2, 3 and 4 classes were provided with classroom timetables and multiplication tables. As part of the project, TopT's management and staff volunteered to distribute the stationery and help out with the classes. The interaction and donation was welcomed by the learners.

TOPT AND DOCS ON HEALTH CARE FOR OUR CUSTOMERS

TopT, in conjunction with qualified doctors from the community outreach organisation, Docs on Health, launched a collaborative initiative to demonstrate the brand's care and concern for the health of its local communities. Docs on Health pride themselves on providing a practical and methodical delivery of knowledge, enabling fellow South Africans to become well informed. This is in keeping with our belief at TopT that it is never too early or too late to work towards being the healthiest you.

The programme, which was funded by TopT and conducted over a four-month period in four of the brand's regions, Gauteng, Mpumalanga, North West and Limpopo, involved two components:

- the first comprised a school hygiene programme, focusing on local primary schools in close proximity to our stores. Outreach activities were conducted at four schools in Mpumalanga, five in Limpopo, six in Gauteng and four in North West, reaching a total of 11 914 learners. In a fun interactive approach, the edutainment seminars were presented by the doctors and our very popular TopT mascot, to educate the children regarding the importance of practicing simple daily hygiene routines aimed at ensuring good health. In addition, the children were inspired to encourage their parents to visit the stores for free screening tests.

  Each child received a box of crayons and an activity book, and those who participated in the Q&A session after the seminars were awarded spot prizes. The programme was enthusiastically received by the staff and learners and the feedback subsequent to the initiative has been extremely positive.

- the second component followed on from the school hygiene drive, which sensitised both learners and their parents to a range of free health screening tests conducted for our customers at our stores. The tests included blood pressure monitoring; body mass index ("BMI") measurement; and blood glucose estimation. Docs on Health and TopT are gratified by the good response to and success of the programme.

HERITAGE DAY CELEBRATIONS

As part of the Heritage Day celebrations on 24 September 2018, our TopT Limpopo and TopT Waterberg team members chose to wear traditional clothing to work, to show their commitment to celebrating our African heritage and to pay respect to the diverse communities we serve.

As a token of appreciation to our customers, every single shopper who purchased from these stores on Heritage Day received a thermal lunch bag. The message printed on the lunch bag, 'We are Africans not because we are born in Africa, but because Africa is born in us', reflects TopT's passion for our country and its people.

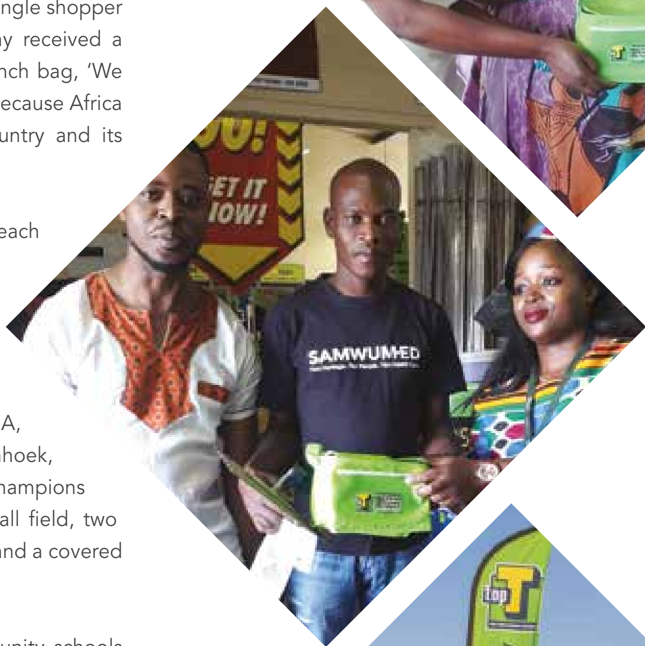
The unexpected gift was warmly received by each delighted customer.

TOPT CUP – ACORNHOEK

March 2019

TopT, in partnership with the Italtile and Ceramic Foundation Trust, Dreamfields and Conservation SA, inaugurated the new TopT sports field in Acornhoek, Mpumalanga, and hosted the first annual TopT Champions Cup. The new sporting facilities consist of a football field, two combi courts, change rooms and ablution facilities, and a covered seating area for spectators.

Two hundred students from 14 surrounding community schools participated in the netball and soccer tournament. Six primary schools competed for the netball title and another six schools competed for the soccer title. Jameyana Primary won the netball competition while Sihlekisi Primary won the soccer, with both teams awarded R15 000 each for their schools. As the hosting school, Acorns to Oaks Comprehensive played Magwagwaza High and Maphuthadichaba High in friendly netball and soccer matches. Acorns to Oaks won the netball match, and Maphuthadichaba won the soccer match; each school was awarded R5 000 for its efforts. Four delighted learners also received shopping vouchers and a trophy for their exceptional performance on the day.



SUPPORTING OUR COMMUNITIES continued

Corporate social investment: Ceramic Industries

The key focus areas remain education and sports development. Our projects are a combination of structured projects and those arising out of community needs. However, the common thread is the ability to maintain shared value for the Company and the communities in which we operate. All projects had a direct impact on 100% black beneficiaries from disadvantaged communities.

CURRENT PROJECTS

Education

Mahareng High School Science Laboratory

Ceramic adopted a community high school close to the Vereeniging factory. In addition to sponsoring and managing various programmes for both learners and teachers, we launched a state-of-the-art science laboratory for the school. This purpose-built facility has served more than 150 learners with marked increases being noted in the school's physical science results.

SAMCA TRAC Science Mobile Laboratory

Ceramic sponsors five mobile laboratories at under-serviced schools in the Hammanskraal area in Gauteng. Our mobile science labs are designed to encourage young people to consider and prepare for careers in science, engineering and technology. Learners, with the support of the learning facilitators, work in groups, conduct experiments, record and analyse results. Vocational guidance is also given to Grades 11 and 12 learners. This programme currently reaches 406 learners and teachers.

Early Childhood Development ("ECD") Tiling Project

Ceramic donated tiles to more than 100 crèches and primary schools. This assisted these facilities to ensure that they are able to provide a hygienic space for the children. It also assisted the crèches to comply with the standards set by the Department of Social Development, which requires that floors in such institutions be washable or have a washable covering.

Sport

Dreamfields

Through the Dreamfields organisation and co-funding provided by the Italtile and Ceramic Foundation, we support primary schools in Vereeniging, Hammanskraal and Krugersdorp with football and netball equipment and teacher coaching. DreamLeagues brings thousands of children together every week, so that sport and physical activity are a regular part of their school experience. During the month of April, tournaments were held in all regions. Ceramic Industries, Italtile and Italtile Ceramic Foundation management and employees took part in the fun-filled days, unleashing their inner sports stars. In total, 28 schools are being reached with this initiative.

Community

Classroom revamp

One of our suppliers partnered with our Gryphon and Pegasus employees to undertake much-needed repairs in one of the Grade R classrooms at Boiketlong Primary School located in an informal settlement behind our factory. The team painted the inside and outside walls, and replaced the ceiling and windows.

Hammanskraal information sharing session

Our Ceramic employees from the SAMCA Wall factory attended a career and inspirational session at Adam Masebo School, one of the five schools we support through the SAMCA TRAC Science Mobile Laboratories. The Ceramic team shared their recipes for success and their personal stories about overcoming adversity in their youth and realising their dreams. The learners also were informed of opportunities available to them at SAMCA and the benefits of doing maths and science at school. The team addressed learners from Grades 8 to 12.

Operation Clean Up

In recognition of Mandela Day, our Betta employees collected litter and cleaned the route leading to the factory and nearby children's playground in the Kagiso area of Krugersdorp.

DIRECTORS' RESPONSIBILITY STATEMENT

The directors are responsible for both the preparation and integrity of the consolidated and separate financial statements and related financial information contained in the Integrated Annual Report. In their opinion, the consolidated and separate financial statements fairly represent the Group's financial position and results of operations. It is the responsibility of the independent auditors to report on the consolidated and separate financial statements. Their report to the members of the Company is set out on page 128.

In order for the directors to discharge their responsibility, the Group maintains adequate accounting systems, risk control procedures and accounting records. A system of internal control, focused on critical risk areas and designed to provide reasonable assurance that assets are safeguarded, and that the risk of error, fraud or loss is reduced in a cost-effective manner, has been implemented. All controls are frequently monitored and subject to review and audit. There was no material breakdown in the system of internal control during the year under review.

The Group adopts appropriate accounting policies and the consolidated and separate annual financial statements are prepared in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa. The consolidated and separate financial statements incorporate full and meaningful disclosure, and have been prepared using reasonable and proven judgements and estimates.

The consolidated and separate financial statements have been prepared under the supervision of the Executive Director: Group Finance and Administration, Ms T T A Mhlanga CA(SA) and have been audited in terms of the Companies Act of South Africa.

GOING CONCERN

The directors are of the opinion that the consolidated and separate business will continue as a going concern in the year ahead. The annual financial statements have accordingly been prepared on a going concern basis.

CODE OF ETHICS

The directors have complied with the Group's code of ethics.

APPROVAL OF ANNUAL FINANCIAL STATEMENTS

The annual financial statements of the Company and the Group set out in pages 134 to 183 were approved by the Board on 7 October 2019 and signed on its behalf by:

J N Potgieter
Chief Executive Officer

B G Wood
Executive Director

T T A Mhlanga
Executive Director

7 October 2019

COMPANY SECRETARY'S CERTIFICATE

In terms of the Companies Act, No 71 of 2008, I certify that the Company has lodged, with the Registrar of Companies, all such returns as are required of a public company in terms of the Companies Act, and that all such returns are true, correct and up to date.

E J Willis
Company Secretary

7 October 2019

DIRECTORS' REPORT

PRINCIPAL ACTIVITIES OF THE COMPANY

Retail

Italtile Limited ("Italtile" or "the Company" or "the Group"), headquartered in Bryanston, Johannesburg, is a leading retailer and manufacturer of tiles, bathroomware and related products in South Africa.

Franchising

The Group operates as a national franchisor, featuring a streamlined parent operation focused on growing market share and fostering entrepreneurial opportunities through its franchise programme.

The Group is represented via its high-profile branded retail outlets, Italtile Retail, CTM and TopT, which cater to homeowners across the income spectrum, holding appeal for market segments ranging from the premium upper end to entry level consumers. These stores are situated on high-visibility sites and/or close to previously underserviced markets, and their comprehensive offerings position them as one-stop solution destinations. The Group also has an online presence, with webstores operating for Italtile Retail, CTM and TopT. Ranges include ceramic and porcelain wall and floor tiles, sanitaryware, bathroom furniture, brassware, fittings, accessories, laminated wooden flooring, vinyl flooring, shower enclosures, paint, home-finishing products, décor and tools.

As at 30 June 2019, the store network comprised 189 stores, including five webstores (2018: 176 stores), situated in southern and East Africa.

Property investment

Underpinning the retail network is an extensive property portfolio. The Group derives important strategic advantage by supporting its brands with high-profile prime sites that enhance Italtile's positioning as a destination retailer. The Group's manufacturing operations comprise well-maintained state-of-the-art factories which are supplied with high-quality raw materials sourced from productive quarries in close proximity to the plants.

Supply Chain

The Group's vertically integrated supply chain comprises International Tap Distributors ("ITD"), an importer and distributor of brassware and accessories, and Cedar Point, an importer and distributor of sanitaryware, laminated and vinyl boards, shower enclosures, cabinets and décor. The Group holds a controlling interest in both of these businesses. ITD and Cedar Point service the Italtile Retail, CTM and TopT retail network.

The Group's Distribution Centre, which has facilities in KwaZulu-Natal and the Western Cape, sources imported products and provides warehousing and distribution facilities to CTM, Italtile Retail and TopT. It is also responsible for arranging logistics and foreign exchange for the Group's retail brands as well as ITD and Cedar Point.

Manufacturing

Ceramic Industries (Pty) Ltd ("Ceramic")

The Group holds a 95,47% stake in Ceramic, its largest supplier of tiles, sanitaryware and baths. Ceramic delivers tactical advantages by supporting the Group's growth programme through supply of local high-quality, affordable products. This business contributed R418 million (2018: R345 million) to Group profit for the full year.

Ezee Tile

The Group holds an effective 71,54% strategic stake in this business, a national manufacturer of grout, paint, adhesive and related products. The business reported growth for the period, contributing R39 million (2018: R39 million) to Group profit for the full year.

STATEMENTS OF RESPONSIBILITY

The responsibilities of the Group's directors are detailed on page 122 of this report.

AUDIT AND RISK COMMITTEE

The Audit and Risk Committee report is on page 132 which discusses the responsibilities of this Committee and how these were discharged during the year.

FINANCIAL REVIEW

System-wide turnover

System-wide turnover across the Group from continuing operations increased 15% to R10,0 billion (2018: R8,7 billion). Retail store turnover grew 6,1%, and manufacturing sales for the year under review grew by 36,5% compared to the previous corresponding period, which included nine months of trading from October 2017.

DIRECTORS' REPORT continued

Trading profit

Reported trading profit grew 18% to R1,8 billion (2018: R1,5 billion). Retail margins improved primarily due to intensified cost containment. Margins at Ceramic were lower mainly due to underutilisation of capacity, while Ezee Tile reported stable margins.

Earnings per share

The Group's basic earnings per share grew by 8% to 102,6 cents (2018: 95,0 cents), while headline earnings per share improved by 7% to 101,8 cents (2018: 95,0 cents).

Property, plant and equipment

The estimated current market value of the property portfolio increased to R3,8 billion (2018: R3,7 billion). Capital expenditure of R312 million (2018: R355 million) was incurred on new and refurbished properties.

Cash and cash equivalents

The Group's cash balance rose to R1,2 billion (2018: R679 million), including the consolidated cash balances of Ceramic and Ezee Tile. Material cash flows for the review period include:

- capital expenditure of R622 million;
- tax payments of R539 million;
- dividend payments of R941 million; and
- term funding loan inflow of R500 million.

PROSPECTS

The short to medium-term outlook for the country is concerning. While the President's commitment to growing the economy and enhancing governance is commendable, only meaningful actions and evidence of transformational reforms will lead to an improvement in business and consumer confidence and hopefully, in time, increased investment by the public and private sectors.

In the interim, there is little indication that meaningful economic growth is imminent, and in that light, we anticipate discretionary spend to remain constrained. Unresolved socio-political issues and general uncertainty will also continue to impact negatively on consumer sentiment.

At the upper end of the LSM spectrum, where the flight of capital is an incontrovertible trend, there has been a marked decline in investment recently, evidenced by the slowdown in Italtile Retail's sales post-year end. However, a home is an ambition for most South Africans, and as a nation we are proud homeowners who invest significantly in this primary asset. It is our view, therefore, that while middle and lower LSM consumers are worse off than ever before, they will acclimatise to sustained financial hardship as the new norm. The likelihood, though, is that when they do shop, the frequency will be less and the spend lower; it is therefore our challenge and goal to ensure that our offering is their first choice.

Despite the very testing operating environment, we remain optimistic that those factors within our own control provide prospects for growth. We derive significant confidence from the Group's strong 50-year track record and the business model which has proved to be resilient and robust over the past five decades. The Company has weathered difficult times in its history, and we are certain that the experience will stand us in good stead.

We have identified our priorities for the year ahead which include the following imperatives:

- focus on sales growth, particularly in the tile category. Opportunities exist in terms of price, service, presentation and fashion, and we are confident that there is potential to gain market share;
- continue to prioritise the shopping experience through entrenching retail excellence principles with specific focus on sales execution;
- advance the store roll out and revamp programme. Our target is to open another 15 stores across our retail brands in the new financial year;
- continue to develop disruptive marketing campaigns;
- roll out the U-Light offering, contingent on the success of the pilot venture and the brand's potential for scalability;
- leverage improvements made in the HR function to develop and optimise a people pipeline which will support growth in the business;
- improve the Group's BBBEE status to level 5 from level 6;
- entrench working capital and cash management as core disciplines;
- prioritise better stock turn and product mix through better implementation of BOP and use of analytics;
- focus on improving manufacturing efficiencies and leverage opportunities in our logistics and distribution functions; and
- drive overall productivity to become more competitive.

We anticipate that the Group will deliver growth for the full year. Given the high base effect, we expect that growth in the first half is likely to be lower than growth in the second half of the year.

STAFF SHARE SCHEME

The Group implemented a Share Incentive Scheme in August 2013 for all employees of the Group and its franchisees that had been in the employ of the Group and/or franchise network for a period of three uninterrupted years at each allotment date in August every year from the implementation date. As a result, eight million of the Group's shares net of forfeitures were held by qualifying staff members at 30 June 2019 (2018: seven million). Until vesting, the shares will continue to be accounted for as treasury shares and have an impact on the diluted weighted average number of shares.

The scheme is classified as an equity-settled scheme in terms of IFRS 2 Share-Based Payment, and has resulted in a charge of R18 million (2018: R16 million) to the Group's income; R9 million (2018: R9 million) of this charge is an accelerated expense for franchise staff.

STATED CAPITAL

The authorised share capital remains unchanged at 3 300 000 000 shares of no par value. Issued share capital remains unchanged at 1 295 254 148 shares of no par value.

DIVIDEND ANNOUNCEMENT

The Board declared a final gross cash dividend (number 106) for the year ended 30 June 2019 of 19,0 cents per ordinary share and a special cash dividend (number 6) of 50,0 cents per ordinary share to all shareholders recorded in the books of Italtile as at the record date of Friday, 13 September 2019. The dividend cover remains at two and a half times.

DIRECTORS AND OFFICERS

The details of the directors of the Company are set out on page 70.

As announced on SENS during the course of the year, the following changes were made to the Board:

- Ms Nomagugu Mtetwa resigned as an independent non-executive director with effect from 31 August 2019;
- Ms Ndumi Medupe resigned as an independent non-executive director with effect from the conclusion of the Group's annual general meeting (on or about 14 November 2019);
- Ms Zizipho Nyanga was appointed as an independent non-executive director with effect from 1 June 2019.

In accordance with the Company's Memorandum of Incorporation, Mr G A M Ravazzotti, Ms S M du Toit and Mr S G Pretorius retire by rotation, and being eligible, offer themselves for re-election at the forthcoming annual general meeting ("AGM"). Further, in accordance with the Company's Memorandum of Incorporation, the appointment of Ms I Z Nyanga as director of the Company is to be confirmed at the forthcoming AGM.

DIRECTORS' SHAREHOLDING AND OTHER INTERESTS

Except for the long-term incentive schemes detailed below, the Company was not party to any arrangement during the year or at year end, which would enable the directors or officers, or their families, to acquire benefits by means of acquisition of shares in the Company.

Other than disclosed in note 36, none of the directors or officers of the Company had any interest in any contracts which significantly affected the affairs or business of the Company or its subsidiaries during the year.

It is Company policy that all directors (and employees who have access to price-sensitive information) may not deal directly or indirectly in the shares of the Company from the end of a reporting period until publication of the interim results or annual profit announcement.

The directors' beneficial and non-beneficial interest in the stated share capital of the Company at the reporting date is set out in note 36. Refer to the SENS announcement on 5 September 2019 for details of change of interests between 30 June 2019 and the date of this Integrated Annual Report.

DIRECTORS' PARTICIPATION IN SHARE INCENTIVE SCHEMES

Directors' holdings under the Share Appreciation Rights Scheme and Executive Retention Plan are set out in note 36.

DIRECTORS' REPORT continued

DIRECTORS' EMOLUMENTS

All emoluments paid to directors are short term in nature, other than gains on exercise of share options, and contributions to medical aid and provident fund.

The remuneration of both executive and non-executive directors is determined by the Remuneration Committee. Other benefits include once-off benefits paid and the fringe benefit value of Company cars for executive directors, and fees for services rendered by non-executive directors or as otherwise noted. Refer to note 36.

Subsidiary companies

Details of the Company's interest in its subsidiaries are set out in notes 37 and 38.

The Company's interest in the profits or losses after taxation and the non-controlling shareholders' interest of its subsidiaries (direct and indirect) is:

	2019 Rm	2018 Rm
Profits	**1 261**	1 044

CORPORATE GOVERNANCE

The Corporate governance report is set out on pages 73 to 87.

SHAREHOLDERS

An analysis of the shareholdings of the Company appears on page 184 of this report.

EMPLOYEES

The Group employs 2 545 employees (2018: 2 530).

SPECIAL RESOLUTIONS

At the AGM of shareholders held on Friday, 16 November 2018, three special resolutions were approved by the requisite majority of votes, namely: authorising the Company to repurchase its own shares; authorising the Company to provide financial assistance to related and inter-related entities and approving the Company's non-executive directors' fees.

Full details of the special resolutions passed will be made available to shareholders on request.

THE ITALTILE SHARE INCENTIVE TRUST

In terms of the resolution passed at the shareholders' meeting on 12 January 1993 as amended and approved at the shareholders' meeting on 15 April 2013, the directors are authorised to make available for the purposes of the scheme a maximum aggregate number of 136 470 068 ordinary shares, representing 13% of the issued share capital.

The scheme exists for the directors and senior management of the Company with a limit of 15 400 000 shares which any one participant may acquire.

The Trust holds sufficient shares to meet its commitments. Shares will be bought in the open market by the scheme to meet any future allocations where necessary.

SHARE INCENTIVE SCHEMES

Long-Term Incentive Plan and Share Appreciation Rights Scheme

The Company adopted a Long-Term Incentive Plan ("LTIP") and a Share Appreciation Rights Scheme ("SARS") in the 2008 financial year (amended in the 2013 financial year), in accordance with which selected directors and employees of the Group will receive a conditional right to receive a share award as determined by the rules of the plan and scheme. This award is to be applied towards the obligatory subscription and/or purchase of Company ordinary shares.

Directors and employees of the Company, as well as directors and employees of any subsidiary within the Group which is designated by directors of the Company as being a participating company, are eligible to participate in the LTIP and SARS. In addition, the directors of the Company may select certain franchisees of the Group to participate in the LTIP and SARS, in which event directors and employees of such franchisees will also be eligible.

The movement in the number of notional shares available to eligible participants is as follows:

	Number of awards*	
	2019	2018
At 1 July	**14 937 500**	15 287 500
Awarded during the year	**2 800 000**	1 600 000
Vested and exercised during the year	**(1 887 500)**	(1 375 000)
Forfeited/cancelled during the year	**(275 000)**	(575 000)
At 30 June	**15 575 000**	14 937 500

* *SARS only (no LTIP awards in place).*

Executive Retention Plan

The Executive Retention Plan is an additional mechanism, over and above the LTIP and SARS, to retain and reward selected employees and directors. In terms of this scheme, retention payments are made to selected directors and employees to facilitate the purchase of Italtile Limited shares. The payment of the retention award is subject to the director or employee remaining with the Group for a period of at least three years. The director or employee shall be the registered and beneficial holder of the shares acquired pursuant to the retention award from the date of transfer of such shares.

The movement in the number of retention awards to eligible participants is as follows:

	Number of awards	
	2019	2018
At 1 July	**5 500 000**	5 500 000
Awarded during the year#	**1 500 000**	–
Vested during the year	**(500 000)**	–
Forfeited/cancelled during the year	**–**	–
At 30 June	**6 500 000**	5 500 000

Five-year retention period.

Refer to note 7 for further disclosure related to these schemes.

BORROWING POWERS

In terms of the Memorandum of Incorporation, the Company has unlimited borrowing powers.

AUDITORS

Ernst & Young Inc. continued in office as auditors of Italtile Limited. At the AGM of 14 November 2019, shareholders will be requested to appoint PricewaterhouseCoopers Inc. as auditors for the 2020 financial year and it will be noted that Mr T Howatt will be the individual registered auditor who will undertake the audit.

SECRETARY

The Company Secretary is Ms E J Willis, whose business and postal address is:

Registered office:	The Italtile Building Corner William Nicol Drive and Peter Place Bryanston 2021
Postal address:	PO Box 1689 Randburg 2125
Telephone number:	+27 (0) 11 510 9050
Fax number:	+27 (0) 11 510 9060

FINANCIAL STATEMENTS

INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF ITALTILE LIMITED

REPORT ON THE AUDIT OF THE CONSOLIDATED AND SEPARATE ANNUAL FINANCIAL STATEMENTS

OPINION

We have audited the consolidated and separate financial statements of Italtile Limited and its subsidiaries ("the Group") set out on pages 134 to 183, which comprise the consolidated and separate statements of financial position as at 30 June 2019, and the consolidated and separate statements of comprehensive income, consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the Group as at 30 June 2019, and its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards ("IFRSs") and the requirements of the Companies Act, 2008.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing ("ISAs"). Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report. We are independent of the Group in accordance with the sections 290 and 291 of the Independent Regulatory Board for Auditors' Code of Professional Conduct for Registered Auditors (revised January 2018), parts 1 and 3 of the Independent Regulatory Board for Auditors' Code of Professional Conduct for Registered Auditors (revised November 2018) (together the IRBA Codes) and other independence requirements applicable to performing audits of financial statements of the Group and in South Africa. We have fulfilled our other ethical responsibilities, as applicable, in accordance with the IRBA Codes and in accordance with other ethical requirements applicable to performing audits of the Group and in South Africa. The IRBA Codes are consistent with the corresponding sections of the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants ("IESBA Code") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) respectively. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon. We do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated and separate financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated and separate financial statements.

Key audit matter	How this matter was addressed in our audit
Inventory provisions At year end, the value of inventory and the provision for inventory obsolescence amounted to R857 million and R85 million respectively. As described in note 20 of the financial statements, inventories are carried at the lower of cost and net realisable value on a weighted average cost basis. The provision for obsolete inventory is based on the age and seasonality of inventory items on hand, and represents the expected markdown between the original cost and the estimated net realisable value. This requires significant management judgement based on past experience around seasonality, write-off of goods, inventory ageing profiles and the market trend impacting the sales of these product lines. These factors require specific focus on the assumptions, as they change year on year. Inventory provisions are considered a key audit matter due to the size of the balance and due to the significant judgements as discussed above, and estimates involved in the calculation of the inventory provision.	Our audit procedures for the inventory provision, among others, included: • we assessed the design and implementation of controls around the significant accounting estimates to evaluate the control environment for the obsolescence provision; • we evaluated the reasonableness of the provision methodology assumptions and judgements applied by management through knowledge of industry practice and based on the actual write-off incurred in the prior years; • we performed analytical procedures to compare inventory on hand to the provision for obsolete inventory year on year to understand the reasonability of the provision; • we evaluated management's calculation of the impairment allowance by performing an independent calculation based on the age, condition, historical trend of inventory and compared the recalculated impairment allowance to management's impairment allowance; • we recalculated the impairment provision for mathematical accuracy of the respective provisions; • we attended a sample of the year-end inventory counts based on the inventory valuation to observe the inventory count process, inspected the condition and nature of inventory for impairment consideration to assess the completeness of write-offs and reperformed the count on a sample of inventory items for existence and completeness; and • we reviewed the disclosures of the inventory provision to assess compliance with the disclosure requirements in accordance with IAS 2 Inventories, paragraph 36.

OTHER INFORMATION

The directors are responsible for the other information. The other information comprises the information included in the 200-page document titled "Italtile Limited Integrated Annual Report for the year ended 30 June 2019" which includes the Directors' Report, the Audit Committee's Report and the Company Secretary's Certificate as required by the Companies Act of South Africa.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

RESPONSIBILITIES OF DIRECTORS FOR THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

The directors are responsible for the preparation and fair presentation of the consolidated and separate annual financial statements in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate annual financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

INDEPENDENT AUDITOR'S REPORT continued

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the consolidated and separate annual financial statements are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors;
- conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern;
- evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation; and
- obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that Ernst & Young Inc. has been the auditor of Italtile Limited for 30 years.

Ernst & Young Inc.

Ernst & Young Inc.
Director: Derek Engelbrecht
Registered Auditor
Chartered Accountant (SA)

102 Rivonia Road
Johannesburg
Gauteng
South Africa
2146

7 October 2019

Our customers are our reason for being, and our focus every single day is to improve the experience we offer them. We recognise that in times of financial hardship, their allocation of discretionary spend is particularly carefully considered, and thus our challenge and goal is to ensure that our offering is their first choice.

AUDIT AND RISK COMMITTEE REPORT

The Audit and Risk Committee ("the Committee") submits this report in terms of the Companies Act, No 71 of 2008 ("Companies Act").

A formal Audit and Risk Committee Charter ("Charter"), approved by the Board, guides the Committee in terms of its objectives, authority and responsibilities. The Charter is reviewed annually and, if necessary, amended to meet market, regulatory and statutory requirements.

The Committee consists of four independent non-executive directors, namely Ms N Medupe (Chairman), Ms S M du Toit, Ms N V Mtetwa and Mr S G Pretorius.

The Committee meets at least three times a year. The Chief Executive Officer, executive directors, external audit partner, the Head of Internal Audit and the Head of Information Technology attend meetings by invitation. The Company Secretary, Ms E J Willis, attends and minutes all meetings of the Committee.

Name	18 Aug 2018	17 Sept 2018	7 Feb 2019	15 May 2019
Ms N V Mtetwa	✓	A	A	✓
Ms S M du Toit	✓	✓	✓	✓
Mr S G Pretorius	✓	✓	✓	✓
Ms N Medupe	✓	✓	✓	✓

✓ Present.
A Absent.

The role of the Committee is, *inter alia,* to:

- review the effectiveness of the Group's systems of internal control, including internal financial control and risk management, and to ensure that effective internal control systems are maintained;
- oversee the risk management process;
- review financial statements for proper and complete disclosure of timely, reliable and consistent information and to confirm that the accounting policies used are appropriate;
- deal with concerns and complaints relating to accounting policies, internal audit, the audit or content of the Integrated Annual Report and internal financial controls;
- nominate the appointment of the external auditors as the registered independent auditors after satisfying itself through enquiry that the auditors are independent as defined in terms of the Companies Act;
- determine the fees to be paid to the external auditors and their terms of engagement;
- ensure that the appointment of the external auditors complies with the Companies Act, as well as the JSE Listings Requirements and any other legislation relating to the appointment of the auditors; and
- approve the scope of non-audit services which the external auditors may provide to the Group and pre-approve any non-audit services to be provided by the external auditors.

RISK MANAGEMENT AND COORDINATION OF ASSURANCE ACTIVITIES

The Committee oversees the risk management process. At least one Committee meeting a year is dedicated to the detailed review of the Group risk assessment including information technology risks. The Committee coordinates all assurance activities by means of the Group's combined assurance model.

INTERNAL AUDIT

The internal audit function provides assurance on the adequacy of the internal control environment across the Group's significant operations. The role of internal audit is contained in the internal audit charter which is reviewed annually by the Committee.

The Head of Internal Audit reports to the Executive Director: Group Finance and Administration and provides regular reports on work done to the Committee, joining each Committee meeting as an invitee. The Head of Internal Audit has direct and unrestricted access to the Chairman of the Committee and regular meetings are held between both. The Committee is responsible for the appointment and removal of the Head of Internal Audit and the assessment of his performance.

The Committee has considered and is satisfied with the effectiveness of the internal audit function. The Committee has also considered and is satisfied with the expertise and experience of the Head of Internal Audit.

EXTERNAL AUDITORS

During the year under review, the Committee, in consultation with executive management, approved the external audit plan and fee proposal and considered reports from the external auditors on the annual and interim financial statements. The Committee satisfied itself that Ernst & Young Inc. and Mr D Engelbrecht, the designated auditor, are independent of the Company. The Chairman of the Committee has regular discussions and meetings with the external auditors, independently of management.

The Committee was provided with the information detailed in paragraph 22.15(h) of the JSE Listings Requirements by Ernst & Young Inc. and Mr D Engelbrecht. The information was used by the Committee to assess audit quality and the suitability for reappointment of both Ernst & Young Inc. and Mr D Engelbrecht.

There is a formal procedure that governs the process whereby the external auditor is considered for non-audit services, with the Committee having to approve both terms and scope of such services where related fees are in excess of 30% of the approved audit fee. During the year an amount of R0,7 million was paid to the external auditors in respect of non-audit services.

WHISTLE-BLOWING

The independent external whistle-blowing lines operated effectively for the year under review. Instances of whistle-blowing are reported to the Chairman of the Committee.

FINANCIAL FUNCTION

In accordance with the JSE Listings Requirements, the Committee must consider the appropriateness of the expertise and experience of the Financial Director of the Company on an annual basis. The Committee believes that Ms Mhlanga, the Financial Director, possesses the appropriate expertise and experience to meet her responsibilities in that position.

The Committee is satisfied that the financial function of the Group incorporates the necessary expertise, resources and experience to adequately carry out its obligations. The Committee believes that the Group has established appropriate financial reporting procedures and that those procedures are operating effectively.

INTERNAL FINANCIAL CONTROLS

Based on the results of work done by the internal audit function and external auditors on the Group's system of internal financial controls, and considering feedback and information from management, the Committee is of the opinion that the Group's system of internal financial control was effective for the year under review and that it formed a reliable basis for the preparation of the Group financial statements.

FINANCIAL STATEMENTS

The Committee reviewed the financial statements of the Company and the Group, and is satisfied that they comply with International Financial Reporting Standards and that the accounting policies applied are appropriate.

SUSTAINABILITY REPORTING

The Committee reviewed and considered the Group's sustainability information as disclosed in the Integrated Annual Report. The Committee discussed the sustainability information with management and is satisfied, based on information and explanations from management, that the sustainability information is reliable.

RECOMMENDATION OF THE INTEGRATED ANNUAL REPORT

The Committee has noted the external auditors' opinion (including key audit matters) and findings on the Integrated Annual Report and has recommended the approval of the Integrated Annual Report to the Board.

The Committee reports that it has discharged its responsibilities and duties in compliance with its charter.

N Medupe
Audit and Risk Committee Chairman
7 October 2019

STATEMENTS OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2019

Company 2019 Rm	Company 2018 Rm		Note	Group 2019 Rm	Group 2018 Rm
291	198	**Revenue**	4	**7 226**	6 272
		Turnover	4	**6 975**	6 064
		Cost of sales	5	**(4 361)**	(3 736)
		Gross profit		**2 614**	2 328
		Other operating income		**511**	417
6	5	Management fees		**–**	–
(6)	(6)	Operating expenses		**(1 342)**	(1 227)
#	36	Gain on derecognition of financial assets		**–**	–
–	–	Profit on sale of property, plant and equipment		**14**	#
–	35	**Trading profit/(loss)**	6	**1 797**	1 518
285	193	Finance income	8	**71**	61
#	(33)	Finance cost	9	**(52)**	(35)
		Share of profit from associates after tax	16.2	**3**	31
285	195	**Profit before taxation**		**1 819**	1 575
(2)	(1)	Taxation	10	**(500)**	(429)
283	194	**Profit for the year**		**1 319**	1 146
		Other comprehensive income, net of taxation:			
		Items that may be reclassified subsequently to profit or loss (net of taxation):			
		Foreign currency translation difference recycling of foreign currency translation difference on the Australian disposal		**(16)**	(29)
		Other comprehensive income/(loss) from associates		**–**	4
283	194	**Total comprehensive income for the year, net of taxation**		**1 303**	1 121
		Profit attributable to:			
		Equity holders of the parent		**1 253**	1 080
		Non-controlling interests		**66**	66
283	194			**1 319**	1 146
		Total comprehensive income attributable to:			
		Equity holders of the parent		**1 237**	1 055
		Non-controlling interests		**66**	66
283	194			**1 303**	1 121
		Earnings per share (all figures in cents):			
		Earnings per share	11	**103**	95,00
		Diluted earnings per share	11	**102**	95,00

Less than R1 million.

STATEMENTS OF FINANCIAL POSITION

AT 30 JUNE 2019

Company 2019 Rm	Company 2018 Rm		Note	Group 2019 Rm	Group 2018 Rm
		ASSETS			
327	340	**Non-current assets**		**4 472**	3 872
		Property, plant and equipment	14	**3 942**	3 675
		Right-of-use assets	15	**303**	–
143	117	Investments	16.1	**–**	–
		Investment in associates	16.2	**26**	23
184	223	Long-term financial assets	17	**160**	149
		Goodwill	18	**19**	11
		Deferred taxation	19	**22**	14
3 030	3 654	**Current assets**		**2 953**	2 455
		Inventories	20	**857**	806
3 030	3 654	Trade and other receivables	21	**850**	942
#	#	Cash and cash equivalents	22	**1 201**	679
		Taxation receivable	28	**45**	28
3 357	3 994	**Total assets**		**7 425**	6 327
		EQUITY AND LIABILITIES			
3 357	3 993	**Equity attributable to equity holders of the parent**		**5 607**	5 279
4 010	4 010	Stated capital	23	**4 010**	4 010
		Non-distributable reserve	24	**(28)**	(12)
		Treasury shares	23	**(497)**	(477)
99	85	Share schemes reserve	7	**220**	183
(752)	(102)	Retained earnings		**1 902**	1 575
		Non-controlling interest		**251**	246
3 357	3 993	**Total equity**		**5 858**	5 525
#	1	**Total liabilities**			
		Non-current liabilities		**923**	132
		Interest-bearing loans	29	**500**	–
		Lease liabilities	30	**257**	–
		Deferred taxation	19	**166**	132
#	1	**Current liabilities**		**644**	670
#	1	Trade and other payables	25	**464**	534
		Provisions	26	**121**	114
		Interest-bearing loans	29	**3**	–
		Lease liabilities	30	**44**	–
		Taxation payable	28	**12**	22
3 357	3 994	**Total equity and liabilities**		**7 425**	6 327

Less than R1 million.

FINANCIAL STATEMENTS

STATEMENTS OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2019

Rm	Stated capital	Non-distributable reserve	Treasury shares	Share schemes reserve	Retained earnings	Total	Non-controlling interests	Total equity
GROUP								
Balance at 30 June 2017	818	13	(436)	88	3 230	3 713	60	3 773
Profit for the year					1 080	1 080	66	1 146
Other comprehensive income for the year		(25)				(25)		(25)
Total comprehensive income for the year		(25)			1 080	1 055	66	1 121
Proceeds from Rights Offer	1 565		(20)			1 545		1 545
Acquisition of interest in subsidiaries	1 924			88	(2 610)	(598)	129	(469)
Share repurchase from Four Arrows	(297)		161		6	(130)		(130)
Distribution received from Ceramic Foundation			(158)		158			–
Dividends paid					(339)	(339)	(21)	(360)
Transactions with non-controlling interests						–	12	12
Share incentive costs (including vesting)			(24)	7	50	33		33
Balance at 30 June 2018	4 010	(12)	(477)	183	1 575	5 279	246	5 525
Effect of adoption of new accounting standards					**(29)**	**(29)**		**(29)**
Profit for the year					**1 253**	**1 253**	**66**	**1 319**
Other comprehensive income for the year		**(16)**				**(16)**		**(16)**
Total comprehensive income for the year		**(16)**			**1 253**	**1 237**	**66**	**1 303**
Dividends paid			**(46)**			**(46)**		**(46)**
Proceeds from Rights Offer					**(899)**	**(899)**	**(42)**	**(941)**
Acquisition of interest in subsidiaries					**(6)**	**(6)**	**(19)**	**(25)**
Share incentive costs (including vesting settlement)			**26**	**37**	**8**	**71**		**71**
Balance at 30 June 2019	**4 010**	**(28)**	**(497)**	**220**	**1 902**	**5 607**	**251**	**5 858**
Note	23	24	23	7				

Rm	Stated capital	Share schemes reserve	Retained earnings	Total equity
COMPANY				
Balance at 30 June 2017	818	89	47	954
Profit for the year			194	194
Dividends paid			(369)	(369)
Share incentive transactions (including vesting settlement)		10	12	22
Proceeds from Rights Offer	1 565			1 565
Acquisition of interest in subsidiaries	1 924			1 924
Share repurchase from Four Arrows	(297)	(14)	14	(297)
Balance at 30 June 2018	**4 010**	**85**	**(102)**	**3 993**
Profit for the year			**283**	**283**
Dividends paid			**(946)**	**(946)**
Share incentive transactions (including vesting settlement)		**14**	**13**	**27**
Balance at 30 June 2019	**4 010**	**99**	**(752)**	**3 357**
Note	23	7		

STATEMENTS OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2019

Company 2019 Rm	Company 2018 Rm		Note	Group 2019 Rm	Group 2018 Rm
(4)	(1)	Cash generated by operations	27	**2 114**	1 748
–	43	Finance income	8	**71**	61
–	(33)	Finance costs	9	**(31)**	(35)
285	150	Dividends received	8		
(946)	(369)	Dividends paid	31	**(941)**	(360)
(2)	(1)	Taxation	28	**(539)**	(435)
(667)	(211)	**Cash flow from operating activities**		**674**	979
		Additions to property, plant and equipment	14	**(622)**	(669)
		Proceeds on disposal of property, plant and equipment		**95**	11
		Decrease in investments	16.2	**–**	33
		(Decrease)/increase in long-term financial assets	17	**(38)**	27
39	(34)	Advances to share trust	17		
	161	Redemption of Four Arrows preference shares			
		Purchase of interest in subsidiaries		**(28)**	–
628	(1 187)	(Increase)/decrease in amounts owing by subsidiaries			
		Net cash flow from acquisition of subsidiary		**–**	(1 602)
667	(1 060)	**Cash flow from investing activities**		**(593)**	(2 200)
	1 565	Proceeds of share rights offer		**–**	1 565
		Increase in loans and borrowings		**503**	–
	(297)	Share repurchase from Four Arrows		**–**	–
		Purchase of interest in subsidiary		**(16)**	–
		Treasury share movements	23	**(46)**	(176)
–	1 268	**Cash flow from financing activities**		**441**	1 389
#	(3)	**Net movement in cash and cash equivalents for the year**		**522**	168
1	3	**Cash and cash equivalents at the beginning of the year**		**679**	511
1	#	**Cash and cash equivalents at the end of the year**	22	**1 201**	679

 # Less than R1 million.

FINANCIAL STATEMENTS

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2019

1. ACCOUNTING POLICIES

1.1 Statement of compliance

The consolidated and separate financial statements have been prepared in accordance with and comply with International Financial Reporting Standards ("IFRS"), its interpretations issued by the International Accounting Standards Board ("IASB"), International Financial Reporting Interpretations Committee ("IFRIC"), the Listings Requirements of JSE Limited ("the JSE Listings Requirements"), the requirements of the Companies Act, No 71 of 2008 of South Africa, as amended ("the Companies Act"), SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and Financial Pronouncements as issued by the Financial Reporting Standards Council.

1.2 Basis of preparation

The consolidated and separate financial statements are prepared on the historical cost basis, except for certain assets and liabilities that have been measured at fair value. The accounting policies set out below have been applied consistently to all periods presented in these consolidated and separate financial statements.

1.3 Standards or interpretations that have become effective in the current period

The following standard amendments are effective for the current financial year and resulted in additional disclosures for the Group (which includes the consolidated and separate financial statements) for the year ended 30 June 2019:

- IAS 1 – Amendment to IAS 1 Presentation of Financial Statements;
- IAS 16 and IAS 38 Amendment to IAS 16 and IAS 38 Property, Plant and Equipment and Intangible Assets;
- IFRS 5 – Amendment to IFRS 5 Non-current Assets Held for Sale and Discontinued Operations;
- IFRS 7 – Amendment to IFRS 7 Financial Instruments: Disclosures;
- IFRS 9 Financial Instruments;
- IFRS 10, IFRS 12 and IAS 28 Amendment to IFRS 10, IFRS 12 and IAS 28 Consolidated Financial Statements, Disclosure of Interests in Other Entities and Investments in Associates and Joint Ventures; and
- IFRS 15 Revenue from Contracts with Customers.

The financial statements are presented in South African Rand and all values are rounded to the nearest million (Rm), except where otherwise indicated, and have been prepared on a going concern basis.

1.4 Judgements and estimates

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods, if the revision affects both current and future periods.

The key assumptions concerning the future and key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year, relates to the following:

Provision for rehabilitation of clay quarries

A provision is recognised for the rehabilitation of quarries based on an assessment from an independent consultant working in conjunction with management. Reports on the rehabilitation assessment are lodged with the Department of Mineral Resources.

The provision represents the best estimate of the discounted future costs of either restoring the quarries to their original state or eliminating adverse environmental impacts to an acceptable level over the long term.

1. ACCOUNTING POLICIES (continued)

1.4 Judgements and estimates (continued)

Inventory obsolescence provision

The Group determines whether there is obsolete inventory on an annual basis. This requires an estimation of the expected future saleability of inventory items based on historical experience, an analysis of market and fashion trends and a review of the ageing of the inventory items. Details pertaining to carrying values and write-offs are provided in note 20.

Classification of leased land and buildings

The Group leases certain properties it owns to its franchisees. The leased properties do not generate cash flows largely independently of other assets of the Group, as rental income is directly linked to the franchise agreement and does not account for the significant portion of income generated from the franchise agreement. The leased property has thus been classified as owner occupied, and not investment property.

Residual values and useful lives of buildings

The Group depreciates its buildings to estimated residual values over an estimated useful life. These estimates are reviewed annually by the Group at each reporting period with reference to expected usage of the buildings, expected physical wear and tear, and current market values. Details of residual values and useful lives are disclosed in note 1.11.

Impairment of tangible assets

The Group determines whether any of the tangible assets are impaired at each reporting date. This requires consideration of the current and future economic and trading environment; available valuation information and the physical state of the tangible assets, to ascertain if there are indications of impairment to those owned by the Group.

Share-based payments

The Group measures the cost of equity-settled transactions by reference to the fair value of the equity instruments at the date at which they are granted. Estimating fair value requires determining the most appropriate valuation model for a grant of equity instruments, which is dependent on the terms and conditions of the grant. This also requires determining the most appropriate inputs to the valuation model including the expected life of the option, volatility and dividend yield and making assumptions about them. The assumptions and models used are disclosed in note 7.

1.5 Basis of consolidation

The consolidated financial statements incorporate the results and financial position of the Company, its subsidiaries, its associates, the Share Incentive Trust, the BEE Trust and the Foundation Trust.

Subsidiaries are those companies in which the Group has the power to exercise control over. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power of the investee. The results of subsidiaries are included from the effective dates of acquisition, being the dates on which the Group obtains control, until the dates that control ceases. The identifiable assets and liabilities of companies acquired are assessed and included in the statement of financial position at their fair values as at the effective dates of acquisition.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the statement of comprehensive income from the date the Group gains control until the date the Group ceases to control the subsidiary.

All intragroup balances, transactions, unrealised gains and losses resulting from intragroup transactions and dividends are eliminated in full.

All companies in the Group maintain consistent accounting policies and have the same year ends.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

1. ACCOUNTING POLICIES (continued)

1.5 Basis of consolidation (continued)

Non-controlling interests represent the portion of profit or loss and net assets not held by the Group and are presented separately in the statement of comprehensive income and within equity in the consolidated statement of financial position, separately from equity attributable to equity holders of the parent. Non-controlling interests are not fair valued post-acquisition.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- derecognises the assets (including goodwill) and liabilities of the subsidiary;
- derecognises the carrying amount of any non-controlling interest;
- derecognises the cumulative translation differences, recorded in equity;
- recognises the fair value of the consideration received;
- recognises the fair value of any investment retained;
- recognises any surplus or deficit in profit or loss; and
- reclassifies the parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

1.6 Business combinations and goodwill

New acquisitions are included in the Group's financial statements using the acquisition method whereby the assets, liabilities and contingent liabilities are measured at their fair value. The purchase consideration is allocated on the basis of fair values at the date of acquisition.

Goodwill is initially measured at cost and represents the excess of the purchase consideration over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of the acquired entity at the date of acquisition.

Following initial recognition, goodwill is measured at cost, less any accumulated impairment losses. Goodwill carried in the statement of financial position is not amortised. Goodwill is reviewed for impairment annually or more frequently, if events or changes in circumstances indicate that the carrying value may be impaired.

As at the acquisition date, any goodwill acquired is allocated to each of the cash-generating units expected to benefit from the acquisition. Impairment is determined by assessing the recoverable amount of the cash-generating unit, to which the goodwill relates.

Where the recoverable amount of the cash-generating unit is less than the carrying amount, an impairment loss is recognised. Where goodwill forms part of the cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of, is included in the carrying amount of the operation when determining the gain or loss on disposal of that operation. Goodwill disposed of in this circumstance is measured on the basis of the relative values of the operation disposed of and the portion of the cash-generating unit which is retained.

Common control reserve

Common control transactions are accounted for using the pooling of interest method with the difference between the carrying amount and consideration recognised in a separate reserve in equity. A business combination is a common control combination if the combining entities are ultimately controlled by the same party (or parties) both before and after the combination.

1.7 Investment in subsidiaries (as accounted for on an entity level within the Group)

Investment in subsidiaries are initially recorded at cost, being the fair value of the consideration given and including acquisition charges associated with the investment. Investments are carried at cost, less impairment.

The carrying value of the subsidiaries is reviewed for impairment at every reporting date. Where necessary, the value of the investment is impaired to the greater of the fair value less costs of disposal or the value in use.

The difference between the net proceeds on disposal and the carrying amount of investments is charged to profit or loss in the statement of comprehensive income.

1. ACCOUNTING POLICIES (continued)

1.8 Financial instruments

Financial instruments held by the Group are classified in accordance with the provisions of IFRS 9 Financial Instruments.

The classification possibilities, which are adopted by the Group, as applicable, are as follows:
Financial assets which are equity instruments:

- mandatorily at fair value through profit or loss; or
- designated as at fair value through other comprehensive income. This designation is not available to equity instruments which are held for trading or which are contingent consideration in a business combination.

Financial assets which are debt instruments:

- Amortised cost
  This category applies only when the contractual terms of the instrument give rise, on specified dates, to cash flows that are solely payments of principal and interest on principal, and where the instrument is held under a business model whose objective is met by holding the instrument to collect contractual cash flows; or
- Fair value through comprehensive income
  This category applies only when the contractual terms of the instrument give rise, on specified dates, to cash flows that are solely payments of principal and interest on principal, and where the instrument is held under a business model whose objective is achieved by both collecting contractual cash flows and selling the instruments; or
- Mandatorily at fair value through profit or loss
  This classification automatically applies to all debt instruments which do not qualify as at amortised cost or at fair value through comprehensive income; or
- Designated at fair value through profit or loss
  This classification option can be applied when it eliminates or significantly reduces an accounting mismatch.

Derivatives which are not part of a hedging relationship:

- mandatorily at fair value through profit or loss.

Financial liabilities:

- amortised cost; or
- mandatorily at fair value through profit or loss
  This applies to contingent consideration in a business combination or to liabilities which are held for trading; or
- designated at fair value through profit or loss
  This classification option can be applied when it eliminates or significantly reduces an accounting mismatch; the liability forms part of a group of financial instruments managed on a fair value basis; or it forms part of a contract containing an embedded derivative and the entire contract is designated as at fair value through profit or loss.

Note 34 financial instruments and risk management presents the financial instruments held by the Group based on their specific classifications.

The specific accounting policies for the classification, recognition and measurement of each type of financial instrument held by the Group are presented below:

a. Trade and other receivables

Classification

Trade and other receivables, excluding, when applicable, VAT and prepayments, are classified as financial assets subsequently measured at amortised cost (note 21).

They have been classified in this manner because their contractual terms give rise, on specified dates to cash flows that are solely payments of principal and interest on the principal outstanding, and the Group's business model is to collect the contractual cash flows on trade and other receivables.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

1. ACCOUNTING POLICIES (continued)

1.8 Financial instruments (continued)

a. Trade and other receivables (continued)

Recognition and measurement

Trade and other receivables are recognised when the Group becomes a party to the contractual provisions of the receivables. The Group initially recognises trade and other receivables on the date that they originated. The trade and other receivables are measured initially at their transaction price, if at initial recognition of the trade and other receivable the Group expects to receive payment within one year or less from the date that the goods were transferred for the customer. All other trade and other receivables are initially measured at fair value plus transaction cost.

They are subsequently measured at amortised cost.

The amortised cost is the amount recognised on the receivable initially, minus principal payments, plus cumulative amortisation (interest) using the effective interest method of any difference between the initial amount and the maturity amount, adjusted for any loss allowance.

Application of the effective interest method

For receivables which contain a significant financing component, interest income is calculated using the effective interest method, and is included in profit or loss in finance income when applicable.

Impairment

The Group recognises a loss allowance for expected credit losses ("ECLs") on trade and other receivables at an amount equal to lifetime expected credit losses (lifetime ECLs), which represents the expected credit losses that will result from all possible default events over the expected life of the receivable.

Measurement and recognition of expected credit losses

The Group makes use of a provision matrix as a practical expedient to the determination of expected credit losses on trade and other receivables. The provision matrix is based on historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current and forecast direction of conditions at the reporting date, including the time value of money, where appropriate. The customer base is diverse with significantly different loss patterns for different customer segments. The Group aggregates customer segments which share similar credit risk characteristics for purposes of determining the credit loss allowance.

An impairment gain or loss is recognised in profit or loss with a corresponding adjustment to the carrying amount of trade and other receivables, through use of a loss allowance account. The impairment loss is included in profit or loss as a movement in credit loss allowance.

Write-off policy

The Group writes off a receivable when there is information indicating that the counterparty is in severe financial difficulty and there is no realistic prospect of recovery, eg when the counterparty has been placed under liquidation or has entered into bankruptcy proceedings. Receivables written off may still be subject to enforcement activities under the Group recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognised in profit or loss.

Credit risk

Details of credit risk are included in trade and other receivables (note 21) and the financial instruments and risk management note (note 34).

Derecognition

Refer to the derecognition section of the accounting policy for the policies and processes related to derecognition.

1. ACCOUNTING POLICIES (continued)

1.8 Financial instruments (continued)

b. Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, deposits held on call with banks and highly liquid investments that are readily convertible to known amounts of cash and are subject to insignificant changes in value.

Cash and cash equivalents are initially and subsequently measured at fair value.

c. Trade and other payables

Classification

Trade and other payables (note 25) are classified as financial liabilities subsequently measured at amortised cost.

Recognition and measurement

Trade and other payables are recognised when the Group becomes a party to the contractual provisions, and are measured, at initial recognition, at fair value plus transaction costs, if any.

They are subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortised cost of a financial liability.

If trade and other payables contain a significant financing component, and the effective interest method results in the recognition of interest expense, then it is included in profit or loss in finance costs (note 9).

Trade and other payables expose the Group to liquidity risk and possibly to interest rate risk. Refer to note 34 for details of risk exposure and management thereof.

Trade and other payables denominated in foreign currencies

When trade payables are denominated in a foreign currency, the carrying amount of the payables are determined in the foreign currency. The carrying amount is then translated to the Rand equivalent using the spot rate at the end of each reporting period.

Derecognition

Refer to the derecognition section of the accounting policy for the policies and processes related to derecognition.

d. Derecognition

Financial assets

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

Financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

1. ACCOUNTING POLICIES (continued)

1.8 Financial instruments (continued)

e. Reclassification

Financial assets

The Group only reclassifies affected financial assets if there is a change in the business model for managing financial assets. If a reclassification is necessary, it is applied prospectively from the reclassification date. Any previously stated gains, losses or interest are not restated.

The reclassification date is the beginning of the first reporting period following the change in business model which necessitates a reclassification.

Financial liabilities

Financial liabilities are not reclassified.

1.9 Treasury shares

Shares in Italtile Limited held by the Group are classified in equity attributable to equity holders of the parent as treasury shares. These shares are treated as a deduction from the issued and weighted average number of shares. Dividends received on treasury shares are eliminated on consolidation. No gain or loss on the purchase, sale, issue or cancellation of the Group's listed shares is recognised in profit or loss. Consideration received or paid with regards to treasury shares is recognised in equity.

1.10 Foreign currencies

The consolidated and separate financial statements are presented in Rand, which is the Group's functional and presentation currency. Each entity in the Group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency.

Transactions in foreign currencies are initially recorded by the Group entities at their respective functional currency rates prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date.

All differences, including tax effects, are taken to profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

The Group has investments in foreign subsidiary companies which are classified as foreign operations with functional currencies that are different to that of the Group. The financial statements of these subsidiaries are translated for incorporation into the Group financial statements as follows:

- assets and liabilities at the rates ruling at the reporting date;
- statement of comprehensive income items at a weighted average rate for the period;
- cash flow items at a weighted average rate for the period; and
- equity items at the appropriate historical rate.

Exchange differences are taken directly to a foreign currency translation reserve which is disclosed in other comprehensive income in the statement of comprehensive income. On disposal of a foreign entity, the deferred cumulative amount recognised in other comprehensive income, relating to that particular foreign entity, is recognised in profit or loss.

Where the transaction has been accounted for as a common control transaction, foreign currency translation reserves related to foreign investments distributed by the entity but retained by the Group are still recognised in foreign currency translation reserve (see note 24).

1. ACCOUNTING POLICIES (continued)

1.11 Property, plant and equipment

All buildings are carried at cost less accumulated depreciation and accumulated impairment, if any.

A valuation to open market value for existing use is done every three years for impairment assessment purposes. All plant and equipment is stated at cost less accumulated depreciation and accumulated impairment, if any.

Depreciation is calculated on the straight-line basis estimated to write each asset down to estimated residual value over the term of its useful life at the following annual rates:

	Useful life	Residual value
• Buildings	5% to 10%	80%
• Plant and machinery	6,66% to 25%	zero
• Vehicles	20% to 25%	zero
• Computer equipment	20% to 33,3%	zero
• Furniture and fittings	16,6% to 33,3%	zero

Depreciation is calculated to write off the cost of items of property, plant and equipment less their estimated residual values using the straight-line basis over their estimated useful lives. Depreciation is generally recognised in profit or loss, unless the amount is included in the carrying amount of another asset. Land and capital work in progress is not depreciated.

Computer equipment, computer software, furniture and fittings are included as part of office equipment and are depreciated over three to five years.

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, an appropriate valuation model is used. All repairs and maintenance are recognised in the statement of comprehensive income as incurred.

Impairment losses of continuing operations are recognised in the statement of comprehensive income in those expense categories consistent with the function of the impaired asset. In addition, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of the recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of comprehensive income.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Gains and losses on derecognition of assets are determined by reference to their carrying amount and the net disposal proceeds and are taken to the statement of comprehensive income in the year the asset is derecognised.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

1. ACCOUNTING POLICIES (continued)

1.12 Inventory

Inventory is valued at the lower of cost or net realisable value. Net realisable value is the estimated selling price in the ordinary course of business less the estimated cost of completion and costs necessary to make the sale. Cost is determined on a weighted average cost method and excludes cash discounts, rebates and relevant indirect taxes.

Manufacturing

Cost includes expenditure incurred in acquiring, manufacturing and transporting the inventory to its present location. Manufacturing costs include an allocated portion of production overheads which are directly attributable to the cost of manufacturing such inventory. The allocation is determined based on the normal production capacity.

Cost is determined as follows:

- Raw materials – weighted average
- Finished product and trading goods – standard cost

Aged and discontinued finished goods, slow moving consumable stores and obsolete raw materials are identified on a regular basis and are written down to their estimated net realisable value.

1.13 Taxes

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss. Current tax items relating to other comprehensive income are recognised in other comprehensive income or directly in equity.

Deferred income tax

Deferred income tax is provided on the liability method, on recognised temporary differences at tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on the tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax liabilities are recognised for all taxable temporary differences, other than in the circumstances described below. Deferred tax assets are recognised for all deductible temporary differences, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, carry-forward or unused tax assets and unused tax losses can be utilised, other than in the circumstances described below. Furthermore, deferred tax assets are reviewed at each reporting date.

The carrying amount is reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow the benefit of part or all of that deferred tax asset to be utilised. Any such reduction shall be reversed to the extent that it becomes probable that sufficient taxable profit will be available.

Deferred tax assets and liabilities are not recognised where they arise from goodwill arising on acquisition or from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Offset of tax assets and liabilities

The Group offsets tax assets and liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied on the same entity by the same tax authority.

1. ACCOUNTING POLICIES (continued)

1.13 Taxes (continued)

Value added tax ("VAT")

Revenues, expenses and assets are recognised net of the amount of VAT except:

- where the VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the VAT is recognised as part of the cost of acquisition of the asset or as part of the expense items, as applicable; and
- receivables and payables that are stated with the amount of VAT included.

The net amount of VAT recoverable from, or payable to, the taxation authority is included as part of other receivables or other payables in the statement of financial position.

Dividend withholding tax

Dividend withholding tax is imposed on shareholders at a rate of 20% on the receipt of dividends, and is withheld and paid to taxation authorities by the Company paying the dividend. By election, the Group is exempt from dividend withholding tax on its dividend receipts, except for certain consolidated entities which hold treasury shares. The dividend withholding tax for such entities is included in the Group's taxation expense.

1.14 Leases

The Group has not disclosed comparative information because it has applied the modified retrospective approach, without restating comparative information. The Group has therefore continued to report the comparative information under IAS 17 and IFRIC 4.

Policy applicable before 1 July 2018

The policies will remain the same as per prior year audited financial statements.

Policy applicable after 1 July 2018

The Group recognises a right-of-use asset and lease liability in the statement of financial position at commencement of the lease.

The lease liability is measured at the present value of lease payments not paid at commencement date. The Group uses the rate implicit in the lease and if that cannot be determined, the incremental borrowing rate at inception of the lease to discount lease payments. The Group generally uses the incremental borrowing rate, which was 8,4% as at 1 July 2018. Lease payments include all fixed payments per contract, variable payments linked to an index or rate, any amounts expected to be payables under a residual guarantee and the purchase price if the entity is reasonably certain it will exercise the option to purchase.

The Group subsequently measures the lease liability using the effective interest rate method. The lease liability is remeasured if there is a change in the variable payments linked to an index or rate, if the Group changes its assessment of whether or not it will exercise the option to purchase or option to renew the agreement, or if there is a change in the estimated amount payable under a residual value guarantee. The right-to-use asset is adjusted with the corresponding adjustment to the extent that the balance is reduced to zero, thereafter the adjustments are recognised in profit or loss.

The lease liability is represented as a separate line item in the statement of financial position.

The right-of-use asset is measured initially at cost which comprises the initial amount of the lease liability plus any lease payments made on or before commencement date, plus any direct cost incurred and an estimate of cost to dismantle or restore the underlying asset, less any lease incentives.

The right-of-use asset is subsequently depreciated, on a straight-line basis, over the lease term or if longer the estimated useful life of the asset. Depreciation is recognised in profit or loss and presented as part of operating expenses. The right-of-use asset is annually assessed for impairment and adjusted for any remeasurements of the lease liability or modifications of the agreement.

The right-of-use asset is presented as a separate line in the statement of financial position.

Short-term leases and low-value assets

The Group has elected not to recognise a right-of-use asset and lease liability for all short-term leases with a lease term of 12 months or less and all low-value assets. The lease payments of these leases are recognised on a straight-line basis over the lease term.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

1. ACCOUNTING POLICIES (continued)

1.15 Employee benefits

Retirement benefits

Current contributions to the retirement benefit plan are charged against profit or loss as services are rendered by the employee.

Short-term benefits

The cost of all short-term employee benefits is recognised as an expense during the period in which the employee renders the related service. Liabilities for employee entitlements to wages, salaries and leave represent the amount that the Group has a present obligation, as a result of employee services provided to the reporting date, to the extent that such obligation can be reliably estimated. The accruals have been calculated at discounted amounts based on current wage and salary rates.

Full-time employees of the Group are entitled to a profit incentive payment based on the performance of the Group. The Group thus has a present obligation as a result of the employee services provided to the reporting period, to the extent that such obligation can be reliably estimated. The accruals have been calculated at undiscounted amounts based on current wage and salary rates.

1.16 Equity participation plans

Selected employees, including directors, of the Group receive remuneration in the form of share options and share awards, whereby they render services in exchange for rights over shares. The cost of share options and share awards is measured by reference to the fair value at the date at which they are granted. The fair value is determined by using a Black-Schöles option-pricing model, further details of which are given in note 7. In valuing the share options and share awards, no account is taken of any performance conditions, other than conditions linked to the price of the shares of Italtile Limited.

The cost of the share options is recognised, together with a corresponding increase in shareholders' equity, over the vesting period ending on the date on which the service conditions are fulfilled and the employees become fully entitled to take up the share options. The cumulative expense recognised for share options granted at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the number of share option grants that will ultimately vest in the opinion of the directors of the Group, at that date. This is based on the best available estimate of the number of share options that will ultimately vest. No expense is recognised for share options that do not ultimately vest.

The cost of the share awards is recognised over the vesting period ending on the date on which the service conditions are fulfilled. The scheme plan has been classified as an equity-settled share-based payment. The recipient of the award shall be the registered and beneficial holder from the date of transfer of such shares. Where a share award is forfeited due to vesting conditions not being satisfied, the unvested portion of the awards will be transferred back to the Group.

Where the terms of the share options are modified, as a minimum, an expense is recognised as if the terms had not been modified. In addition, an expense is recognised for any increase in the value of the transactions, as a result of the modification, as measured at the date of modification.

Where a share option is forfeited prior to vesting, any expense previously recognised for the award is reversed immediately. Where an award is cancelled, other than an award cancelled by forfeiture when the vesting conditions are not satisfied, it is treated as if it vested on the date of cancellation, and any expense not yet recognised, is recognised immediately. If a new share option is substituted for the cancelled share option, and designated as a replacement share option on the date that it is granted, the cancelled and new share option grant are treated as if they were a modification of the original grant, as described above.

The dilutive effect of outstanding options and awards is reflected as a share dilution in the computation of diluted earnings per share (refer to note 11).

1.17 Dividends paid

Dividends paid are recognised as appropriations of reserves in the statement of changes in equity at the dates of declaration.

1. ACCOUNTING POLICIES (continued)

1.18 Investment in associate

The Group's investment in its associate is accounted for using the equity method. An associate is an entity in which the Group has significant influence.

Under the equity method, the investment in the associate is carried in the statement of financial position at cost plus post-acquisition changes in the Group's share of net assets of the associate. Goodwill relating to the associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment.

Profit or loss in the statement of comprehensive income reflects the share of the results of operations of the associate in profit or loss. Any change in other comprehensive income of the associate is presented as part of the Group's other comprehensive income. Where there has been a change recognised directly in the equity of the associate, the Group recognises its share of any changes and discloses this, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the associate are eliminated to the extent of the interest in the associate.

The share of profit of an associate is included in profit or loss. This is the profit attributable to equity holders of the associate and therefore is profit after tax and non-controlling interests in the subsidiaries of the associate.

The financial statements of the associate are prepared for the same reporting period as the Group. Where necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an additional impairment loss on the Group's investment in its associate. The Group determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognises the amount in profit or loss.

Upon loss of significant influence over the associate, the Group measures and recognises any retaining investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retaining investment and proceeds from disposal is recognised in profit or loss.

1.19 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the statement of profit or loss net of any reimbursement.

1.20 Revenue from contracts with customers

Revenue is recognised when the Group satisfies performance obligations and transfers control of goods or services to its customers at an amount that reflects the consideration the Group expects to be entitled to in exchange for these goods or services, allocated to each specific performance obligation. Revenue is measured at the fair value of consideration received or receivable.

Turnover

Revenue from the sale of goods, or turnover, comprises sales to customers through its owned stores and the Group's supply arrangements. Goods comprise tiles, bathroomware and related products. All turnover is stated exclusive of value added tax.

Turnover is recognised at a point in time when the Group transfers control of goods to its customer at the point of sale and is measured at the fair value of consideration received or receivable, net of trade discounts. Discounts to customers are deducted from turnover. Payment of the transaction price in respect of sale of goods is due immediately when the customer purchases goods and take delivery.

The Group does not expect to have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, the Group does not adjust any of the transaction prices for the time value of money.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

1. ACCOUNTING POLICIES (continued)

1.20 Revenue from contracts with customers (continued)

Royalty and franchise income

The Group earns royalties and other franchise income from its network of franchised stores. Income from franchisees, calculated as a percentage of the sale of goods by franchisees through their point of sale to their customers, in accordance with the substance of the relevant franchise agreement, is recognised at a point in time as franchisee income when the sale that gives rise to the income takes place.

Finance income

Interest income is recognised over time as it accrues in the statement of comprehensive income, using the EIR method, by reference to the principal amounts outstanding and at the interest rate applicable. Dividend income is recognised when the shareholders' right to receive payment is established.

2. CHANGES IN ACCOUNTING POLICY

The annual financial statements have been prepared in accordance with the International Financial Reporting Standards on a basis consistent with the prior year except for the adoption of the following new or revised standards:

Application of IFRS 16 Leases

The Group elected to early adopt IFRS 16 during the financial year.

Leases where the Group is a lessee

The Group previously classified leases as either operating leases or finance leases depending on the assessment whether significant risk and rewards incidental to ownership has been transferred to the Group. Under IFRS 16, the Group's extensive lease portfolio comprising land and buildings and forklifts have been capitalised on the statement of financial position – with underlying leases recognised as right-of-use assets with a corresponding lease liability in respect of future rental obligations.

The Group did elect to apply the practical expedient to short-term leases and low-value assets.

Lease previously classified as operating leases

The Group recognised lease liabilities at initial application for leases previously classified as an operating lease applying IAS 17. The Group measured the lease liability at the present value of the remaining lease payments, discounted using the Group's incremental borrowing rate at the date of initial application.

The Group recognised a right-of-use asset at the date of initial application for leases previously classified as an operating lease applying IAS 17. The Group elected to measure the right-of-use assets as its carrying amount as if the standard had been applied since the commencement date, but discounted using the Group's incremental borrowing rate at the date of initial application.

The Group reallocated lease premium assets of R39 million from long-term assets to right-of-use assets.

The Group used the following practical expedients:

- it applied a single discount rate to a portfolio of leases with reasonably similar characteristics;
- it relied on its assessment of whether leases are onerous applying IAS 37 Provisions, Contingent Liabilities and Contingent Assets immediately before the date of initial application as an alternative to performing an impairment review. The Group adjusted the right-of-use asset at the date of initial application by the amount of the provision for onerous leases recognised in the statement of financial position immediately before the date of initial application;
- the Group elected to account for leases for which the lease term ends within 12 months of the date of initial application as short-term leases and include the cost associated with those leases within the disclosure of short-term lease expense in the annual reporting period that includes the date of initial application;
- the Group excluded initial direct costs from the measurement of the right-of-use asset at the date of initial application; and
- the Group used hindsight in determining the lease term if the contract contains options to extend or terminate the lease.

2. CHANGES IN ACCOUNTING POLICIES (continued)

Impact on financial statements

The following table summarises the impact of adopting IFRS 16 on the Group annual financial statements:

Impact on statement of financial position as at 1 July 2018	Rm
Right-of-use assets	
As previously stated	–
Adjustment	192
Restated	192
Lease liability	
As previously stated	–
Adjustment	(221)
Restated	(221)
Retained earnings	
As previously stated	1 575
Adjustment	(29)
Restated	1 546

The following table reconciles the Group's operating lease obligations at 30 June 2018 as previously disclosed in the Group's consolidated financial statements to the lease obligations recognised on initial application of IFRS 16 at 1 July 2018:

	Rm
Minimum lease payments under operating leases as of 30 June 2018	235
Adjustment – overstatement of operating lease commitments	(3)
Recognition exemption for:	
– short-term leases	–
– low-value assets	–
Effect of discounting at the incremental borrowing rate as of 1 July 2018	(11)
Liabilities recognised based on the initial application of IFRS 16 at 1 July 2018	221

Impact on statement of comprehensive income for the year ended 30 June 2019	Rm
Depreciation	**(58)**
Operating lease expense	**68**
Finance costs	**(21)**
Net profit before tax	**(11)**

Application of IFRS 9 Financial Instruments

IFRS 9 sets out requirements for recognising and measuring financial assets, financial liabilities and some contracts to buy or sell non-financial items. This standard replaces IAS 39 Financial Instruments: Recognition and Measurement.

In the 2019 financial period, the Group is required to apply the updated IFRS 9. This requires the impairment of trade receivables to move from the incurred loss model (per the previous financial model) to the expected loss model. Under the new standard, an ECL model applies. The ECL model differs from the IAS 39 incurred loss model in that a loss event need not occur before an impairment loss is recognised. Consequently, all financial assets in the scope of the impairment model generally carry a loss allowance, even those that are newly originated. As such the application of the probability of default will apply to both performing and non-performing financial assets. The Group has elected to apply the simplified approach where the loss allowance is always equal to the lifetime expected credit losses.

There was no material impact on the transition to IFRS 9 on the opening balance of retained earnings.

Application of IFRS 15 Revenue from Contracts with Customers

IFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaced IAS 18 Revenue, IAS 11 Construction Contracts and related interpretations. Under IFRS 15, revenue is recognised when a customer obtains control of the goods and services.

There was no impact on the financial position, performance or cash flow on transition to IFRS 15.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

3. DEFINITIONS

3.1 Turnover

Turnover represents net sales, excluding value added tax and inter-company sales.

3.2 Cost of sales

Cost of sales is calculated as the weighted average cost of inventory, including distribution costs incurred in bringing the inventory to the retail locations, net of rebate income and settlement discounts.

3.3 Cash and cash equivalents

The cash and cash equivalent amounts comprise cash in hand, deposits held on call with banks and highly liquid investments that are readily convertible to known amounts of cash and are subject to insignificant changes in value.

3.4 Treasury shares

Shares in Italtile Limited held by the entities in the Group.

Company			Group	
2019 Rm	2018 Rm		**2019 Rm**	2018 Rm
		4. REVENUE		
		Total revenue comprises:		
		Turnover	**6 975**	6 064
		Royalty income from franchising	**152**	134
		Other franchise income	**94**	74
285	193	Finance income		
6	5	Management fee		
291	198		**7 221**	6 272
		5. COST OF SALES		
		Cost of sales consists largely of the cost of inventories recognised as an expense	**4 361**	3 736

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		6. TRADING PROFIT		
		Auditors' remuneration		
		– Audit fee	**7**	6
		– Other fees	**1**	1
		– Expenses	**#**	#
			8	7
		Depreciation – owned		
		– Buildings	**61**	46
		– Plant and machinery	**150**	106
		– Vehicles	**16**	14
		– Computer equipment	**16**	12
		– Furniture and fittings	**41**	74
			284	252
		Depreciation – leased		
		– Buildings	**49**	–
		– Vehicles	**9**	–
			58	–
		Operating lease expense		
		– Properties	**–**	66
		– Vehicles	**–**	26
		Employee remuneration		
		– Salaries and wages	**639**	509
		– Profit share	**107**	90
		– Contributions to retirement benefits	**46**	38
			792	637
		Other		
		Profit on sale of property, plant and equipment	**14**	#
		Share-based payment expense	**47**	43

 # Less than R1 million.

FINANCIAL STATEMENTS

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

7. SHARE-BASED PAYMENTS

Black Economic Empowerment transaction

The Company issued 88 000 000 shares in terms of a Black Economic Empowerment, or BEE, transaction on 11 February 2008. The shares were issued at R4,57 per share, which represented a discount of 17% to the volume weighted average price of the Company's shares over the month of March 2007. The transaction was funded by way of the Company subscribing to preference shares in the empowerment vehicles, Four Arrows Investments 256 (Pty) Ltd ("Four Arrows") and Arrow Creek. These preference shares attracted dividends at a rate of 70% of the prevailing prime interest rate. Any dividends paid on the Company's shares to the empowerment vehicles are firstly used to fund the preference share dividends payable to the Company, and then to redeem a portion of the outstanding preference shares.

The initial terms of the transaction were as follows:
The BEE partners may not sell or otherwise encumber the shares for a period of seven years, after which the Company will have the pre-emptive right to reacquire the shares at 83% of the trade weighted average price at which the Company's shares traded on the JSE during the 10 trading days immediately preceding the date of purchase. The Company may force a repurchase of the shares after eight years have elapsed, again at 83% of the trade weighted average price at which its shares traded on the JSE during the 10 trading days immediately preceding the date of purchase. The cash proceeds from this sale will be used to settle any remaining obligations in terms of the preference shares.

The economic substance of this transaction is that the BEE partners have received an equity-settled call option over the Italtile Limited shares, which were to mature in eight years' time. The cost of the transaction was valued accordingly by using a Monte Carlo simulation model and using the following inputs:

Share price	R3,03
Exercise price	R4,57
Volatility	28%
Time to maturity	8 years
Risk-free interest rate	9,89%
Prime interest rate	13,21%
Dividend yield	2%

The model is not particularly sensitive to the risk-free and prime interest rate assumptions, as any change in the one would generally be offset by a change in the other. The predicted volatility is based on an analysis of the historic Italtile Limited share price volatility, over the last seven years. The total cost of the transaction was determined as R25 million, which was recognised in the 2008 financial year (no additional costs have subsequently been recognised).

During July 2012, the Italtile shareholders were advised of the exit of Aka Capital, which held its investment in Italtile through Arrow Creek. Arrow Creek owned 26,4 million shares in Italtile Limited which were purchased during 2007 for a total price of R120,6 million.

As the Company required these shares to be continued to be owned by a BEE shareholder, the Italtile Foundation Trust was created and acquired these shares from Arrow Creek for a purchase consideration of R120,6 million, which was facilitated by an interest-free loan of the same amount from the Company. The loan shall become due and payable in full on the 10th anniversary of the advance date.

The objective of the Italtile Foundation Trust is to carry on one or more public benefit activities as determined by its trustees from time to time for the benefit of the Foundation Trust beneficiaries. At least 85% of all distributions made by the Foundation Trust will be for the benefit of black people. Amendments to the Four Arrows preference shares subscription agreement were also concluded. The existing variable rate, equal to 70% of prime, at which dividends are calculated, were now to be calculated at a fixed rate of 5% of subscription price. The redemption of the Four Arrows preference shares was also extended to 15 years of the date upon which they were subscribed by Italtile.

On 20 February 2018, Four Arrows submitted a formal written offer to the Group to sell 25 million of the 35,2 million Italtile shares it held, back to the Group. The offer price was set in accordance with the terms of a Preference Share Agreement signed in 2007, in terms of which Four Arrows had raised the funds for the purchase of the 35,2 million shares. According to this agreement, the offer price was set at R11,83 per share (the Italtile 10-day VWAP immediately preceding the date of receipt of the offer), amounting to R295 750 000 in total. In accordance with specific approval granted by Italtile shareholders in July 2007, the Board approved the repurchase and the shares were subsequently repurchased on 13 March 2018. Following acceptance of the offer and approval by the Board, Italtile called for the redemption of 800 000 redeemable, cumulative preference shares in Four Arrows, the capital and arrears dividends totalling R165 790 840 for such. The redemption payment was made on 20 March 2018.

The transactions resulted in a net cash outflow of R129,7 million and a reduction of 25 million shares in the Group's issued share capital as the shares which were repurchased by Italtile were cancelled in terms of the Companies Act. For further details on these transactions, refer to the circulars dated 20 June 2007 and 13 July 2012, and the SENS announcement dated 8 March 2018.

7. SHARE-BASED PAYMENTS (continued)

Long-Term Incentive Plan

During the 2010 financial year, a long-term incentive plan was adopted by the Company, in accordance with which selected directors and employees of the Group are entitled to receive notional share awards. These awards vest as follows: 25% after three years; and 75% after five years. The exercise price is determined in accordance with the rules of the scheme.

The plan has been classified as an equity-settled share-based payment scheme and is fair valued on each grant date using a modified Black-Schöles model.

There are currently no awards in issue under this scheme, with the last award vesting in the 2016 financial year.

There is thus no expense in the profit and loss for the current and prior year relating to the share-based payment expense for this scheme.

Share Appreciation Rights Scheme

During the 2011 financial year, a share appreciation rights scheme was adopted by the Company, in accordance with which selected directors and employees of the Group are entitled to receive notional share awards based on the increase in share price from grant date price. These awards vest as follows:

– 25% after three years; and 75% after five years. The exercise price is determined in accordance with the rules of the scheme.
– The plan has been classified as an equity-settled share-based payment scheme and is fair valued on each grant date using a modified Black-Schöles model. The following assumptions and inputs were used in valuing the notional awards on grant dates:

Grant date	15 August 2013	31 August 2014	31 August 2015	31 August 2016	31 August 2017	31 August 2018
Notional share award	1 050 000	8 500 000	5 600 000	5 600 000	1 600 000	2 800 000
Grant price	R6,30	R9,27	R11,43	R14,25	R14,12	R13,80
Interest rate – zero yield curve*	6,59% – 7,40%	6,84% – 7,23%	7,31% – 7,73%	7,77% – 7,99%	6,73% – 7,09%	7,71% – 8,00%
Dividend yield	2,37%	2,13%	1,92%	1,92%	2,20%	2,00%

* *Source: Standard Bank.*

The movement in the number of awards during the year is as follows:

	Number of awards 2019	2018
At 1 July	**14 937 500**	15 287 500
Awarded during the year	**2 800 000**	1 600 000
Vested and exercised during the year	**(1 887 500)**	(1 375 000)
Forfeited during the year	**(275 000)**	(575 000)
At 30 June	**15 575 000**	14 937 500

The weighted average vesting period of awards outstanding at year end is 1,65 years (2018: 1,97 years).

The fair value of the unvested awards granted to 30 June 2019 was R39,2 million (2018: R32,2 million). Included in the expenses in the profit and loss for the year is R13,3 million (2018: R12,7 million) relating to the current year share-based payment expense for this scheme.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

7. SHARE-BASED PAYMENTS (continued)

Staff Share Scheme

During the 2014 financial year, the Group implemented a share incentive scheme for all employees of the Group and its franchisees that had been in the employ of the Group and/or franchise network for a period of three uninterrupted years at each allotment date in August every year from the implementation date. As a result, 7,5 million of the Group's shares net of forfeitures were held by qualifying staff members at 30 June 2019 (2018: 7 million). Until vesting, the shares will continue to be accounted for as treasury shares and have an impact on the diluted weighted average number of shares.

The allotment is funded by the Group and the shares are restricted instruments which will vest with employees following a further three years of employment. Until vesting, the shares will continue to be accounted for as treasury shares.

The scheme is classified as an equity-settled share-based payment scheme and is fair valued on each grant date using a modified Black-Schöles model. The following assumptions and inputs were used in valuing the awards:

Grant date	31 August 2015	31 August 2016	31 August 2017	31 August 2018
Vesting date	31 August 2018	31 August 2019	31 August 2020	31 August 2021
Share awards	3 139 500	2 831 075	3 527 690	3 301 800
Grant price per share	R4,57	R4,57	R4,57	R4,57
Share price	R11,50	R14,70	R14,15	R13,80
Interest rate – zero yield curve*	6,63% – 8,52%	7,29% – 8,52%	6,99% – 7,58%	7,19% – 7,81%
Dividend yield	2,15%	2,05%	2,08%	2,00%

** Source: Standard Bank.*

The movement in the number of awards during the year is as follows:

	Number of awards	
	2019	2018
At 1 July	**6 943 590**	7 606 020
Awarded during the year	**3 301 800**	3 527 690
Vested and exercised during the year	**(1 969 500)**	(2 850 850)
Forfeited during the year	**(781 881)**	(1 339 270)
At 30 June	**7 494 009**	6 943 590

The weighted average vesting period of awards outstanding at year end is 1,32 years (2018: 1,31 years).

The fair value of the awards granted over the year to 30 June 2019 was R8,12 per award (2018: R8,37).

Included in the expenses in the profit and loss for the year is R18 million (2018: R16 million) relating to the current year share-based payment expense for this scheme. In total, R9 million (2018: R9 million) is a once-off charge related to employees of the Group's franchisees.

Executive Retention Plan

The Executive Retention Plan is an additional mechanism, over and above the LTIP and SARS, to retain and reward selected employees and directors. In terms of this scheme, retention payments are made to selected directors and employees to facilitate the purchase of Italtile Limited shares based on the share price at grant date. The payment of the retention award is subject to the director or employee remaining with the Group for a period of at least three years. The director or employee shall be the registered and beneficial holder of the shares acquired pursuant to the retention award from the date of transfer of such shares.

The movement in the number of retention awards to eligible participants is as follows:

	Number of awards	
	2019	2018
At 1 July	**5 500 000**	5 500 000
Awarded during the year	**1 500 000**	–
Vested during the year	**(500 000)**	–
Forfeited during the year	**–**	–
At 30 June	**6 500 000**	5 500 000

7. SHARE-BASED PAYMENTS (continued)

Ceramic Share Schemes

Long-Term Incentive Plan ("LTIP")

In June 2016, the Ceramic Remuneration Committee made a number of new awards in terms of the Company's LTIP scheme which was approved at the AGM of shareholders held on 30 November 2007.

The following table reflects the number of notional Ceramic shares granted and held by the participants:

	2019	2018
At the beginning of the year	**25 000**	25 000
Options awarded	**–**	–
At the end of the year	**25 000**	25 000

The liability raised for the awards outstanding at 30 June 2019 was R3,8 million (2018: R3,3 million). Included as an expense in profit or loss for the year was R1,3 million (2018: R2,1 million) relating to the current year amortisation of the share options granted.

The LTIP award is similar to a forward on Ceramic ordinary shares maturing at tranche measuring date where the strike price is Rnil. A no-arbitrage approach is therefore used to determine the fair value of the awards.

The liability will be measured at the end of each reporting period, until settled in cash, by applying an option pricing model, taking into account the terms and conditions on which the awards were granted and to the extent to which the employees have rendered services to the Company.

In total, 25% of the awards will vest on 1 June 2019 and 75% will vest on 1 June 2021.

Executive Share Scheme

On 24 March 2016 shareholders of Ceramic approved the issue of 414 139 ordinary shares to the three executive directors of the Company, the Chief Executive Officer (207 069 shares), the Chief Operating Officer (165 656 shares) and the Chief Financial Officer (41 414 shares).

The shares are being held in trust by an escrow agent and will vest to the participants provided they remain in the full-time employment of the Company for the period 1 January 2016 to 31 December 2020. If the participants' full-time employment with the Company terminates prior to 31 December 2020, the participant shall forfeit all the shares issued to him irrespective of the date on which termination occurs.

The Chief Financial Officer retired 30 November 2017 and forfeited all his shares.

A new issue of 30 000 shares was approved on 1 January 2018 as well as on 1 July 2018 and the same rules apply as above.

The executive share award is similar to simply holding Ceramic ordinary shares from grant date on 1 January 2016.

Since the executive shares are an equity-settled award, the cost is fixed at grant based on the fair value of Ceramic ordinary shares at that date and expensed over the vesting period. At each reporting period, the Company will adjust the cost for the service period by taking into account resignations, deaths and retirements during the vesting period.

Mr R Mothapo (fellow of the Actuarial Society of South Africa) of the Matlotlo Group Proprietary Limited has valued the above issue of shares at R67,8 million. This cost will be amortised over the vesting period.

Included as an expense in profit or loss for the year was R19,1 million (2018: R16,6 million) relating to the current year amortisation of the shares issued.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

7. SHARE-BASED PAYMENTS (continued)

The Ceramic Industries Equity Incentive Scheme

The Ceramic Industries (Pty) Ltd Equity Incentive Scheme ("EIS") was implemented with effect from 1 July 2013. The purpose of the scheme is to incentivise selected employees by giving them the opportunity to acquire shares in Ceramic. The scheme will also ensure that the goals of those employees will be aligned with the goals of the other shareholders.

In terms of the rules of the EIS, grants will be made at the discretion of the Ceramic Remuneration Committee ("Remcom") on 1 July each year. Per the scheme rules, 20% of the grants will be unconditional but the remaining 80% will be conditional on the achievement of performance targets set by the Remcom.

There will be two vesting dates which will be on the second and fourth anniversary dates of the original grant date. Per the scheme rules, 25% of the grants will vest on the first vesting date and 75% will vest on the second vesting date.

There will be two vesting dates which will be on the second and fourth anniversary dates of the original grant date. Per the scheme rules, 25% of the grants will vest on the first vesting date and 75% will vest on the second vesting date.

The scheme has been classified as an equity-settled share-based payment scheme and is fair valued on each grant date using a modified Black-Schöles model. Details of the valuation assumptions for grants issued and outstanding at 30 June 2019 are as follows:

Grant date	1 July 2015	1 July 2017	30 May 2018
Notional share awards outstanding:			
– Unconditional	15 000	19 000	3 250
– Conditional	60 000	60 000	11 250
Share price	R175,00	R241,46	R241,46
Interest rate – zero yield curve	7,15% – 7,77%	7,33% – 7,58%	6,77%
Dividend yield curve	2,21%	2,21%	2,21%

Included as an expense in profit or loss for the year was R12,4 million (2018: R8,3 million) relating to the current year amortisation of the share awards granted.

Share schemes reserve – Group

The composition of the Share schemes reserve is as follows:

	Group	
	2019 Rm	2018 Rm
Black Economic Empowerment transaction	**15**	15
Share Appreciation Rights Scheme	**39**	32
Staff Share Scheme	**43**	37
Ceramic Share Schemes	**123**	99
	220	183

Company			Group	
2019 Rm	2018 Rm		**2019 Rm**	2018 Rm
		8. FINANCE INCOME		
#	32	Bank interest received	**49**	48
285	150	Dividends received	**22**	13
–	11	Interest income from special purpose entities		
285	193		**71**	61
		9. FINANCE COST		
#	33	Bank loans and overdraft	**52**	35
#	33	Total finance cost	**52**	35

 # Less than R1 million.

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		10. TAXATION		
		Current taxation through profit or loss		
2	1	– Normal tax (South Africa) – current year	**444**	392
		– Normal tax (foreign) – current year	**19**	12
–	#	– Normal tax – prior year adjustments	**6**	(2)
		– Deferred tax (South Africa) – current year	**26**	28
		– Deferred tax (foreign) – current year	**4**	(1)
		– Deferred tax (South Africa) – prior year adjustments	**1**	#
		– Deferred tax (foreign) – prior year adjustments	**–**	(#)
		– Dividend withholding tax	**–**	#
2	1		**500**	429
		Reconciliation of tax rate		
28,0	28,0	Standard rate – South Africa	**28,0**	28,0
		Adjusted for:		
(27,4)	(28)	Exempt income and non-taxable income	**(0,7)**	(0,2)
		Tax effect from income from associates	**–**	(0,6)
(0,6)	0,8	Other differences, including effect of foreign taxes, prior period over/underprovisions, dividend withholding tax paid by SPEs and donations tax	**0,2**	–
–	–		**27,5**	27,2

 # Less than R1 million.

11. EARNINGS PER SHARE

Earnings per share and diluted earnings per share is based on the income attributable to ordinary shareholders of R1 253 million (2018: R1 080 million).

The earnings per share calculations are based on 1 221 573 614 (2018: 1 135 789 278) weighted average number of shares in issue during the period, excluding weighted average treasury shares, and including the deemed bonus element inherent in the Rights Offer per IAS 33 Earnings per Share of nil shares (2018: 2 685 820).

	Group 2019	Group 2018
Reconciliation of shares in issue:		
– Total number of share issued	**1 295 254 148**	1 295 254 148
– Shares held by Share Incentive Trust	**(10 451 786)**	(12 301 238)
– BEE treasury shares	**(60 818 201)**	(61 851 217)
– Treasury shares held by subsidiaries	**(3 369 062)**	–
Shares in issue to external parties	**1 220 615 099**	1 221 101 693

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

Company 2019 Rm	Company 2018 Rm			Group 2019 Rm	Group 2018 Rm
		11.	**EARNINGS PER SHARE** (continued)		
			The calculation of diluted earnings per share is based on:		
			Weighted average number of shares in issue for basic earnings per share	**1 221 573 614**	1 135 789 278
			Potentially dilutive ordinary shares resulting from outstanding share-based payment awards per note 7	**4 458 384**	4 522 586
			Weighted average number of shares for diluted earnings per share	**1 226 031 998**	1 140 311 864
		12.	**HEADLINE EARNINGS**		
			The calculation of headline and diluted headline earnings per share is based on the income attributable to ordinary shareholders – as used in the calculation for basic earnings, adjusted in terms of Circular 4/2018, Headline Earnings.		
			Reconciliation of headline earnings (Rand millions):		
			Basic earnings	**1 253**	1 080
			Profit on sale of property, plant and equipment	**(10)**	#
			Gross amount	**(12)**	#
			Taxation	**2**	#
			Headline earnings	**1 243**	1 080
			Headline earnings per share (cents)	**101,8**	95,0
			Diluted headline earnings per share (cents)	**101,4**	94,6
			# Less than R1 million.		
		13.	**DIVIDENDS**		
		13.1	**Dividends paid in the current year**		
			Final 2018 – No 104		
272	145		Paid 2019: 21 cents per share (2018: 14 cents per share)	**256**	132
			Interim 2019 – No 105		
285	224		Paid 2019: 22 cents per share (2018: 17 cents per share)	**276**	207
389	–		Special dividend No 5 – 30 cents per share	**366**	–
946	369		Total – 73 cents per share (2018: 31 cents per share)	**898**	339
		13.2	**Dividends declared in relation to current year profit**		
			Interim 2019 – No 105		
285	224		Paid 2019: 22 cents per share (2018: 17 cents per share)	**276**	207
			Final 2019 – No 106 (post-year end)		
246	272		19 cents per share (2018: 21 cents per share)	**232**	256
			Special dividend – No 6 (post-year end)		
648	389		50 cents per share (2018: 30 cents per share)	**611**	366
1 179	885		Total – 91 cents per share (2018: 68 cents per share)	**1 119**	829

14. PROPERTY, PLANT AND EQUIPMENT

	Land and buildings Rm	Plant and machinery Rm	Vehicles Rm	Computer equipment Rm	Furniture and fittings Rm	Total Rm
2019						
Beginning of the year						
– assets at cost	**2 840**	**2 560**	**76**	**118**	**420**	**6 014**
– accumulated depreciation	**(392)**	**(1 488)**	**(35)**	**(92)**	**(332)**	**(2 339)**
– net book value	**2 448**	**1 072**	**41**	**26**	**88**	**3 675**
Business combination	**–**	**–**	**1**	**–**	**8**	**9**
Current year movements						
– additions	**312**	**219**	**24**	**19**	**48**	**622**
– disposals	**(60)**	**(1)**	**(9)**	**(5)**	**(5)**	**(80)**
– depreciation	**(61)**	**(149)**	**(16)**	**(15)**	**(41)**	**(282)**
– translation	**(1)**	**(1)**	**–**	**–**	**–**	**(2)**
Balance at the end of the year	**2 638**	**1 140**	**41**	**25**	**98**	**3 942**
Made up as follows:						
– assets at cost	**3 152**	**2 779**	**101**	**137**	**476**	**6 645**
– accumulated depreciation and impairments	**(514)**	**(1 639)**	**(60)**	**(112)**	**(378)**	**(2 703)**
Net book value	**2 638**	**1 140**	**41**	**25**	**98**	**3 942**

	Land and buildings Rm	Plant and machinery Rm	Vehicles Rm	Computer equipment Rm	Furniture and fittings Rm	Total Rm
2018						
Beginning of the year						
– assets at cost	1 742	66	46	79	355	2 288
– accumulated depreciation	(103)	(51)	(19)	(59)	(249)	(481)
– net book value	1 639	15	27	20	106	1 807
Business combination	501	942	14	8	3	1 468
Current year movements						
– additions	355	227	20	10	57	669
– disposals	–	(4)	(5)	–	(2)	(11)
– depreciation	(46)	(106)	(14)	(12)	(74)	(252)
– translation	(1)	(2)	(1)	–	(2)	(6)
Balance at the end of the year	2 448	1 072	41	26	88	3 675
Made up as follows:						
– assets at cost	2 840	2 560	76	118	420	6 014
– accumulated depreciation and impairments	(392)	(1 488)	(35)	(92)	(332)	(2 339)
Net book value	2 448	1 072	41	26	88	3 675

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

	Land and buildings Rm	Vehicles Rm	Total Rm
15. RIGHT-OF-USE ASSETS			
Beginning of the year			
– assets at cost	–	–	–
– accumulated depreciation	–	–	–
– net book value	–	–	–
Current year movements			
– adoption of IFRS 16	181	11	192
– reallocation of lease premium asset from long-term financial asset	39	–	39
– additions	103	27	130
– disposals	(2)	–	(2)
– adjustments	2	–	2
– depreciation	(49)	(9)	(58)
Balance at the end of the year	274	29	303
Made up as follows:			
– assets at cost	319	38	357
– accumulated depreciation and impairments	(45)	(9)	(54)
Net book value	274	29	303

Refer to note 2 for details.

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		16. INVESTMENTS		
		16.1 Investments		
		Unlisted		
8	8	Investment in subsidiaries		
135	109	Equity instruments – at cost		
143	117	Directors' valuation of unlisted investments		

Investments in subsidiaries are carried at cost less accumulated impairment. A list of subsidiaries appears in note 38.

Equity instruments in the Company's records relates to the notional investment cost as a result of the Group share-based payment schemes as disclosed in note 7.

Unlisted equity instruments relate to additional investments in subsidiaries in terms of the Group's share incentive schemes.

These amounts are carried at cost less accumulated impairment.

16.2 Investment in associates

Ezee Tile

On 2 October 2017, through the acquisition, the Group increased its interest in Ezee Tile to 71,54% and Ezee Tile became a subsidiary from that date.

16. INVESTMENTS (continued)

16.2 Investment in associates (continued)

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		Carrying value of investment in the Ezee Tile Group:		
		Cost	–	19
		Share of profit and reserve movements post commencement of equity accounting (net of dividends)	–	40
		Share of profits	–	56
		Dividends received	–	(16)
		Derecognition of associate investment in Ezee Tile	–	(59)
			–	–
		Ceramic Industries (Pty) Ltd		
		On 2 October 2017, through the acquisition, the Group increased its interest in Ceramic to 95,5% and Ceramic became a subsidiary from that date.		
		Carrying value of investment in Ceramic Industries (Pty) Ltd:		
		Cost	–	529
		Share of profit and reserve movements post commencement of equity accounting (net of dividends)	–	123
		Share of profits	–	274
		Reserve movements	–	10
		Dividends received	–	(162)
		Derecognition of associate investment in Ceramic	–	(652)
			–	–
		SER-Export s.p.a.		
		During the 2015 financial year, the Group disposed of a 20% stake in SER-Export s.p.a. to its existing partner in this entity, reducing the Group's effective shareholding to 30%.		
		Carrying value of investment in SER-Export s.p.a.:		
		Cost	19	19
		Share of profit and reserve movements post commencement of equity accounting (net of dividends)	7	4
		Share of profits	7	4
		Total carrying amount of investments in associates	26	23
		The following tables illustrate the summarised financial information of the Group's investment in SER-Export s.p.a.:		
		Statement of financial position:		
		Non-current assets	66	66
		Current assets	145	131
		Non-current liabilities	–	–
		Current liabilities	(80)	(84)
		Equity	131	113

FINANCIAL STATEMENTS

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		16. INVESTMENTS (continued)		
		16.2 Investment in associates (continued)		
		Statement of comprehensive income: (including Ceramic and Ezee Tile in prior year)		
		Turnover	**195**	1 173
		Profit for the year	**9**	149
		Profit attributable to ordinary shareholders of Italtile Limited		31
		Reserve movements attributable to ordinary shareholders of Italtile Limited	**–**	4
		Less: Dividends	**–**	(33)
		Share of associated companies' income	**3**	2
		17. LONG-TERM FINANCIAL ASSETS		
184	223	Loan to trusts		
		Lease premiums	**–**	40
		Non-current portion of property development loans	**91**	58
		Non-current portion of Executive Retention Plan payout	**34**	21
		Non-current portion of BBBEE-related advances	**35**	30
184	223		**160**	149

In order to raise funds necessary to purchase BEE shares (refer to note 7), the Company has funded the Foundation Trust by way of a loan. The loan to the Foundation Trust is interest-free. The loan is fully repayable by 2022.

Lease premiums are paid in advance on land leases that have a duration of between 35 and 50 years and is subsequently amortised on a straight-line basis. During the current year, these lease premiums were reallocated to right-of-use assets.

The property development loan funding is the long-term portion of funding provided for property development at preferential rates with one loan fully repayable by June 2028. During the year, funding was provided for an additional property development at preferential rates with the loan fully repayable by June 2031. Short-term portion is included under sundry debtors.

The Executive Retention Plan payout is the long-term portion of the unvested retention payments to facilitate the purchase of Italtile Limited shares. Refer to note 7 for details.

The BBBEE-related advances is the long-term portion of supplier and enterprise development loans advanced to black-owned businesses. Repayment terms vary and interest is charged at preferential rates.

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		18. GOODWILL		
		Made up as follows:		
		Balance at the beginning of the year	**11**	6
		Additions through acquisitions	**8**	5
		Balance at the end of the year	**19**	11
		The increase in goodwill is due to goodwill recognised on acquisition of the CTM Tanzanian franchise during the year. Management tests for impairment on an annual basis. No impairment indicators were identified during the financial year.		
		19. DEFERRED TAXATION		
		Deferred tax assets	**22**	14
		Deferred tax liabilities	**(166)**	(132)
			(144)	(118)

	Opening balance Rm	Acquired through business combinations Rm	Charged through equity Rm	Charged through profit or loss Rm	Closing balance Rm
2019					
The deferred tax balance is made up as follows:					
Deferred tax asset:					
Accruals	**59**	**–**	**–**	**36**	**95**
Property, plant and equipment	**2**	**–**	**–**	**–**	**2**
Assessed loss	**1**	**–**	**–**	**–**	**1**
Deferred tax liability:					
Property, plant and equipment	**(151)**	**–**	**–**	**(32)**	**(183)**
Prepayments	**11**	**–**	**–**	**(20)**	**(9)**
Ceramic Industries – tax on deemed fair value	**(40)**	**–**	**–**	**(10)**	**(50)**
Net deferred tax asset/(liability)	**(118)**	**–**	**–**	**(26)**	**(144)**
2018					
Deferred tax asset:					
Accruals	58	10	–	(9)	59
Property, plant and equipment	#	#	–	2	2
Assessed loss	#	–	–	1	1
Deferred tax liability:					
Property, plant and equipment	(28)	(91)	–	(32)	(151)
Prepayments	#	#	–	11	11
Ceramic Industries – tax on deemed fair value	–	–	(40)	–	(40)
Net deferred tax asset/(liability)	30	(81)	(40)	(27)	(118)

 # Less than R1 million.

Deferred tax assets and liabilities are only offset when the income tax relates to the same legal entity and fiscal authority.

The tax rate applied to South African entities is 28% (2018: 28%) for normal taxation.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		20. INVENTORIES		
		Raw materials and packaging	**177**	161
		Semi-finished goods	**4**	3
		Finished goods and merchandise	**677**	642
			857	806
		Inventory at year end is net of an obsolescence provision of R89 million (2018: R85 million) which is determined on an annual basis.		
		The provision takes into account expected future sales ability of inventory items based on historical experience, analysis of market and fashion trends and a review of the ageing of the inventory items		
		Inventory losses recognised as an expense totalled R8 million (2018: R16 million). This expense is included in the operating expense line item on the face of the statement of comprehensive income.		
		21. TRADE AND OTHER RECEIVABLES		
		Trade receivables – net of impairment allowance	**491**	588
		Prepayments	**74**	62
		Sundry debtors*	**285**	292
3 030	3 654	Amounts owing by subsidiary		
3 030	3 654		**850**	942

* *Includes deposits and rebates receivable.*

For terms and conditions relating to Group-related receivables, refer to note 36.

The amounts owing by subsidiary represent amounts owing by Italtile Ceramics (Pty) Ltd. These amounts are unsecured, carry no interest and are payable on demand. Outstanding balances are settled from time to time based on the cash flow requirements of the various entities.

As at 30 June 2019, trade receivables at nominal value of R21 million (2018: R24 million) were impaired and fully provided for.

Movements in the provisions for impairment allowance of trade receivables were as follows:

	Total Rm
At 30 June 2017	17
Acquired through business combination	(5)
Utilised during the year	(#)
Raised during the year	2
At 30 June 2018	24
Utilised during the year	**(#)**
Raised during the year	**3**
At 30 June 2019	**21**

 # Less than R1 million.

As at 30 June 2019, the ageing analysis of trade receivables is as follows:

	Total Rm	Current (not impaired) Rm	Past due, not impaired: 30 – 60 days Rm	Past due, not impaired: 60 – 90 days Rm	Past due, not impaired: > 90 days Rm	Past due, impaired Rm
2019	**512**	**351**	**69**	**35**	**36**	**21**
2018	612	441	85	18	44	24

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		22. CASH AND CASH EQUIVALENTS		
#	#	Cash at bank and on hand	**472**	487
		Cash equivalents	**729**	192
#	#		**1 201**	679
		Cash at banks earn interest at floating rates based on daily bank deposit rates.		
		Cash equivalents are made for varying periods of between one day and three months, depending on immediate cash requirements of the Group, and earn interest at the respective short-term deposit rates.		
		The fair value approximates the carrying value due to the short-term nature of these balances.		

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		23. STATED CAPITAL		
		Authorised		
		3 300 000 000 ordinary shares of no par value		
		Issued		
4 010	4 010	1 295 254 148 (2018: 1 295 254 148) ordinary shares of no par value	**4 010**	4 010
		Aggregated treasury shares in issue	**(477)**	(477)
		Number of shares in issue to external parties:		
1 295 254 148	1 295 254 148	Total shares in issue	**1 295 254 148**	1 295 254 148
		Treasury shares: Share Incentive Trust and other	**(10 451 786)**	(12 301 238)
		BEE transaction	**(60 818 201)**	(61 851 217)
		Held by subsidiaries	**(3 369 062)**	–
1 295 254 148	1 295 254 148	In issue to external parties	**1 220 615 099**	1 221 101 693
		All unissued shares are under the control of the directors until the next annual general meeting.		

 # Less than R1 million.

	Foreign currency translation reserve Rm
24. NON-DISTRIBUTABLE RESERVE	
Balance as at 30 June 2017	13
Translation from foreign entities	(25)
Balance as at 30 June 2018	(12)
Translation of foreign entities	**(16)**
Balance as at 30 June 2019	**(28)**

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		25. TRADE AND OTHER PAYABLES		
		Trade payables	**370**	435
#	1	Accruals/other payables	**94**	99
			464	534

For terms and conditions relating to related parties, refer to note 36.

Trade payables are non-interest-bearing and are normally settled on 30-day terms.

Accruals/other payables are mostly non-interest-bearing and have an average term of three months.

The fair value of all trade and other payables approximates the carrying value, due to the short-term nature of these balances.

 # Less than R1 million.

26. PROVISIONS

	Leave pay Rm	Incentive bonus Rm	Total Rm
Balance as at 30 June 2017	12	34	46
Provision utilised	(2)	(36)	(38)
Provision raised	11	95	106
Balance as at 30 June 2018	21	93	114
Provision utilised	**(2)**	**(42)**	**(44)**
Provision raised	**11**	**40**	**51**
Balance as at 30 June 2019	**30**	**91**	**121**

Leave pay is provided on accumulated leave balances at year end based on employees' cost to company.

Provision for incentive bonus is expected to be realised when bonuses are paid in the 2020 financial year, and is based on terms as dictated in employment contracts (subject to the final approval from management).

27. RECONCILIATION OF PROFIT BEFORE TAXATION TO CASH GENERATED FROM OPERATIONS

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		Cash flows from operating activities:		
284	195	Profit before taxation (excluding associate earnings)	**1 819**	1 575
		Adjusted for:		
		Income from associates	**(3)**	(31)
		Depreciation	**282**	252
		Depreciation – IFRS 16 right-of-use asset	**58**	–
		Finance costs – IFRS 16	**21**	–
		Lease payment – IFRS 16	**(68)**	–
		Profit on sale of property, plant and equipment	**(14)**	#
(285)	(193)	Finance income	**(71)**	(61)
#	33	Finance costs (excluding IFRS 16 finance costs)	**31**	35
		Share-based payment expenses	**76**	43
	(36)	Gain on derecognition of financial asset		
		Foreign currency translation difference	**5**	(1)
		Executive Retention Plan prepayment	**(36)**	–
		Working capital changes:		
		Inventories	**(51)**	19
		Trade and other receivables	**128**	31
(3)	(#)	Trade and other payables (including provisions)	**(63)**	(114)
(4)	(1)	Cash generated by operations	**2 114**	1 748

 # Less than R1 million.

FINANCIAL STATEMENTS

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

Company 2019 Rm	Company 2018 Rm		Group 2019 Rm	Group 2018 Rm
		28. TAXATION PAID		
#	#	Net amount prepaid at the beginning of the year	(6)	–
(2)	(1)	Charged per profit and loss	(500)	(429)
#	#	Net amount prepaid at the end of the year	(33)	(6)
(2)	#	Amounts paid	(539)	(435)
		29. INTEREST-BEARING LOANS		
		Interest-bearing loan		
		Current portion	3	–
		Non-current portion	500	–
			503	–
		The interest-bearing loan bears interest at 8,27% and is repayable in full on 29 November 2021.		
		30. LEASE LIABILITIES		
		Interest expense on lease liabilities	21	–
		The maturity analysis of the lease liabilities is as follows:		
		Within one year	44	
		One to five years	58	
		More than five years	199	
			301	
		Current liabilities	44	
		Non-current liabilities	257	
			301	
		31. DIVIDENDS PAID		
(946)	(369)	Charged per statement of changes in equity	(899)	(339)
		Dividends paid to non-controlling interests	(42)	(21)
(946)	(369)		(941)	(360)
		32. COMMITMENTS AND CONTINGENCIES		
		Capital commitments		
		Capital expenditure for land and buildings, computer equipment and other fixed assets:		
		Contracted	339	491
		Authorised but not contracted for	149	294
–	–		488	785

 # Less than R1 million.

33. RETIREMENT BENEFIT INFORMATION

The Group participates in the Alexander Forbes Retirement Fund. This is an umbrella fund arrangement created for the provision of retirement benefits. The Fund is a defined contribution plan and is governed by the Pension Funds Act, No 24 of 1956.

The financial position of the Alexander Forbes Retirement Fund (Provident Section): Italtile Limited is currently reviewed on a monthly basis. As at 30 June 2019, the Fund was found to be in a sound financial position.

At 30 June 2019, 1 470 (2018: 1 448) employees of the Group and franchisees were members of the Fund, to which the Group and franchisees contributed R33 million (2018: R31 million) and the employees Rnil (2018: Rnil).

The Fund is open to all permanent staff with their participation thereof being a condition of employment. Their dependants are eligible for death benefits accruing from the Fund in the event of the member's death. All permanent full-time employees of franchise stores are required to participate in the Fund.

Ceramic industries

In South Africa, Ceramic contributes to two defined contribution retirement funds for its employees which are governed by the Pension Funds Act, No 24 of 1956. The funds are administered by Alexander Forbes and NMP Personal Financial Services.

All permanent employees are required to join one of the funds.

At 30 June 2019, 1 085 (2018: 1 070) employees of Ceramic were members of the funds, to which Ceramic contributed R20 million (2018: R17 million).

In Australia, Ceramic contributes the legislated defined contribution amounts in the various superannuation funds specified by its 85 employees.

34. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Group

The Group's principal financial liabilities comprise bank loans and trade payables. The main purpose of these financial liabilities is to raise finance for the Group's operations. The Group has various financial assets, such as trade receivables and cash, and short-term deposits, which arise directly from its operations.

The main risks arising from the Group's financial instruments are cash flow interest rate risk, liquidity risk, foreign currency risk and credit risk. The Board reviews and agrees policies for managing each of these risks, which are summarised below. The Group's primary objective of risk management is to reduce the uncertainty over future cash flows.

Company

The Company's principal financial assets comprise loans given to subsidiary companies and the Foundation Trusts and cash and short-term deposits, which arise directly from its investments. The main risks arising from the Company's financial instruments are cash flow interest rate risk, liquidity risk and credit risk. The Board reviews and agrees policies for managing each of these risks, which are summarised below.

The Company's primary objective of risk management is to reduce the uncertainty over future cash flows.

Interest rate risk

The Company and Group's exposure to the risk of changes in market interest rates relates primarily to the finance income generating ability of cash surpluses and preference shares held by the Company. To manage this risk, management constantly reviews cash placements, and contracts in financial expertise to ensure preferential interest rates are obtained for surplus funding.

As part of the process of managing the Group's interest rate risk, interest rate characteristics of new borrowings are positioned according to expected movements in interest rates.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

34. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Interest rate risk (continued)

Group

At the end of the financial year, the Group had term funding liabilities of R503 million on its statement of financial position. The following table demonstrates the Group's profit before tax sensitivity to a change in interest rates with all other variables held constant (through the impact of floating rate borrowings):

	2019 Rm	2018 Rm
+1%	**4**	3
–1%	**(4)**	(3)

Company

The Company is not sensitive to fluctuations in interest rates.

Foreign currency risk

Group

As the Group operates in various countries and undertakes transactions denominated in foreign currencies, exposures to foreign currency fluctuations arise.

Approximately 15% (2018: 14%) of cost of sales are denominated in currencies other than the Group's functional currency.

The Group requires all of its operating units to use forward currency contracts to eliminate the currency exposures on any individual transaction for which payment is anticipated on terms after the Group has entered into a firm commitment for a purchase, on any individual transaction for which payment is anticipated on terms after the Group has entered into a firm commitment for a purchase, for which no letter of credit has been issued. The forward currency contracts must be in the same currency as the hedged item. It is the Group's policy not to enter into forward contracts until a firm commitment is in place.

It is the Group's policy not to apply hedge accounting, or to trade in derivatives for profit making purposes.

Forward exchange contracts outstanding at the reporting date all fall due within two months (2018: two months), have a settlement value of R5 million (2018: R12 million) and are denominated in Euro, Chinese Yuan and US Dollar with average exchange rates of R16,45:€1, R2,06:CNY1, R14,19: US$1 and R0,46: US$1 (2018: R15,38: €1, R2,10:CNY1 and R13,72: US$1).

Exchange rates utilised to convert financial information are as follows:

	2019		2018	
	Weighted average rate for the year	**Closing rate**	Weighted average rate for the year	Closing rate
ZAR: Australian Dollar	**10,15:1**	**9,93:1**	9,98:1	10,13:1
ZAR: Botswana Pula	**1,33:1**	**1,33:1**	1,29:1	1,29:1
ZAR: Euro	**16,19:1**	**16,10:1**	15,34:1	15,96:1
ZAR: Kenyan Shilling	**0,14:1**	**0,14:1**	0,13:1	0,14:1
ZAR: Tanzanian Shilling	**0,01:1**	**0,01:1**	0,01:1	0,01:1

34. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Foreign currency risk (continued)

The exposure and concentration of the Group's foreign currency risk is included in the table below.

	South African Rand Rm	Australian Dollar Rm	Other* Rm	Total Rm
2019				
Financial assets				
Trade and other receivables – before impairments	**516**	**145**	**191**	**852**
Cash and cash equivalents	**1 057**	**–**	**165**	**1 221**
Financial liabilities				
Interest-bearing loans and borrowings	**503**	**–**	**–**	**503**
Trade and other payables	**185**	**93**	**186**	**464**
Cash and cash equivalents	**–**	**(21)**	**–**	**(21)**
2018				
Financial assets				
Trade and other receivables – before impairments	697	130	134	961
Cash and cash equivalents	591	(20)	108	679
Financial liabilities				
Interest-bearing loans and borrowings	–	–	–	–
Trade and other payables	276	45	213	534

* *Other includes the Botswana Pula, Kenyan Shilling, Tanzanian Shilling, Namibian Dollar, Zambian Kwacha and the Lesotho Loti.*

The following table illustrates the Group's sensitivity to a change in exchange rates with all other variables held constant:

Group	2019 Rm	2018 Rm
Net profit before tax		
+10%	**4**	3
–10%	**(4)**	(3)
Foreign currency translation reserve		
+10%	**4**	3
–10%	**(4)**	(3)

Company

The Company has no exposure to foreign currency risk.

FINANCIAL STATEMENTS

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

34. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Credit risk

Credit risk arises from the risk that a counterparty may default or not meet its obligations timeously.

Group

The Group trades only with recognised, creditworthy parties. It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures, and, where appropriate, credit guarantee insurance is purchased.

In addition, receivable balances are monitored on an ongoing basis with the result that the Group's exposure to bad debts is contained.

The maximum exposure is the carrying amount as disclosed in note 21. There is no significant concentration of credit risk within the Group.

With respect to credit risk arising from the other financial assets of the Group, which comprise cash and cash equivalents, the Group's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amount of these instruments, as disclosed in note 22.

In terms of the Group's Treasury policy, surplus cash balances may only be invested in liquid money market instruments managed by predefined reputable counterparties.

Company

With respect to credit risk arising from the cash and cash equivalents, trade and other receivables and BEE loans, the Company's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amounts of these instruments, as disclosed in notes 7, 16.1, 17, 21 and 22. There is no provision for bad debts against this balance and no impairments recorded, other than those disclosed.

Liquidity risk

Group

The Group monitors its risk to a shortage of funds arising by using a recurring liquidity planning tool. This tool considers the maturity of both its financial liabilities and financial assets and projected cash flows from operations.

In terms of the Group's Treasury policy, surplus cash balances may only be invested in liquid money market instruments managed by predefined reputable counterparties.

Adequate cash reserves are invested in a dividend income fund in order to match the repayment profile of the secured Rand loan. The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts.

In terms of the Memorandum of Incorporation, the Company's borrowing powers are unlimited.

The table below summarises the maturity profile of the Group's financial liabilities at year end based on contractual undiscounted payments.

	On demand Rm	Less than 3 months Rm	3 to 12 months Rm	1 to 5 years Rm	> 5 years Rm	Total Rm
Year ended 30 June 2019						
Interest-bearing loans and borrowings	–	3	–	500	–	503
Lease liabilities	–	–	44	58	199	301
Trade and other payables	–	464	–	–	–	464
	–	467	44	558	199	1 268
Year ended 30 June 2018						
Interest-bearing loans and borrowings	–	–	–	–	–	–
Trade and other payables	–	534	–	–	–	534
	–	534	–	–	–	534

The Group has cash and cash equivalents of R1,2 billion (2018: R679 million), and unutilised credit facilities of R375 million (2018: R114 million) in respect of which all conditions precedent had been met.

34. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Liquidity risk (continued)

Company

The Company monitors its risk to a shortage of funds arising by using a recurring liquidity planning tool. This tool considers the maturity of both its financial liabilities and financial assets and projected cash flows from investments.

In terms of the Memorandum of Incorporation the Company's borrowing powers are unlimited.

The Company has cash and cash equivalents of R0,1 million (2018: R0,1 million), and no credit facilities. All liabilities are current.

Capital management

Group

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy ratios in order to support its business and maximise shareholder value.

The Group manages its capital structure (equity attributable to the equity holders) and makes adjustments to it, in light of changes in economic conditions.

To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made to the objectives, policies or processes during the years ended 30 June 2019 and 2018.

The Group monitors capital using a gearing ratio which is defined as interest-bearing debt and borrowings as a percentage of equity attributable to the equity holders of the parent.

	2019 Rm	2018 Rm
Interest-bearing debt and borrowings	**503**	–
Equity attributable to the equity holders of the parent	**5 607**	5 279
Gearing ratio (%)	**9,0**	–

35. SEGMENT REPORT

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Chief Operating Decision Maker in order to allocate resources to the segments and to assess their performance.

The Chief Operating Decision Maker has been identified as the executive directors of the Group.

On this basis, the Group has six operating segments:

Segment	**Nature of business**
Retail	– Retailers of tiles, brassware, laminated flooring, bathroomware and accessories.
Franchising	– Bearer of South African and non-South African trademarks.
Properties	– Property investments.
Supply and support services	– Distributor of tiles, shower enclosures, brassware, laminated flooring, accessories, and tiling tools.
	– Group administration and management services.
	– Outsourced debtor solutions.
	– Procurement.
Franchise stores	– Franchise retailers of tiles, brassware, laminated flooring, bathroomware and accessories.
Manufacturing	– Manufacturers of tiles, sanitaryware, baths, adhesive and related products.

All intersegmental transactions are concluded at arm's length.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

35. SEGMENT REPORT (continued)

The following measures, as included in the quarterly management report reviewed by the Chief Operating Decision Maker, are used to assess performance.

(Rand millions unless otherwise stated)	Retail	Manu-facturing*	Supply and Support Services*	Franchising	Properties	Associates	Con-solidation	Total
For the year ended 30 June 2019								
Turnover	**3 185**	**4 082**	**1 901**				**(2 193)**	**6 975**
From external customers*	**3 185**	**3 122**	**668**					**6 975**
Intersegment	**–**	**960**	**1 233**				**(2 193)**	**–**
Turnover from franchise stores	**3 020**						**(3 020)**	
Achieved gross margin	**1 155**	**1 043**	**186**				**188**	**2 572**
Depreciation	**(60)**	**(192)**	**(20)**	**#**	**(72)**			**(344)**
Profit on sale of property, plant and equipment		**1**	**1**		**12**			**14**
Trading profit	**333**	**607**	**264**	**281**	**308**		**4**	**1 797**
Finance income	**9**	**29**	**47**	**#**	**13**		**(27)**	**71**
Finance costs		**(5)**	**(13)**		**(61)**		**27**	**(52)**
Income from associates						**3**		**3**
	342	**631**	**298**	**281**	**260**	**3**	**4**	**1 819**
For the year ended 30 June 2018								
Turnover	3 213	2 994	1 871				(2 014)	6 064
From external customers*	3 213	2 199	652					6 064
Intersegment	–	795	1 219				(2 014)	–
Turnover from franchise stores	2 615						(2 615)	–
Achieved gross margin	1 160	795	179				109	2 243
Depreciation	(72)	(135)	(19)	#	(26)			(252)
Profit on sale of property, plant and equipment		#						#
Trading profit	318	475	260	233	254		(22)	1 518
Finance income	8	14	107		8		(76)	62
Finance costs		#	(78)		(33)		76	(36)
Income from associates						31		31
	326	489	289	233	230	31	(22)	1 575

 # Less than R1 million.
** Turnover from external customers includes sales to franchise stores.*

Geographical analysis

(Rand millions unless otherwise stated)	South Africa	Rest of Africa	Australia	Inter-group entries	Group
Audited year to 30 June 2019					
Turnover	**8 131**	**561**	**476**	**(2 193)**	**6 975**
Non-current assets	**4 915**	**232**	**235**	**(932)**	**4 450**
Audited year to 30 June 2018					
Turnover	7 284	445	349	(2 014)	6 064
Non-current assets	4 333	170	219	(865)	3 857

36. RELATED-PARTY TRANSACTIONS

Group

The Group is controlled by Rallen (Pty) Ltd which owns 57,06% (2018: 57,06%) of its issued share capital. The Group purchases product from its subsidiaries (previously associates), Ceramic Industries Group and the Ezee Tile Group.

Other related parties listed are related due to the sharing of key management personnel.

Outstanding balances at year end are unsecured, interest-free and settlement occurs in cash on 30-day terms. There have been no guarantees provided or received for any related-party receivables or payables. For the year ended 30 June 2019, the Group has not made any provision for doubtful debts relating to amounts owed by related parties (2018: Rnil) nor incurred any bad debt expense in the current year (2018: Rnil). This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

Details of related-party transactions are as follows:

		Aggregate value of transactions		Balances owing at year end	
Related party	**Nature of transactions**	**2019 Rm**	2018 Rm	**2019 Rm**	2018 Rm
Ceramic Industries Group	Inventory purchases	**1 321**	1 018	**68**	70
Ezee Tile Group	Inventory purchases	**224**	264	**14**	16

Key management personnel and prescribed officers comprise only the executive Board and directors of Ceramic. Remuneration paid to key management personnel of the Group is provided below. Nil balances were owing at year end (2018: Rnil).

Directors' shareholding

The directors' interest in the stated share capital of the Company as at 30 June 2019 is as follows:

	Beneficial direct	Beneficial indirect	Total	% held	Non-beneficial direct	Non-beneficial indirect	Total	% held
At 30 June 2019								
Director								
G A M Ravazzotti	**7 186 731**	**443 434 655**	**450 621 386**	**34,79**	–	–	–	–
S M du Toit	–	**29 125**	**29 125**	**0,00**	–	–	–	–
J N Potgieter	**4 597 257**	–	**4 597 257**	**0,35**	–	–	–	–
B G Wood	**1 281 593**	–	**1 281 593**	**0,10**	–	–	–	–
T T A Mhlanga	**500 000**	–	**500 000**	**0,04**	–	–	–	–
N P Khoza	–	**864 304**	**864 304**	**0,07**	–	–	–	–
At 30 June 2018								
Director								
G A M Ravazzotti	7 186 731	443 434 655	450 621 386	34,79	–	–	–	–
S M du Toit	–	29 125	29 125	0,00	–	–	–	–
J N Potgieter	4 597 257	–	4 597 257	0,35	–	–	–	–
B G Wood	1 683 587	–	1 683 587	0,13	–	–	–	–
N P Khoza	–	864 304	864 304	0,07	–	–	–	–

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

36. RELATED-PARTY TRANSACTIONS (continued)

Directors' participation in share incentive schemes

Directors' holdings under the Share Appreciation Rights Scheme are set out in the table below:

Director	Awards held at 1 July 2018	Awarded during the year	Vested and exercised during the year	Forfeited during the year	Awards held at 30 June 2019
J N Potgieter	3 250 000	–	–	–	**3 250 000**
B G Wood	2 437 500	–	(437 500)	–	**2 000 000**
T T A Mhlanga	500 000	–	–	–	**500 000**

Directors' holdings under the Executive Retention Plan are set out in the table below:

Director	Awards held at 1 July 2018	Awarded during the year	Vested and exercised during the year	Forfeited during the year	Awards held at 30 June 2019
J N Potgieter	4 000 000	–	–	–	**4 000 000**
B G Wood	1 500 000	–	(500 000)	–	**1 000 000**
T T A Mhlanga	–	500 000	–	–	**500 000**

Prescribed officers' holdings under the Ceramic Industries Retention Scheme are set out in the table below:

Prescribed officers	Awards held at 1 July 2018	Awarded during the year	Vested and exercised during the year	Forfeited during the year	Awards held at 30 June 2019
L Foxcroft	207 069	–	–	–	**207 069**
T Molefakgotla	165 656	–	–	–	**165 656**

Refer to note 7 for further details pertaining to these schemes.

Directors' remuneration

All figures in R000	Salary	Bonus performance-related payments	Provident fund and medical aid contributions	Gain on share scheme awards	Other	Total 2019	Total 2018
Executive directors							
J N Potgieter	2 848	2 513	472	13 887	550	**20 270**	20 938
B G Wood	2 240	1 637	360	6 633	357	**11 227**	7 969
T T A Mhlanga	1 728	923	272	1 985	228	**5 136**	1 988
2019	**6 816**	**5 073**	**1 104**	**22 505**	**1 135**	**36 633**	
2018	6 243	106	1 011	22 878	657		30 895

36. RELATED-PARTY TRANSACTIONS (continued)

Directors' remuneration (continued)

All figures in R000	Base salary	Short-term incentives	Provident fund and medical aid contribu-tions	Gain on share scheme awards[†]	Other	Total 2019	Total 2018
Prescribed officers							
L A Foxcroft	2 822	2 892	691	8 619	382	**15 406**	15 378
T Molefakgotla	1 835	2 024	433	6 895	319	**11 506**	10 664
2019	**4 657**	**4 916**	**1 124**	**15 514**	**701**	**26 912**	
2018	4 250	3 569	1 030	15 514	1 679		26 042

[†] *IFRS 2 expense recognised for Executive Share Scheme Awards.*

All figures in R000	Board fees	Other	Total 2019	Total 2018
Non-executive directors				
G A M Ravazzotti	1 687	–	**1 687**	1 610
L R Langenhoven[†]	192	–	**192**	–
S I Gama[°]	–	–	**–**	117
S M du Toit	884	–	**884**	772
S G Pretorius	550	–	**550**	453
N Medupe	481	–	**481**	416
N V Mtetwa	380	–	**380**	244
N P Khoza	291	–	**291**	28
I Z Nyanga[#]	8	–	**8**	–
2019	**4 473**	**–**	**4 473**	
2018	3 640	–		3 640
Aggregate emoluments of directors who served during the year			68 018	60 577

[†] *Appointed on 21 August 2018.*
[#] *Appointed on 1 June 2019.*
[°] *Resigned on 29 January 2018.*

Company

The Company owns 100% of the issued share capital of Italtile Ceramics (Pty) Ltd and receives dividends and management fees from its subsidiary.

The Company receives preference share dividends from Four Arrow Investments 256 (Pty) Ltd. This is a special purpose entity set up as part of the BEE transaction. Previously, the Italtile Foundation Trust acquired the Italtile Limited shares which were held by Arrow Creek Investments 74 (Pty) Ltd – the transaction was funded by an interest-free loan from Italtile Limited (refer to note 7 for further details).

The Company receives interest from the loan to the Italtile Empowerment Trust. This entity was set up by the Board as part of the BEE transaction.

All related-party transactions are concluded at arm's length with the exception of the Foundation Trust loan which is interest-free. There have been no guarantees provided or received for any related-party receivables or payables. For the year ended 30 June 2019, the Company has not made any provision for doubtful debts relating to amounts owed by related parties (2017: Rnil) nor incurred any bad debt expense in the current year (2018: Rnil). This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

36. RELATED-PARTY TRANSACTIONS (continued)

Directors' remuneration (continued)

Details of related-party transactions are as follows:

		Aggregate value of transactions		Balances owing at year end	
Related party	**Nature of transactions**	**2019 Rm**	2018 Rm	**2019 Rm**	2018 Rm
Four Arrows Investments 256 (Pty) Ltd	Preference share dividends	**–**	5	**–**	–
Italtile Empowerment Trust	Interest	**–**	–	**64**	102
Italtile Ceramics (Pty) Ltd	Dividends and management fees	**291**	166	**3 026**	3 654
Italtile Foundation Trust	Interest-free loan	**–**	–	**121**	121

Refer to notes 7, 17 and 21 for further disclosure relating to terms of balances owing at year end.

Key management personnel and prescribed officers comprise only the executive Board members. Remuneration paid to key management personnel of the Company is provided above. No balances were owing at year end (2018: Rnil).

37. MATERIAL PARTLY-OWNED SUBSIDIARIES

Financial information of subsidiaries that have material non-controlling interests is provided below:

Proportion of equity interest held by non-controlling interests:

Name	**Country of incorporation**	**2019 %**	2018 %
Ceramic Industries Group	South Africa	**4,5**	4,5
Italtile Retail (Pty) Ltd	South Africa	**45,0**	45,0
International Tap Distributors (Pty) Ltd	South Africa	**12,0**	12,0
Cedar Point Trading (Pty) Ltd	South Africa	**–**	10,0
Ezee Tile Group	South Africa	**28,5**	28,5

	2019 Rm	2018 Rm
Profit allocated to material non-controlling interest:		
Ceramic Industries Group	**19**	16
Italtile Retail (Pty) Ltd	**25**	18
International Tap Distributors (Pty) Ltd	**3**	2
Cedar Point Trading (Pty) Ltd	**#**	4
Ezee Tile Group	**13**	3

Less than R1 million.

The summarised financial information of these subsidiaries is provided below. This information is based on amounts before inter-company eliminations.

37. MATERIAL PARTLY-OWNED SUBSIDIARIES (continued)

Summarised statement of profit or loss for the year ended 30 June 2019:

	Ceramic Industries Rm	Italtile Retail Rm	International Tap Distributors Rm	Cedar Point Trading Rm	Ezee Tile Rm
Revenue from contracts with customers	**3 384**	**636**	**336**	**567**	**695**
Cost of sales	**(2 462)**	**(363)**	**(280)**	**(475)**	**(572)**
Administrative expenses	**(332)**	**(174)**	**(19)**	**(22)**	**(59)**
Finance costs	**(4)**	**(#)**	**(#)**	**(#)**	**(1)**
Profit before tax	**586**	**99**	**37**	**69**	**63**
Income tax expense	**(168)**	**(25)**	**(9)**	**(22)**	**(18)**
Profit for the year	**418**	**74**	**28**	**48**	**45**
Total comprehensive income	**418**	**74**	**28**	**48**	**45**
Attributable to non-controlling interests	**19**	**25**	**3**	**1**	**13**
Dividends paid to non-controlling interests	**3**	**23**	**2**	**4**	**4**

Less than R1 million.

Summarised statement of profit or loss for the year ended 30 June 2018:

	Ceramic Industries Rm	Italtile Retail Rm	International Tap Distributors Rm	Cedar Point Trading Rm	Ezee Tile Rm
Revenue from contracts with customers	3 344	523	319	521	594
Cost of sales	(2 401)	(307)	(253)	(437)	(463)
Administrative expenses	–	(153)	(22)	(33)	(73)
Finance costs	–	(1)	–	–	(#)
Profit before tax	599	61	45	51	58
Income tax expense	(127)	(20)	(12)	(14)	(16)
Profit for the year	472	41	33	37	42
Total comprehensive income	472	41	33	37	42
Attributable to non-controlling interests	16	18	2	4	39
Dividends paid to non-controlling interests	1	13	–	2	3

Summarised statement of financial position as at 30 June 2019:

	Ceramic Industries Rm	Italtile Retail Rm	International Tap Distributors Rm	Cedar Point Trading Rm	Ezee Tile Rm
Non-current assets	**1 746**	**25**	**22**	**4**	**108**
Current assets	**1 307**	**173**	**168**	**145**	**190**
Non-current liabilities	**(122)**	**–**	**(12)**	**(1)**	**(1)**
Current liabilities	**(410)**	**(24)**	**(29)**	**(66)**	**(70)**
Total equity	**2 521**	**175**	**148**	**82**	**227**

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 30 JUNE 2019

37. MATERIAL PARTLY-OWNED SUBSIDIARIES (continued)

Summarised statement of financial position as at 30 June 2018:

	Ceramic Industries Rm	Italtile Retail Rm	International Tap Distributors Rm	Cedar Point Trading Rm	Ezee Tile Rm
Non-current assets	1 627	39	11	3	73
Current assets	1 131	210	160	221	170
Non-current liabilities	(101)	–	(1)	–	(1)
Current liabilities	(419)	(100)	(35)	(67)	(44)
Total equity	2 237	148	135	157	198

Summarised cash flow information for the year ended 30 June 2019:

	Ceramic Industries Rm	Italtile Retail Rm	International Tap Distributors Rm	Cedar Point Trading Rm	Ezee Tile Rm
Cash flow from operating activities	**521**	**(16)**	**7**	**72**	**23**
Cash flow from investing activities	**(317)**	**(12)**	**(4)**	**(1)**	**(32)**
Cash flow from financing activities	**(6)**	**–**	**7**	**(86)**	**–**
Net increase in cash and cash equivalents	**197**	**(18)**	**10**	**(15)**	**(9)**

Summarised cash flow information for the year ended 30 June 2018:

	Ceramic Industries Rm	Italtile Retail Rm	International Tap Distributors Rm	Cedar Point Trading Rm	Ezee Tile Rm
Cash flow from operating activities	349	21	19	76	50
Cash flow from investing activities	(313)	(11)	(2)	–	(17)
Cash flow from financing activities	(73)	–	–	(54)	(21)
Net increase in cash and cash equivalents	(38)	10	16	22	12

38. GROUP ENTITIES

	Issued share capital R	% held 2019	% held 2018	Book value of interest: Shares 2019 Rm	Shares 2018 Rm	Amounts due from/(owing to) 2019 Rm	Amounts due from/(owing to) 2018 Rm
HELD BY ITALTILE LIMITED							
Retail							
Italtile Ceramics (Pty) Ltd	43 884 000	**100**	100	**1**	1	**3 027**	3 691

38. GROUP ENTITIES (continued)

	Issued share capital 2019 R	Issued share capital 2018 R	Effective % shareholding 2019	Effective % shareholding 2018
HELD BY SUBSIDIARIES				
Franchising				
Italtile Franchising (Pty) Ltd	**1 000**	1 000	**100**	100
Property Investment				
Allmuss Properties (Pty) Ltd	**1 500**	1 500	**100**	100
Allmuss Botswana (Pty) Ltd[1]	**4 651**	4 651	**100**	100
Allmuss Properties Namibia (Pty) Ltd[2]	**1 100**	1 100	**100**	100
Allmuss Lesotho (Pty) Ltd[3]	**1 000**	1 000	**100**	100
Allmuss Properties Kenya Ltd[4]	**22 624 044**	22 624 044	**100**	100
Emerald Sky Trading 736 (Pty) Ltd	**100**	100	**100**	100
F. B. Ashman (Pty) Ltd	**100**	100	**100**	100
Penates Logistics (Pty) Ltd	**100**	100	**90**	90
Magnolia Ridge Properties 291 (Pty) Ltd	**15 000 000**	15 000 000	**50**	50
Allmuss Tanzania Ltd[6]	**1**	1	**100**	100
Support Services				
International Tap Distributors (Pty) Ltd	**210**	210	**88**	88
Cedar Point Trading 326 (Pty) Ltd	**1 000**	1 000	**100**	90
Italtile Foreign Holdings (Pty) Ltd	**1 410**	1 410	**100**	100
Retail				
CTM Kenya Ltd[4]	**23 116 282**	23 116 282	**100**	100
Italtile Retail (Pty) Ltd	**1 000**	1 000	**55**	55
Orban Investments 375 (Pty) Ltd[2]	**175**	175	**100**	100
TopT Ceramics (Pty) Ltd	**1 000**	1 000	**100**	90
Braintree (Pty) Ltd[1]	**1 302**	1 293	**100**	100
Braintree Tanzania Ltd[6]	**1**	1	**100**	100
U-Light (Pty) Ltd	**1 000**	–	**70**	–
Manufacturing				
Ceramic Industries (Pty) Ltd	**64 816 360**	64 816 360	**95**	95
Ceramic Holdings (Pty) Ltd[5]	**130 233 618**	130 233 618	**95**	95
National Ceramic Industries Australia Pty Ltd[5]	**72 658 011**	66 353 770	**92**	92
Sphinx Acrylic Bathroomware (Pty) Ltd	**102**	102	**95**	95
National Ceramic Industries South Africa (Pty) Ltd	**2 000**	2 000	**95**	95
National Ceramic Industries (Pty) Ltd	**100 000**	100 000	**95**	95
CRM Brick and Associated Industries (Pty) Ltd	**2 000**	2 000	**95**	95
Aquarella Investments 389 (Pty) Ltd	**100**	100	**71**	71
East Cape Quarries (Pty) Ltd	**100**	100	**71**	71
Mayfield Clays (Pty) Ltd	**100**	100	**71**	71
Ezee Tile Adhesive Manufacturers (Pty) Ltd	**556**	556	**72**	72
Ezee Tile Adhesive Manufacturers (Free State) (Pty) Ltd	**1 000**	1 000	**54**	54
Ezee Tile Kenya Ltd	**9 667 600**	9 667 600	**39**	39
Special purpose entities				
Italtile Foundation Trust				
Italtile Share Incentive Trust				
Italtile Empowerment Trust				

[1] Incorporated in Botswana. *[2] Incorporated in Namibia.* *[3] Incorporated in Lesotho.*
[4] Incorporated in Kenya. *[5] Incorporated in Australia.* *[6] Incorporated in Tanzania.*

FINANCIAL STATEMENTS

ANALYSIS OF SHAREHOLDERS

DISTRIBUTION OF SHAREHOLDERS	Number of shareholders	% of total shareholdings	Number of shares held	% of issued capital
The Italtile and Ceramic Foundation Trust	1	0,05	41 799 203	3,23
The Italtile Empowerment Trust	1	0,05	19 018 998	1,47
The Italtile Share Incentive Trust	1	0,05	10 451 786	0,81
Empowerment companies	1	0,05	10 200 000	0,79
Individuals	1 351	70,70	48 233 939	3,72
Nominee shareholders	316	16,54	325 424 440	25,12
Companies and other corporate bodies	89	4,66	13 527 302	1,04
Trusts	139	7,72	61 930 490	4,78
Directors	5	0,26	13 309 581	1,03
Directors of major subsidiary	2	0,10	1 302 991	0,10
Associates to directors	4	0,21	746 686 456	57,65
Total	1 911	100,00	1 295 254 148	100,00

SHAREHOLDERS' SPREAD	Number of shareholders	% of total shareholdings	Number of shares held	% of issued capital
1 – 1 000	857	44,85	13 913	0,01
1 001 – 10 000	442	29,96	1 917 822	0,15
10 001 – 100 000	372	24,42	12 292 394	0,95
100 001 – 1 000 000	172	10,81	62 227 100	4,80
Over 1 000 001	68	5,47	1 218 677 696	94,09
Total	1 911	100,00	1 295 254 148	100,00

CATEGORY OF SHAREHOLDER				
Non-public shareholders	15	0,78	845 997 281	65,14
Directors	4	0,21	13 168 785	1,02
Directors of major subsidiary	2	0,10	1 302 991	0,10
Associates to directors	4	0,21	746 686 456	57,65
The Italtile and Ceramic Foundation Trust	1	0,05	41 799 203	3,23
The Italtile Empowerment Trust	1	0,05	19 018 998	1,47
The Italtile Share Incentive Trust	1	0,05	10 451 786	0,81
Empowerment companies	1	0,05	10 200 000	0,79
Public shareholders	1 892	99,18	451 546 358	34,86
Total	1 911	100,00	1 295 254 148	100,00

MAJOR SHAREHOLDERS	Number of shares held	% of issued capital
Rallen (Pty) Ltd	739 057 759	57,06
Old Mutual Group	99 993 164	7,79
The Italtile and Ceramic Foundation Trust	41 799 203	3,23
The Tommaso Altini Trust	41 797 269	3,23
Gobi Capital LLC	39 330 864	3,04
Total	961 978 259	74,27

SHAREHOLDERS' DIARY

FINANCIAL YEAR END		June
AGM		November
REPORTS		
Interim half-year to December		February
Preliminary profit announcement		August
Integrated Annual Report		September
DIVIDENDS		
Interim dividend	Declared	February
	Paid	March
Final dividend	Declared	August
	Paid	September

CORPORATE INFORMATION

ITALTILE LIMITED

Incorporated in the Republic of South Africa
Listed on the JSE Limited

Registration number	1955/000558/06
JSE share	ITE
ISIN	ZAE000099123
Company Secretary	E J Willis
Registered office	The Italtile Building Corner William Nicol Drive and Peter Place Bryanston, 2021
Postal address	PO Box 1689, Randburg, 2125
Telephone number	+27 (0) 11 510-9050
Fax number	+27 (0) 11 510-9060

Transfer secretaries	Computershare Investor Services (Pty) Ltd Rosebank Towers 15 Biermann Avenue Rosebank, 2196
Sponsor	Merchantec Capital
Legal advisers	Derek H Rabin & Associates Hogan Lovells Webber Wentzel
Bankers	Nedbank Ltd
Auditors	Ernst & Young Inc.
Website	http://www.Italtile.com

NOTICE OF ANNUAL GENERAL MEETING

Italtile Limited
Incorporated in the Republic of South Africa
(Registration number 1955/000558/06)
Share code: ITE ISIN code: ZAE000099123
("Italtile" or "the Company")

This document is important and requires your immediate attention.

If you are in any doubt as to the action you should take in respect of the following resolutions, please consult your central securities depository participant ("CSDP"), broker, banker, legal advisor, accountant or other professional adviser immediately.

Notice is hereby given in terms of section 62(1) of the Companies Act, 71 of 2008, as amended ("the Companies Act") that the 30th annual general meeting ("AGM") of shareholders of Italtile will be held at the registered office of Italtile, The Italtile Building, corner William Nicol Drive and Peter Place, Bryanston, 2021, on Thursday, 14 November 2019 at 10:30 to consider and, if deemed fit, to pass with or without modification, the ordinary and special resolutions set out below in the manner required by the Companies Act and the Listings Requirements of the JSE Limited ("Listings Requirements").

The Board of directors of the Company ("the Board") has determined that, in terms of section 62(3)(a), as read with section 59 of the Companies Act, the record date for the purposes of determining which Italtile shareholders are entitled to receive notice of the AGM is Friday, 4 October 2019.

The record date for determining which Italtile shareholders are entitled to participate in and vote at the AGM is Friday, 8 November 2019. Accordingly, the last day to trade in Italtile shares in order to be recorded in the securities register of the Company in order to be entitled to attend, participate in and vote at the AGM is Tuesday, 5 November 2019.

In terms of section 63(1) of the Companies Act, before any person may attend or participate in the AGM, that person must present reasonably satisfactory identification and the person presiding at the AGM must be reasonably satisfied that the right of the person to participate in and vote at the AGM, either as a shareholder of Italtile, or as a proxy for a shareholder of Italtile, has been reasonably verified. Forms of identification that will be accepted include an original and valid identity document, driver's licence or a valid passport.

ORDINARY BUSINESS

To receive the annual financial statements for the year ended 30 June 2019 of the Company and the Group, together with the reports of the directors and auditors.

Ordinary Resolution No 1 (comprising ordinary resolutions numbers 1.1 to 1.3, all inclusive) – Re-election of directors

RESOLVED THAT by way of separate ordinary resolutions, each of:

1.1 Mr G A M Ravazzotti, who is retiring by rotation in terms of the Company's Memorandum of Incorporation ("MOI") and who, being eligible, offers himself for re-election, be and is hereby re-elected as a director of the Company;

1.2 Mrs S M du Toit, who is retiring by rotation in terms of the MOI and who, being eligible, offers herself for re-election, be and is hereby re-elected as a director of the Company; and

1.3 Mr S G Pretorius, who is retiring by rotation in terms of the MOI and who, being eligible, offers himself for re-election, be and is hereby re-elected as a director of the Company.

Explanatory note

In terms of clause 7.2(1) as read with clause 7.2(2) of the MOI, one-third of the non-executive directors of the Company are required to retire from office at each AGM. The non-executive directors of the Company to retire in every year shall be those who have been longest in office since their last election, but as between persons who became or were last elected as non-executive directors of the Company on the same day, those to retire shall, unless otherwise agreed among themselves, be determined by lot. In terms of clause 7.2(3) of the MOI, any director who has been in office for longer than nine years shall retire annually at each AGM. A retiring director shall be eligible for re-election.

Mr G A M Ravazzotti, Mrs S M du Toit and Mr S G Pretorius all retire in accordance with clause 7.2 of the MOI and, being eligible offer themselves for re-election.

The reason for the proposed Ordinary Resolutions Nos 1.1 to 1.3 (all inclusive) is to elect, in accordance with the MOI and by way of a series of votes, each of which is on the candidacy of a single individual to fill a single vacancy, as required by section 68(1) of the Companies Act, Mr G A M Ravazzotti, Mrs S M du Toit and

Mr S G Pretorius as directors of the Company. The effect of Ordinary Resolutions Nos 1.1 to 1.3 (all inclusive) is that Mr G A M Ravazzotti, Mrs S M du Toit and Mr S G Pretorius will be elected as directors of the Company.

A brief *curriculum vitae* ("CV") in respect of each of these directors is contained on page 70 of this Integrated Annual Report of which this notice of AGM forms part.

Ordinary Resolution No 2 (comprising ordinary resolution number 2.1) – Election of a director

RESOLVED THAT the appointment of Ms I Z Nyanga as an independent non-executive director of the Company with effect from 1 June 2019 be and is hereby confirmed.

Explanatory note

In terms of clause 7.1(9) of the MOI, the appointment of a director, whether to fill a casual vacancy or as an addition to the Board (or otherwise), must be confirmed by shareholders at the AGM following such appointment.

The aforementioned director was appointed as a director of Italtile subsequent to the last AGM, and such appointment is to be confirmed at this AGM.

The reason for the proposed Ordinary Resolution No 2.1 is to confirm, in accordance with the MOI, the appointment of Ms I Z Nyanga as a director of the Company.

A brief CV in respect of the aforementioned director is contained on page 70 of this Integrated Annual Report of which this notice of AGM forms part.

Ordinary Resolution No 3 – Appointment of external auditors

RESOLVED THAT PricewaterhouseCoopers Inc. be and is hereby appointed as the independent external auditor of the Company, for the period terminating at the conclusion of the next AGM of the Company, and Thomas Howatt, being a director of PricewaterhouseCoopers Inc., be and is hereby appointed as the individual registered auditor who will undertake the audit of the Company for the financial year ending 30 June 2020.

Explanatory note

In accordance with section 90(1) of the Companies Act, PricewaterhouseCoopers Inc. is proposed to be appointed as the external auditor of the Company, as nominated by the Company's Audit and Risk Committee, until the conclusion of the Company's next AGM.

Ordinary Resolution No 4 (comprising ordinary resolutions numbers 4.1 to 4.3, all inclusive) – Election of Audit and Risk Committee

RESOLVED THAT, by way of separate ordinary resolutions, each of:

4.1 Mrs S M du Toit, who is an independent non-executive director of the Company, be and is hereby re-elected as a member of the Company's Audit and Risk Committee;

4.2 Ms I Z Nyanga, who is an independent non-executive director of the Company, be and is hereby re-elected as a member of the Company's Audit and Risk Committee; and

4.3 Mr S G Pretorius, who is an independent non-executive director of the Company, be and is hereby re-elected as a member of the Company's Audit and Risk Committee,

subject to Mrs S M du Toit and Mr S G Pretorius being re-elected as directors of the Company in terms of Ordinary Resolution Nos 1.2 and 1.3 above, and the appointment of Ms I Z Nyanga as a director of the Company in terms of Ordinary Resolution No 2 being confirmed.

Explanatory note

In terms of section 94(2) of the Companies Act, the Audit Committee is a committee elected by shareholders at each AGM. A brief CV of each of the aforementioned independent non-executive directors appears on pages 70 and 71 of this Integrated Annual Report of which this notice of AGM forms part. In terms of the Regulations promulgated under and in terms of the Companies Act ("Companies Act Regulations"), at least one-third of the members of the Company's Audit Committee must have academic qualifications, or experience in economics, law, corporate governance, finance, accounting, commerce, industry, public affairs or human resource management. The Board is satisfied that the Company's Audit and Risk Committee members are suitably skilled and experienced as contemplated in Regulation 42 of the Companies Act Regulations and that collectively they have sufficient qualifications and experience to fulfil their duties as contemplated in section 94(7) of the Companies Act.

Ordinary Resolution No 5 – Non-binding advisory endorsement of the Company's remuneration policy and implementation report

Ordinary Resolution No 5.1 – Endorsement of the Company's remuneration policy

RESOLVED THAT the Company's remuneration policy, as detailed on pages 88 to 97 of the Integrated Annual Report, be and is hereby approved and adopted by way of a non-binding advisory vote, as recommended in the King IV Report on Corporate Governance for South Africa ("King IV").

NOTICE OF ANNUAL GENERAL MEETING continued

Ordinary Resolution No 5.2 – Endorsement of the Company's implementation report

RESOLVED THAT the implementation report of the Company, as set out on pages 88 to 97 of this Integrated Annual Report, be and is hereby approved and adopted by way of a non-binding advisory vote, as recommended in terms of King IV.

Explanatory note

In terms of King IV and the Listings Requirements, the Company's remuneration policy and implementation report should be tabled to shareholders for separate non-binding advisory votes at the AGM. Failure to pass these resolutions will not have legal consequences relating to existing arrangements. However, the Board will take the outcome of the vote into consideration when assessing the Company's remuneration policy and implementation report.

Shareholders are accordingly requested to endorse the Company's remuneration policy and implementation report as set out on pages 88 to 97 respectively, of this Integrated Annual Report.

Ordinary Resolution No 6 – Unissued shares to be placed under the control of the directors

RESOLVED THAT the authorised but unissued ordinary shares in the capital of the Company be and are hereby placed under the control and authority of the directors of the Company and that the directors be and are hereby authorised and empowered to allot and issue and grant options over all or any of such ordinary shares to such person or persons on such terms and conditions and at such times as the directors of the Company may from time to time in their discretion deem fit, subject to the provision that the aggregate number of ordinary shares to be allotted and issued in terms of this resolution shall be limited to 15% (fifteen percent) of the authorised share capital of the Company and subject to the provisions of the Companies Act and the Listings Requirements. Such authority shall be valid until the date of the next AGM or for 15 (fifteen) months from the date on which Ordinary Resolution No 6 is adopted, whichever period is shorter.

Explanatory note

The reason for Ordinary Resolution No 6 is that in terms of the MOI and subject to the provisions of the Companies Act, as may be amended from time to time and the Listings Requirements, the shareholders of the Company may authorise the directors to allot and issue and grant options over such shares, as the directors in their discretion deem fit. The effect of Ordinary Resolution No 6 is to ensure that the directors have the necessary flexibility to allot and issue shares as they deem fit. It is noted that an issue as contemplated in sections 41(1) and (3) of the Companies Act must first be approved by way of special resolution in terms of section 41 of the Companies Act and is not authorised in terms of this resolution.

Ordinary Resolution No 7 – General authority to issue shares, and to sell treasury shares, for cash

RESOLVED THAT, subject to Ordinary Resolution No 6 being passed, the directors of the Company and/or any of its subsidiaries from time to time be and are hereby authorised, by way of a general authority, to allot and issue shares or options in respect of any of the authorised but unissued ordinary shares in the capital of the Company; and/or to sell or otherwise dispose of or transfer, or issue any options in respect of, ordinary shares in the capital of the Company purchased by subsidiaries of the Company, for cash, to such person(s) on such terms and subject to such conditions and at such times as the directors in their discretion deem fit, subject to the provisions of the Companies Act, the MOI, the Listings Requirements and subject to the following limitations:

- the equity securities which are the subject of the issue for cash must be of a class already in issue, or where this is not the case, must be limited to such securities or rights that are convertible into a class already in issue;
- any such issue may only be made to public shareholders as defined in the Listings Requirements and not to related parties;
- in respect of securities which are the subject of the general issue of shares for cash, such issue may not exceed 198 248 122, representing 15% (fifteen percent) of the number of listed equity securities in issue as at the date of this notice, provided that:
  - the number of ordinary shares which may be issued will be deducted from the aforementioned 198 248 122 securities;
  - in the event of a subdivision or consolidation of issued equity securities during the period contemplated below, the existing authority must be adjusted accordingly to represent the same allocation ratio; and
  - the calculation of the listed equity securities is a factual assessment of the listed equity securities as at the date of the notice of the AGM, excluding treasury shares;
- this general authority is valid until the earlier of the Company's next AGM or the expiry of a period of 15 (fifteen) months from the date on which this Ordinary Resolution No 7 is adopted;
- a SENS announcement giving full details of the issue will be published at the time of any issue representing, on a cumulative basis within the period of this authority, 5% (five percent) or more of the number of ordinary shares in issue prior to the issue concerned;
- in determining the price at which an issue of ordinary shares may be made in terms of this authority, the maximum discount permitted will be 10% (ten percent) of the weighted average traded price on the JSE of the ordinary shares over the 30 (thirty) business days prior to the date that the price of the issue is agreed between the Company and the party subscribing for the ordinary shares. The JSE should be consulted for a ruling if the Company's ordinary shares have not traded in such 30 (thirty) business day period; and

- whenever the Company wishes to use ordinary shares, held as treasury stock by a subsidiary of the Company, such use must comply with the Listings Requirements as if such use was a fresh issue of ordinary shares.

In terms of the Listings Requirements a 75% (seventy-five percent) majority of the votes cast by shareholders present or represented by proxy and entitled to vote at the AGM must be cast in favour of Ordinary Resolution No 7 for it to be approved.

Explanatory note

In accordance with the MOI, as well as the Listings Requirements, the shareholders of the Company have to approve a general issue of shares for cash. The existing authorities granted by the shareholders of the Company at the previous AGM held on 16 November 2018 expires at the AGM to be held on 14 November 2019, unless renewed. This authority will be subject to the MOI, the Companies Act and the Listings Requirements. The directors of the Company consider it advantageous to renew this authority to enable the Company to take advantage of any business opportunity that may arise in the future.

The effect of Ordinary Resolution No 7 is that the directors will be able to issue the authorised but unissued ordinary shares in the share capital of the Company for cash, as and when suitable business opportunities arise, subject to the Listings Requirements, the restrictions/conditions set out in the authority and the MOI.

Ordinary Resolution No 8 – Adoption of the Italtile Retention Scheme

RESOLVED THAT the scheme embodied in the deed of trust of the Italtile Retention Scheme Trust, which deed of trust has been tabled at this AGM and initialled by the chairperson of the AGM for purposes of identification, be and is hereby approved and adopted.

Explanatory note

The deed of trust of the Italtile Retention Scheme Trust will be available for inspection during normal business hours at the registered business office of the Company from the date of posting of this notice of AGM to the shareholders, up to and including the date of the AGM.

The salient features of the Italtile Retention Scheme are set out in Annexure 1 to this notice of AGM.

The scheme embodied in the deed of trust of the Italtile Retention Scheme Trust has been reviewed and approved by the JSE, and the directors of the Company are of the opinion that the adoption of such scheme will be beneficial to Italtile and its shareholders and recommend that the shareholders vote in favour of this Ordinary Resolution No 8.

In terms of the Listings Requirements a 75% (seventy-five percent) majority of the votes cast by shareholders present or represented by proxy and entitled to vote at the AGM must be cast in favour of Ordinary Resolution No 8 for it to be approved.

It must be noted that shares in the Company held by any trust or share scheme of the Company or by any subsidiary of the Company will not have their votes taken into account for the purposes of resolutions proposed in terms of the Listings Requirements.

The reason for and effect of Ordinary Resolution No 8 is to obtain the approval of shareholders to adopt the Italtile Retention Scheme.

Special Resolution No 1 – Acquisition of own securities

RESOLVED THAT the mandate be given to the Company (or any of its wholly owned subsidiaries) providing authorisation, by way of a general authority, to acquire the Company's own securities, upon such terms and conditions and in such amounts as the directors may from time to time decide, but subject to the MOI, the provisions of the Companies Act and the Listings Requirements provided that:

- any repurchase of securities must be effected through the order book operated by the JSE trading system and done without any prior understanding or arrangement between the Company and the counterparty (reported trades are prohibited);
- at any point in time, the Company may only appoint one agent to effect any repurchase(s) on the Company's behalf;
- this general authority shall be valid until the Company's next AGM, provided that it shall not extend beyond 15 (fifteen) months from the date of passing of this Special Resolution No 1 (whichever period is shorter);
- an announcement will be published giving such details as may be required in terms of the Listings Requirements as soon as the Company has cumulatively repurchased 3% (three percent) of the initial number (the number of that class of share in issue at the time that the general authority from shareholders is granted) of the relevant class of securities, and for each 3% (three percent) in aggregate of the initial number of that class acquired thereafter, containing full details of such repurchases;

NOTICE OF ANNUAL GENERAL MEETING continued

- repurchases by the Company, and/or its subsidiaries, in aggregate in any one financial year may not exceed 20% (twenty percent) of the Company's issued share capital as at the date of passing this Special Resolution No 1 or 10% (ten percent) of the Company's issued share capital in the case of an acquisition of shares in the Company by a subsidiary of the Company;
- the Board passes a resolution that it has authorised the repurchase, that the Company and its subsidiaries have passed the solvency and liquidity test and that, since the test was performed there have been no material changes to the financial position of the Group;
- repurchases may not be made at a price greater than 10% (ten percent) above the weighted average of the market value of the securities for the five (5) business days immediately preceding the date on which the transaction is effected; and
- the Company or its subsidiary may not repurchase securities during a prohibited period, as defined in the Listings Requirements, unless they have in place a repurchase programme where the dates and quantities of securities to be traded during the relevant period are fixed (not subject to any variation) and has been submitted to the JSE in writing prior to the commencement of the prohibited period. The Company must instruct an independent third party, which makes its investment decisions in relation to the Company's securities independently of, and uninfluenced by, the Company, prior to the commencement of the prohibited period to execute the repurchase programme submitted to the JSE.

Statement by the Board pursuant to and in terms of the Listings Requirements of the JSE:

The directors of the Company hereby state that:

(a) the intention of the directors of the Company is to utilise the authority if, at some future date, the cash resources of the Company are in excess of its requirements. In this regard, the directors will take account of, *inter alia*, an appropriate capitalisation structure for the Company, the long-term cash needs of the Company and will ensure that any such utilisation is in the interests of the shareholders; and

(b) the method by which the Company intends to repurchase its securities and the date on which such repurchase will take place, has not yet been determined.

At the time that the contemplated repurchase is to take place, the directors of the Company will ensure that:

- the Company and its subsidiaries will be able to pay their debts as they become due in the ordinary course of business for a period of 12 (twelve) months after the date on which the repurchase is contemplated;
- the assets of the Company and its subsidiaries, fairly valued in accordance with International Financial Reporting Standards, will be in excess of the liabilities of the Company and its subsidiaries for a period of 12 (twelve) months after the date on which the repurchase is contemplated;
- the share capital and reserves of the Company and its subsidiaries will be adequate for the purpose of the business of the Company and its subsidiaries for a period of 12 (twelve) months after the date on which the repurchase is contemplated; and
- the working capital available to the Company and its subsidiaries will be adequate for the Group's ordinary business purposes for a period of 12 (twelve) months after the date on which the repurchase is contemplated.

Explanatory note

The reason for and effect of this Special Resolution No 1 is to grant the Board a general authority in terms of the Listings Requirements, to approve the acquisition by the Company or any of its subsidiaries of securities issued by the Company, which authority shall be valid until the earlier of the next AGM, or the variation or revocation of such general authority by special resolution by any subsequent general meeting of the Company; provided that the general authority shall not extend beyond 15 (fifteen) months from the date that this Special Resolution No 1 is passed.

The following information, which is required by the Listings Requirements with regard to the special resolution granting a general authority to the Company to repurchase securities, appears on the pages of the financial statements to which this notice of AGM is annexed, is indicated below:

Major shareholders	page 184
Share capital of the Company	page 167
Responsibility statement	page 192
Material changes	page 192
Litigation statement	page 192

Special Resolution No 2 – Financial assistance to related and inter-related entities

RESOLVED THAT the Board may, subject to compliance with the requirements of the MOI and the Companies Act, authorise the provision by the Company, at any time and from time to time during the period of two (2) years commencing on the date of adoption of this special resolution, of direct or indirect financial assistance, by way of a loan, guarantee of a loan or other obligation or the securing of a debt or other obligation to any one or more related or inter-related companies or corporations of the Company and/or to any one or more members of any such related or inter-related corporation or to a person related to any such company, corporation or member as outlined in section 2 of the Companies Act, on such terms and conditions as the Board may deem fit.

Explanatory note

The reason for the passing of this Special Resolution No 2 is that, on a proper interpretation of section 45 of the Companies Act, the Company may not provide the financial assistance contemplated in such section to related or inter-related companies and corporations, including, *inter alia*, its subsidiaries without a special resolution. The reason for Special Resolution No 2 is to obtain approval from the shareholders to enable the Board to have the authority to authorise the Company to provide direct or indirect financial assistance, by way of a loan, guaranteeing of a loan or other obligation or securing of a debt or other obligation, to the recipients contemplated in Special Resolution No 2. The effect of Special Resolution No 2 is that the Company will have the necessary authority to authorise and provide the financial assistance as and when required.

It is difficult to foresee the exact details of financial assistance that the Company may be required to provide over the next two years. It is essential, however, that the Company is able to effectively organise its internal financial administration. For these reasons and because it would be impractical and difficult to obtain shareholder approval every time the Company wishes to provide financial assistance as contemplated above, it is necessary to obtain the approval of shareholders, as set out in Special Resolution No 2.

It should be noted that this Special Resolution No 2 does not authorise financial assistance to a director or a prescribed officer of the Company or of a related or inter-related company.

Special Resolution No 3 – Approval of non-executive directors' remuneration

RESOLVED THAT, in terms of section 66(9) of the Companies Act, payment of the remuneration for the non-executive directors of the Company for their services as directors of the Company for the financial year of the Company ending 30 June 2020, excluding VAT where applicable, be approved as follows:

(i) A basic annual fee of R105 000 (one hundred and five thousand Rand).
   - R26 250 (twenty-six thousand two hundred and fifty Rand) per Board meeting attended.
   - R31 500 (thirty-one thousand five hundred Rand) per strategy session.
   - R22 000 (twenty-two thousand Rand) per Committee meeting attended, with the Chairman of such meeting being paid R27 300 (twenty-seven thousand three hundred Rand).

(ii) The Chairman to receive an annual fee of R1 313 550 (one million three hundred and thirteen thousand five hundred and fifty Rand) for the 2020 financial year.

(iii) Non-executive directors who undertake *ad hoc* work for the Company at the request of the Board may be paid an hourly rate of R3 570 (three thousand five hundred and seventy Rand) for such work.

(iv) The fees payable to directors as detailed in (i) above shall, but only until the expiry of a period of 12 months from the date of the passing of this Special Resolution No 3 (or until amended by a special resolution of shareholders prior to the expiry of such period), escalate as determined by the Remuneration Committee of the Company, up to a maximum of 15% per annum per amount as set out above, excluding VAT (where applicable).

Explanatory note

In terms of sections 66(8) and 66(9) of the Companies Act, remuneration may only be paid to directors for their services as directors in accordance with a special resolution approved by the shareholders of the Company within the previous two years and if not prohibited in terms of the MOI. Therefore, the reason for and the effect of Special Resolution No 3 is to approve the payment of and the remuneration payable by the Company to its non-executive directors for their services as directors of the Company in terms of section 66 of the Companies Act. The fees payable to the non-executive directors are detailed above. The remuneration policy forms part of the Remuneration report included in the Integrated Annual Report on pages 88 to 97.

Ordinary Resolution No 9 – Authority to sign documentation

RESOLVED THAT any director of the Company or the Company Secretary be and is hereby authorised to do all such things, take all actions necessary and sign all documents required to give effect to, or as may be necessary for or incidental to the implementation of, the abovementioned Ordinary and Special Resolutions to be proposed at the AGM.

Explanatory note

The reason for Ordinary Resolution No 9 is to authorise any director or the Company Secretary of the Company to attend to the necessary to implement the Special and Ordinary Resolutions passed at the AGM and to sign all documentation required to record the Special and Ordinary Resolutions. The effect of Ordinary Resolution No 9 is that any director or the Company Secretary of the Company will be authorised to attend to the implementation of the Special and Ordinary Resolutions on behalf of the Company.

NOTICE OF ANNUAL GENERAL MEETING continued

LITIGATION STATEMENT

The directors of the Company, whose names are given on page 70 of this Integrated Annual Report, are not aware of any legal or arbitration proceedings, pending or threatened against the Company, which may have or have had, in the 12 months preceding the date of this notice of AGM, a material effect on the Company's financial position.

DIRECTORS' RESPONSIBILITY STATEMENT

The directors, whose names are given on page 70 of this Integrated Annual Report, collectively and individually, accept full responsibility for the accuracy of the information given and certify that, to the best of their knowledge and belief, there are no facts that have been omitted which would make any statement false or misleading, and that all reasonable enquiries to ascertain such facts have been made and that the Integrated Annual Report contains all the information required by law and the Listings Requirements.

MATERIAL CHANGE

Other than the facts and developments reported in this Integrated Annual Report, there have been no material changes in the affairs, financial or trading position of the Company since the signature date of this Integrated Annual Report and the posting date thereof. Shares held by the Company as treasury shares and the Italtile Share Incentive Trust will be excluded from the quorum and voting on the resolutions commissioned at the AGM.

APPROVALS REQUIRED FOR RESOLUTIONS

Save for Ordinary Resolution No 7 and Ordinary Resolution No 8 contained in this notice of AGM which, in terms of the Listings Requirements, requires the approval by more than 75% of the votes exercised on such resolution by shareholders present or represented by proxy at the AGM, Ordinary Resolutions Nos 1 to 9 contained in this notice of AGM require the approval by more than 50% of the votes exercised on the resolutions by shareholders present or represented by proxy at the AGM, and further subject to the provisions of the Companies Act, the MOI and the Listings Requirements.

Special Resolutions Nos 1 to 3 contained in this notice of AGM require the approval by at least 75% of the votes exercised on the resolutions by shareholders present or represented by proxy at the AGM, and further subject to the provisions of the Companies Act, the MOI and the Listings Requirements.

VOTING AND PROXIES

A shareholder entitled to attend and vote at the AGM is entitled to appoint a proxy or proxies to attend, speak and vote in his or her stead. A proxy need not be a shareholder of the Company. For the convenience of registered shareholders of the Company, a form of proxy is enclosed herewith.

The attached form of proxy is only to be completed by those shareholders who are:

- holding Italtile ordinary shares in certificated form; or
- recorded on the electronic sub-register in 'own name' dematerialised form.

Shareholders who have dematerialised their shares through a CSDP or broker and wish to attend the AGM, must instruct their CSDP or broker to provide them with a letter of representation, or they must provide the CSDP or broker with their voting instructions in terms of the relevant custody agreement/mandate entered into between them and their CSDP or broker.

Forms of proxy must be lodged with the transfer secretaries of the Company at the address given below, by no later than 08:00 on Wednesday, 13 November 2019. Any shareholder who completes and lodges a form of proxy will nevertheless be entitled to attend and vote in person at the AGM. Any form of proxy not delivered by this time may be handed to the Chairperson of the AGM immediately before the appointed proxy exercises any of the shareholder's votes at the AGM.

Holders of dematerialised Italtile shares wishing to attend the AGM must inform their CSDP or broker of such intention and request their CSDP or broker to issue them with the relevant authorisation to attend.

ELECTRONIC PARTICIPATION

Shareholders or their proxies may participate in (but not vote at) the AGM by way of a teleconference call and, if they wish to do so:

- must contact the Company Secretary (by e-mail at the address: lizwillis@ejaysecretarial.co.za), by no later than 08:00 on Tuesday, 12 November 2019, in order to obtain a pin number and dial-in details for that conference call;
- will be required to provide reasonably satisfactory identification; and
- will be billed separately by their own telephone service providers for their telephone call to participate in the AGM, provided that shareholders and their proxies will not be able to vote telephonically at the AGM and will still need to appoint a proxy to vote on their behalf at the AGM.

By order of the Board

E J Willis
Company Secretary

Johannesburg
7 October 2019

ANNEXURE 1 TO NOTICE OF AGM

SALIENT FEATURES OF THE ITALTILE RETENTION SCHEME

Capitalised terms referred to, and not defined herein, shall bear the meaning assigned to them in the Deed of Trust of the Italtile Retention Scheme Trust ("**Trust**"). A summary of the main terms of the Deed of Trust is set out below.

1. PURPOSE AND OBJECT OF THE TRUST

1.1 The purpose of the Trust is to incentivise, recognise, retain and reward executive directors and/or employees of Italtile Limited ("**Italtile**") and its direct and indirect subsidiaries from time to time (collectively referred to as the "**Italtile Group**"), as well as non-executive directors of Italtile, for their contribution to the growth and sustainability of the Italtile Group.

1.2 The sole object of the Trust shall be to acquire, hold and sell Trust Shares (as defined in paragraph 4.3(c) below) for the benefit of participants, to distribute income and dividends to participants and to administer the Trust in accordance with the provisions of the Deed of Trust ("**Trust Object**").

2. ADMINISTRATION OF THE TRUST

2.1 Subject to the provisions of the Deed of Trust, the Trustees shall be entitled to establish rules, procedures and guidelines which the Trustees will follow in exercising the powers contained in the Deed of Trust or in respect of any other matter which the Trustees deem appropriate; provided that such rules do not conflict with the Deed of Trust or with any laws in existence in South Africa from time to time.

2.2 The Trust shall be administered by the Trustees in the manner and upon the terms set out in the Deed of Trust.

2.3 There shall at all times be three (3) Trustees in office who shall be appointed by the Board of directors of Italtile ("**Board**"). A person shall be disqualified from acting as a Trustee where, *inter alia*, such person is an executive director or employee of any member of the Italtile Group or a participant of the Trust.

2.4 Italtile may appoint a compliance officer who shall be accountable to the Board to perform the functions in terms of, and to comply with, the duties as set out in section 97 of the Companies Act in respect of the Trust.

3. ELIGIBILITY

Any present or future executive director and/or employee of any member of the Italtile Group and/or any present or future non-executive director of Italtile, who is not, on the date that he is identified by the Remuneration Committee of Italtile ("**Remuneration Committee**") as eligible for participation in the Trust (a) categorised as an independent director of any member of the Italtile Group, taking into account the indicators and guidelines set out in the JSE Listings Requirements; (b) a Trustee; or (c) a member of the Remuneration Committee may be identified and selected by the Remuneration Committee, as an eligible person ("**Eligible Person**") for purposes of participation in the Trust.

4. ALLOCATION OF UNITS

4.1 The Remuneration Committee shall, in its sole and unfettered discretion, identify from time to time Eligible Persons ("**Offerees**") to be made an offer by the Trustees to acquire and be allocated such number of Units as is equal to the number of Trust Shares to be acquired by the Trust, if the offer is accepted by the Offeree (the "**Offer**").

4.2 Upon identification of Eligible Persons, the Remuneration Committee shall deliver a written notice to the Trustees advising them, in respect of each Offeree:

(a) the identity of the Offeree to be made an Offer;

(b) the Retention Award provided to the Trust to acquire the Trust Shares forming the subject matter of the Offer;

(c) the number of Units forming the subject matter of the Offer;

(d) the fact that the Units forming the subject matter of the Offer will be allocated to the Offeree for no consideration; and

(e) the number of Trust Shares to be linked to the Units forming the subject matter of the Offer.

4.3 For purposes hereof:

(a) a "**Unit**" is a notional unit used as a mechanism to establish the respective Trust Interest of an Offeree who has accepted an Offer by delivering an acceptance notice to the Trustees and to whom Units have been allocated ("**Participant**"). There will always be at least as many Trust Shares as there are allocated Units, ie each Unit allocated to a Participant will be linked to a Trust Share;

ANNEXURE 1 TO NOTICE OF AGM continued

(b) "**Trust Interest**" means any rights of a Participant to participate in the income and capital of the Trust, expressed as a percentage (determined by dividing the number of Units allocated to a Participant by the total number of issued Units);

(c) "**Trust Shares**" means ordinary no par value shares in Italtile ("**Italtile Shares**") acquired by the Trustees from time to time in accordance with the provisions of this Deed of Trust, held by, and registered in the name of, the Trust from time to time; and

(d) "**Retention Award**" means the cash amount to be contributed by the relevant member of the Italtile Group, on a non-refundable basis, to the Trust which cash amount shall be utilised by the Trustees to acquire the Trust Shares forming the subject matter of the Offer.

4.4 The Trustees shall, as soon as possible after being advised by the Remuneration Committee of the Offerees, deliver a written notice setting out the Offer (the "**Offer Notice**") to each such Offeree.

4.5 The Offer contemplated in the Offer Notice shall be capable of acceptance by the Offeree delivering a written notice of acceptance to the Trustees (the "**Acceptance Notice**"), for a period of 20 (twenty) business days (or such longer period as may be advised in writing by the Remuneration Committee to the Trustees) (the "**Offer Period**") and failing acceptance, shall lapse and not be capable of being accepted thereafter.

4.6 If the Offer is accepted by the Offeree within the Offer Period, no consideration shall be payable by the Offeree to the Trust in respect of the acquisition and allotment of Units forming the subject matter of such Offer.

4.7 Following receipt of an Acceptance Notice, Italtile or any other member of the Italtile Group, as the case may be, shall contribute to the Trustees an amount equal to the relevant Retention Award, subject to the provisions of the Deed of Trust, less the value of any unallocated shares (which are Trust Shares in respect of which the Units have been forfeited and which are no longer linked to any Units allocated to Participants) to be used by the Trustees in fulfilling the Offer, for purposes of the Trustees procuring the acquisition of the Trust Shares forming the subject matter of the Offer in such manner as advised in writing by the Board to the Trustees.

5. RIGHTS AND LIMITATIONS IN RESPECT OF UNITS AND TRUST INTERESTS

5.1 Each Unit shall:

(a) be non-transferable (but shall be capable of forfeiture and redemption in accordance with the provisions of the Deed of Trust);

(b) represent an indirect equity interest in the Trust Share linked to such Unit;

(c) afford the Participant a vested right to receive all and any distributions accrued in respect of the Trust Share linked to such Unit ("**Dividend Income**");

(d) entitle the Participant to instruct the Trustees how to vote the Trust Shares linked to the Units in respect of each shareholders' meeting of Italtile;

(e) entitle the Participant thereof to cast one vote at any meeting of Participants, subject to the terms and conditions of the Deed of Trust; and

(f) be automatically redeemable upon expiry of the Retention Period (defined in paragraph 8.2 below) applicable to such Unit in accordance with the provisions of the Deed of Trust.

5.2 Save as expressly provided for in the Deed of Trust, a Participant shall not be entitled to:

(a) encumber his Trust Interest or Units;

(b) sell his Trust Interest or Units;

(c) enter into any agreement in respect of any votes attached to his Units or enter into any derivative transaction in respect of his Trust Interest or Units; or

(d) agree, whether or not subject to any suspensive or resolutive condition, to do any of the foregoing.

5.3 Any purported assignment of a Trust Interest in contravention of the Deed of Trust shall be void.

6. ACQUISITION OF TRUST SHARES

6.1 For purposes of achieving the Trust Object, the Trust shall, from time to time, be required, in the first instance, to purchase Trust Shares as contemplated in an Offer from either a member of the Italtile Group or from the Italtile Share Incentive Trust at a price equal to the market value thereof. If the Trustees are unable to procure the purchase of Trust Shares from either a member of the Italtile Group or from the Italtile Share Incentive Trust for any reason whatsoever, then, in the second instance, and at the Trustees' discretion, the Trust shall either purchase Trust

Shares through the market or subscribe for Trust Shares as contemplated in an Offer at a price equal to the market value thereof, provided that:

(a) in fulfilling an Offer, the Trustees must first utilise any unallocated shares held by the Trust and the Trust may purchase or subscribe for Trust Shares only to the extent of any shortfall in the event that the unallocated shares held by the Trust are insufficient to fulfil an Offer; and

(b) Trust Shares may only be purchased or subscribed for by the Trustees once an Offeree has been formally identified by the Remuneration Committee and such Offeree has delivered an Acceptance Notice

6.2 For purposes of paragraph 6.1, the market value is the market price per Trust Share equal to the volume weighted average price at which the Italtile Shares traded on the JSE for the 30 (thirty) business days immediately preceding the date of delivery of the Offer Notice.

6.3 With effect from the later of the date upon which the Trust acquires the Trust Shares forming the subject matter of such Offer and the date of receipt of the Acceptance Notice in respect of the Offer (the "**Acquisition Date**"), the relevant Offeree shall be allocated the Units forming the subject matter of his Offer and such Units shall afford the Participant a vested right to receive the Dividend Income accrued in respect of the Trust Share linked to such Unit.

7. TREATMENT OF DIVIDENDS

7.1 All Dividend Income and other receipts by the Trust of payments by Italtile in respect of the Trust Shares linked to Units allocated to Participants, will immediately vest in and, as soon as reasonably possible after receipt thereof by the Trust, be distributed to the Participants in proportion to their respective Trust Interests.

7.2 The proportion of the Dividend Income in respect of Trust Shares linked to Units corresponding to allocated Units vesting in each Participant shall be determined by multiplying such Dividend Income by the Trust Interest (expressed as percentage) of that Participant.

7.3 If the Trustees receive any Dividend Income in respect of Trust Shares, the Trustees shall:

(a) insofar as such Dividend Income is received in respect of Trust Shares linked to Units allocated to Participants, distribute such Dividend Income to the Participants in accordance with paragraph 7.1; and

(b) insofar as such Dividend Income is received in respect of unallocated shares, such Dividend Income shall:

(i) firstly, be applied to discharge, and/or to make adequate provision for, the normal day-to-day operating costs and requirements of the Trust; and

(ii) secondly, be applied to repay any loan obligation (if any) owing to Italtile; and

(iii) thirdly, if there is any remaining Dividend Income (irrespective of the nature of the consideration of the dividend), automatically vest in Italtile and the Trustees shall distribute such remaining Dividend Income to Italtile on an annual basis.

7.4 In the event that Dividend Income is received in specie and not in cash, the Trustees shall, unless otherwise directed by the Board in writing, realise such assets received in specie and distribute any proceeds received in respect thereof to the Participants in the manner detailed in 7.1 to 7.3 (both inclusive).

8. REDEMPTION

8.1 Subject to compliance with the JSE Listings Requirements, the Trustees shall, by no later than 10 (ten) business days after the expiry of a Retention Period applicable to a Participant, redeem the Units which are no longer subject to a Retention Period as follows:

(a) subject to the provisions of the Deed of Trust, the Trustees shall procure the transfer of the Trust Shares linked to the Units to the Participant. No consideration will be payable by the Participant to the Trust for the transfer of such Trust Shares; and

(b) the Units will be cancelled upon the implementation of paragraph 8.1(a) and the Participant will have no further rights whatsoever in respect of the Units.

8.2 The Retention Period is a period commencing on the acquisition date and enduring until the fifth (5th) anniversary of the acquisition date, during which a Participant must:

(a) in the case of an employee of a member of the Italtile Group, remain in the employ of such member of the Italtile Group; and

(b) in the case of an executive director of a member of the Italtile Group or a non-executive director of Italtile, remain a director of such member of the Italtile Group or Italtile, as the case may be,

in order for his Units to vest and become redeemable, subject to the provisions of the Deed of Trust.

ANNEXURE 1 TO NOTICE OF AGM continued

9. LIMITS

9.1 The aggregate number of Trust Shares acquired by the Trust in accordance with the Deed of Trust, when added to the number of Italtile Shares issued under the Share Appreciation Retention Scheme ("SARS"), the Long-Term Incentive Plan ("LTIP") and the Italtile Share Incentive Trust ("ISIT") Scheme, may not exceed 154 999 923 Italtile shares.

9.2 Trust Shares linked to Units which are subsequently forfeited and cancelled in accordance with the Deed of Trust will become unallocated shares and shall not count towards the maximum number of Italtile shares as set out in paragraph 9.1 above.

9.3 The number of Trust Shares linked to Units that may be acquired by any Participant in terms of this Deed of Trust, when added to the number of Italtile shares which are issued and/or transferred to the same Participant under the SARS, LTIP and ISIT Scheme, may not exceed 20 666 656 Italtile shares.

9.4 Trust Shares linked to Units allocated to Participants which are subsequently forfeited and cancelled in accordance with the Deed of Trust will become unallocated shares and shall not count towards the maximum number of Italtile shares as set out in paragraph 9.3 above.

9.5 Trust Shares acquired by the Trustees by way of purchases in the market will not be taken into account and shall not count towards the maximum number of Italtile shares as set out in paragraph 9.1 above.

10. TERMINATION OF EMPLOYMENT AND FORFEITURE

10.1 If the employment of a salaried director or employee of a member of the Italtile Group or the appointment of a non-executive director of Italtile terminates prior to the expiry of the Retention Period as a result of the occurrence of any of the following:

(a) resignation of a Participant, other than the resignation of a non-executive director of Italtile due to superannuation;
(b) death of a Participant by suicide;
(c) lawful dismissal of a Participant (other than a non-executive director) at any time on grounds of his proven dishonest, fraudulent or grossly negligent conduct (whether such termination occurs as a result of notice given to or by him or otherwise) or, in the case of a Participant who is a non-executive director, as a result of his lawful removal from office by resolution of Italtile or his resignation, at the request of Italtile, in circumstances where he would have been dismissed had he been an employee; or
(d) any circumstances, other than those circumstances contemplated above or contemplated in paragraph 10.2,

then all the Units held by such Participant will be forfeited in accordance with the provisions of paragraph 10.4 below.

10.2 If the employment of a salaried director or employee of a member of the Italtile Group or the appointment of a non-executive director of Italtile terminates prior to the expiry of the Retention Period as a result of the occurrence of any of the following:

(a) death of a Participant (other than suicide);
(b) retrenchment of a Participant;
(c) retirement of a Participant;
(d) resignation (in the case of a non-executive director of Italtile) due to superannuation;
(e) ill health or disability of a Participant as certified by a qualified medical practitioner nominated by the Trustees or for any other reason considered and approved by the Board; or
(f) any member of the Italtile Group, other than Italtile, is subject to any amalgamation or merger,

(each a "Good Leaver Trigger Event"),

then the provisions of paragraphs 10.4 below shall apply.

10.3 The Trustees shall, subject to the provisions of the Deed of Trust, by no later than 10 (ten) business days after the occurrence of a Good Leaver Trigger Event:

(a) Redeem such number of Units as is determined by applying the following formula:

$$A=B \times \frac{C}{D}$$

where:

A = the number of Units allocated to a Participant which is required to be redeemed pursuant to the occurrence of a Good Leaver Trigger Event;

B = the number of Units allocated to the Participant as at the date immediately preceding the occurrence of the Good Leaver Trigger Event;

C = the number of completed months of service of a Participant as a salaried director, employee or non-executive director, as the case may be, for the period commencing on the acquisition date and terminating on the day immediately preceding the occurrence of the Good Leaver Trigger Event; and

D = 60.

(b) procure the transfer of such number of Trust Shares linked to the Units allocated to Participants as is equal to the number of Units being redeemed in terms of paragraph 10.3(a), to the Participants; and
(c) all remaining Units which have not been redeemed in accordance with the provisions of paragraph 10.3(a) above shall be forfeited in accordance with paragraph 10.4.

10.4 If any Units are forfeited:
(a) the Trustees will deliver a written notice to that effect to the relevant Participant;
(b) the Participant will not be entitled to any compensation whatsoever in respect of the Forfeited Units; and
(c) the Forfeited Units will be cancelled and the Trust Shares to which such Units were linked will become unallocated shares.

11. TERMINATION OF THE TRUST

11.1 The Trust shall terminate if the Board so resolves, provided that if the Trust is terminated whilst Participants still hold Units, all allocated Units (whether capable of redemption or not) shall be redeemed, before the termination of the Trust in accordance with the following provisions:
(a) allocated Units shall immediately vest and become redeemable; and
(b) subject to the provisions of the Deed of Trust, the Trustees shall procure the transfer of the Trust Shares linked to the allocated Units to the Participant. No consideration will be payable by the Participant to the Trust for the transfer of such shares.

11.2 Upon termination of the Trust:
(a) the remaining unallocated Trust Shares, if any, held by the Trust shall, subject to compliance with the JSE Listings Requirements, the provisions of the Companies Act and all other applicable law at that time and subject to the prior approval of any regulatory authority, to the extent required, either be repurchased by Italtile, or purchased by any member of the Italtile Group or the Italtile Share Incentive Trust, as may be determined by the Board in its discretion, at a price equal to the market value thereof;
(b) the assets and liabilities of the Trust (if any) shall be liquidated by a liquidator appointed by the Board; and
(c) the liquidator of the Trust shall award and distribute the net proceeds of the liquidation contemplated in paragraph 11.2(b) to Italtile.

11.3 For the purposes of paragraph 11.2(a), the "**Market Value**" means the market price per remaining unallocated share equal to the volume weighted average price at which the Italtile shares trade on the JSE for the 30 (thirty) Business Days immediately preceding the date of termination of the Trust.

12. TAX LIABILITY

12.1 Any and all taxes incurred or arising from:
(a) any forfeiture or redemption of Units; or
(b) any benefits otherwise accruing to the Participant in terms of or pursuant to the Deed of Trust,

shall be for the account of the relevant Participant/s to whom the resulting payment or transfer will be made or to whom the relevant tax liability is attributable, regardless of whether the relevant Tax liability is legally imposed on any member of the Italtile Group, the Trust or the relevant Participant/s. The Trustees shall procure that each Participant signs and executes an indemnity before any Units are allocated to such Participant.

12.2 The Trustees shall correctly apportion any tax liability envisaged in paragraph 12.1 to the relevant Participants to whom payments or transfers will be made, or who will derive the relevant benefit, and the resulting payment or transfer shall be made to the Participant net of the *pro rata* amount of such tax liability.

12.3 The Trustees will be entitled, without the prior written consent of, or notification to, any Participant, to sell a portion of the Trust Shares linked to Units held by a Participant through the market or otherwise in order to pay any amount that the Trustees are obliged to account for, withhold or deduct in respect of any taxes arising from:
(a) the Deed of Trust; or
(b) any benefits otherwise accruing to that Participant pursuant to the provisions of the Deed of Trust.

13. ADJUSTMENT

13.1 In the event of a sub-division or consolidation of Italtile shares, the number of Italtile shares acquired by the Trust shall be adjusted in direct proportion to the increase or reduction of Italtile shares issued by Italtile.

ANNEXURE 1 TO NOTICE OF AGM continued

13.2 Trust Shares linked to Units allocated to Participants shall rank *pari passu* with the Italtile shares for participation in all rights offers of Italtile shares or other securities by Italtile. In the event of a rights offer by Italtile, the Trustees shall immediately notify the Participants of such rights offer and each Participant shall be entitled, but not obliged, to request the Trustees to renounce (insofar as such rights are renounceable) such rights in favour of the Participant for purposes of the Participant, in his personal capacity and not in his capacity as a Participant, following the rights accruing to Trust Shares linked to his Units. Any Italtile Shares acquired by a Participant pursuant to a rights offer as contemplated in this paragraph 13.2 shall not be Trust Shares and shall not be subject to the provisions of the Deed of Trust.

13.3 Trust Shares linked to Units allocated to Participants shall in all respects rank *pari passu* with all issued Italtile shares, including in respect of participation in capitalisation issues; provided that Italtile shares allotted and issued by way of a capitalisation by Italtile in respect of Trust Shares linked to Units shall be deemed to be Trust Shares, shall be subject to the provisions of the Deed of Trust and the number of Units allocated to the Participants shall be adjusted accordingly.

13.4 If any other corporate event in relation to Italtile occurs or is to occur prior to the expiration of any remaining Retention Period, which other corporate event will affect or has the potential to adversely affect the rights of the Participants as contemplated in the Deed of Trust or the implementation of the provisions of the Deed of Trust, the Board will consider the interests of the Participants and, without limiting the Board's discretion, may make such adjustments to the Deed of Trust as it considers appropriate in the circumstances (which adjustments shall be binding on the Participants, the Trustees, Italtile and the Remuneration Committee, as applicable, without the need for any formal variation, but subject to the provisions of the Deed of Trust) in order to:

(a) place the Participants in a proportionally comparable position to that which they were in prior to such other corporate event having occurred; or

(b) place the Participants in a proportionally comparable position to that of the Italtile's shareholders under the other corporate event; or

(c) may resolve to terminate the Trust.

13.5 If a takeover occurs or Italtile is affected by any amalgamation or merger prior to the expiration of any remaining Retention Period, the Board will consider the interests of the Participants and shall, acting fairly, reasonably and objectively and, without limiting the Board's discretion:

(a) may make such adjustments to the Deed of Trust as it considers appropriate in the circumstances (which adjustments shall be binding on the Participants, the Trustees, Italtile and the Remuneration Committee, as applicable, without the need for any formal variation, but subject to the provisions of the Deed of Trust) in order to:

(i) place the Participants in a proportionally comparable position to that which they were in prior to such takeover, amalgamation or merger having occurred; or

(ii) place the Participants in a proportionally comparable position to that of the Italtile shareholders pursuant to the occurrence of a takeover, amalgamation or merger.

FORM OF PROXY

Italtile Limited
Incorporated in the Republic of South Africa
(Registration number 1955/000558/06)
Share code: ITE ISIN: ZAE000099123
("Italtile" or "the Company")

For use only by:

- holders of certificated ordinary shares in the Company; or
- holders of dematerialised ordinary shares in the Company ("dematerialised shareholders") held through a central securities depository participant ("CSDP") or broker and who have selected 'own-name' registration,

at the annual general meeting ("AGM") of shareholders of the Company to be held at 10:30 on Thursday, 14 November 2019 at the registered office of Italtile, The Italtile Building, corner William Nicol Drive and Peter Place, Bryanston, 2021.

Dematerialised shareholders holding shares in the Company other than with 'own-name' registration, who wish to attend the AGM must inform their CSDP or broker of their intention to attend the AGM and request their CSDP or broker to issue them with the relevant letter of representation to attend the AGM in person or by proxy and vote. If they do not wish to attend the AGM in person or by proxy, they must provide their CSDP or broker with their voting instructions in terms of the relevant custody agreement entered into between them and the CSDP or broker. **These shareholders must not use this form of proxy.**

Each shareholder is entitled to appoint one or more proxies (who need not be a shareholder of the Company) to attend, speak and vote in place of that shareholder at the AGM. A proxy need not be a shareholder of the Company.

I/we (full name(s) in block letters)

of (address)

Telephone work | Telephone home

Cellphone number | E-mail address

1. being the holder/custodian of | ordinary shares in the Company, hereby appoint (see note): or, failing him/her

2. or, failing him/her

3. the Chairperson of the AGM,

as my/our proxy to attend and act for me/us on my/our behalf at the AGM convened for the purpose of considering and, if deemed fit, passing, with or without modification, the resolutions to be proposed thereat and at each adjournment or postponement thereof, and to vote for and/or against such resolutions, and/or to abstain from voting for and/or against the resolutions, in respect of the shares in the issued share capital of the Company registered in my/our name in accordance with the following instructions:

		For	Against	Abstain
Ordinary Resolution No 1.1	Re-election of Mr G A M Ravazzotti			
Ordinary Resolution No 1.2	Re-election of Mrs S M du Toit			
Ordinary Resolution No 1.3	Re-election of Mr S G Pretorius			
Ordinary Resolution No 2.1	Election of Ms I Z Nyanga			
Ordinary Resolution No 3	Appointment of external auditor			
Ordinary Resolution No 4	Election of Audit and Risk Committee			
Ordinary Resolution No 4.1	Election of Mrs S M du Toit			
Ordinary Resolution No 4.2	Election of Ms I Z Nyanga			
Ordinary Resolution No 4.3	Election of Mr S G Pretorius			
Ordinary Resolution No 5	Non-binding advisory endorsement of the Company's remuneration policy and implementation report			
Ordinary Resolution No 5.1	Endorsement of the Company's remuneration policy			
Ordinary Resolution No 5.2	Endorsement of the Company's implementation report			
Ordinary Resolution No 6	Unissued shares to be placed under the control of the directors			
Ordinary Resolution No 7	General authority to issue shares, and to sell treasury shares, for cash			
Ordinary Resolution No 8	Adoption of the Italtile Retention Scheme			
Special Resolution No 1	Acquisition of own securities			
Special Resolution No 2	Financial assistance to related and inter-related entities			
Special Resolution No 3	Approval of non-executive directors' remuneration			
Ordinary Resolution No 8	Authority to sign documentation			

Insert an 'X' in the relevant spaces above according to how you wish your votes to be cast. If no directions are given, the holder of the proxy will be entitled to vote or abstain from voting as that proxy deems fit.

This proxy shall be valid only for the AGM of shareholders of the Company to be held on Thursday, 14 November 2019 and any adjournment or postponement thereof.

Signed at on 2019

Signature assisted by (where applicable)

Please read the notes on the reverse side hereof.

NOTES TO THE FORM OF PROXY

1. Summary of rights contained in section 58 of the Companies Act, No 71 of 2008 (as amended) ("Companies Act")
   In terms of section 58 of the Companies Act:
   - a shareholder may, at any time and in accordance with the provisions of section 58 of the Companies Act, appoint any individual (including an individual who is not a shareholder) as a proxy to participate in, and speak and vote at, a shareholders' meeting on behalf of such shareholder;
   - a proxy appointment must be in writing, dated and signed by the shareholder;
   - except to the extent that the memorandum of incorporation of a company provides otherwise, a shareholder of that company may appoint two or more persons concurrently as proxies, and may appoint more than one proxy to exercise voting rights attached to the different securities held by the shareholder;
   - except to the extent that the memorandum of incorporation of the company provides otherwise, a proxy may delegate her or his authority to act on behalf of a shareholder to another person, subject to any restriction set out in the instrument appointing such proxy;
   - except to the extent that the memorandum of incorporation of the company provides otherwise, a copy of the instrument appointing a proxy must be delivered to the company, or to any other person on behalf of the company, before the proxy exercises any rights of the shareholder at a shareholders' meeting;
   - irrespective of the form of instrument used to appoint a proxy, the appointment of a proxy is suspended at any time and to the extent that the relevant shareholder chooses to act directly and in person in the exercise of any of such shareholder's rights as a shareholder;
   - irrespective of the form of instrument used to appoint a proxy, any appointment by a shareholder of a proxy is revocable, unless the form of instrument used to appoint such proxy states otherwise;
   - if an appointment of a proxy is revocable, a shareholder may revoke the proxy appointment by: (i) cancelling it in writing, or making a later inconsistent appointment of a proxy and (ii) delivering a copy of the revocation instrument to the proxy and to the company;
   - the revocation of a proxy appointment constitutes a complete and final cancellation of the proxy's authority to act on behalf of the shareholder as of the later of the date (i) stated in a revocation instrument, if any; or (ii) upon which the revocation instrument is delivered to the proxy and the relevant company as required in section 58(4)(c)(ii) of the Companies Act;
   - if the instrument appointing a proxy or proxies has been delivered to the relevant company, as long as that appointment remains in effect, any notice that is required by the Companies Act or the relevant company's memorandum of incorporation to be delivered by such company to the shareholder must be delivered by such company to the shareholder or the proxy or proxies, if the shareholder has in writing directed the relevant company to do so and has paid any reasonable fee charged by the company for doing so;
   - a proxy appointed by a shareholder is entitled to exercise, or abstain from exercising, any voting right of such shareholder without direction, except to the extent that the relevant company's memorandum of incorporation, or the instrument appointing the proxy, provides otherwise (see note 5).
   - if a company issues an invitation to shareholders to one or more persons named by such company as a proxy, or supplies a form of instrument for appointing a proxy:
     – such invitation must be sent to every shareholder who is entitled to receive notice of the meeting at which the proxy is intended to be exercised;
     – the invitation or form of proxy must bear a reasonably prominent summary of the rights established by section 58 of the Companies Act, contain adequate space to enable a shareholder to write in the name, and if so desired an alternative name, of a proxy chosen by the shareholder and provide adequate space for the shareholder to indicate whether the appointed proxy is to vote in favour of or against any resolution or resolutions to be put at the meeting, or abstain from voting;
     – the company must not require that the proxy appointment be made irrevocable; and
     – the proxy appointment remains valid only until the end of the relevant meeting at which it was intended to be used, unless revoked as contemplated in section 58(5) of the Companies Act.
2. The form of proxy must only be used by shareholders who hold shares in certificated form or who are recorded on the sub-register in electronic form in 'own name'.
3. All other beneficial owners who hold dematerialised shares through a CSDP or broker and wish to attend the annual general meeting must provide the CSDP or broker with their voting instructions in terms of the relevant custody agreement entered into between them and the CSDP or broker.
4. A shareholder entitled to attend and vote at the annual general meeting may insert the name of a proxy or the names of two alternate proxies of the shareholder's choice in the space provided, with or without deleting 'the Chairperson of the annual general meeting'. The person whose name stands first on the form of proxy and who is present at the annual general meeting will be entitled to act as proxy to the exclusion of such proxy(ies) whose names follow.
5. A shareholder is entitled to one vote on a show of hands and, on a poll, one vote in respect of each ordinary share held. A shareholder's instructions to the proxy must be indicated by the insertion of an 'X' in the appropriate space provided. If an 'X' has been inserted in one of the blocks to a particular resolution, it will indicate the voting of all the shares held by the shareholder concerned. Failure to comply with this will be deemed to authorise the proxy to vote or to abstain from voting at the annual general meeting as he/she deems fit in respect of all the shareholder's votes exercisable thereat. A shareholder or the proxy is not obliged to use all the votes exercisable by the shareholder or by the proxy, but the total of the votes cast and in respect of which abstention is recorded may not exceed the total of the votes exercisable by the shareholder or the proxy.
6. A vote given in terms of an instrument of proxy shall be valid in relation to the annual general meeting, notwithstanding the death, insanity or other legal disability of the person granting it, or the revocation of the proxy, or the transfer of the shares in respect of which the proxy is given, unless notice as to any of the aforementioned matters shall have been received by the company's Transfer Secretaries, Computershare Investor Services Proprietary Limited ("Transfer Secretaries"), not less than 48 (forty-eight) hours before the commencement of the annual general meeting.
7. If a shareholder does not indicate on this form of proxy that his/her proxy is to vote in favour of or against any resolution or to abstain from voting, or gives contradictory instructions, or should any further resolution(s) or any amendment(s) which may properly be put before the annual general meeting be proposed, such proxy shall be entitled to vote as he/she thinks fit.
8. A shareholder's authorisation to the proxy including the Chairperson of the annual general meeting, to vote on such shareholder's behalf, shall be deemed to include the authority to vote on procedural matters at the annual general meeting.
9. The completion and lodging of this form of proxy will not preclude the relevant shareholder from attending the annual general meeting and speaking and voting in person thereat to the exclusion of any proxy appointed in terms hereof.
10. Documentary evidence establishing the authority of a person signing the form of proxy in a representative capacity must be attached to this form of proxy, unless previously recorded by the Transfer Secretaries or is waived by the Chairperson of the annual general meeting.
11. A minor or any other person under legal incapacity must be assisted by his/her parent or guardian, as applicable, unless the relevant documents establishing his/her capacity are produced or have been registered by the Transfer Secretaries.
12. Where there are joint holders of shares:
    - any one holder may sign the form of proxy; and
    - the vote(s) of the senior shareholders (for that purpose seniority will be determined by the order in which the names of shareholders appear in the company's register of ordinary shareholders) who tenders a vote (whether in person or by proxy) will be accepted to the exclusion of the vote(s) of the other joint shareholder(s).
13. Forms of proxy should be lodged with or mailed to the Transfer Secretaries:

Hand deliveries to:	Postal deliveries to:
Computershare Investor Services (Pty) Ltd	Computershare Investor Services (Pty) Ltd
Rosebank Towers	PO Box 61051
15 Biermann Avenue	Marshalltown
Rosebank, Johannesburg, 2196	2107

    to be received by no later than 10:30 on Tuesday, 12 November 2019 (or 48 (forty-eight) hours before any adjournment of the annual general meeting which date, if necessary, will be notified on the Stock Exchange News Service of JSE Limited) or may be handed to the Chairperson of the annual general meeting immediately before the appointed proxy exercises any of the shareholder's votes at the annual general meeting.
14. A deletion of any printed matter and the completion of any blank space need not be signed or initialled. Any alteration or correction must be signed and not merely initialled.
15. The proxy appointment remains valid only for the annual general meeting at which it is intended to be used and any adjournment or postponement thereof, subject to paragraph 1 above.

Physical and registered address
The Italtile Building
Cnr William Nicol Drive and Peter Place
Bryanston 2021
Gauteng, South Africa

Postal address
PO Box 1689
Randburg 2125
South Africa

Telephone
+27 (11) 510 9050
Fax
+27 (11) 510 9060

www.italtile.com